

Sheela Foam (SFL)

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Call: Aug 2022

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06" August, 2022

To

The BSE Limited The National Stock Exchange India Limited
Phiroze Jeejeebhoy Towers Exchange Plaza, Bandra Kurla Complex
Dalal Street, Mumbai-400001 Bandra(E), Mumbai-400051

Scrip Code: 540203 NSE Symbol: SFL

Subject: Transcript of Investors' Conference Call for Sheela Foam Limited-Q1 FY
2022-23 Financial Results.

Dear Sir/Madam,

Please find below the transcript of Investors' conference call organized on August 03,
2022 post declaration of Financial Results for quarter ended 30" June 2022 for your
information and records.

Thanking you.

Yours faithfully,

For Sheela Foam Limited

Bde

(Md. Iquebal Ahmad)

Company Secretary and Compliance Officer

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CIN-L74899DL1971 PLC005679

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"Sheela Foam Limited Q1 FY2023

Earnings Conference Call "

August 03, 2022

ANALYST : MS. NIHAL MAHESH JHAM - EDELWEISS SECURITIES
LIMITED

MANAGEMENT : MR. RAHUL GAUTAM - CHAIRMAN & MANAGING
DIRECTOR – SHEELA FOAM

MR. RAKESH CHAHAR - WHOLE TIME DIRECTOR - CEO

- INDIA BUSINESS - SHEELA FOAM

MR. NIKHIL DATYE - GROUP CFO - SHEELA FOAM

MR. DAVINDER AHUJA - GROUP FINANCE CONTROLLER

- SHEELA FOAM

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Moderator : Ladies and gentlemen, good day and welcome to the Sheela Foam Q 1 FY2023 earnings
conference call hosted by Edelweiss Securities Limited . As a reminder, all participant lines
will be in the listen -only mode and there will be an opportunity for you to ask questions after
the presentation concludes. Should you need assistance during the conference call , please
signal an operator by pressing "*" then "0" on your touchtone phone. I now hand the
conference over to Mr. Nihal Mahesh Jham from Edelweiss Securities . Thank you and over
to you Sir!

Nihal Mahesh Jham : Thank you so much . On behalf of Edelweiss , I would like to welcome you all to the Q1
FY2023 Conference Call for Sheela Foam Limited . From the management, today we have
Mr. Rahul Gautam, Chairman and Managing Director, Mr. Rakesh Chahar, Whole Time
Director , CEO of India Bu siness, Mr. Nikhil Datye, Gr oup CFO and Mr. Davinder Ahuja,
Group Finance Controller . I would now like to hand over the call to Mr. Rahul Gautam for
his opening remarks. Over to you, Sir!

Rahul Gautam : Thank you Nihal and thank you for hosting this call on behalf of Edelweiss Securit ies. This
is Rahul Gautam presenting the results of Q1 FY2023 and I must begin by say ing that the
standalone results and the consolidated results have been pretty encouraging , so w e must
discount the fact that the pace for last year was extremely low becau se of the Corona facts

that we were all experiencing. Stand alone, we have done about close to 58% growth and consolidated 32%. However, I must say that the market s are showing some trends , some upward trends and they are in bits and parts or in pocket s. For example, our customers, the auto industry seems to be doing very well, while the furniture industry is not doing so well. The basics appear good and it should eventually lead to a good performance. As we look into the current situation, the monsoons hav e been unevenly distributed. By and large, the total quantum of rainfall has been as predicted as forecast wise required. This should lead to a season , which is good and eventually all the other uncertainties should also look good. As far as Sheela Foam is concerned , our Australian entity is doing reasonably well . The impact for pricing, but though it is a mature market and it has already gone through the opening up , which taken care of the pent -up demand , but still it continue s to be strong. The only rea son that I see is that what we experience in our country Atmanirman Bharat coming as a direction from our Prime Minister. That seems to be the phenomena that is happening virtually across the globe and so Australian, which were dependent (inaudible) 3.38 needs to depend on resources and materials within the country, which are kind of a deglobalization that is becoming. Our Spanish entity is a part of European economy , which is full of uncertainties at this point of time and the real picture will emerge afte r (inaudible) 4.09 and which would go into using our foams and pe ople making the lives comfortable (inaudible) 4.21 how much is the impact of the economy.

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Raw materials have always been a major part of impact as far as our business is concerned. In all th e three geographies, we are experiencing very different kind of impact. Raw materials are very steady. Of course, they always have a longer period of liquidations holding. Spain, the raw material prices are moving downwards. In fact, it has come to a stag e where the raw material people have started complaining that because of the increased energy costs they are unable to make any money. However, this content of program, which is users like us, the demand is not there and therefore, cost -based price increas es, but demand -based huge push towards the reduction of prices. India continues to fluctu

ate. Polyol is on a needless sort of downward trend (inaudible)5.38 . Raw material price has been going up and going down and therefore, there is no clear direction.

On the r aw material side , in all the three geographies we are experiencing completely different kind of behavior. Australia seems to be steady . Spain is moving downwards and there is a phenomena that is emerging is that the raw material supplies are not mak ing enough money because of the high energy cost, while the demand is not there and therefore there is a push for prices to fall , so it is the mix that is happening and probably will lead to a couple of plants closing down.

India is still fluctuating as far as the TDI is concerned , a little more as well as Polyol is concerned a little less , and however we have no clear direction as to how it will go in the coming months . Sheela Foam has also been proceeding with a few projects and I am happy to say that th e projects are going ahead on track . The extra capacity that we were building in Australia a little bit delayed but otherwise on track . In January and February , it should be in production.

The expansion that was happening in Spain, we are on trac k for th at and we will continue to view it a little more critically as we go along maybe resume somewhere in September and October , but otherwise it is on trac k. Our big projects in India , which we call as M 5 or a mattress for every Indian based on production faci lities being set up in Jamalpur progressing , but a little delayed because of some special steels etc., which kind of come from Ukraine. By and large we continue to prepare ourselves for the time that the market s really open up . We feel that they should and we look forward to that part . Thank you very much and I will open to questions now.

Moderator : Thank you so much . We will now begin the question -and-answer session. We take the first question from the line of Ritesh Shah from Investec . Please go ahead.

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Ritesh Shah : Thank you for the opportunity. I have seven questions . I will put it in two buckets as four plus three. The first bucket ; I wanted some updates one export out of India, second is e -commerce sales; what was our expectation and what has turned ou t and any merger over here that is one and two . Third basically it was pertaining to M5 ; you indicated that little bit of delay over here ; any particular timelines over here that is the third variable and the fourth variable was on the Indian Railways , any incremental updates on approvals scope for renewals for this fiscal , that is the first bucket with four variables. Thank you.

Rahul Gautam : I heard the export and the e-commerce part that the second one I had missed out can you just repeat that part.

Ritesh Shah : The third variable was mattress for every Indian ; you indicated that there is a little bit of debate any particular timeline that we have in mind over here and the scope of revenues or any details on the product launches over here that would be useful that is the third variable .

Fourth variable was pertaining to Indian Railways . To my understanding , we have a few zonal approvals ; any progress on supplies ? Have you booked any incremental revenues over there ?

Rahul Gautam : Rakesh can you take care of the export part of it , export and e-com?

Rakesh Chahar : Yes, even though touch upon M5 and...

Rahul Gautam : I will do the M5.

Rakesh Chahar : As far as e-com is concerned , we are on course as well as Capex both brands.com and Market Place is concerned , so what we had planned is we are very much on course for that. We have also introduced Sleepwell on Market Place with a new portfolio and a new outlook to play a bigger role in the e-com part , so that was recently being done . That is as far as the e-com is concerned. On the railways , the product has been well accepted and

in fact there were some

clarifications and due diligence within the railways because of the existing material , so that also has kind of recommended the product and now it is a scale up time where the quarter one has seen some part of it so we have kind of done much better than what we expected in the first quarter and the upcoming quarters are looking very promising from a railways point of view. On the export part , though the potential is still huge and so there has been some hurdles . It all started with the ocean freight , which going to which went up to a level of \$17000 and for a consignment of a \$30000 , \$17000 was an absolute norm, therefore the importers were kind of not able to import as much from India as they wanted. Though the ocean freights have come down , but currently there is a slowdown in US where the demand is subdued and therefore , it will take some more time for the orders to come in , and recently we also participated in one of the largest shows in Las Vegas . There we have also met existing buyers who are importing from us and also some new customers , so our persuasion towards that business is still kind of continuing. On M5 I would request if Rahul Ji can update.

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Rahul Gautam : Thanks Rakesh. Just to summarize what Rakesh said as far as the export is concerned , freight cost has come down, but the recession in US is now playing out. I mean something on the other is kind of happening, but it just appears that it is ready to take off, but it has not taken. On e-commerce , we have ended by adding people with some new portfolio on the Marketplace . Railways , he has already mentioned that it is a slow steady , rising progress and at the moment what we are doing is well within the forecasted numbers. Mattress For Every Indian , which I said the project is delayed , so the machine supplier thought this is a specialized machine, which was being manufactured in Europe and it has required some special steel , which comes from Ukraine. That has been delayed by a couple of months . We expect the machine to be shipped out by the end of this year and somewhere in the middle of next year in 2023 we should be able to start supplying the products to the market. However in the meantime the seed marketing and the market research and all that is already progressing.

Ritesh Shah : This is very helpful. I have a follow up question over here probably I will come back on that.

My other bucket of questions was anything new that you are doing on the distribution side based on our recent checks , we understand that company is approaching MBOs for, I think, by the foam. Is there some change in strategy against probably last three to four years what we have that will be had actually (inaudible) 15.29 growth. So the first question on distribution . Second is basically if one look at the last cash flow statement we do understand the company has a significant ammunition available , if at all we go for anything incrementally on inorganic side , do we have any balance sheet ratios in mind or net debt to equity or if at all any acquisition target will it be EPS accretive or not. Those are the two questions I will come back with the third one.

Ritesh Shah : On the distribution side besides our exclusive channel that we have , which is the retail stores for Sleepwell , we have always had Feather Foam as a brand and in fact Feather Foam is the endorsed brand of Sleepwell , but primarily a trade brand and we had people in the market MBOs whom we were supplying the furniture cushion as well as other foam materials under the brand Feather Foam and all that we are doing is a demand that is coming from the market is to say that the people who were MBOs would like to deal exclusively with you and therefore , is there a possibility that we can work on that path. However our general strategy in the market still

remains the same . It is just possible with some of the MBOs may tend to become or will become exclusive and that is the fact to the total number.

On the cash flow Nikhil, I would want you to respond to it, but I just want the inorganic part of it. I would say that these opportunities come (inaudible) 1.20 go but the appropriateness of that has to be there because we really go in for adding an inorganic opportunity. But the cash flows etc., Nikhil can you take care of that please?

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Nikhil Datye : It is too difficult at this moment to comment on what will be the impact on EPS whether it will be accretive to EPS or not, but the opportunities, which we are looking at obviously will add to the long term and these opportunities are looked at from two points of view. One is filling up the gap to acquire more market share and that obviously adds to the bottom line in the long run, so in the long run obviously all ratios will get better, but depending upon how the opportunity materializes at what point of time, in the initial period or at this moment it is difficult to comment on that.

Ritesh Shah : My last question is a follow up. You indicated a big thing, putting Sleepwell on the e-commerce platform, is it something which will go fine through the traditional channel that we have, how do we ensure that our existing distribution network; they are very unhappy with the move, I am sure there would have been a lot of thought behind it. Some color over here would be quite useful. Thank you.

Rakesh Chahar : Thanks for this question. E-commerce is also another way of just reaching the same consumer or a similar consumer. I agree with you that it is normal for a friction to exist between the offline and then online. The way that at we are fattening it is that we would have a limited portfolio of Sleepwell on e-commerce and for the same range or same portfolio in our offline same or absolutely identical or similar to identical offerings would exist on offline and we have taken a long time to do. Our experience told that if the offer is similar and the offline offer is similar to the online one people tend to buy material from the brick-and-mortar store, and therefore, we are pretty comfortable with that there would be very little friction that would be there.

Ritesh Shah : Sure Sir thank you so much I will join back the queue.

Moderator : Thank you. We take the next question from the line of Nihal from Edelweiss. Please go ahead.

Nihal Mahesh Jham : Thank you so much. Couple of questions on the distribution part. In our presentation, you mentioned currently we have around 5500 outlets where the products are available. Could you give a sense of what this number was last time and how it has improved and how is the distribution for this to Starlite and Feather Foam brand coming along.

Rahul Gautam : I have lost you for that 10-15 seconds, so can you please repeat.

Nihal Mahesh Jham : My question was that our presentation mentions that currently we are available in 5500 outlets. Could you give a sense of how this number was last year and also for our two other brands this Starlite and the Feather Foam, what is the current distribution reach in MBOs in total at this point in time?

Rakesh Chahar : The number is expanding increasing by the quarter, so we have expansion plan and we are able to kind of meet most of it, so now last year the number would be close to about 5000 and we would have added 500 numbers in quarter one, so that is because we focused on expansion

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in quarter one both on exclusive dealers and the showrooms coming up. As far as the Feather Foam, Starlite is concerned, we have our MBO network, which we are also kind of creating the new network, which was the earlier question; there we have our furniture cushioning and Feather Foam

as we offering and we are calling them as cushioning partner, so it starts with the MBO but eventually we want to also convert them into a EBO network. That process is also on and as far as MBOs are concerned, we have our industrial quarters in Starlite so that we currently sell to more than 3000 dealers and which will continue kind of growing the numbers on the MBO side. On an overall basis if I see we will be more like 9000 to 10000 outlets that we are servicing today.

Nihal Mahesh Jham : So 9000 to 10000 is the current for Starlite and Feather Foam combined?

Rakesh Chahar : Combined correct.

Nihal Mahesh Jham : That is helpful. My second question was that on the mattress volumes, if we compare this to pre-COVID and assuming there is not too much of a mix change between our co-brands which is Sleepwell and Starlite, it is still slightly low and in the past quarter, we are seeing a strong traction, so is it that there is a shift in consumer spend, which is happening more towards other categories outstand whereas home improvement as a category has already seen a lot of the spend happened in the previous quarters and generally what are the kind of trend that we have seen even after the quarters close. Could you just give a sense of that, that would be helpful?

Rakesh Chahar : The numbers are slightly lower than FY2019. The general trend that we have seen is the challenges more on the ASP side so there are quarters where especially when the marriage

season is there, there is a lower end, which tracks faster and normal time the higher-end customer because of the COVID and experience of staying at home, so it is a mix of both which is happening. On the general volume side, there is see our whole effort on the EBO side is to influence consumers to buy a better and a high-end mattress, so we track more of sales value for the outlet and then we worry more about the attach ratio of the STP products and which is the cross selling, so that is how we are kind of operating in the EBO part. As far as this network that I have just mentioned about that is where we are expecting a huge volume expansion through the network that we are developing for Feather Foam and Furniture Cushioning going forward. The process has already started so we will start seeing volumes coming in from end of quarter two.

Nihal Mahesh Jham : Understood. Just one last question from my side. We noticed that there has been an improvement in our average realizations for a mattress, so have we taken a price hike over the last three months, which is now resulting and if you could just quantify the quantum of price hike.

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Rakesh Chahar : No, we have not taken any price hike recently. So it is just because of the ASP.

Nihal Mahesh Jham : You mean the mix maybe more of the Sleepwell mattress that is what I sold this quarter.

Rakesh Chahar : Correct.

Nihal Mahesh Jham : That is helpful I will come back in queue. Thank you.

Moderator : Thank you. We take the next question from the line of Bhavin Rupani from Investec. Please go ahead.

Bhavin Rupani : Thank you for the opportunity. My first question is if we see the volumes of mattresses from on a three-year CAGR basis, it has declined and have we lost any market share because of this decline.

Rahul Gautam : Rakesh you want to touch it. I mean. During the entire COVID time, there has been general market research that was being done by the association has also not been done, so I guess you will have to rely on more what the inputs on market are and what the feeling is.

Rakesh Chahar : The general feeling is that the overall market has not really grown and what has happened is more of pre-distribution where some part of the market has been taken away from online and this was got isolated during the lockdown period and in some also on the unorganized side because of the supply chain disruptions, so that also we see that there has been a little traction on it. Now as things are becoming normal and the brands have also started, because there was also a period where the brands were also skeptical in to doing any development brand building awareness kind of activity, which has started now. Right now this is generally the hearsay that we get to hear and also the environment especially in the quarter one has been subdued, which is reflective because now we have program going on and we track footfalls at our stores. We really track footfall and we also see a reduction in footfalls, which is also reflective of what people have been saying about the market size. Does that answer your question?

Bhavin Rupani : Yes.

Rakesh Chahar : As far as the research part is concerned what Rahul ji was mentioning that was also waiting for normalcy, so that the people can visit retailers for the research and for the numbers, so that has been instituted now and we should have the report by maybe in next four months. This will be the first one after the COVID.

Bhavin Rupani : That is helpful. My second question is what would be the margins and what we have taken in online and offline sales, will it be same or different?

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Nikhil Datye : As far as the offline business is concerned, gradually we have moved away from higher inventory in the channel and it is because we have improved and gone back to what we call as F-24, so we try and service the consumer demand at store within 24 hours from our nearest stock point and decentralized manufacturing and distribution helps us in doing that. As far as most of our distributors are concerned, who service the offline trade, they run either on cash on carry or on a 15 days credit basis, so both put together the working capital is managed very effectively. As far as online trade is concerned, there are two ways in which online also gets managed where the fulfillment is taken care by online partners and there the working capital requirement is normally high because they manage 30 days to 60 days in inventory and also the repayment terms are around 60 days, but again as we started ramping up our online presence, we have gone away from that model and now we are distributing the product directly from our warehouses, so we have also increased our footprint in terms of warehousing for online channel, so earlier we used to distribute it through Amazon, Flipkart warehouses. Now we have about six to seven warehouses across India dedicated for online, so that has helped us in managing our working capital for online more effectively. With that

online working capital will be slightly better than the offline , but both our margins have seen a reduction over a period of time because of these initiatives.

Bhavin Rupani : That was helpful. Any sense on margins ?

Rakesh Chahar : As far as margin is concerned , definitely general trade in the picking order is as little higher level than online. Online the space is more competitive the product offerings are more basic and economic in nature , so the product segmentation and consumer segmentation are also very, very different . Apple -to-apple comparison of that segment with general trade , I would say that margins will be at par , but overall when you look at general trade also services premium and luxury segment , which as a proportion of business for online is less.

Comparatively , the offline business will be better in terms of margins.

Bhavin Rupani : Lastly on our competitors planning to appoint a brand ambassador. Do you have any thoughts on that and what will be our advertisement spends for the year ?

Rakesh Chahar : Sorry I did not get that question can you repeat it.

Bhavin Rupani : Our competitor is planning to appoint a brand ambassador . Have we put on any thought about it and what would be our advertisement spend for the current year.

Advertisement spend for the current year.

Rahul Gautam : Now the advertising spend you just know that on the other part I will respond.

Nikhil Datta : On an average , I would like to split the overall marketing selling spend in two buckets , something which we drive as BPL /selling expenses that on an average has been around 10% year-on-year for us and that is completely or largely variable as far as marketing spend is

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concerned that will be around 2.5%, 3% that is one area where we are as a intent also we have said that we would step up that expense, but total level selling plus marketing will hover between 13%, 14% range.

Rahul Gautam : I hope that takes care of that question. Coming back to this issue of brand ambassador , so our belief is that when you are introducing a brand or introducing either to a new market or the brand is new then the brand ambassador plays an important role , however in the current scenario , the salience of Sleepwell or the recognition of that is reasonably on a good level and therefore having a brand ambassador will not serve the purpose. That is our belief , however tomorrow especially we are going down deeper into the market this issue may change or if we look at areas where we are very weak for example Kerala, or maybe little parts of Tamil Nadu if possible that we may take a regional brand ambassador.

Bhavin Rupani : That is helpful Sir. Thank you.

Moderator : Thank you. We take the next question from the line of Devesh from DS Investments. Please go ahead.

Devesh : Thank you for the opportunity. Just quick trend base though if you can share. If you were to look at our last ten years journey if I am talking about pre-Corona right , which is probably 12, 13 to let us say 19, 20 , if we were growing top line by ex our operating margin and profits were proportionately growing higher right ; it could be even 1.5x, 2x type or even 3x if you take longer horizon . Now if you were to go a little forward , I am not looking at next couple of quarters , but let us say next five to ten years , how do you see this growth quality that would pan out in the way you are thinking ?

Rakesh Chahar : It is really a very deep question and so on a short -term, we have this difficulty of getting a clearer picture and uncertainty and haziness kind of existing. On a long -term basis from all aspects , we see that India in general or home improvement sectors per se or Sheela Foam and it is presence in that sector and in all the three I feel positive trends existing. If we go back to the ten years prior to COVID and say that based on that or on similar circumstances , how do you look forward. I honestly, I look at a three -year growth rates of 10% to 15% , which would be there and that is how India should pan out.

Devesh : Great that is quite helpful . Could you sort of share your view in terms of what is happening in Europe in the sense that because Spain was also planned to be a major exporter for us as well as the Europe consumption side , do you see, do you see the issues even probably going to be there till the war season solution or do you see there are different drivers that can sort of change the ecosystem or demand can revive or how do you see any signs that you are reading for next quarter ?

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Rakesh Chahar : First of all about Europe. Europe has enjoyed a good 8 to 10 years of run where the raw material prices have been steady or slightly kind of increasing and the demand has been good , the business has been okay and has been steady sailing . If you go by the law of cycles , something needed to happen or something would happen , now whether it is triggered by the war or it would have been triggered by something else , it would be difficult to say , but at the moment it is the war , which has increased the energy cost , people are

scared of spending

money and saving it to see the winter through , the fuel cost has gone up etc., so that is the kind of sentiments that are existing as far as our company in sale is concerned , we are a very small stack of the markets , so even if the market shrinks a little our opportunity to grow still kind of exist and therefore if I would see let us say if I would take a period in the recent past , the European market would have shrunk by about 30%, 34%, 35% however , we would have done half of that as far as the shrinking is concerned and this point will also get corrected because all the clients that we had when we talk about October 2019 those plans put aside because we were battling with Corona, we are looking at raw materials and we are supplying , the business was also on alright ; all those things were happening . The newer initiatives which are new er segments , some very close to where the unit is whether it is a shoe industry or the furniture industry that we intent to take , so we are not unduly concerned by what is happening in Europe however we now need to do stuff at our end (inaudible) 41.04 we have just 1% of the market is and therefore we should not have any impact.

Devesh : Thank you for the detailed long -term perceptive . Just diving into see if you were to sort of do it quick next couple of quarters view , is it fair to assume that B2C will take some time to build up the momentum wherein B2B we are seeing better traction be it railways or the new launches we talked about , so the B2B part will do some heavy listing in near future . Is that a right way to look at next few quarters ?

Rakesh Chahar : That is exactly what is happening right now , but for us to believe in the coming quarters , it will remain like this is not okay . The B2C reviving will only need a little bit of a trigger because the intrinsic demand or the inherent demand is there . People need the home improvement products ; people need all those things . It is just a question of one small trigger. It could be a good monsoon , to a good season , to something like that to happen and it will however forecasting for the next three to four quarters , I would not hazard a guess , but that is the belief that this is what could be happening.

Devesh : Do you see any correlation of the home sales and number of consumer sales that we do . Do you see any correlation with a lag or something the way real estate is sort of giving the data ?

Rakesh Chahar : Yes, this is absolutely not for the consumer sales to happen with a lag after the real estate or the homes sales increase . When I see that they are in the last at least a month or so , there has been a pickup on that . Eventually those will need to be furnished and need to be taken care

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of, therefore that should happen . Generally , the lag to my mind is also averaging about three to four months between home sale and consumer sale for us.

Devesh : Sure. Sounds good thanks a lot for detailed answer. All the best.

Moderator : Thank you. We take the next question from the line of Simranjeet Singh an individual investor . Please go ahead.

Simranjeet Singh : Thank you for taking my questions. I have certain questions in my mind. First of all , can you provide some EBITDA margin guidance for the next nine months of FY2023 and second question is that I was going through your Q4 FY2022 con call transcript call , where you have mentioned that you are looking for some inorganic opportunity. My question is relating to the part that are you looking for the inorganic opportunity where you do not have any presence or where you have a less presence in the sense that, that will be more fruitful to your company . Can you brief me something on this?

Rakesh Chahar : As far as the EBITDA margin guidance is concerned , we would refrain from that, it could be healthy, it should be double digits and that

is our expectations that it should be like that.

Coming to the issue of growth and the organic growth that you are talking about. I would look at it in three ways . One is the clear -cut segment as well as the geography that we are present in , would we do that ? No. There is no need for that to happen . There are geographies where we are very weak . The segment remaining the same . If an opportunity comes up , we would definitely consider it . However balances with saying that how good is our brands opportunity to really expand into that area. The third one ; obviously it is a completely new segment . We would again refrain from going there . This is the kind of segment that we do not know , so if there are newer ways of reaching the consumer , if there is a distribution channel that is kind of comes through , we would definitely look at that.

Q4 I remember that , we said that this is primary business es one is the manufacturing foam and the other is the consumer business that we have . Manufacturing foam can be virtually anywhere in the world . It has not bothered us because the rules of that game or what will pick there is your raw material purchasing capacities, your formulations, machinery, technology and then the geography does not matter so much. So that we would be open to as I said globally , although at this particular time the globe is also going through problems , which are very uncertain but in the Indian market , we said that it will be consumer facing it will be ways to reach the consumer and etc. that at Q4.

Simranjeet Singh : Sure done thank you and all the best for the upcoming quarters.

Moderator : Thank you. As there are no further questions from the participants , I now hand the conference over to the management for closing comments.

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Rahul Gautam : Thank you Diksha. Thank you for moderating this and Nihal thank you and thanks Edelweiss for holding this conference. I want to also thank all the participation and the questions there may have been a few and normal people questioning , but the questions were as impressive and as sharper as ever . I know that in the shorter -term that there is a lot of laziness and lot of uncertainty which is existing and therefore some of our answers would also have been in similar manner with very little sharpness and very little (inaudible) specifics because that is how the picture is at the moment. But on a long -term basis as mentioned a little earlier from an India perspective , from the segment perspective , and from Sheela Foam perspective , we are extremely buoyant we are extremely positive about it and we feel that there is no other way except for everybody's to do well with it. All these three India segment and the company. Thank you very much and thanks again for participation.

Moderator : Thank you. On behalf of Edelweiss Securities that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Dec 2022

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CIN-L74899DL1971PLC005679

Date: 11th November 2022

To

The BSE Limited The National Stock Exchange India Limited
Phiroze Jeejeebhoy Towers Exchange Plaza, Bandra Kurla Complex
Dalal Street, Mumbai -400001 Bandra(E), Mumbai -400051
Scrip Code: 540203 NSE Symbol: SFL

Subject: Transcript of Investors' Conference Call for Sheela Foam Limited -Q2 FY 2022-23
Financial Results.

Dear Sir/Madam,

Please find below the transcript of Investors' conference call organized on November 08, 2022 post declaration of Financial Results for quarter and half year ended 30th September 2022 for your information and records.

Thanking you.

Yours faithfully,
For Sheela Foam Limited

(Md. Iqbal Ahmad)
Company Secretary and Compliance Officer

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"Sheela Foam Limited
Q2 FY 2023 Earnings Conference Call "
November 08, 2022

MANAGEMENT : MR. RAHUL GAUTAM – MANAGING DIRECTOR –
SHEELA FOAM LIMITED
MR. RAKESH CHAHAR – WHOLE TIME DIRECTOR –
SHEELA FOAM LIMITED
MR. TUSHAAR GAUTAM – WHOLE TIME DIRECTOR
AND CHIEF EXECUTIVE OFFICER – INDIA BUSINESS –
SHEELA FOAM LIMITED
MR. DAVINDER AHUJA – GROUP FINANCE
CONTROLLER – SHEELA FOAM LIMITED

MODERATOR : MR. KARAN BHUWANIA – ICICI SECURITIES
Moderator: Ladies and gentlemen, good day, and welcome to the Q2 FY '23 Earnings Conference Call of

Sheela Foam Limited hosted by ICICI Securities. As a reminder, all participant lines will be in

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the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance, during the conference call, please signal an operator by pressing star and then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Karan Bhuwania from ICICI Securities. Thank you, and over to you, sir.

Karan Bhuwania : Good evening, everyone. It's our pleasure at ICICI to host Sheela Foam's earnings conference call. From the management today, we have Mr. Rahul Gautam, Managing Director; Mr. Rakesh Chahar, Whole-Time Director; Mr. Tushaar Gautam, Whole-Time Director and CEO of India Business; Mr. Nikhil Datye, Group Chief Financial Officer and Mr. Davinder Ahuja, Group Finance Controller.

I'll now hand over the call to Mr. Rahul Gautam for his opening remarks. Thank you. Over to you, sir.

Rahul Gautam: Thank you, Karan. Thank you, thanks a lot. As usual, we will begin with our vision statement. Our vision, we will continue to be recognized as a leading organization in quality comfort products while practicing values of integrity, reliability, proactivity and transparency to do business with a smile for customer delight and their commitment to society. Thank you, thank you very much.

So thank you, Karan, once again for hosting this call on behalf of ICICI Securities, and a very good afternoon to everyone joining us today and wish you all a very happy Gurpurab. It is my pleasure to welcome you all to the earnings conference call for the second quarter and first half of the financial year 2023.

I just wanted to say something upfront as far as participation is concerned. So Mr. Nikhil Datye is today unwell and is not able to attend the conference. However, at the same time, I also want to add that he was originally from Mumbai, but he's in the process of transferring and changing, and there were personal difficulties in getting admission for children, etcetera. So he is unable to continue with Sheela Foam. And with effect from early part of December, we will then put the process on to get a replacement.

Let me first take you through the quarterly and half-yearly financial highlights and then discuss some of the operational and industry highlights. For the second quarter under review, on a consolidated basis, we reported a revenue of high INR 722 crores, which were down by about 8% on a year-on-year basis and about 1% on a quarter-to-quarter basis. EBITDA margins for the quarter were reported at 10.84% which was an improvement versus previous quarter but still down against the same period in the previous financial year. Net profit stood at INR 54 crores, which was down by about 30% or so on a quarter-to-quarter basis.

First, to talk about the raw material scenario. Both are basic chemicals, which is polyol and TDI have been experiencing a little bit of a downward trend. Polyol prices continued their consistent movement downwards, while TDI prices also cooled off and then have been fluctuating thereof.

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This has definitely resulted in an improvement in the gross margins across various geographies that we update on.

Uncertainty still looms large, though clear indications of the volatility settling down are on the horizon. The year-on-year decline in revenues were primarily due to softer demand in our India and European business, while Australia continued to perform well. For India, we have registered a growth of 15% in the H1. And Australia, as I said, has been doing well, while Spain whatever has been happening in the European continent due to the Ukrainian war has been experiencing a downward consumption and therefore, a downward production.

In India, the revival in consumption patterns is slow due to the inflationary pressures seen

across

consumer durable companies. The global economies do continue to face headwinds due to certain geopolitical situations and high inflation. The rising interest rates across the globe to fight inflationary pressures are weighing in on the economic activities and consumption patterns. Similar to last quarter, the auto industry continued to do well for us in India, resulting in good volume and revenue growth in our technical foam products on a year-on-year basis and quarter-on-quarter basis.

Although this quarter, the mattress segment, furniture foam products and comfort foam products witnessed some decline year -on-year on basis. Decline in consolidated EBITDA margins are primarily due to the increase in sales and marketing expenses by 37% year -on-year and 24% quarter -on-quarter.

For the first half of the financial year 2023, consolidated revenues stood at INR 1,451 crores, reflecting a growth of 9% with EBITDA margins at 9.94% and a net profit of INR 96 crores.

I must share with you that in our recently concluded Board meeting, just a few hours back, the Board has approved a 1:1 bonus on the existing shares. So I think this should bring some shares to the investor community. Also, the Board discussed in detail the dividend policy, which will be -- which is being fine -tuned, and we will be ready as and when the time comes.

In conclusion, despite the macro challenges, we believe that the inflationary environment is slowly cooling off. And with our revised efforts in sales and marketing and the extra expenditures that we have done there we believe that the financial revival is around the corner.

We can now open the floor for the question -and-answer session. Thank you very much. Over to you, Karan.

Moderator: Thank you very much. The first question is from the line of Ritesh Shah from Investec. Please go ahead.

Ritesh Shah: A couple of questions. First on cash flow, second on manufacturing and third, more to do with the revenues, fees that we are looking at. So first on M&A or cash flow, I think prior to conference call, so we had indicated that could be looking at a few acquisitions on the timeline,

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which was cited was October end. If you could provide some color over there on what we could be looking at, any numbers that would help. That's the first question.

The second question is on third -party manufacturing. I understand that we have started this at a top of places in India. If you could please highlight the rationale behind this? What is the product -- so I think I understand Starlite is one of the products, which will be under third -party manufacturing.

So more of rationale and some numbers over here. That's the second question. And the third question is into four parts. So one is exports hasn't really come out from the Nandigram facility. I think [inaudible 0:09:30] problem of most of it, that seems to be pulling off. Any numbers over here will be useful.

Second is any feedback on the e -commerce side. Last quarter, you indicated that we have launched Sleepwell, how is it effective if adding in the marketplace. So that's the second part of the third question.

Third is, Indian railways, any numbers over here, any updates and fourth is timelines on Jabalpur expansion along the launch for our mattress for every Indian?

Rahul Gautam: That's a lot of questions. So let me first begin with the first question that you have asked regarding acquisitions. You see we don't do this day in and day out. And what we are experiencing that these things always take a little longer time than what you think they should when you especially go down and for details. I would only say that a couple of them is -- have progressed well. They are close to the final run. However, giving any more details on that will be a little out of place at this point of time. On the third -party manufacturing, I p

resume that you

are talking about outsourcing manufacturing of Starlite. Is that correct?

Ritesh Shah: That's right.

Rahul Gautam: So we are doing that on a standard basis. And I think there are two units who do that for us. And the products, however, are completed there, and they come to our place for the final quality inspection and then we are going ahead with that. However, let me just say that we continue to have some flexibility on that in the sense that if the markets are down and or the volumetric productions are less, then we do that more of that in -house and lesser from outside. So there is flexibility on it. There was a question on the Indian railways. So...

Ritesh Shah: Sorry to interrupt. Sir, can I just ask you for the rationale for this particular outsourcing or third -party manufacturing. Is it purely lead time? Or is that we are looking to improve the ROCE, working capital? How should one understand it, sir?

Rakesh Chahar: I'll take that. I think the rationale for that is very simple. It's a very low value item. We are anyway sourcing bulk of the core and fabric materials for that. Whenever we have capacity constraints in Nagole facility, it makes sense to outsource it as a finished product and bring it into our warehouses and then distribute onwards rather than putting up any fresh capital investment and things like that for a product like this. But like Rahul ji said, during the year with

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seasonality, it's volume of outsourcing moves up and down depending on how much free capacity we have ourselves.

Rahul Gautam: Okay. So before I let Rakesh take the railways question, I just want to update you on the Jabalpur project that is a mattress for every Indian. Last time and even the time before that, I had shared with you that there was some delay in the supply of equipment from England on account of steel, etcetera, which was actually available only from a Ukrainian plant. However, all that has been kind of sorted out. And the machine is on its production. We should begin to receiving parts of it by the end of this year. And I am sure that by the -- in the first half of next year or the middle of next year is when the production will start.

The civil facilities and the infrastructures are all complete and some of the ancillary equipment, etcetera, is already in place or getting in place. We are looking at possibilities where we can manufacture before the machine arrives. If we can manufacture some small quantities of the grade and the quality that we want, so that the project can probably start a bit earlier. And while being on that project may add that the front-end work is also in full swing, which is the products, the markets, the way of distribution, etcetera.

Now just I request Rakesh to update us on the railways a bit, please.

Rakesh Chahar: So railways is progressing well. The material has got very well established now. So whatever kind of opposition specifications, so the existing material lobby, so that all seem to kind of getting settled down. And so we are now getting to a good run rate monthly, and it's progressing well.

Ritesh Shah: So wouldn't it be possible for you to give some numbers or some titling into what all regional divisions that we're already supplying to, what's the opportunity size?

Rakesh Chahar: So we are supplying to seat and board manufacturers who in turn supply to the coach factory. So the current run rate is close to -- we started doing about 200 coaches or 250 coaches a month, which is growing month-by-month. In terms of revenue, it will be about INR 4 crores to INR 5 crores a month, that's our current run rate that we are doing.

Ritesh Shah: And sir, two more questions pending. One was on exports. And secondly was on e-commerce, feedback on Sleepwell.

Rahul Gautam: Tushaar, do you want to take one on the export?

Tushaar Gautam: Yes.

So Ritesh, the export side is like we discussed last time, was primarily struggling on account of extremely high freight charges from India. Those have eased off in the last quarter. They have normalized. The other thing that's normalized is, because of the slowdown in the US market, sort of our customers had stuck inventories, which they had already imported. All of that's kind of eased off. And from first week of October or so, we are starting to see our existing customers buy more and more, and those orders have started coming in. So this quarter should be a good quarter for exports. And that ramp-up that we had planned for should actually start to accelerate now.

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Rahul Gautam: And Rakesh can you just respond to the e-commerce position, please?

Rakesh Chahar: So Sleepwell is introduced on both the platforms, Amazon and Flipkart in late September. So the response in October was very encouraging both on the marketplace and also on our website. So now we are ramping that up, and we also will be running our campaign for promotion of the three SKU that we've introduced. And this is actually an omnichannel. I mean these projects are -- can also be booked from the offline channel. So I think it is settling down, but the initial response has been quite encouraging at the price point that we have positioned it.

Moderator: Thank you. The next question is from the line of Nihal Jham from Nuvama. Please go ahead.

Nihal Jham: Sir, couple of questions from my side. First, you did highlight that the current environment remains a little impacted, specifically on the mattress side, but if I were to just ask you that at least the activity from a lot of the other D2C brands in the mattress space has started getting very aggressive. Would you believe that there could be any impact from that specifically happening and that also being added to you in -- to the overall consumer sentiment?

Rahul Gautam: Nihal, I'm just going to repeat the question so that I have understood well. You are referring the competition activity in the market, which is heightened at this time. And the question is that is it going to make any big impact as far as Sheela Foam is concerned. Is that correct?

Nihal Jham: Yes. And I was specifically referring to a lot of the direct-to-consumer mattress brands that have come up over the last three years, I would assume at least four or five of them. So is that a bigger reason than maybe the overall slowdown would just say, impacting the performance across the offline mattress industry? Not just say specifically to Sleepwell, Starlite or Sheela Foam?

Rahul Gautam: Rakesh, why don't you take this?

Rakesh Chahar: Yes. So I think you're referring to the e-commerce brands which have been aggressive. So yes, it has

an impact on offline in two ways. One is, there is a consumer who is now looking at the price at the offering and he is also looking at the same kind of bargain in the offline, which is not easy to get because dealer also has to make his money. So that is one disruption which does impact the offline.

And second is, I think it's -- because it's still a small market growing at a faster rate than offline, about 25%, 30%. So but it is still in the realm of 1,200 about maybe 6%, 7% of the total market. So I would say that, yes, it is an upcoming channel, which is getting evolved. But the impact on offline is more a new channel, having its own ways of servicing customers, offers, COD, 100 free nights. So those are the things which the retailers are not kind of equipped to handle, but the brands are, I mean, more and more brands are kind of working with the retailers to bridge that gap. So, but I would not attribute it only to the e-comm, I think it is more to do with the environment with the consumer sentiment.

Rahul Gautam: And Rakesh, if I may add to this, that all this heightened activity

that is there, to my mind, it's

only expanding the organized mattress market, which derives its source from the unorganized sector, which is an extremely large sector. Therefore, my take on this is that all this activity is

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helpful. And the other little comment that I would want to say because we are also present strongly in the e-commerce market. That e-commerce business, as it stands today, it's not a very profitable business here. I mean eventually, people will have to figure out ways to exist there. That is by margins or reducing discounts, et cetera. But otherwise, it's not a sustainable business. So just these two points. One, or whatever activity is going, whatever rupees are going into advertisements and talking points, et cetera, and the noise, it's creating good for the business, not so good for the companies who are doing this.

Nihal Jham: Understood. And just to follow up on that would be that from our side, we have SleepX as a brand, which is purely online, and we have limited SKUs Sleepwell which you have recently got on Amazon and Flipkart. That is the way we are approaching this channel. That could be a right understanding?

Rakesh Chahar: That is correct. And also ensuring that there is some sanity in this wild thing, which is going on now where the brand has an opportunity to grow where you still make some money out of it, etcetera, and give your larger market of offline enough foundation and enough strong fleet to stay strong.

Nihal Jham: This is helpful. One last question would be that given the recent correction in raw material that we've seen, how do we plan to use this benefit? Do we plan to reduce our prices? I know you've highlighted a bout sport in sales and marketing, but would there be pricing action on our products if raw material stays lower?

Rahul Gautam: Sorry, I didn't hear that clearly, but you are talking about reduction of prices, are you?

Nihal Jham: Yes. So given that we've seen a correction in the raw material prices, and I'm assuming that sustained, would we reduce the prices of our products?

Rahul Gautam: Generally, we don't do that. In fact, when the prices are to be increased, we also do not exactly comment rates with the increase of raw material that has happened, because the market is being structured in a way cannot take these wild fluctuations as the raw material people do. Therefore, we have increased prudently, we generally do not reduce the prices. If an offering needs to be tweaked up, we will do that. If some other thing, additional thing needs to be given with a mattress, we will do that. But price reduction is not the order of the day.

Moderator: Thank you. The next question is from the line of Sohini Andani from SBI Mutual Funds. Please go ahead.

Sohini Andani: I just wanted a little more understanding on the increase in sales and marketing expenses that we've seen both year-on-year and quarter-on-quarter. And also the fact that our mattresses sales have actually declined during this period. So if you could just explain on what areas have we spent this and the dichotomy a bit in terms of actual mattresses sales being lower. So it would be good if you could explain this in some detail?

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Rahul Gautam: Yes. All right. I think Tushaar will do that, which is, I think, primarily your question is increase in the sales and marketing expense, while the number of mattresses have declined. So there's I think both are following a different curve. Tushaar, can you just explain that?

Tushaar Gautam: The way that we are looking at that is from a baseline, let's say, of H1 last year or even quarter 2 last year, which were very -very unusual. There was, Q1 was virtually a dead quarter and a lot

of these, especially the marketing side of it and even some trade promotions and channels and

all of that was in there. Over a period of 12 months, it's certainly come back to what the normalized level used to be two years or three years ago. That's on the sales side. So what is really extra is marketing expense. And that's something that we are focusing on getting the brand more visible, also investing in some of these newer channels where we are starting to expand the Sleepwell brand like the e-comm side has come now. But there are a couple of other developments like this that are ongoing of special channels, special businesses in which we intend to expand the Sleepwell brand. So there are some marketing investments that are related to that, which has gone up or which have been front loaded at the moment.

Moderator: Thank you. The next question is from the line of Resham Jain from DSP Investment Managers. Please go ahead.

Resham Jain: So I have a few questions. So first one is on the , in the past, when we didn't had Starlite and Feather Foam or rather the high-value products where the mix was higher, I think the larger contribution is to come from the marriage-related buying patterns. Obviously, last two years, those events got postponed and stuff like that. But what we are hearing now is that the upcoming marriage season seems to be quite strong, and that is another way you used to market in the past. So any comments around this specifically on the marriage-led demand of your products?

Rahul Gautam: So I would say, yes, wedding time continues to be a strong time for us to market or to sell. And this time, what are the dates, Rakesh, that the wedding, they have started yesterday or on to 4th, right through up to 19th of December, I think, is it?

Rakesh Chahar: 13th of December.

Rahul Gautam: So this is a strong season, and you can always feel in the air that mattresses are being sold more. But definitely, this is a strong time and we should have.

Rakesh Chahar: I think it's a phenomenon more in North, which is related to marriage. It has a very little impact on the other zones. But not for sure, I mean the impact is large.

Rahul Gautam: Yes, because I think the other zones, they marry whenever they want. So for sure, the point that you're making, Resham, is strong. This is a good time, and you would see good sales at this time.

Resham Jain: Okay. This should improve the mix as right? The price points?

Rahul Gautam: Yes.

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Resham Jain: Sir, the second part is, I think on the digital spend because, as you mentioned, e-commerce is where the competition is. And I could see that in terms of Google searches and also earlier, whenever we use to type Sleepwell, the competing brand is to come at the top. I think that has changed a little bit, but not fully. So how much spend has to happen on this site to be relevant? Because with the aggression on the e-commerce side, the relevant spend also has to happen, which is unlike a traditional company where the economics are quite different. Some of the competing brands are, okay, not earning money. So how will you approach this whole competition in this regard?

Rakesh Chahar: So generally, I hope, I'll take that question. You're absolutely correct. And like you're saying, you're starting to see some green shoots there, which is primarily on account of, I would say, 1.5 months of extra spend and extra work on the digital platform, not just Amazon, Flipkart, but on Google, Google Search, Facebook, YouTube, all of that stuff. More and more as we move along, we will focus primarily on television and digital. That's where the breakup of the brand spend will be.

And a lot of the traditional spends are slowly ramping down. And those resources are getting transitioned into digital. That's one side of the efficiency. On the other side, just to give you an example, in September and October, we would have resourced the di

gital spend at least 7x to 8x

of what we normally do in a month. And I don't see that slowing down. So as we move along, you will see more -and-more of that.

Resham Jain: Can I ask one more? Just to understand on the e-commerce side, the SleepX and Sleepwell now both will be present online. So from a differentiation standpoint and marketing, because marketing there is a limited budget in terms of how you want to position your brand and spend. So how will you now do because earlier you used to do more from SleepX perspective, but now you have to do for Sleepwell as well. So how should one think about this?

Tushaar Gautam: So I think, just think about it in a way that we started SleepX a couple of years ago when all of these other brands who were coming in, looking at the model, looking at the conflict between online and offline, we thought it's better to do it with a separate brand. Of course, it's grown. It's competing with the other e-comm players, and it continues to compete.

The long-term play, the sustainable play is for Sleepwell to be present in that channel and take

a larger share of it, which we started about a couple of months ago, like Rakesh ji said, good first indication. It's a product and a model which we worked very hard to develop an omni-channel experience where I can compete on an Amazon, Flipkart, website and compete with all of these other new e-commerce brands, but at the same time, a consumer can also access the same product, the same offer at the same time at any of my retail outlets.

So from our perspective, we think the Sleepwell brand getting access to this new channel, which is, let's say, about 6%, 7% of the overall market is the sustainable way to progress. And therefore, the resource allocation of marketing will be more -and-more towards people.

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Rahul Gautam: And if I'll just add to that, that number one, Sleepwell is the brand, is our flagship brand. That's a sustainable one, and that's what we would be working on. This is a new territory, new unknown territory and therefore, all the exploration, all the initial experience, et cetera, was done using SleepX and not to sort of fool around with the Sleepwell brand. Now that we are learning the trade, we are learning the processes, it would be more and modestly for sure.

Moderator: [Operator Instructions] . The next question is from the line of Chetan Shah from Jeet Capital. Please go ahead.

Chetan Shah: Sorry, I'm just looking at your company for the first time. So my question may be a little novice .

Just wanted to understand our geographical growth opportunity. So I have kind of historical data, but how do you see the things moving in the next two years to three years time horizon? How do you see the opportunity size and scale? One is that question. And second is are we looking at any complementary businesses apart from mattresses what we sell as of now , as an opportunity to give a kind of a bit of product to the customer who walks into our store or buy our products?

Rahul Gautam: I'm just repeating the first question, so that, again, we've understood it properly. You are saying that how is the geographical growth going to be in the next two years to three years? And that geography of India we are talking about. Is that correct?

Chetan Shah: That's right, sir. One is India, and how do we see the global opportunity also. If you can share some form of opportunity in that ? Yes.

Rahul Gautam: So our philosophy or our thinking on this is clear that when we look outside of India, we look at an opportunity, which is on the operations side, manufacturing side, where all the experience of sourcing of raw materials, formulating the products and manufacturing them on the best possible equipment with the best possible technology, that is what we excel in, and that is what we will look at outside. So whether the current

ones also, which is Australia and Spain, we limit ourselves to manufacturing the best possible foam and the best variety and giving it to the customers.

When it comes to going beyond that, that is the consumer, the distribution and the consumer and the customer, that is where we look at India, and that is how we are structured and integrated here, because we understand the culture, we understand the ethos, we understand the consumer outside, we don't do that, and therefore, we don't. So just to simply put it, consumer business, India, just manufacturing of foam and excellence in foaming and foaming processes outside India as well as outside India.

Coming back to the question of geographical growth. Undoubtedly, we are strong in the northern part, the western part. We're getting stronger on the southern part. We may be a little weak on the eastern part. But eastern markets are also relatively small compared to the other ones. It's completely the way that the country is. If you look at it, it's an inverted triangle and then you have the rivers flowing and that's where the people live, and that's how what we call as the northern part of it.

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So though we are strong, but where we are strong, the opportunity is also larger and because the opportunity comes from the unorganized part of it. The other places, we may not be that strong, but we have the processes in place to get stronger to get to the position where the brand has similar kind of dominance as we have in the northern and western part of it. And therefore, the growth to me, my mind will come all over the country, different places for different reasons.

The second question that you had on the complementary business. We do things like pillows, we do bed sheets, we do comforters, we do bed sets and anything which goes on top of the bed.

They are doing it, and this is going into the stores. And in times to come, we'll act as extra attraction for the consumer when he or she comes into the store.

However, beyond that, the only other category, which is somewhat related, both in terms of

consumption of foam as well as in terms of the way that the markets are structured that you generally have furniture and mattresses or bedroom beds and mattresses, and they are generally kind of sold together. So it's very fragmented. It's very , the varieties and the SKUs and all that are phenomenal. However, we have a play on this, and we have some programs. At this point, I'll only say that we have some programs, I may not be in a position to discuss them any further. Chetan Shah: Yes. Just one a broad last question from my side. In terms of while answering one of my previous question, you kind of alluded about technical capability and also manufacturing excellence. Could you also give us some sense on , because historically, if you see a decade back also, people were not very choosy or a selective about the form in which they sleep or they sit or they're using their furniture. But now that awareness has kind of improved. So how do you see this change of consumer mindset, which has evolved can help you and you also want to take advantage of that with your maybe R&D capability or technical capability and give a better product at a better price point. Any thought on a broader sense will be very helpful. Tha t's it from my side, sir, and I wish you all the best.

Moderator: The next question is from the line of Resha Mehta from Green Edge. Please go ahead.

Resha Mehta: Again, fairly new to the company. So the first question, again, is on the e -commerce channel. So if you could just comment on how big is this channel for mattresses in India, and also, what would be our market share? And would Feather Foam and Starlite be also available on the e -comm channel? So that's the first question.

Rakesh Chahar: Tushaar, w ould you answer that? It is there, how big is th

e e -comm channel? What's our share on it?

Tushaar Gautam: The overall mattress market would be approximately INR 15,000 crores to INR 16,000 crores for the consumer. E -comm this year projected is approximatel y anywhere between INR 1,000 crores to INR 1,200 crores. And we should finish the year at about 10% market share. On your second question, Feather Foam, Starlite will not be available now.

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Resha Mehta: So what will be , is the positioning of , or rather what is the difference in the positioning of Starlite and Feather Foam brands? Because I believe both are sold through MBOs, are in the price range of INR 5,000 to INR 20,000 if I'm not wrong?

Tushaar Gautam: Starlite is lower. Starlite is a lower -end brand, a nd that's only anywhere from INR 4,000 to INR 8,000, INR 9,000. Feather Foam is the little more premium larger offering brand from INR 5,000 to INR 20,000, that's it or now a little higher as well.

Resha Mehta: And out of the total mattresses in your reven ue, how much would be coming from Starlite and Feather foam?

Tushaar Gautam: About 10%.

Resha Mehta: And on the export front, if you could just give a general sense on that after China seeded this place, which are the major countries that are exporting to US and EU. And would our exports be branded or white labeled and just the margins and working capital here?

Rakesh Chahar: Yes. So exports generally from the China Plus One piece, what's really happened in the export of mattresses to the US is step 1. There were antidumping duties and resistance to buy from China, primarily the Chinese mattress exporters shifted shop to Vietnam, Indonesia and places like that, even some in Eastern Europe and things like that. Those have all got covered under th e antidumping regime of the US.

And therefore, India is still in a good position to export. That was primarily our play there. In the interim, two things that are negative has happened. One was the escalation in transport costs.

So container freights from India, which were normally \$3,000, \$4,000 went up to \$18,000, \$20,000 in the last 12, 18 months, and they've now come back to normal.

The other thing that happened was consumable demand in the US really dropping and a lot of inventory stuck in the system and all of that. So all that's kind of one. That's why we are starting to see good traction from customers for supply of white label mattresses into the US. That's starting to happen for the last 45 days a year. The only other thing , sorry, did I answer al l your questions?

Resha Mehta: Yes. So margins and working capital here. And also, what we sell is essentially white labeled mattresses, right?

Rakesh Chahar: That's correct.

Resha Mehta: And the margins and working capital here and also , India is not see ing any antidumping duties?

Rakesh Chahar: Well, not yet. Not yet. And let's hope not always. So that's why we kind of hedged that US supply by also supplying product out of our Spanish entity with the assumption that a European Union country coming under antidumping from the US will be a very -very tougher. Even if India gets covered, we have the capability to service customers from space.

Resha Mehta: And working capital and margins here?

Rakesh Chahar: So working capital, we are generally very conservative on, and payment terms are at best 20 days or so from dispatch at best.

Resha Mehta: And lastly, on the rural distribution plan, if you can elaborate on this? And also, I think it was mentioned that we may enter the furniture segment. So any progress there?

Rakesh Chahar: So I'll park the furniture question maybe for three months down the line. Like Rahul ji said, we're not in a position to respond to that at the moment. On the rural side of things, Rahul ji has already commented on the capital

expenditure in Jabalpur with this intent and the status of that. What we are doing parallelly is to really do the product development, the distribution development, the brand development in a small piloted territory, so that all of that is good to go by the time the facility is up and running, which is probably anywhere from nine to 10 months away. That's generally the outlook on that.

Resha Mehta: Right. And if I can squeeze in one more. What would be our revenues from metros, Tier 1, Tier 2, Tier 3, rural currently, like, let's say, on an annualized FY '22 basis?

Rakesh Chahar: So I'd say metro Tier 1 is about 70% and Tier 2, Tier 3 would be about 30%. The rural will be virtually zero. I mean, so if I look at my retail outlets and their sales, that's what I'm telling you right now, there would be consumer behavior of rural consumers coming to the closest big town and buying some Sleepwell products from an existing retail outlet, that's standard consumer behavior for all big purchases in rural, and that would be happening even now.

Moderator: Thank you. [Operator Instructions]. Next question is from the line of Pankaj Tibrewal from Kotak Mutual Fund. Please go ahead. Sorry to interrupt Mr. Tibrewal, we cannot hear you, sir. You are sounding very low, sir.

Pankaj Tibrewal: Yes. So my first question is that though we have seen improvement in gross margins on a consolidated basis, but that has not slowed down to the EBITDA and the PAT. And finally, what you explained is the marketing overheads, which you have done. As you move into the second half, maybe comfort you can give us on the margin expansion from an overall profitability and PAT margins. That's one question.

The second is that the observation is that Spain has seen a very sharp gross margin expansion. Any one-off there because in a rising in a bad environment where revenues have gone down, we have seen a very sharp expansion on margins in Spain. And that has led to overall company gross margin also kind of improving. And the last one is that cash flows have been weak in terms of generation. Can you help us understand how do you intend to improve the cash flow as you move into the second?

Rahul Gautam: Thank you, Pankaj. Thanks a lot. Tushaar, will you take the first one on the H2, I mean, to give some comfort without giving all the details.

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Tushaar Gautam: I think on two fronts. One, I would just say the quarter two results that have been released right now are also distorted from July, August, September perspective, September being extremely good on the margin front. The average, of course, is what has been released. What that means is that the September P&L or the margin issue of September is going to continue or we're seeing it continue in October, November, coupled with better mix and higher sales on account of quarter three season, marriage season, Sleepwell products selling more than -- or having more of a ratio in overall sales, et cetera.

So just reiterating that point. So September was better than August. August was better than July in terms of margins and we see that is continuing. And of course, the extra sales and the better product mix for quarter three. So that should be maintainable and comfortable. What's the second question?

Pankaj Tibrewal: The second question was on Spain.

Tushaar Gautam: Spain, Pankaj ji, I think something very strange is going on. Yes, the market is depressed, raw material is short. But prices of raw materials are still a bit higher than India or significantly higher. But because there is a shortage of raw materials, we are able to maintain our margins, we're able to pick our customers, we're able to hold on to prices and maintain our margins in Europe.

I'd say Europe is going through something which is very unusual, and we have stability probably after this winter, that's what everyone in Europe

rope is waiting to see how the winter progresses, how is the European Union able to sustain itself with the energy issues and things like that. However, I'd say for us, what we have said is, yes, there is a drop on existing customers and existing markets.

But because we are only 1% of an overall extremely large market, there are still opportunities for us to grow. We were constrained a little bit by availability of raw material, but those supply chains we have changed over to Asia now. And now that we have enough raw material, we have started to go out after growth. And I don't think there should be any limitations to growing that business, irrespective of what's really happening in the overall market. That is on Spain. On the cash front...

Rahul Gautam: Cash flows, I think, primarily, Pankaj ji, it's because of lower sales and -- or Davinder, why don't you answer that?

Davinder Ahuja: Yes. So there is sales and there are certain expenses which have gone up this time which resulted into lower cash from operations. Besides that, there are also working capital requirement in the market, where we have extended certain credits, which is well tend to lower operating cash flows.

Rahul Gautam: So I think it's just lower sales and an extended credit, which is brought out. But the credit is temporary and very secured.

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Pankaj Tibrewal: And just last one, Spain has seen abnormal increase in gross margin from 22%, 23% to 31%. Do you see the situation where in the second half, India does much better, recoup all our gross margin losses, Australia continues to be steady, but Spain again sees a setback on gross margins and then the overall control margins again. Is that a probability? Or you think Spain can sustain the margins as the situation is today?

Rahul Gautam: So I think the 20 -odd percent that you were talking about, that was the unsteady point. I mean that was the bottom point that was there, that is when the raw materials were violently fluctuating around. But actually it's slowly kind of steadying down -- slowly kind of -- even if the Ukraine war continues, that people are finding ways, whether it's getting the raw material from the Asian region or importing elsewhere doesn't and manufactured out of here, etcetera.

So I think the 20 -odd percent, 22% versus the low one it will go up. I think it should be steady between 35 and 40. And as far as India is concerned, we are also experiencing the raw material kind of reduction, which is there. So I see that the margins are going to be much higher than where we are, in the coming times here.

Moderator: The next question is from the line of Resham Jain from DSP Investment Managers.

Resham Jain: Sir, just on the export side, as you mentioned, things are looking up now. So how much time do you think it will take to ramp up the export facility, which we have set up? And what could be the optimal throughput from this plant?

Rakesh Chahar: The facility is up and running completely. Just to keep it when the export side was a bit slow, just to keep it going we put some of our interim products through this. I mean it's ready to respond to any demand that comes from the export side. So there are no issues on ramping up the facility at all.

Resham Jain: No, my question was to ramp up the whole facility to, let's say, 80% to 100%, how much time will it take? Do you think it will take three months, six months, one year? And once it reaches that level, how much throughput can come from this plant additionally?

Rakesh Chahar: You're talking about the demand side then, right?

Resham Jain: Yes. On the export because that plant is dedicated for exports. So I was just thinking from that plant perspective because those kind of products can be manufactured only from that particular plant?

Rakesh Chahar: Approximately from the customer order side, approximately

approximately five to six months to ramp that up

to full capacity. And at that point in time, it should be doing close to five containers a day.

Resham Jain: In terms of revenue sales, because containers doesn't -- we will not be able to understand what will be the revenue potential?

Rakesh Chahar: Roughly about between INR 1 crores to INR 1.5 crores a day.

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Moderator: The next question is from the line of Ritesh Shah from Investec.

Ritesh Shah: Sir, just wanted your views on the distribution side. Most of the online -only players in the marketplace, they are also now looking at omnichannel and looking to aggressively add stores. I think based on the recent checks we did find out that we have been appointing new MBOs as

well and also basically putting some accountability in the system, I think we didn't have any targets for EVOs and MBOs over the last two years to three years, probably it could then, go back for COVID. So sir, I just wanted to have your sense on distribution. Also, if you could give numbers on how many Shoppes, Galleries and World we have right now? Yes.

Rahul Gautam: So Rakesh, would you take that question that the total number of Worlds, Galleries and Shoppes. And the question is, that because of the COVID times, et cetera, there were no incentives for those people. So are you thinking anything in that direction?

Rakesh Chahar: Yes. So as far as the showroom format, which we call them World and Gallery, they are 1,500 plus. The Shoppes are about 2,200, and rest would be the exclusive dealers. And they also, the network has been also growing, like just to give you a sense, since April, we have added about 100 showrooms in the first half.

As far as the sales targets are concerned, how we are approaching EBO is a little different. We are focusing on improving the productivity inside the store, which is the conversion, the ASP and the attach ratio. So we have a program which is wherein we have deputed people to help retailers to get on to these metrics and start with the baseline and then start improving on the conversion on the ASP. And because that's where we believe the sale is going to come from the same store. So that's the EBO part of it. I hope I have answered your questions.

Ritesh Shah: Yes. And on the MBO side, I think we were not very aggressive on adding MBOs, that is something which has probably changed over the last six months. Also, I think on the incentives on how we are actually incentivizing the guy to actually also put to Sleepwell into the shop to make the sale happen actually?

Rakesh Chahar: So we have started a new network. We are calling it a cushioning partner. And so we've started this program in this year from end May between June, right? So we have created about 1,500 such people who have some products of Sleepwell and a complete range of Feather Foam. So here, the belief is to instead of approaching thousands of MBOs to focus on this set of we have the plan to go up to 2,000 dealers in this year and focus on them and push them towards its usability.

So that's what our plan is with this network. And MBO, since we also deal in comfort foam and Starlite, so that is the less for MBO where, I mean, there is a team which is working on that, both on the comfort foam and Starlite MBO. But there also, we are growing not by the number but to deal with maybe 1,000 MBOs and get better extraction out of them. Because our learning in past has been that though we were able to appoint many MBOs because they all wanted some connection with K12 and Sheela Foam, but the extraction was very poor. We were spending far more energy and time in visiting those dealers and not getting enough business. So there's a Sheela Foam Limited

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change in that outlook that we've -- I mean we are approaching more for extraction now as the MBO business is.

Ritesh Shah: Sir, this is very useful. Just one follow-up. Sir, what is the end result that we are looking at? Do we have any metric when we are looking at revenues for EBO or MBO?

Rakesh Chahar: What we are looking is that we need to expand our EBO network. Currently, it stands at 5,000 - plus what I, this new network that we're developing another 2,000, 7,000. So we want to expand it to about 10,000 in the next two years, which would be having a retail footprint of 20% -plus.

Moderator: Thank you. Ladies and gentlemen, this was the last question for today. I would now like to hand the conference over to the management for closing comments.

Rahul Gautam: Thank you. Thanks a lot, and thank you, everyone, for participating and actually making some positive suggestions for us to take home. As usual, it was a great learning exercise for all of us. I hope we've been able to answer your questions satisfactorily. And if you do have any further questions or would like to know more about the company or it's working, please reach out to our investment relationship managers at Valorem Advisors.

I want to conclude today with this note, that whatever recently reports that I have been reading from all authorities, whether it's the World Bank or IMF or Morgan Stanley, et cetera, I think the whole world believes that India is a country of the decade or is going to be the country of the decade with at least a 6% to 7% growth. And soon, recently, of course, we have become the 5th largest but soon, we would become the third largest, which is a good feeling to have and a good hope to have. So thank you very much once again, especially that today was a holiday and that all of you turned up and we could have this meaningful interactions.

With those words, I'd just say good night and sleep well.

Moderator: Thank you. On behalf of ICICI Securities, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Feb 2023

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CIN-L74899DL1971PLC005679

Date: 07th February 2023

To

The BSE Limited The National Stock Exchange India Limited
Phiroze Jeejeebhoy Towers Exchange Plaza, Bandra Kurla Complex
Dalal Street, Mumbai -400001 Bandra(E), Mumbai -400051
Scrip Code: 540203 NSE Symbol: SFL

Subject: Transcript of Investors' Conference Call for Q3 FY 202 2-23 Financial Results.

Dear Sir/Madam,

Please find below the transcript of Investors' conference call organized on February 03 , 2022 post declaration of Financial Results for the quarter and nine months ended on 31st December 2022 for your information and records.

Than king you.

Yours faithfully,
For Sheela Foam Limited

(Md. Iquebal Ahmad)
Company Secretary and Compliance Officer

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"Sheela Foam Limited
Q3 FY '23 Results Conference Call "
February 03 , 202 3

MANAGEMENT : MR. RAHUL GAUTAM–MANAGING DIRECTOR–SHEELA
FOAM LIMITED

MR. RAKESH CHAHAR – WHOLE TIME DIRECTOR–
SHEELA FOAM LIMITED

MR. TUSHAAR GAUTAM – WHOLE TIME DIRECTOR
ANDCHIEF EXECUTIVE OFFICER - INDIA BUSINESS –
SHEELA FOAM LIMITED

MR. DAVINDER AHUJA – GROUP FINANCE
CONTROLLER –SHEELA FOAM LIMITED

MODERATOR : MS. BHAVIKA CHOUDHARY – EMKAY GLOBAL
FINANCIAL SERVICES LIMITED

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Moderator: Ladies and gentlemen, welcome to the Q3 FY '23 Results Conference Call of Sheela Foam Limited hosted by Emkay Global Financial Services. We have with us today, Mr. Rahul Gautam, Managing Director, Mr. Rakesh Chahar, Whole -Time Director, Mr. Tushaar Gautam, Whole -Time Director and Chief Executive Officer, India Business, and Mr. Davinder Ahuja, Group Finance Controller.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions at the end of today's presentation. Should you need assistance during the conference, please signal an operator by pressing star, then zero on your touchtone phone. Please note that this conference is being recorded.

I would now like to hand the conference over to Ms. Bhavika Choudhary from Emkay Global Financial Services. Thank you. Over to you, ma'am.

Bhavika Choudhary: Thank you. Good afternoon, everyone. We would like to welcome the management and thank them for this opportunity. I shall now hand over the call to the management for the opening remarks. Over to you, gentlemen.

Rahul Gautam: Thank you, Bhavika. Thank you Emkay Global Financial Services for hosting this earnings call, and a very good afternoon to everyone joining us today. It is my pleasure to welcome you all to this conference call for Q3 and the nine months ended of this year, this financial year FY '23.

Let me just begin with by saying that both FY '22 and FY '23 were full of extreme turmoils. We know what happened last year. We closed down and then reopened up in such conditions and such varying conditions actually, the corresponding quarter comparisons become very distorted. The nine -months -to-nine-months, this being a little bit longer period, is a better reflection of the performance.

I'm happy to share that your company has registered a growth albeit a small percentage only, and that's true primarily on account of retail inflation. I'm also satisfied to share with you that in spite of continuing fluctuations in raw materials, we have seen sustained expansion in gross margins. However, at the EBITDA level, the numbers show a sub 10% performance. And this is primarily on account of some expenses which can be counted as one -off, however, have to be adjusted to the expense side according to the Ind AS.

There was an increased advertisement to restart post, dull or post -COVID period. There were some exploratory M&A expenses, which are again one -off. And but however, as for any index, they have to be accounted for. And there was also some non -cash mark -to-market forex losses, which are clearly one -off and also notional and they are non -cash. The account for all this, we would see that we are in reasonably about the previous period. The COVID period has also put a stop to all kinds of market surveys, researches, etcetera. As soon as it got over, the industry, restarted the process, and the findings were very encouraging.

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The shift from unorganized to organized continues, and this research was after the last of 2.5 years, and this is very encouraging. Second, the market share of your company, Sleepwell brand and the other brands, considerably increased and it further consolidates its leadership position. I'm also happy to share that the subsidiaries of the company in Australia and Spain are continuously increasing their market share as they grow. Both have different realities, however, they are performing well. Both have expansion plan and projects which will come on-stream by the middle of this year, and this will further strengthen, add their capacities and strengthen their position as far as those markets are concerned.

We also recognize that Sheela Foam is not only an economic organization but also a social organism, and sustainability is of utmost i

important. I'm also happy to share with you that we are on track to with our ESG, our sustainability programs and our BRSR report is under preparation for this year.

With this, I hand over to Bhavika and we will be happy to answer the questions that may be raised. Thank you.

Moderator: The first question is from the line of Nihal Mahesh Jham from Nuvama.

Nihal Mahesh Jham: My first question was, sir, you alluded that there was a base impact, because of COVID last year. But if we compare the mattress volume even to pre -COVID, there is a slight fall which has happened. So just wanted to understand, this is purely because of the current sentiment or there has been a shift in demand between quarters because of certain marriage related dates or any other aspects that you may want to highlight?

Rahul Gautam: I must confess that the voice levels which are coming in are rather low, so let's just repeat the question. You're saying the mattress volumes are lower, and the question is that is it because of the market sentiments or is it because of the shift in the consumers, is that correct?

Nihal Mahesh Jham: Yes. Consumer sentiment or, generally, there has been a shift in the wedding dates also seen between Q3 and Q4, if there is any element of that element? Because I'm comparing your volumes to pre-COVID market from last year. You highlighted maybe there was a COVID-based impact. So just comparing it from that perspective.

Rahul Gautam: So Nihal, thanks for the question and I must say that this the audio is not so clear. However, let me just say that yes, there is a little bit of a drop in the mattress volumes as far as we are concerned. However, when we compare it to the kind of surveys that etcetera that have been done, it appears that there is some changes in the market as far as the size of the market is concerned. But this is purely temporary, purely on account of inflation. And if there is any aberration, or apparent aberration that is seeming there, it's only temporary and it will shift and go back. Because the trends are very clear in the research.

Nihal Mahesh Jham: So if I could add that, have the trends in the month of January improved or currently you are still seeing the uncertainty? First, if you could give us some sense of that?

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Rahul Gautam: So they have drastically improved. And that's all. I mean, the month of January is just over, but the situation has considerably improved.

Nihal Mahesh Jham: So my last question was on the gross margin side. You highlighted that there has been a significant reduction in both TDI, specifically in polyol. So what proportion of the old inventory did we end up using this quarter and how much of an impact that had in terms of the limitation in the gross margin improvement?

Rahul Gautam: So I think I mentioned that even in the quarter that's gone by, the gross margin has definitely improved. However, when we come down to the EBITDA level, there is a bit of a drop and this is on account of raw materials fluctuating, however, moving slightly downwards. As we move forward, the same trend is continuing and I would say that even if we account for the opening stocks that we have, there would be a positive impact as far as Q4 is concerned.

Nihal Mahesh Jham: Just to clarify, so the current gross margin in a way more or less reflect the current pricing in both the raw materials?

Rahul Gautam: That's right.

Moderator: The next question is from the line of Ritesh Shah, an individual investor.

Ritesh Shah: This is Ritesh from Investec, not an individual investor. Sir, couple of questions. So first is, if you could provide detail on what is our strategy to recoup volumes? So basically, what is the end customer or the end channel that we are looking at basically to increase volumes. That's one. And what I'm referring to over here is, it's a something

beyond EBOs and MBOs that we are already doing. That's the first question.

So second question is on update on the expansion plan along with the timelines for Jabalpur, Spain and Australia. You did indicate middle of this year, but some specifics would help.

Third question is on inorganic growth. Basically what's the status first is on the growth engines and it has four buckets, mattress for every Indian, the exports run rate, railways current run rate and online channel, the current run rate.

And I have a fifth question which is on new initiatives. So would be great sir, if you could please help with this.

Rahul Gautam: So thank you Ritesh. I think you've gone through the entire portfolio that we have. But let me just first begin with your first question and that is on the volume part of it. I just want to say that Sleepwell, we have been operating through the EBOs and the footfalls, etcetera. have been challenging as far as in the recent past is concerned. We are well entrenched on that. Footfalls, as I said, if I look at January, have begun to increase. That will automatically increase the volumes. There is an expansion plan for the EBOs and that's almost about 400 to 500 extra outlets per year. And that's also on track.

I must also add that of course Sleepwell was not selling through the MBOs, which are also continued to be in large numbers. We address those markets via other brand, which is the

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FeatherForm and Starlite. Now that we have reached out to, or spread out to all of them, our real good push as far as MBOs is going to happen. And we expect that the first initiative of expanding EBOs and putting through the MBOs both will increase our volumes. And that's our strategy for that.

As far as Australia and Spain is concerned, so let me take Australia first. Australia has already been doing, has been having almost a 10%, 12% increase in its volume as well as its in top

line. And the reasons for that as we see is, people spending more -and-more as far as home improvement types are concerned. We expected that COVID would finish and this would also slow down, but it has not because people are not traveling so much. People have money in their pocket and people want to.

Besides this, it's also the imports that Australia was having. And with these sentiments like Australian made, etcetera. Those imports have been impacted, especially imports from China and there were also some imports from Europe. We see that as a very good sign and in spite of a mature market, this expansion will continue to grow or this sentiment will continue to grow. On our plant, the second foaming plant which is being set up in Adelaide, that has already been installed and it will be commissioned by the first week of March. And we will start then getting little more aggressive as far as the market share is concerned. And we believe that there is a lot of imports and other things, which can be catered by us, and therefore, increase our presence.

Spain, I have said this many times before, we are a very small part of that large market, only 1%, and therefore that even though the European market slumped by almost 25%, 30% during the Ukraine war or continuing even after the Ukraine war. In our company, we registered just a 10% drop, which has also from January onwards begun to pick up. In fact, the entire order books in January and February were completely filled up and in February continue to be filled up.

We have expansion projects there where the current capacity will be increased and so today what we are doing is about 12,000 to 13,000 tons per annum. This will go up to about 17,000 tons per annum. And again, because we are a small part, we expect that all this will be consumed in market. Returning back to India, you have also said about the inorganic part of it. So I think the explorations continue. Some encouraging, but eventually these things happen

when they have to happen. But I can only say that they are encouraging.

On the initiative we're still upon pursuing like doing, like a Mattress for Every Indian, again, we have started to receive the machinery which was delayed on account of the war. And before that on account of COVID, we started receiving that we expect somewhere end of this year, that project in Jabalpur to begin to get installed and then commissioned soon thereafter. Railways has been good progress. I think railways have also now clearly stated that the product that we supply them is the preferred product for making the coaches. And the quantum is increasing month after month. Anything else? I don't know. You have asked many questions.

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Ritesh Shah: Sir, exports was the other one and online channel. And sir, if you can please help with the run rate or something for exports, railways and omni-channel, basically the online channel.

Rahul Gautam: So, run rate on railways is about INR 8 crores to INR 10 crores per month at the moment. And exports, I would say that there has been ups and downs. A couple of reasons we have talked about in the previous meetings. One was that the infrastructure coming up to speed as far as the supply of orders was concerned. And the second part is that the US, which is the largest recipient of these exports, has also been going through its own inflation and a bit of recession that's been there.

Recently, there has been the biggest exhibition in the US for mattresses. It was in Las Vegas. Our people were there. I mean, at the moment I can say the sentiments are encouraging. They are committed to looking at or creating a source besides China. And in India, we would be the preferred supplier. However, there is not too much to talk about it, let's say in the last quarter or in this quarter. But I think the year would finish at about INR 40 crores or so. It's definitely a little bit dissatisfying. It should have been more, but INR 40 crores and becoming here, I think should see her jump up to about INR 100 crores.

Online, we are treading along or trudging along at a reasonable pace. So online should also cross 100 crores. However, as I said we also changed our strategy a little bit when we were doing it with a different brand and now we are doing it with Sleepwell and we have found a way to reduce or almost remove any kind of friction between online and offline and that is picking up. This year we should close at about INR 100 crores or over INR 100 crores and the next year would be at least 50% to 60% more than that.

Ritesh Shah: New initiatives foray into living room, looking at sofas, the revenue?

Rahul Gautam: Maybe I will take that question on sofas. I presume you would have asked many questions for many other people, so that's all right. I would have referred to it. Sofas, we are manufacturing sofas. I would be able to talk on this better next time. Some initiatives on, but as I said, it would be better if I talk next time on it. However, on the refurbishment of sofas, which continues to be a big business, it's a fragmented business. It is a very unorganized business.

And our initiative to put all that together is now taking shape. I mean, at the moment, I'll share that a pilot is on where the proposal is that we, as in Sleepwell, will pick your sofa up and do it, refurbish it, and return it back in three to four days time.

Moderator: The next question is from the line of Forum Gosar, an individual investor.

Forum Gosar: I just have one question. We have seen an increase in revenue from the Technical Foam business. So I just want to understand where is the demand coming from. Did we onboard any new clients?

Rahul Gautam: Thank you ma'am. Can I just have your name once again please?

Forum Gosar: Forum.

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Rahul Gautam: So the Technical Foam, the primary expansion in order has come from the auto sector. And we all know that the auto sector has been, for the last couple of months, has been doing extremely well or continues to do well. And we have almost about 70% - 75% share in that market. And the growth in the technical side, and we are expecting that that growth will continue as that expands.

Moderator: We have the next question from the line of Siddharth, an individual investor.

Siddharth: So actually, just wanted to ask you that last time you had mentioned that our management's focus is to increase the productivity of the outlets. So, I mean, have we been successful in increasing the footfall and if not, then when can we expect that to start?

Rahul Gautam: So, thanks for that question. Yes, our efforts are beginning to show some results. The productivity is increased on two actions. One is to increase the footfalls coming into the showrooms and the second is to increase the conversion of whatever is kind of coming in. The second thing first, conversion. We have taken the help of a company called Quest and got some sales advisors from them, which have been placed at almost about 30%, 35% of the stores. And they are training the people as well as helping to convert whoever is coming in. And that conversion, we can see that the percentage is increasing month-on-month basis. As far as footfalls are concerned, the only way is promotion, advertisements, BTL activities. And you would have noticed that recently we have begun advertising on the television and even at the local level. And we believe that the footfalls will increase. And of course, as I already mentioned to Ritesh earlier, we are expanding our number of showrooms, which definitely will increase the total number of footfalls which we cater to.

Moderator: The next question is from the line of Ritesh Shah, an individual investor.

Ritesh Shah: I just wanted to understand the market sizing. So when we are looking at the INR 15,000 crores, INR 20,000 crores total market, I appreciate what you are doing on the EBOs and MBOs. But how about the market basically, say, for the likes of Pepperfry, IKEA, Homelane? I think that's also incrementally a trend. So how do we approach basically tapping this particular market or are we already there? And if you're already there, how does the economics work? So that's the first question.

Rahul Gautam: So Ritesh, as I am understanding the question, you're saying that the likes of IKEA and Pepperfry, which are primarily furniture or furnishing outlets. They do cater to mattresses. And how are we making our presence felt in that segment? So let me just say that we have already begun looking at what we call as Furniture-First stores. And these are stores which are not necessarily exclusive mattress stores. However, do furniture as first and consequently sell mattresses along with the bed set they sell. And that expansion has already begun. We are present in many markets. So about 2000 we have already got our presence, but as I said, those are not exclusive and therefore that is done under the Feather Foam brand, which is endorsed by SleepWell and that's been reasonably well accepted.

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So just as to sum up, our response to the IKEAs and the Pepperfrys and all that is to go and be present in the furniture stores.

Ritesh Shah: My question was, basically, if you look at the mobile population or say, Tier 1, Tier 2, I think probably the population which goes to individual stores, it might be reducing. I'm just giving a hypothetical scenario. And there will be more and more people who might be going to Home Lane, Pepperfry, IKEA, but then they will just go to buy a curtain or something else and they end up buying a mattress. So from a sample sizing standpoint, if we have to look at the marketplace, so

is Furniture First the solution that we are looking at or are we looking at something beyond that to tap the larger marketplace?

Rahul Gautam: So I agree with you that there are some stores which are complete furnishing stores. I agree with you that there is a mobile population which may be very short on time and would not go from a store -to-store and would want to have a one stop place and do that. But however, those people, we would be attracting them maybe more with Sleepwell at Home or through the e-commerce platform that we are operating on. I would say that for us really to get into a full-fledged furnishing store at the moment is not on paper.

Ritesh Shah: And so my second question was specifically on the EPE foam or mattress for every Indian, what we have indicated. I just wanted to check, is it for the first time that it's happening, something of this sort in India or has it been tried by any of our peers in the past?

Rahul Gautam: No. I don't know. You're connecting the EPE with Mattress for every Indian. So EPE is a completely different product, which is different from polyurethane foam. Do we do have some EPE stuff? Yes, we do. Is it cheaper? It is. However, the availability part of it is still a challenge. It's an extremely light material to be transported all over the place. Our mattress for every Indian foray is primarily to look at people who are not using any kind of mattresses, modern mattresses at the moment. They may be using cotton mattresses, they may be using dharies, chatais, etcetera. And there are two challenges to it. One is to make the product affordable for them and the second thing is to make it available to them to where they are, whether in a [inaudible 0:31:05] block or a cluster of villages that they are.

So our project, which is coming up in Jabalpur, a new technology that we talk about will help us in both these aspects of affordability and as well as accessibility of making it available to those places. Has it been done before? To the best of my knowledge, no. Generally, it's just the way that it happens that when you have a new product, a new model, what matters coming up, it goes to the big towns. Then it starts putting down to Tier 2, Tier 3, Tier 4, Tier 5 kind of levels. Here, we're just trying to go the other way around. We just start from the bottom most area and try to work upwards. And hopefully, bridge the gap there.

Ritesh Shah: Right. Sir you indicated it's PU foam right? For mattress for every Indian, that's what we are looking at?

Rahul Gautam: Yes, it could possibly have one or two other materials for example, but primarily it is polyurethane foam with the new technology that we would be making.

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Ritesh Shah: And sir any time lines over here? I presume it's going to be that Jabalpur expansion.

Rahul Gautam: So Ritesh, I said that right in the beginning, this project got delayed on account of COVID, then it got delayed on account of the Ukraine war, because the steel etcetera, needed to come from there. Our supplier of this technology is based in UK, but we have begun receiving parts of the machine. We expect it to start getting installed anytime by the end of this year.

Ritesh Shah: And so lastly, a bookkeeping question. Would it be possible for us to quantify the one-off variables which you indicated on the non-cash M2M forex losses, exploratory M&A expenses? I think you indicated three variables, so probably I can take it offline.

Rahul Gautam: I would say that if you really want to understand that in depth, it would be better offline. However, since you talked about the non-cash one, I would say, it is like, hedging for the equity that we have invested in Spain. That equity at the time that we hedged it, which was something like September, at that time the Euro was just falling and it was being expected that this war would c

ontinue forever and the Euro would always be under threat. We wanted to protect that. We wanted that investment of ours.

Generally, we do not hedge equities, but we did that because the Euro was a special condition. So when we've hedged that, fortunately or unfortunately, number one, the Euro has got back some. So at that time it was INR 78, today it's INR 87, and there is mark-to-market, it's gone up by a certain amount.

Now the interest is that you have -to-have mark-to-market and this will be charged to the expenses. So, however, when you have that investment in euros, there is an interest that the bank is giving us, which is almost about a crores for a quarter, and that interest is as per Ind AS, it has to be in the other incomes and OCIs and therefore impact. So you get a double grinding out of it and it's all notional. There is no cash impact. There is nothing. That's one of the examples. I can offline explain the other areas where on account of this issue we have been impacted.

Moderator: The next question is from the line of Dharmavenkatesan K B, an individual investor.

Dharmavenkatesan K B: Sir, my question is regarding the demand in Europe. So how the things have settled down? Are we seeing demand slightly -- is there any green shoots in the demand and how is the thing shaping up there for us?

Rahul Gautam: So, demand in Europe has definitely slumped. The market, if we would look at the market, let

me first begin by saying that it is the largest market in the world, the entire European Union, but that market has slumped by 25%. We fortunately, being just 1% of that market and having our own strengths, so even if the market size has shrunk, our share is already going up and has the potential of increasing. I mean, we are far, far away from making any kind of an impact on that entire market.

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Dharmavenkatesan K B: And my second question is regarding that, In the presentation, it was mentioned that there was a one-time marketing expense. So is this one-time or are we going to spend more on brand building from now on? Is this going to be a new number going forward?

Rahul Gautam: So thank you for raising it. Look, it's not entirely all one-time. There was a time when it was zero time during the COVID and corona times. And then when you want to restart, you obviously have to do a little more than necessary to get the momentum back. And that's exactly what has been done on the marketing and sales side. Would it become completely zeroed? No. But would it be at this level? Also no. And it will settle down at normal levels as we kind of go along. But it is this part, this time, or this period when you had to kick start it and that's been that.

Dharmavenkatesan K B: Suppose if we are looking at a longer time frame, let's say five years or 10 years, what is the percentage of sales that we would ideally like to have for marketing expenses?

Rahul Gautam: So, generally, historically it has been about 4%. But as I think our margins expand, we would like it to go up to 5%.

Moderator: We have the next question from the line of Resham Jain from DSP Investment Managers.

Resham Jain: So, few clarifications and couple of questions. So first is the Jabalpur when you said end of the year is FY '23 or like December '23?

Rahul Gautam: So the installations will begin at that time and it may take still a couple of months. So I mean when I said I meant really the end of the calendar year. However, if I would say that a full streamlined good production FY '24. That is starting from 1st April 2024.

Resham Jain: Okay, that means next year only. And so, Jabalpur plant will have what kind of capacities and what kind of revenue one can expect from this plant? Let's say two to three years down the line?

Rahul Gautam: I will be making a wild guess absolutely. But I would say that about INR 350

crores to INR
400 crores.

Resham Jain: And the second question is on exports. Last time you mentioned that this plant has the capability, the export dedicated plant has the capability to do close to INR 1 crores to INR 1.5 crores per day. So is that understanding right? Which means that the plant must be utilizing, this must be utilized at close to 10%, 12% or 15% utilization only currently export plant?

Rahul Gautam: So the Jabalpur plant is for manufacturing of the basic technology?

Resham Jain: The export plant, sir.

Rahul Gautam: The export plant which is close to Mumbai, is that the one that you are referring to?

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Resham Jain: Yes. That's what you mentioned last time, that INR 1 crores to INR 1.5 crores per day. So that's operating at this 10%, 15% utilization right now. Is that correct, sir?

Rahul Gautam: Absolutely. That is correct. That is correct.

Resham Jain: So that plant must be making losses right now, correct? At this utilization level, it's hard to make money.

Rahul Gautam: You're right that if I just drew up the P&L for that particular plant, it would be making losses. Fortunately, we have not invested too much in the capex side. There is no foaming process that takes place which is the maximum. It's on rented premises and of course has mattress manufacturing and compressing and putting them in a box, etcetera, and doing that. So yes, as a standalone, it is making losses.

Resham Jain: Sir, the third question is on Spain business. You've told us is that it's a very small market. We are expanding capacity by some 5,000-odd tons. But is there a possibility for you to expand there, like a step jump kind of thing over there? Or there's really like 20%, 30%, 40% increase in capacity like that only, given a significantly large opportunity available over there?

Rahul Gautam: Yes. This is about Spain, right?

Resham Jain: Yes, sir.

Rahul Gautam: Okay. So the opportunity is much bigger than what I'm talking about. Number one, this plant is located in a small town or in an area, industry area where there is production of sofas,

mattresses, shoes and a lot of furniture. We don't even cater to 10% of the requirement of that area. I'm just painting the picture to tell you that what the opportunity is like.

Plus this is the only plant in the entire European, there is one more in Italy, small one, which uses a completely green technology for manufacturing foam. Europeans, the characteristic of green technology has a lot of meaning to them. And therefore, this is the only plant that is there.

Third, it's also not too far away from the US. There have been exports from there. However, because the entire US market has been a bit down, the exports have come down. But that opportunity has to come, will come. So with these three, four advantages that it has and having a very small share and expanding its capacity to at least 50% more than what it is doing now, the future is only extremely bright for it.

Resham Jain: And the last one, sir, is on competition. Has that -- because on online space, we have seen a lot of players and it seems that some kind of rationality has come back in the market. So any comments on the competition on the online side? And few of the online players have now started opening off-line mode as well, so how are you seeing the overall competition both on online as well as off-line side?

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Rahul Gautam: So Resham, point number one that I want to say is that as it has happened at other places in the world where online started much earlier, there is, what should I say, a dynamic balance between offline and online that will come about. Generally, it has been 15% of the total market. During the COVID times, and I'm talking of US, it went up to 20-plus percent. But now, has slipped back to 1

7%, 18%. And those people measure their numbers pretty accurately.

Therefore, as we go ahead or, let's say, what do we see as the end game, right? There would be online and offline, but the online will be about anything between 15% to 20%. If it's any upwards of 15%, I think that will be a great achievement. Currently, we should be tracking at more like 7%, 8%, 9% to 10%, something of that order. So there is that.

The second point is that as far as online is concerned, we, Sheela Foam and Sleepwell, are also present on it and reasonably strongly present on it. We took our time to get our strategy right. Now we have the strategy, and we would be doing that. Because of this balance between online and offline, all the people who started online and will continue in the mattress business will have the temptation to go off-line too, because 85% business is going to be there and 15% is only going to be online. So that's one part.

The second part is that online businesses have been losing money. And with this change in the sentiment and not only the sentiments of the industry but also the investors saying that we -- money costs, and therefore, we cannot continue to burn money. They have to go offline. So this will happen, and online will become or has become just another channel for to reach out to the consumers or to the customers. Otherwise, there is nothing more to it.

Of course, it came, it made it a lot of noise, and this and that. But at the end of the day, just to reach the 100%, this will have a 10% to 15% way or more of reaching the consumer.

Moderator: The next question is from the line of Ritesh Shah, an individual investor.

Ritesh Shah: One last question. Sir, what is that at we are scouting when you are saying that we are open to inorganic growth? And any numbers that you can help us with either on the leverage side or whether the equation? Can it be EPS dilutive, or it will ensure that it will be EPS (inaudible)

Rahul Gautam: Ritesh, you always ask very difficult questions. Let me say that on the inorganic growth what are we looking for. So as far as India and the Indian market is concerned, we look for businesses which are consumer facing and which would align. That is something that we think and also believe that we understand, which is the consumer. We understand the diversity in India that exists, and by our sheer presence and the number of years that we have been here, I think we do an okay job at it. So we are happy to look at businesses which are consumer-facing and which would align themselves well with what we do.

As far as outside of India is concerned, we would look at businesses which manufacture foam because that alignment comes easily to us, which is procurement of material, formulations, technologies to manufacture and just to sell foam to other people. We do not understand the

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markets, the consumer outside India, and we will hesitate or by and large, we will not touch any business which does that. That is as far as the strategy or our philosophy is concerned.

On the Indian side, and let me just say the opportunities are there, are present. At this point of time, I may be constrained into speak anything more about it. Of course, our effort will be that it is EBI TDA accretive. It should help, may not a help right away, but that at least on a stable basis, as soon as stability happens, etcetera, it should be accretive. It should give us good practice in the market. So at this time, Ritesh, I'll not be able to say anything more other than that because most of the time, we see the work in progress and do take your time.

Moderator: The next question is from the line of Amit Bohra from SBI Mutual Fund.

Amit Bohra: I have one question on Foam core business as well as Technical Foam business in India. It has seen a sharp decline in more than 20% almost decline. Any reason you

want to highlight, or is

it only the high base of the last quarter -- sequentially quarter? Also, the realization in the same seems to have declined by around 2% and 7%. So how does this price transfer, or is -- how does this happen in terms of falling raw material, how do you transfer the pricing to the end customer?

Rahul Gautam: So is this on the Foam coarse side or the Technical Foam side, which side? Because they are two separate segments? Which one -- or is it foam coarse?

Amit Bohra: Yes. Foam coarse, yes.

Rahul Gautam: So as far as foam coarse is concerned, they are generally sold to more, let's say -- not unorganized, but let's say, lesser organized people, and it's a business through the distribution channels. And therefore, the pricing is completely determined by us, and we change it as and when we think that it is the right thing to do. On the Technicals, however, on the Technical Foam side, the customers are B2B, more established. Some cases, even bigger than us, and we have formula for them, which is a rise and fall clause, and we go along that way, we progress that.

These numbers that you see, the shifts that you see, honestly, Amit, the quarter is too short the time really for looking, especially when the fluctuations are far and many year. And so there is inventory which plays a part, there is changing prices which play a part. In the long run, eventually, they get passed on. But in the short term and the way that the accounting is done, you may have this feeling or experience that we have shortchanged ourselves or we have reduced somewhere as far as bigger points are concerned. In this whole quarter, it's too smaller period but we have mechanisms in both to account for change in raw material prices.

Moderator: The next question is from the line of Rakesh Kumar, an individual investor.

Rakesh Kumar: Sir, I had a couple of questions. First, on what is your view on how the competitive scenario in the offline mattress industry is evolving across different regions? And that's the first question.

Second, across the different economic buckets or, ASP buckets, where do you see the volume

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growth really coming from in the mattress space? And what will be the impact on the margins going forward?

Rahul Gautam: Rakesh. So competitive scenario in the various regions. Historically, most of the organized mattress manufacturing companies have been based out of South. And that's because historically, I'm talking at 20, 25, 30 years back, the coir and rubberized coir mattresses were primary the dominant ones. So at the moment, that number is definitely changing North and West, a little bit in the East, are increasing, the companies on the organized sector are increasing. However, South continues to be, because of historical reasons. And the share may be reducing, but still would be the largest as far as the organized mattress market is concerned. On the products, I would say that traditionally, because the South has been the coir market, more products are coir, coir-based products. East also has been a bit of a coir market, they are like that. North and West have been more foam-oriented. The change from coir to foam is happening, but there is a baseline numbers which are there.

Besides these two, there is the spring mattress which continue to grow. They have a small baseline. They continue to grow, and I don't think that there is any regional center or differential in their growth. They are there. They just need to see, in order to face the various challenges of site is the sighting and base and the kind of bids that are used, and that's almost all across the country.

Your second question was on ASP. So I would say that currently, and this is for the single mattress, the 15,000 to 20,000 number, it's for a single mattress. Is that right, Rakesh or..

Rakesh Kumar: No. Sir, my question is

slightly different. My question was across different price brands. Let's

say, one in which, for instance, Starlite and Feather Foam would belong, and the other one in which sort of, let's say, the Sleepwell brand would belong. Across these two buckets, where do you see the growth really coming from? And second, on a longer-term basis, as this plays out,

what do you see the impact on margin to be?

Rahul Gautam: The growth will come on a slightly lower ASP, undoubtedly. The efforts of all the manufacturers and including us, and we need to lead that way, we have to keep adding value to the product and keep it trying to increase the ASP. It's a slow process, quite impacted, adversely impacted during the COVID times. However, that effort will always continue. Currently, if I was to look both the Feather Foam and Starlite that you are saying, definitely have a larger potential for growth in the areas or in the price, the price ranges that they are offering, which is close to about a 10,000 and on policy.

Rakesh Kumar: Sir, on my first question, if you don't mind, I had a follow-up. My question was more around how do you see the competitive dynamics in different regions evolving? And as you pointed out, the number of organized players in the South is very -very high compared to the other regions. I just wanted to understand how are the competitive dynamic's different, and how are we performing across different regions?

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Rahul Gautam: First, your last question first, which is to say how we're performing. And definitely, our real strong areas are North and West. Our share in the South is increasing, but we are definitely not leading that position there. There are others who lead that. And East is completely small market, but that market too, I don't -- I mean, we would be number two in that area. But it's also a small market, East side one.

How do we see that unfolding in the future? Rakesh, I would say that there would be more consolidation process is going on. There would be M&As, which will be on account of that. And because of -- it's only because of -- and so we acquire every company, sort of unfolds in its own time at somewhere or the other, does get a bit of a hurdle in its progress. And COVID has also not been very generous to us. So if I see the next two years or so, two years, I see a lot of consolidation happening here. And we are well placed for that. That's all I can say.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I now hand the conference over to the management for closing comments. Over to you, sir.

Rahul Gautam: Thank you. Thanks a lot. And thank you for conducting the call, and thank you all for participating in this call. I simply hope that we have been able to answer your questions as well as we could, but however, to your satisfaction. I would say that if there are any more follow-up questions, please reach out to us or you can reach out to us through our advisors, Valorem Advisors.

I can say on behalf of myself and the entire team that, as always, it has been a good learning exercise for us. And we take this interaction extremely seriously and follow it up with whatever that we have done. So thank you very much and wishing all of you a very good weekend, and see you again in the next call. Thank you.

Moderator: Thank you. On behalf of Emkay Global Financial Services, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: Feb 2023

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Date: 07th February 2023

To

The BSE Limited The National Stock Exchange India Limited
Phiroze Jeejeebhoy Towers Exchange Plaza, Bandra Kurla Complex
Dalal Street, Mumbai -400001 Bandra(E), Mumbai -400051
Scrip Code: 540203 NSE Symbol: SFL

Subject: Transcript of Investors' Conference Call for Q3 FY 202 2-23 Financial Results.

Dear Sir/Madam,

Please find below the transcript of Investors' conference call organized on February 03 , 2022 post declaration of Financial Results for the quarter and nine months ended on 31st December 2022 for your information and records.

Than king you.

Yours faithfully,
For Sheela Foam Limited

(Md. Iquebal Ahmad)
Company Secretary and Compliance Officer

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MANAGEMENT : MR. RAHUL GAUTAM–MANAGING DIRECTOR–SHEELA
FOAM LIMITED

MR. RAKESH CHAHAR – WHOLE TIME DIRECTOR–
SHEELA FOAM LIMITED

MR. TUSHAAR GAUTAM – WHOLE TIME DIRECTOR
ANDCHIEF EXECUTIVE OFFICER - INDIA BUSINESS –
SHEELA FOAM LIMITED

MR. DAVINDER AHUJA – GROUP FINANCE
CONTROLLER –SHEELA FOAM LIMITED

MODERATOR : MS. BHAVIKA CHOUDHARY – EMKAY GLOBAL
FINANCIAL SERVICES LIMITED

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Moderator: Ladies and gentlemen, welcome to the Q3 FY '23 Results Conference Call of Sheela Foam Limited hosted by Emkay Global Financial Services. We have with us today, Mr. Rahul Gautam, Managing Director, Mr. Rakesh Chahar, Whole -Time Director, Mr. Tushaar Gautam, Whole -Time Director and Chief Executive Officer, India Business, and Mr. Davinder Ahuja, Group Finance Controller.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions at the end of today's presentation. Should you need assistance during the conference, please signal an operator by pressing star, then zero on your touchtone phone. Please note that this conference is being recorded.

I would now like to hand the conference over to Ms. Bhavika Choudhary from Emkay Global Financial Services. Thank you. Over to you, ma'am.

Bhavika Choudhary: Thank you. Good afternoon, everyone. We would like to welcome the management and thank them for this opportunity. I shall now hand over the call to the management for the opening remarks. Over to you, gentlemen.

Rahul Gautam: Thank you, Bhavika. Thank you Emkay Global Financial Services for hosting this earnings call, and a very good afternoon to everyone joining us today. It is my pleasure to welcome you all to this conference call for Q3 and the nine months ended of this year, this financial year FY '23.

Let me just begin with by saying that both FY '22 and FY '23 were full of extreme turmoils. We know what happened last year. We closed down and then reopened up in such conditions and such varying conditions actually, the corresponding quarter comparisons become very distorted. The nine -months -to-nine-months, this being a little bit longer period, is a better reflection of the performance.

I'm happy to share that your company has registered a growth albeit a small percentage only, and that's true primarily on account of retail inflation. I'm also satisfied to share with you that in spite of continuing fluctuations in raw materials, we have seen sustained expansion in gross margins. However, at the EBITDA level, the numbers show a sub 10% performance. And this is primarily on account of some expenses which can be counted as one -off, however, have to be adjusted to the expense side according to the Ind AS.

There was an increased advertisement to restart post, dull or post -COVID period. There were some exploratory M&A expenses, which are again one -off. And but however, as for any index, they have to be accounted for. And there was also some non -cash mark -to-market forex losses, which are clearly one -off and also notional and they are non -cash. The account for all this, we would see that we are in reasonably about the previous period. The COVID period has also put a stop to all kinds of market surveys, researches, etcetera. As soon as it got over, the industry, restarted the process, and the findings were very encouraging.

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The shift from unorganized to organized continues, and this research was after the last of 2.5 years, and this is very encouraging. Second, the market share of your company, Sleepwell brand and the other brands, considerably increased and it further consolidates its leadership position. I'm also happy to share that the subsidiaries of the company in Australia and Spain are continuously increasing their market share as they grow. Both have different realities, however, they are performing well. Both have expansion plan and projects which will come on-stream by the middle of this year, and this will further strengthen, add their capacities and strengthen their position as far as those markets are concerned.

We also recognize that Sheela Foam is not only an economic organization but also a social organism, and sustainability is of utmost i

important. I'm also happy to share with you that we are on track to with our ESG, our sustainability programs and our BRSR report is under preparation for this year.

With this, I hand over to Bhavika and we will be happy to answer the questions that may be raised. Thank you.

Moderator: The first question is from the line of Nihal Mahesh Jham from Nuvama.

Nihal Mahesh Jham: My first question was, sir, you alluded that there was a base impact, because of COVID last year. But if we compare the mattress volume even to pre -COVID, there is a slight fall which has happened. So just wanted to understand, this is purely because of the current sentiment or there has been a shift in demand between quarters because of certain marriage related dates or any other aspects that you may want to highlight?

Rahul Gautam: I must confess that the voice levels which are coming in are rather low, so let's just repeat the question. You're saying the mattress volumes are lower, and the question is that is it because of the market sentiments or is it because of the shift in the consumers, is that correct?

Nihal Mahesh Jham: Yes. Consumer sentiment or, generally, there has been a shift in the wedding dates also seen between Q3 and Q4, if there is any element of that element? Because I'm comparing your volumes to pre-COVID market from last year. You highlighted maybe there was a COVID-based impact. So just comparing it from that perspective.

Rahul Gautam: So Nihal, thanks for the question and I must say that this the audio is not so clear. However, let me just say that yes, there is a little bit of a drop in the mattress volumes as far as we are concerned. However, when we compare it to the kind of surveys that etcetera that have been done, it appears that there is some changes in the market as far as the size of the market is concerned. But this is purely temporary, purely on account of inflation. And if there is any aberration, or apparent aberration that is seeming there, it's only temporary and it will shift and go back. Because the trends are very clear in the research.

Nihal Mahesh Jham: So if I could add that, have the trends in the month of January improved or currently you are still seeing the uncertainty? First, if you could give us some sense of that?

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Rahul Gautam: So they have drastically improved. And that's all. I mean, the month of January is just over, but the situation has considerably improved.

Nihal Mahesh Jham: So my last question was on the gross margin side. You highlighted that there has been a significant reduction in both TDI, specifically in polyol. So what proportion of the old inventory did we end up using this quarter and how much of an impact that had in terms of the limitation in the gross margin improvement?

Rahul Gautam: So I think I mentioned that even in the quarter that's gone by, the gross margin has definitely improved. However, when we come down to the EBITDA level, there is a bit of a drop and this is on account of raw materials fluctuating, however, moving slightly downwards. As we move forward, the same trend is continuing and I would say that even if we account for the opening stocks that we have, there would be a positive impact as far as Q4 is concerned.

Nihal Mahesh Jham: Just to clarify, so the current gross margin in a way more or less reflect the current pricing in both the raw materials?

Rahul Gautam: That's right.

Moderator: The next question is from the line of Ritesh Shah, an individual investor.

Ritesh Shah: This is Ritesh from Investec, not an individual investor. Sir, couple of questions. So first is, if you could provide detail on what is our strategy to recoup volumes? So basically, what is the end customer or the end channel that we are looking at basically to increase volumes. That's one. And what I'm referring to over here is, it's a something

beyond EBOs and MBOs that we are already doing. That's the first question.

So second question is on update on the expansion plan along with the timelines for Jabalpur, Spain and Australia. You did indicate middle of this year, but some specifics would help.

Third question is on inorganic growth. Basically what's the status first is on the growth engines and it has four buckets, mattress for every Indian, the exports run rate, railways current run rate and online channel, the current run rate.

And I have a fifth question which is on new initiatives. So would be great sir, if you could please help with this.

Rahul Gautam: So thank you Ritesh. I think you've gone through the entire portfolio that we have. But let me just first begin with your first question and that is on the volume part of it. I just want to say that Sleepwell, we have been operating through the EBOs and the footfalls, etcetera. have been challenging as far as in the recent past is concerned. We are well entrenched on that. Footfalls, as I said, if I look at January, have begun to increase. That will automatically increase the volumes. There is an expansion plan for the EBOs and that's almost about 400 to 500 extra outlets per year. And that's also on track.

I must also add that of course Sleepwell was not selling through the MBOs, which are also continued to be in large numbers. We address those markets via other brand, which is the

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FeatherForm and Starlite. Now that we have reached out to, or spread out to all of them, our real good push as far as MBOs is going to happen. And we expect that the first initiative of expanding EBOs and putting through the MBOs both will increase our volumes. And that's our strategy for that.

As far as Australia and Spain is concerned, so let me take Australia first. Australia has already been doing, has been having almost a 10%, 12% increase in its volume as well as its in top

line. And the reasons for that as we see is, people spending more -and-more as far as home improvement types are concerned. We expected that COVID would finish and this would also slow down, but it has not because people are not traveling so much. People have money in their pocket and people want to.

Besides this, it's also the imports that Australia was having. And with these sentiments like Australian made, etcetera. Those imports have been impacted, especially imports from China and there were also some imports from Europe. We see that as a very good sign and in spite of a mature market, this expansion will continue to grow or this sentiment will continue to grow. On our plant, the second foaming plant which is being set up in Adelaide, that has already been installed and it will be commissioned by the first week of March. And we will start then getting little more aggressive as far as the market share is concerned. And we believe that there is a lot of imports and other things, which can be catered by us, and therefore, increase our presence.

Spain, I have said this many times before, we are a very small part of that large market, only 1%, and therefore that even though the European market slumped by almost 25%, 30% during the Ukraine war or continuing even after the Ukraine war. In our company, we registered just a 10% drop, which has also from January onwards begun to pick up. In fact, the entire order books in January and February were completely filled up and in February continue to be filled up.

We have expansion projects there where the current capacity will be increased and so today what we are doing is about 12,000 to 13,000 tons per annum. This will go up to about 17,000 tons per annum. And again, because we are a small part, we expect that all this will be consumed in market. Returning back to India, you have also said about the inorganic part of it. So I think the explorations continue. Some encouraging, but eventually these things happen

when they have to happen. But I can only say that they are encouraging.

On the initiative we're still upon pursuing like doing, like a Mattress for Every Indian, again, we have started to receive the machinery which was delayed on account of the war. And before that on account of COVID, we started receiving that we expect somewhere end of this year, that project in Jabalpur to begin to get installed and then commissioned soon thereafter. Railways has been good progress. I think railways have also now clearly stated that the product that we supply them is the preferred product for making the coaches. And the quantum is increasing month after month. Anything else? I don't know. You have asked many questions.

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Ritesh Shah: Sir, exports was the other one and online channel. And sir, if you can please help with the run rate or something for exports, railways and omni-channel, basically the online channel.

Rahul Gautam: So, run rate on railways is about INR 8 crores to INR 10 crores per month at the moment. And exports, I would say that there has been ups and downs. A couple of reasons we have talked about in the previous meetings. One was that the infrastructure coming up to speed as far as the supply of orders was concerned. And the second part is that the US, which is the largest recipient of these exports, has also been going through its own inflation and a bit of recession that's been there.

Recently, there has been the biggest exhibition in the US for mattresses. It was in Las Vegas. Our people were there. I mean, at the moment I can say the sentiments are encouraging. They are committed to looking at or creating a source besides China. And in India, we would be the preferred supplier. However, there is not too much to talk about it, let's say in the last quarter or in this quarter. But I think the year would finish at about INR 40 crores or so. It's definitely a little bit dissatisfying. It should have been more, but INR 40 crores and becoming here, I think should see her jump up to about INR 100 crores.

Online, we are treading along or trudging along at a reasonable pace. So online should also cross 100 crores. However, as I said we also changed our strategy a little bit when we were doing it with a different brand and now we are doing it with Sleepwell and we have found a way to reduce or almost remove any kind of friction between online and offline and that is picking up. This year we should close at about INR 100 crores or over INR 100 crores and the next year would be at least 50% to 60% more than that.

Ritesh Shah: New initiatives foray into living room, looking at sofas, the revenue?

Rahul Gautam: Maybe I will take that question on sofas. I presume you would have asked many questions for many other people, so that's all right. I would have referred to it. Sofas, we are manufacturing sofas. I would be able to talk on this better next time. Some initiatives on, but as I said, it would be better if I talk next time on it. However, on the refurbishment of sofas, which continues to be a big business, it's a fragmented business. It is a very unorganized business.

And our initiative to put all that together is now taking shape. I mean, at the moment, I'll share that a pilot is on where the proposal is that we, as in Sleepwell, will pick your sofa up and do it, refurbish it, and return it back in three to four days time.

Moderator: The next question is from the line of Forum Gosar, an individual investor.

Forum Gosar: I just have one question. We have seen an increase in revenue from the Technical Foam business. So I just want to understand where is the demand coming from. Did we onboard any new clients?

Rahul Gautam: Thank you ma'am. Can I just have your name once again please?

Forum Gosar: Forum.

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Rahul Gautam: So the Technical Foam, the primary expansion in order has come from the auto sector. And we all know that the auto sector has been, for the last couple of months, has been doing extremely well or continues to do well. And we have almost about 70% - 75% share in that market. And the growth in the technical side, and we are expecting that that growth will continue as that expands.

Moderator: We have the next question from the line of Siddharth, an individual investor.

Siddharth: So actually, just wanted to ask you that last time you had mentioned that our management's focus is to increase the productivity of the outlets. So, I mean, have we been successful in increasing the footfall and if not, then when can we expect that to start?

Rahul Gautam: So, thanks for that question. Yes, our efforts are beginning to show some results. The productivity is increased on two actions. One is to increase the footfalls coming into the showrooms and the second is to increase the conversion of whatever is kind of coming in. The second thing first, conversion. We have taken the help of a company called Quest and got some sales advisors from them, which have been placed at almost about 30%, 35% of the stores. And they are training the people as well as helping to convert whoever is coming in. And that conversion, we can see that the percentage is increasing month-on-month basis. As far as footfalls are concerned, the only way is promotion, advertisements, BTL activities. And you would have noticed that recently we have begun advertising on the television and even at the local level. And we believe that the footfalls will increase. And of course, as I already mentioned to Ritesh earlier, we are expanding our number of showrooms, which definitely will increase the total number of footfalls which we cater to.

Moderator: The next question is from the line of Ritesh Shah, an individual investor.

Ritesh Shah: I just wanted to understand the market sizing. So when we are looking at the INR 15,000 crores, INR 20,000 crores total market, I appreciate what you are doing on the EBOs and MBOs. But how about the market basically, say, for the likes of Pepperfry, IKEA, Homelane? I think that's also incrementally a trend. So how do we approach basically tapping this particular market or are we already there? And if you're already there, how does the economics work? So that's the first question.

Rahul Gautam: So Ritesh, as I am understanding the question, you're saying that the likes of IKEA and Pepperfry, which are primarily furniture or furnishing outlets. They do cater to mattresses. And how are we making our presence felt in that segment? So let me just say that we have already begun looking at what we call as Furniture-First stores. And these are stores which are not necessarily exclusive mattress stores. However, do furniture as first and consequently sell mattresses along with the bed set they sell. And that expansion has already begun. We are present in many markets. So about 2000 we have already got our presence, but as I said, those are not exclusive and therefore that is done under the Feather Foam brand, which is endorsed by SleepWell and that's been reasonably well accepted.

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So just as to sum up, our response to the IKEAs and the Pepperfrys and all that is to go and be present in the furniture stores.

Ritesh Shah: My question was, basically, if you look at the mobile population or say, Tier 1, Tier 2, I think probably the population which goes to individual stores, it might be reducing. I'm just giving a hypothetical scenario. And there will be more and more people who might be going to Home Lane, Pepperfry, IKEA, but then they will just go to buy a curtain or something else and they end up buying a mattress. So from a sample sizing standpoint, if we have to look at the marketplace, so

is Furniture First the solution that we are looking at or are we looking at something beyond that to tap the larger marketplace?

Rahul Gautam: So I agree with you that there are some stores which are complete furnishing stores. I agree with you that there is a mobile population which may be very short on time and would not go from a store -to-store and would want to have a one stop place and do that. But however, those people, we would be attracting them maybe more with Sleepwell at Home or through the e-commerce platform that we are operating on. I would say that for us really to get into a full-fledged furnishing store at the moment is not on paper.

Ritesh Shah: And so my second question was specifically on the EPE foam or mattress for every Indian, what we have indicated. I just wanted to check, is it for the first time that it's happening, something of this sort in India or has it been tried by any of our peers in the past?

Rahul Gautam: No. I don't know. You're connecting the EPE with Mattress for every Indian. So EPE is a completely different product, which is different from polyurethane foam. Do we do have some EPE stuff? Yes, we do. Is it cheaper? It is. However, the availability part of it is still a challenge. It's an extremely light material to be transported all over the place. Our mattress for every Indian foray is primarily to look at people who are not using any kind of mattresses, modern mattresses at the moment. They may be using cotton mattresses, they may be using dharies, chatais, etcetera. And there are two challenges to it. One is to make the product affordable for them and the second thing is to make it available to them to where they are, whether in a [inaudible 0:31:05] block or a cluster of villages that they are.

So our project, which is coming up in Jabalpur, a new technology that we talk about will help us in both these aspects of affordability and as well as accessibility of making it available to those places. Has it been done before? To the best of my knowledge, no. Generally, it's just the way that it happens that when you have a new product, a new model, what matters coming up, it goes to the big towns. Then it starts putting down to Tier 2, Tier 3, Tier 4, Tier 5 kind of levels. Here, we're just trying to go the other way around. We just start from the bottom most area and try to work upwards. And hopefully, bridge the gap there.

Ritesh Shah: Right. Sir you indicated it's PU foam right? For mattress for every Indian, that's what we are looking at?

Rahul Gautam: Yes, it could possibly have one or two other materials for example, but primarily it is polyurethane foam with the new technology that we would be making.

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Ritesh Shah: And sir any time lines over here? I presume it's going to be that Jabalpur expansion.

Rahul Gautam: So Ritesh, I said that right in the beginning, this project got delayed on account of COVID, then it got delayed on account of the Ukraine war, because the steel etcetera, needed to come from there. Our supplier of this technology is based in UK, but we have begun receiving parts of the machine. We expect it to start getting installed anytime by the end of this year.

Ritesh Shah: And so lastly, a bookkeeping question. Would it be possible for us to quantify the one-off variables which you indicated on the non-cash M2M forex losses, exploratory M&A expenses? I think you indicated three variables, so probably I can take it offline.

Rahul Gautam: I would say that if you really want to understand that in depth, it would be better offline. However, since you talked about the non-cash one, I would say, it is like, hedging for the equity that we have invested in Spain. That equity at the time that we hedged it, which was something like September, at that time the Euro was just falling and it was being expected that this war would c

ontinue forever and the Euro would always be under threat. We wanted to protect that. We wanted that investment of ours.

Generally, we do not hedge equities, but we did that because the Euro was a special condition. So when we've hedged that, fortunately or unfortunately, number one, the Euro has got back some. So at that time it was INR 78, today it's INR 87, and there is mark-to-market, it's gone up by a certain amount.

Now the interest is that you have -to-have mark-to-market and this will be charged to the expenses. So, however, when you have that investment in euros, there is an interest that the bank is giving us, which is almost about a crores for a quarter, and that interest is as per Ind AS, it has to be in the other incomes and OCIs and therefore impact. So you get a double grinding out of it and it's all notional. There is no cash impact. There is nothing. That's one of the examples. I can offline explain the other areas where on account of this issue we have been impacted.

Moderator: The next question is from the line of Dharmavenkatesan K B, an individual investor.

Dharmavenkatesan K B: Sir, my question is regarding the demand in Europe. So how the things have settled down? Are we seeing demand slightly -- is there any green shoots in the demand and how is the thing shaping up there for us?

Rahul Gautam: So, demand in Europe has definitely slumped. The market, if we would look at the market, let

me first begin by saying that it is the largest market in the world, the entire European Union, but that market has slumped by 25%. We fortunately, being just 1% of that market and having our own strengths, so even if the market size has shrunk, our share is already going up and has the potential of increasing. I mean, we are far, far away from making any kind of an impact on that entire market.

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Dharmavenkatesan K B: And my second question is regarding that, In the presentation, it was mentioned that there was a one-time marketing expense. So is this one-time or are we going to spend more on brand building from now on? Is this going to be a new number going forward?

Rahul Gautam: So thank you for raising it. Look, it's not entirely all one-time. There was a time when it was zero time during the COVID and corona times. And then when you want to restart, you obviously have to do a little more than necessary to get the momentum back. And that's exactly what has been done on the marketing and sales side. Would it become completely zeroed? No. But would it be at this level? Also no. And it will settle down at normal levels as we kind of go along. But it is this part, this time, or this period when you had to kick start it and that's been that.

Dharmavenkatesan K B: Suppose if we are looking at a longer time frame, let's say five years or 10 years, what is the percentage of sales that we would ideally like to have for marketing expenses?

Rahul Gautam: So, generally, historically it has been about 4%. But as I think our margins expand, we would like it to go up to 5%.

Moderator: We have the next question from the line of Resham Jain from DSP Investment Managers.

Resham Jain: So, few clarifications and couple of questions. So first is the Jabalpur when you said end of the year is FY '23 or like December '23?

Rahul Gautam: So the installations will begin at that time and it may take still a couple of months. So I mean when I said I meant really the end of the calendar year. However, if I would say that a full streamlined good production FY '24. That is starting from 1st April 2024.

Resham Jain: Okay, that means next year only. And so, Jabalpur plant will have what kind of capacities and what kind of revenue one can expect from this plant? Let's say two to three years down the line?

Rahul Gautam: I will be making a wild guess absolutely. But I would say that about INR 350

crores to INR
400 crores.

Resham Jain: And the second question is on exports. Last time you mentioned that this plant has the capability, the export dedicated plant has the capability to do close to INR 1 crores to INR 1.5 crores per day. So is that understanding right? Which means that the plant must be utilizing, this must be utilized at close to 10%, 12% or 15% utilization only currently export plant?

Rahul Gautam: So the Jabalpur plant is for manufacturing of the basic technology?

Resham Jain: The export plant, sir.

Rahul Gautam: The export plant which is close to Mumbai, is that the one that you are referring to?

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Resham Jain: Yes. That's what you mentioned last time, that INR 1 crores to INR 1.5 crores per day. So that's operating at this 10%, 15% utilization right now. Is that correct, sir?

Rahul Gautam: Absolutely. That is correct. That is correct.

Resham Jain: So that plant must be making losses right now, correct? At this utilization level, it's hard to make money.

Rahul Gautam: You're right that if I just drew up the P&L for that particular plant, it would be making losses. Fortunately, we have not invested too much in the capex side. There is no foaming process that takes place which is the maximum. It's on rented premises and of course has mattress manufacturing and compressing and putting them in a box, etcetera, and doing that. So yes, as a standalone, it is making losses.

Resham Jain: Sir, the third question is on Spain business. You've told us is that it's a very small market. We are expanding capacity by some 5,000-odd tons. But is there a possibility for you to expand there, like a step jump kind of thing over there? Or there's really like 20%, 30%, 40% increase in capacity like that only, given a significantly large opportunity available over there?

Rahul Gautam: Yes. This is about Spain, right?

Resham Jain: Yes, sir.

Rahul Gautam: Okay. So the opportunity is much bigger than what I'm talking about. Number one, this plant is located in a small town or in an area, industry area where there is production of sofas,

mattresses, shoes and a lot of furniture. We don't even cater to 10% of the requirement of that area. I'm just painting the picture to tell you that what the opportunity is like.

Plus this is the only plant in the entire European, there is one more in Italy, small one, which uses a completely green technology for manufacturing foam. Europeans, the characteristic of green technology has a lot of meaning to them. And therefore, this is the only plant that is there.

Third, it's also not too far away from the US. There have been exports from there. However, because the entire US market has been a bit down, the exports have come down. But that opportunity has to come, will come. So with these three, four advantages that it has and having a very small share and expanding its capacity to at least 50% more than what it is doing now, the future is only extremely bright for it.

Resham Jain: And the last one, sir, is on competition. Has that -- because on online space, we have seen a lot of players and it seems that some kind of rationality has come back in the market. So any comments on the competition on the online side? And few of the online players have now started opening off-line mode as well, so how are you seeing the overall competition both on online as well as off-line side?

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Rahul Gautam: So Resham, point number one that I want to say is that as it has happened at other places in the world where online started much earlier, there is, what should I say, a dynamic balance between offline and online that will come about. Generally, it has been 15% of the total market. During the COVID times, and I'm talking of US, it went up to 20-plus percent. But now, has slipped back to 1

7%, 18%. And those people measure their numbers pretty accurately.

Therefore, as we go ahead or, let's say, what do we see as the end game, right? There would be online and offline, but the online will be about anything between 15% to 20%. If it's any upwards of 15%, I think that will be a great achievement. Currently, we should be tracking at more like 7%, 8%, 9% to 10%, something of that order. So there is that.

The second point is that as far as online is concerned, we, Sheela Foam and Sleepwell, are also present on it and reasonably strongly present on it. We took our time to get our strategy right. Now we have the strategy, and we would be doing that. Because of this balance between online and offline, all the people who started online and will continue in the mattress business will have the temptation to go off-line too, because 85% business is going to be there and 15% is only going to be online. So that's one part.

The second part is that online businesses have been losing money. And with this change in the sentiment and not only the sentiments of the industry but also the investors saying that we -- money costs, and therefore, we cannot continue to burn money. They have to go offline. So this will happen, and online will become or has become just another channel for to reach out to the consumers or to the customers. Otherwise, there is nothing more to it.

Of course, it came, it made it a lot and noise, and this and that. But at the end of the day, just to reach the 100%, this will have a 10% to 15% way or more of reaching the consumer.

Moderator: The next question is from the line of Ritesh Shah, an individual investor.

Ritesh Shah: One last question. Sir, what is that at we are scouting when you are saying that we are open to inorganic growth? And any numbers that you can help us with either on the leverage side or whether the equation? Can it be EPS dilutive, or it will ensure that it will be EPS (inaudible)

Rahul Gautam: Ritesh, you always ask very difficult questions. Let me say that on the inorganic growth what are we looking for. So as far as India and the Indian market is concerned, we look for businesses which are consumer facing and which would align. That is something that we think and also believe that we understand, which is the consumer. We understand the diversity in India that exists, and by our sheer presence and the number of years that we have been here, I think we do an okay job at it. So we are happy to look at businesses which are consumer-facing and which would align themselves well with what we do.

As far as outside of India is concerned, we would look at businesses which manufacture foam because that alignment comes easily to us, which is procurement of material, formulations, technologies to manufacture and just to sell foam to other people. We do not understand the

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markets, the consumer outside India, and we will hesitate or by and large, we will not touch any business which does that. That is as far as the strategy or our philosophy is concerned.

On the Indian side, and let me just say the opportunities are there, are present. At this point of time, I may be constrained into speak anything more about it. Of course, our effort will be that it is EBI TDA accretive. It should help, may not a help right away, but that at least on a stable basis, as soon as stability happens, etcetera, it should be accretive. It should give us good practice in the market. So at this time, Ritesh, I'll not be able to say anything more other than that because most of the time, we see the work in progress and do take your time.

Moderator: The next question is from the line of Amit Bohra from SBI Mutual Fund.

Amit Bohra: I have one question on Foam core business as well as Technical Foam business in India. It has seen a sharp decline in more than 20% almost decline. Any reason you

want to highlight, or is

it only the high base of the last quarter -- sequentially quarter? Also, the realization in the same seems to have declined by around 2% and 7%. So how does this price transfer, or is -- how does this happen in terms of falling raw material, how do you transfer the pricing to the end customer?

Rahul Gautam: So is this on the Foam coarse side or the Technical Foam side, which side? Because they are two separate segments? Which one -- or is it foam coarse?

Amit Bohra: Yes. Foam coarse, yes.

Rahul Gautam: So as far as foam coarse is concerned, they are generally sold to more, let's say -- not unorganized, but let's say, lesser organized people, and it's a business through the distribution channels. And therefore, the pricing is completely determined by us, and we change it as and when we think that it is the right thing to do. On the Technicals, however, on the Technical Foam side, the customers are B2B, more established. Some cases, even bigger than us, and we have formula for them, which is a rise and fall clause, and we go along that way, we progress that.

These numbers that you see, the shifts that you see, honestly, Amit, the quarter is too short the time really for looking, especially when the fluctuations are far and many year. And so there is inventory which plays a part, there is changing prices which play a part. In the long run, eventually, they get passed on. But in the short term and the way that the accounting is done, you may have this feeling or experience that we have shortchanged ourselves or we have reduced somewhere as far as bigger points are concerned. In this whole quarter, it's too smaller period but we have mechanisms in both to account for change in raw material prices.

Moderator: The next question is from the line of Rakesh Kumar, an individual investor.

Rakesh Kumar: Sir, I had a couple of questions. First, on what is your view on how the competitive scenario in the offline mattress industry is evolving across different regions? And that's the first question.

Second, across the different economic buckets or, ASP buckets, where do you see the volume

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growth really coming from in the mattress space? And what will be the impact on the margins going forward?

Rahul Gautam: Rakesh. So competitive scenario in the various regions. Historically, most of the organized mattress manufacturing companies have been based out of South. And that's because historically, I'm talking at 20, 25, 30 years back, the coir and rubberized coir mattresses were primary the dominant ones. So at the moment, that number is definitely changing North and West, a little bit in the East, are increasing, the companies on the organized sector are increasing. However, South continues to be, because of historical reasons. And the share may be reducing, but still would be the largest as far as the organized mattress market is concerned. On the products, I would say that traditionally, because the South has been the coir market, more products are coir, coir-based products. East also has been a bit of a coir market, they are like that. North and West have been more foam-oriented. The change from coir to foam is happening, but there is a baseline numbers which are there.

Besides these two, there is the spring mattress which continue to grow. They have a small baseline. They continue to grow, and I don't think that there is any regional center or differential in their growth. They are there. They just need to see, in order to face the various challenges of site is the sighting and base and the kind of bids that are used, and that's almost all across the country.

Your second question was on ASP. So I would say that currently, and this is for the single mattress, the 15,000 to 20,000 number, it's for a single mattress. Is that right, Rakesh or..

Rakesh Kumar: No. Sir, my question is

slightly different. My question was across different price brands. Let's

say, one in which, for instance, Starlite and Feather Foam would belong, and the other one in which sort of, let's say, the Sleepwell brand would belong. Across these two buckets, where do you see the growth really coming from? And second, on a longer-term basis, as this plays out,

what do you see the impact on margin to be?

Rahul Gautam: The growth will come on a slightly lower ASP, undoubtedly. The efforts of all the manufacturers and including us, and we need to lead that way, we have to keep adding value to the product and keep it trying to increase the ASP. It's a slow process, quite impacted, adversely impacted during the COVID times. However, that effort will always continue. Currently, if I was to look both the Feather Foam and Starlite that you are saying, definitely have a larger potential for growth in the areas or in the price, the price ranges that they are offering, which is close to about a 10,000 and on policy.

Rakesh Kumar: Sir, on my first question, if you don't mind, I had a follow-up. My question was more around how do you see the competitive dynamics in different regions evolving? And as you pointed out, the number of organized players in the South is very -very high compared to the other regions. I just wanted to understand how are the competitive dynamic's different, and how are we performing across different regions?

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Rahul Gautam: First, your last question first, which is to say how we're performing. And definitely, our real strong areas are North and West. Our share in the South is increasing, but we are definitely not leading that position there. There are others who lead that. And East is completely small market, but that market too, I don't -- I mean, we would be number two in that area. But it's also a small market, East side one.

How do we see that unfolding in the future? Rakesh, I would say that there would be more consolidation process is going on. There would be M&As, which will be on account of that. And because of -- it's only because of -- and so we acquire every company, sort of unfolds in its own time at somewhere or the other, does get a bit of a hurdle in its progress. And COVID has also not been very generous to us. So if I see the next two years or so, two years, I see a lot of consolidation happening here. And we are well placed for that. That's all I can say.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I now hand the conference over to the management for closing comments. Over to you, sir.

Rahul Gautam: Thank you. Thanks a lot. And thank you for conducting the call, and thank you all for participating in this call. I simply hope that we have been able to answer your questions as well as we could, but however, to your satisfaction. I would say that if there are any more follow-up questions, please reach out to us or you can reach out to us through our advisors, Valorem Advisors.

I can say on behalf of myself and the entire team that, as always, it has been a good learning exercise for us. And we take this interaction extremely seriously and follow it up with whatever that we have done. So thank you very much and wishing all of you a very good weekend, and see you again in the next call. Thank you.

Moderator: Thank you. On behalf of Emkay Global Financial Services, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: May 2023

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CIN-L74899DL1971PLC005679

22nd May , 2023

To

The BSE Limited The National Stock Exchange India Limited
Phiroze Jeejeebhoy Towers Exchange Plaza, Bandra Kurla Complex
Dalal Street, Mumbai -400001 Bandra(E), Mumbai -400051
Scrip Code: 540203 NSE Symbol: SFL

Subject: Transcript of Investors' Conference Call for Quarter and Year ended 31st March, 2023 Financial Results.

Dear Sir/Madam,

Please find below the transcript of Investors' conference call organized on May 18, 2023 post declaration of Financial Results for the quarter and year ended on 31st March, 2023 for your information and records.

Thanking you,

Yours truly,
For Sheela Foam Limited

Md. Iqbal Ahmad
Company Secretary & Compliance Officer

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"Sheela Foam Limited
Q4 FY '23 Earnings Conference Call "
May 18 , 2023

MANAGEMENT : MR. RAHUL GAUTAM – CHAIRMAN AND MANAGING
DIRECTOR – SHEELA FOAM LIMITED
MR. RAKESH CHAHAR – WHOLE TIME DIRECTOR –
SHEELA FOAM LIMITED
MR. NILESH MAZUMDAR – CHIEF EXECUTIVE
OFFICER – INDIA BUSINESS – SHEELA FOAM LIMITED
MR. AMIT GUPTA – CHIEF FINANCIAL OFFICER –
SHEELA FOAM LIMITED
MR. DAVINDER AHUJA – GROUP FINANCIAL
CONTROLLER – SHEELA FOAM LIMITED

MODERATOR : MR. RITESH SHAH – HEAD, MID-MARKET COVERAGE
AND ESG INVESTEC CAPITAL SERVICES

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Moderator: Ladies and gentlemen, good day, and welcome to Sheela Foam's Q4 FY '23 Earnings Conference Call hosted by Investec Capital Services. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Ritesh Shah, Head, Mid-Market Coverage and ESG Investec Capital Services. Thank you, and over to you, sir.

Ritesh Shah : Thanks, Tanvi. We have with us entire Sheela Foam management. We have with us the entire Sheela Foam management. We have with us Mr. Rahul Gautam , Chairman and Managing Director; Mr. Rakesh Chahar, Whole-Time Director; Mr. Nilesh Mazumdar, who joined recently as Chief Executive Officer for the India business. We also have Mr. Amit Gupta, who has recently joined the group as Chief Financial Officer; and we have Mr. Davinder Ahuja, Group Financial Controller. I'll request -- thanks, Tanvi.

So I'll hand over the call to Mr. Rahul Gautam . Sir, I would request you for initial remarks, post which we'll have a Q&A session. Over to you, sir. Thank you.

Rahul Gautam: Thank you, Ritesh. And I must apologize to everyone for the little connectivity problems that we had. So I just want to thank you Investec for holding this call. And on behalf of Sheela Foam for our Annual Results for FY '22, '23. I welcome you all on, at least in Delhi, is an extremely hot afternoon and I must also say that we are in the middle of May. The earlier part of May was an extremely cool one, yet unusual. But like this inclement weather, the business conditions are also suffering almost long COVID and do not appear to be getting out of it.

The macroeconomic average indicators that we see do not tell the entire story. As industry segments each have different performance experiences. For example, we supply to the auto industry, which is doing extremely well. However, as far as consumers are concerned, or the B2C business is concerned for mattresses, they are preferring to postpone their purchases and the footfalls in the stores are extremely low. So I think these unusually different conditions in different parts of the business for different segments of industries is the norm of the day. However, we expect all this to settle down very quickly.

And when I was giving you examples of the automobile and the mattress industry, both are, by the way, discretionary products. However, I must also say that there is some kind of stability returning back, and we can experience it starting from the highly volatile raw materials that we use. You are all aware of it. There are two major ones, polyol and TDI. And they are now back to some kind of normal levels. And with fingers crossed, appear to be steady at least for the past many weeks.

And as you can see from the annual results, the performance has been flat across geographies of India, Australia, and Spain. Though the reasons for this flatness in each of these regions -- each of these countries, has been different.

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In Spain, it is the Ukrainian war, which is impacting. In Australia, there was a second bout of COVID in the earlier part of this year. And India, of course, we are all aware that the uncertainties that kind of prevail. But as the reasons are completely different, the company is also taking steps, which are different in each country. And we feel that sooner rather than later, the economy has to and should look up.

For that time, we prepare and ensuring that we do not have any supply constraints then, new plants in India and Australia and a capacity increase of almost 60% in Spain are all

in their final

periods of closing. And by Q2 or the end of Q2, we should have each one of them ready to deliver as the market demands.

Also happy to share that our long and much awaited project ends fine, which is the Mattress for Every Indian has now reached the refining stages and it's ready to be launched. Pilot works have begun, and distribution is soon going to be done. We expect that from Q3 onwards, it should start contributing to the business of the company.

As you all know that this is aimed at the low-income consumers and consumers who are at a

distance or far away from existing markets or towns. We had our Board meeting -- the final Board meeting yesterday, and the Board of the company continues to be of the view that ploughing back the profits is in the best interest of the shareholders.

I had already mentioned to you the organic investments that we have done in each geography and share that there are also inorganic opportunities. Those still in work in progress status but are getting nearer to finalization. Last time I had shared with you that Sheela Foam does take its responsibilities CSR and ESG areas seriously. Our first BRSR is ready and I'm happy to share that on a comparison basis, whether with similar industries elsewhere in the world or comparable industries in India, our status, and our goals that we take are very good.

I will now hand over the mic to Ritesh Bhai for moderating the questions. And me and my team would be happy to take them. Over to you, Ritesh.

Ritesh Shah : Tanvi, I would request you if you could please open up the Q&A queue.

Moderator: The first question is from the line of Nihal Jham from Nuvama. Please go ahead.

Nihal Jham: The first question was on the mattress business. You did allude to the fact that there is an overall weakness. But just as an observation, if I look at the volumes, they are maybe trending even lower than what they were pre-COVID, whereas we've obviously seen an increase in, I would assume, on the sale of Starlite. So just wanted to understand that is it that the impact on the sleeper brand, which is no premium is much more intense? And if you could just give any comments around that?

Rahul Gautam: Nihal, you'll just have to repeat the last part of your question, please?

Nihal Jham: Yes. I was saying that the observation was that the volumes were maybe even lower than what they were in FY '19 for the same quarter. And is it -- and I know that we've obviously scaled up

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Feather Foam as a brand. So is it that Sleepwell as a brand has seen a higher contraction versus pre-COVID?

Rahul Gautam: I would say, yes. If you look at Sleepwell by itself, but you must also appreciate that both Feather Foam and Starlite are endorsed by white people. And it is just that we do, which is for catering to the different segments of distribution or different lines, because for Sleepwell, currently we have exclusive distribution. And therefore, it will be a good idea to see -- look at them as consolidated.

Nihal Jham: Sure. Point taken. The only observation there was that given the channels are very different that we have the EBOs with sales sleepers. So that separately would be as you so said seeing lower footfall and maybe the intensity there would be higher?

Rahul Gautam: So you're quite right on that. The footfall numbers with we measure, all defined have been lower. Now there are a couple of reasons we believe that to be, and we are taking corrective steps. One is definitely an exclusive mattress store that needs some more stuff to attract day-to-day consumer. And the other belief is for the other understanding from the market is that there has been an -- the average selling price -- pressures on the selling price to come down, especially post COVID and during the COVID areas. So the journey that we were in, which is to keep

the Sleepwell price and keep adding value and move ahead, but COVID has done this, and we are reviewing the entire portfolio and we'll be taking our actions.

Nihal Jham: That is helpful. I had 2 other accounting-related questions. The first is on the reclassification that we have done, while I do see the note, maybe incremental details on that. I don't know if I missed, but what exactly have we reclassified both on revenue and expense to see this difference that has happened?

Rahul Gautam: See, the first thing is, of course, the reclassification has no impact on the profitability or [inaudible 0:12:36]. These are few expenses, which in our belief till now, were supposed to be as expenses, but our auditors felt that the interpretation of the index would be that if they are reduced from the top line itself. And therefore, that's the reclassification that has happened. So a few expenses -- selling expenses, which have been reduced from the top line and have also been then removed from the lower portion of the balance sheet.

Nihal Jham: Sure that is helpful. Just one final question. You were obviously mentioning about the fact that there are multiple M&A opportunities that you are evaluating, just wanted to get a sense, is there a cap in terms of the amount that you want to spend or the number of transactions that we are looking at. Just to put it another way, is there a possibility of maybe looking at maybe more than 1 target and you're looking at maybe 1 or 2 acquisitions just if I could get a sense of that.

Rahul Gautam: Nihal, the only thing that I can say is that you do pursue these opportunities and you have sometimes very little handle on when they will be ready for it to happen. And even if you would -- you were to plan that they don't happen all at the same time, sometimes they do, because there are so many other reasons for it to happen. On the cap part of it, of course, we will keep that in mind that what is definitely digestible and affordable that we would do. But again, as I said,

when you look at the opportunity of 10%, 15%, 20% beside of that side, honestly, you cannot control that.

Moderator: The next question is from the line of Ritesh Shah from Investec. Please go ahead.

Ritesh Shah : I have a list of questions, sir. First, I'll start with the rationale for the new management structure. So that would be the first question for you. And after that, if Mr. Mazumdar could come in and give us thoughts on how he sees things over the next 3 years, 5 years? That's the first question, sir.

Rahul Gautam: Let's go question by question before we forget about others. So look, they were -- let's say, if we cut back to pre -COVID times and we will just divide it like that. There was -- I was the in charge of three things: being the Chairman of the company, the management director and also looking after the Indian business. And then we made the first change where Tushaar took over the Indian business, and I continued to look after the Chairman and duties of the Managing Director. Now we are in the process of Nileshe, who has just joined on the 1st of February to take over the Indian business. Tushaar would move differently or move up and we would also get into the stage of splitting the -- now this is all on the cards. We haven't made any announcements, but this is just a thought process that we are saying. And it is also to provide design to the Indian or at least the directors or the top management to be able to spend time and energy over inorganic possibilities that we can play rightly.

And of course, the last rationale for this thing is that we have all been running the Indian business for quite some time. And it definitely needed a different experience at least in the standard parts of business, which is the distribution, the supply chain and logistics and the brand, etcetera . And therefore,

Mr. Nileshe Mazumdar who comes -- who has taken over the responsibility, comes with a rich background of Asian Paints and Pidilite where these things have probably been already done a couple of times over.

So that was the rationale behind and now Nileshe, why don't you just talk about yourself a bit. And maybe whatever experience that you have in the last couple of months? And what do you think of this industry.

Nileshe Mazumdar : Sure. Thank you Rahulji. Thanks, Ritesh, for that question. As a matter of introduction, I have spent about more than a decade with Pidilite Industries, handling different portfolios there. I have handled the waterproofing, the Doctor Fixit business for the last couple of years. Before that, I have handled the Fevicol business, the consumer product business.

Before Pidilite, I have largely spent my balance career across two organizations. One was Onida in the consumer electronics space and before that in Asian Paints. So about three decades of experience is what I have looking for strong Indian brands and Indian organizations.

I joined on 1st of February. And I had a brief look at the kind of opportunity that both the category of mattresses and the brand Sleepwell. And I must say that it is extremely exciting. I think as far as the entire category is concerned, there are 2 large opportunities that I see.

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Number one is the trend that we are seeing across most of the industries, which is movement from the unorganized to the organized segment, so that is one big opportunity. And the second is block at the bottom of the pyramid, which is by upgradation of consumers who are using cotton mattresses, darri, chatai, etcetera, to using a good quality foam mattress.

So these are, I think, the 2 big opportunities in India, as I see today. And this will be possible to be exploited if we have; a, the right sales and distribution channel so that we are able to reach the product as close to the consumer as possible. Number two, we have the right product offering at different price points for different segments in the market with the right to win.

And third is being able to connect the brand Sleepwell with the consumer. And that's how we will be able to position the brand in the mind of consumer space. It's -- obviously, Sleepwell is a brand that is couple of decades old in the country and has a strong equity. In some parts of the country, we are fairly strong. So how do we build on that further and also gain share in some of the comparatively weaker markets as we move ahead.

So broadly, that's the structure and format that I have in mind of how we will be taking ahead the India business.

Ritesh Shah : That's useful. I have a few more questions. Tanvi, you can make an announcement if anybody has any questions as probably, I have like list of few more questions.

Moderator: In the meanwhile Mr. Shah, you may continue.

Ritesh Shah : Coming back to Rahulji. I think a couple of quarters back, you had indicated exports was clocking around INR1.5 crores, which was quite low from a utilization standpoint. Is there any uptick over here? Are we looking at green shoots? We understand the challenges in the U.S., European market on the inventory destock or the overhang, which is there. So that was one. Second is basically Indian Railways, any incremental numbers that would be very useful. Third is based on our checks, we do find people from Quest at the EBOs and MBOs are trying to move around things. Are there any new initiatives to increase footfalls, conversions from an MBO, EBO count standpoint or incentivizing more of our own people from a variable component and things like getting Quest folks on the stores to increase conversion. So I asked like a few questions. First was export, second was Indian railways and third was related to footfalls and conversions.

Rahul Gautam: Thanks Ritesh that's a ve

ry exhaustive part of the business. Anyway as far as the exports and railways, Rakesh, would you be able to take care of those 2 areas, exports, and railways?

Rakesh Chahar : Yes, I will. As far as exports are concerned, so they are still hovering around INR1.5 crores per month. The markets are still slow but recovering. So we are getting orders of reinventory, which is very low. So that process has started, which is a good sign. We have also changed a bit of strategy of also working with retail brands to develop products for them. So that is the real long-term program, but the process has started.

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On the railways side, the traction in quarter 4 has been good. It was online with what we had anticipated. And going forward also, besides the product that we have, supplying that, we are also in the process of developing a new product, which will also increase our share in the market. So that process is also on. So on both sides, I think railways is definitely more promising and export is really coming along.

Ritesh Shah : Okay. So would you like to put some numbers on Indian Railways, how much are we have -- how much have we clocked or how much we aspire to reach, say, in a year or 2 years, 3 years?

Rakesh Chahar : So it is -- we have done more than around INR60 crores in the year online. So that now in the coming year, the target is more but at the same time, there are also more players who are coming and bidding for the tenders. So that's -- we are, as far as potential is concerned, potential definitely is much higher. So we are also -- besides catering to the current requirement, we are also developing a product, which will give us a competitive edge by which we can increase our market share substantially, so which is a growth, which is under process, and that will give us a good competitive edge.

Rahul Gautam: So Ritesh I can try and put some numbers and Rakesh, I'm sure you will agree that at the moment, the estimate of the market is about INR800 crores annually for the seats and cushions, in about 3 years' time, we should be looking at about INR300 crores to INR350 crores number. And at the moment, we're doing annually about INR60 crores. So -- and the way to growth is contracts.

Ritesh to the second part of your question, which was on Quest and the footfalls and the conversions, etcetera. Nitesh, I would like with the bit of pressure look that you have had, you can.

Nitesh Mazumdar : So it is, frankly, bit fair the 2 drivers of business for us is footfalls and second is conversion.

Now the Quest initiative was really to try and see if we can get a higher uptick on conversion.

Now conversion, what we are realizing is already we have a pretty healthy percentage for us.

Our conversion rate is anywhere between 30% and 50%. So the challenge today for us as a brand is really footfall and how do we, therefore, get footfall for the brand in the marketplace.

So, a, is in the footfall, which is happening in the marketplace, how do I participate in that mode and that can happen through having an intelligent channel expansion in markets -- micro markets where I'm not currently represented adequately. And therefore, that's a drive, which we can forward from quarter 4 onwards. And hopefully, we will start seeing some results of that as we move into quarter 2. Going down the Pops data also to towns which are smaller in size and seeing how we increase our representation there. That will be the other program that we will have.

We've also engaged with a new advertising agency called [SightBase 0:26:44]. And as you see sometime in quarter 2 -- end of quarter 2 or beginning of quarter 3, we will have a new campaign around Sleepwell in order to connect with the consumer. So these are some of the initiatives that we -- besides, of course, what Rahulji in the beginning mentioned about our program for upgrading the bottom

of the pyramid that pilot is as we speak just about starting. But by the end of quarter 2, we would have seen some results of that initiative, which is to upgrade the cotton mattress users. So that's the other part that we are looking at.

So it's basically between footfall and conversion. Footfall, how to get more footfall is really the business challenge, which we have to solve for.

Ritesh Shah : Sure. And sir, would it be possible for you to comment whether do we have a variable component for the workforce and the incentive schemes, I think we had taken a backseat, I think, during COVID. But has all of it got imposed again, how are we looking at it?

Rahul Gautam: Yes, very much, we have now a variable pay, which is a substantial portion of our workforce, our salesforce total salary and CTC. So that's been brought back now.

Ritesh Shah : And sir incentives for the channel?

Rahul Gautam: Sorry, I missed that question.

Ritesh Shah : Sir, incentives for the channel for distributors, retailers.

Rahul Gautam: So for retailers also the performance -based incentive is back. For the salesforce, it is back. For employees, it is back. So the variable component, the performance -linked incentive for all stakeholders is now at place.

Ritesh Shah : Tanvi, I'll request to take Hitesh please for the question. I'll join back with you all. Thank you.

Moderator: The next question is from the line of Hitesh Taunk from ICICI Direct. Please go ahead.

Hitesh Taunk : Sir, my question on the demand front again. Most of the discretionary space universe, be it paints or be it electrical consumers, also be it pipes, which are generally used for a home improvement segment, have seen a kind of a minimum double -digit growth, at least for a year -on-year basis, but we haven't witnessed kind of improvement in demand. That's a bit surprise to me. I just wanted to know whether we are -- we have lost any market share or is it a kind of an industry where the demand was lagging? This is my first question.

And the second question , sir, again, on the gross margin point of view. I mean, despite raw material prices are coming down, and we have been introducing a new product category, the gross margin profile still lower than our pre -COVID level margins, so now when the raw material prices are on a declining mode, do we see a further recovery on the gross margin from here on? Or are we going to focus on the market share? These are the 2 questions as of now for me.

Rahul Gautam: Thanks, Hitesh. So let me take the first one first -- or sorry , the second one first on the gross margin part of it. So if you would see the last couple of years, just because the raw materials have been fluctuating so much and so widely that it may not be fair to just talk of pre -COVID and post -COVID. And my response to your question regarding gross margin changing as we go forward is that if Q4 is not any indication, is the indication for the stability of raw material prices sort of contributing to the gross margin, this is going to continue. And therefore, if we would look at the gross margins for Q4, I think it was more like 11.9% or 12%. Davinder, is that right -- around 12%. And as we go forward, this will only increase because of the stability that's coming in the raw material prices.

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Going back to your first question of saying that in the discretionary stage, our space, there has been double -digit growth. And therefore, the question is that are we kind of losing out some market share? So one of the indicators of the market share is that this industry goes through regular market researches, which were -- which are done every half year. And the last one that has come out has only shown that the share of Sleepwell and of course, we are including performance of Starlite in that has increased as far as

the industry is concerned, which definitely indicates that the market share, there has not been any loss of market share.

However, on this part that comparing it to the other discretionary space, why is mattresses kind of lagging behind. All I can say is that is just a question of one following the other and it will happen. It has to happen and that is a reason why it might be just lagging behind a little bit. Anybody else from our team who would want to sort of add to this?

Rakesh Chahar : I think Rahul responded well. I think that's what is happening in the market. And as far as mattresses are concerned, industry also experienced pent -up demand. So that's also impacting the current purchase cycle and the footfalls, especially on the micro side, we have exclusive stores. So we have a clear understanding of the micro markets and the footfalls coming in. So there is definitely a slowdown both on the furniture, furnishing and on the mattress side.

Davinder Kumar Ahuja : Yes, one updation from my side. Davinder Ahuja this side, sir. So [inaudible 0:34:05] gross margins have improved to 39% vis -a-vis last year quarter 4, 34%. So we have seen a journey of 5% improvement over a year's time in our gross profit margins level.

Moderator: Hitesh do you have any further questions ?

Hitesh Taunk : Yes. if I can allow for another 2 questions. I have 2 more questions. Sir, I understand there was a delayed -- maybe delayed in demand. Sir, can you throw some light how our advertisement expenditures have moved over the last 1 or 2 years, I mean as in percentage of sales, if you can guide and what is our plan to take it forward? If you can quantify some numbers on that front? The first thing is that.

And the second thing is, if you can share what is the channel -- what is our distribution channel network as of now in terms of number? And in your opening remarks, you said like the focus is on channel expansion in Tier 2, 3 cities. What kind of expansion growth are you expecting? Or are you planning anything on sort of that going forward? That will be my 2 questions.

Rakesh Chahar : You want me to take that?

Rahul Gautam: Yes, Rakesh.

Rakesh Chahar : So Hiteshji, as far as advertising expenses are concerned, obviously during the COVID times, etcetera , we would have cut down majorly on advertising for obvious reasons. But going forward, I would want to keep advertising expenses between 5% and 6% of the net sales, and that's how we will plan as we move ahead with higher spends happening during certain quarters when we have some amount of seasonality in, let's say, in quarter 2, quarter 3 to invest on ATL campaigns, digital, etcetera . So that's as far as the advertising planning is concerned.

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As far as the network expense is concerned, we usually have an addition of, say, 8% to 10% may be happening in a year that was the plan, but we are taking a little bit more aggressive. We were looking at almost about 20% expansion in active channel, which means over the next 3 months at anywhere between 800 to 1,000 outlets for Sleepwell as the brand. So that's the channel expansion plan that's looking at, especially looking at those markets where we are not adequately represented.

Moderator: Hitesh, do you have any further questions?

Hitesh Taunk : No, thanks. I'll come in the queue if I have more.

Moderator: The next question is from the line of Ritesh Shah from Investec. Please go ahead.

Ritesh Shah : A couple of questions. First is, sir, can you spell out how much did we block on the online sales on B2C in FY '23? And any guidance on this number going forward?

Rahul Gautam: Sorry, I didn't quite hear it. Is it a question on online sales?

Ritesh Shah : Yes, sir.

Rahul Gautam: Nilesh, do you want to take that?

Nilesh Mazumdar : Yes. So current sales on online will be approximately between 8% to 9% of the mattress sales.

Ritesh Shah : Sure. And sir, probably I'll link it with the next question that I had. How do you see this number going forward? Or how would you look to balance volume growth versus profitable growth for D2C and traditional businesses?

Nilesh Mazumdar : You see mattress as a category, if you were to look at even internationally, the online sale is in the developed countries, what I'm given to understand is about between 12% to 15% because this is as a category where the consumer would want to have a touch and feel of the product before buying it. Of course, the percentage of the online sales went up during COVID. But after that, even internationally, what I understand is that it is hovering around that level.

So for us, it is just not about online sales. What we have to be clear on that, there is obviously a lot happening on the digital experience and digital marketing, which is required because consumers would do search online perhaps and then go and buy offline after a touch and feel of the product.

So our ratios would perhaps remain at that level of around 10%. But if the question is around that, what do we need to do for the more digital savvy consumer? Yes, a lot of searches happen digitally. And there we will need to enhance our presence.

Ritesh Shah : Sure. This is helpful. And last one for Rahulji. Sir, we had earlier indicated that we were looking to extend it to living room from bedroom wherein we were looking at sofas or some options over there. I do understand from our check that we did some pilot runs in -- mainly around markets.

Any takeaways from that? Are we looking at any initiatives on that side?

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Nilesh Mazumdar : May I also take that Rahulji?

Rahul Gautam: Yes, absolutely.

Nilesh Mazumdar : Yes. So frankly, given the current level of performance, what we have internally strategically decided is that since given the fact that the volumes are under pressure, and we need to get the

volume and the top line delivery online. So we are now focusing on the core more, so hence, the focus on mattress and furniture cushioning and the technical form would be far higher. And for the moment, we are saying that we may do small pilots here and there to just get an understanding of the category, etcetera. But strategically, for this quarter, the next quarter, our focus on the core is going to be higher.

Ritesh Shah : Sure. Tanvi, I would request you if you could please take Hiten for the next question.

Moderator: Next question is from the line of Hiten Boricha from Sequent Investments. Please go ahead.

Hiten Boricha: Sir, most of my questions have already been answered. So I have only 1 question left. So as you mentioned, the demand in export market as well as the -- you can see some kind of recovery in demand in Indian market as well. So just wanted to understand what kind of growth we are looking as a blended as a company. And also on the margin side as TDI and other RM prices are coming down. So any scope of margin improvement from here, because even our operating leverage is also going to play. So just some thought on that.

Rahul Gautam: So on the growth side, and as I said, of course, this is a bit of an if to say that things begin to stabilize and are stabilizing as they are appearing right now. It should be a double-digit growth and should be more like 12%, 13%, 14% growth per annum. And on the -- just the blended one that you stated, which is the export on the domestic side. And on the margin side, I have already indicated, I said that we are experiencing the expansion on the margin. So the Q4 was an indication of that. And as we move forward, this should be higher than the 12% that we have achieved in Q4.

Hiten Boricha: So we can expect at least 100 bps of margin expansion this year, right?

Rahul Gautam: Yes.

Moderator: Hiten, do you have any further questions?

Hiten Boricha:

No. Thank you.

Moderator: The next question is from the line of Hiren Trivedi from Axis Securities. Please go ahead.

Hiren Trivedi : Just wanted to know this data point, what part of your demand for mattresses is coming from replacement versus those which are buying it for the first time. So is there any observation or any number you can share with us?

Rahul Gautam: Does anybody want to take that question? Otherwise, I will attempt.

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Nilesh Mazumdar : I will take that question. So you see -- and this is basis the understanding that if a consumer is buying more than one mattress at a point of time, it would probably be a new house that he is occupying and therefore, buying a mattress for that. And whenever a single mattress is being bought, it is probably as a replacement. So it's one we are working with that assumption. Then currently from our understanding about 42% of the business is from new and balance is from replacement.

Ritesh Shah : Tanvi, I'll just take the last one. So Rahulji, I would request if you would like to spell out some guidance for next year. I think margins you did indicate, but any specific volume value guidance for the next fiscal? And any closing remarks, that would be great, sir.

Rahul Gautam: Thank you, Ritesh. Generally, I would say in these kinds of uncertain times I would not hazard any guesses as to what kind of future are we looking forward to. But let's say the indications or the directions that we see and the steps that we have taken. And I will go a little geography by geography.

I am already expecting that Australia should have a high single-digit growth. And this is mind you in the environment or a market where it is a complete saturation. However, there is a change that is happening post-COVID and that's a bit of nationalistic feeling coming in and people want to buy Australian stuff. And therefore, I expect that we have all the imports of mattresses that are happening in Australia. There would be some parts where we will have some part to play in that.

Spain, I have indicated that many times that the entire European market, we are an extremely small part of it. In the last year, there has been a reduction in the market side by almost about 25%. While we have suffered a fall of about 7%, 8%. And that's indicating that we are doing -- gaining on market share? The opportunity is large, both for manufacturing in Spain itself and the second is the bit of exports that takes place across the Atlantic growth to the U.S. I expect that Spain would grow again by low double-digit numbers.

As far as India and all the steps that we have taken, whether it's the new product, which is the Mattress for Every Indian. The -- all the steps that we are taking to strengthen the Sleepwell brand, the steps that we have taken to increase the footfalls and a general stability and improvement in the economy that we all expect to happen. It should be again a double-digit growth that we should experience this year.

And as a closing thing, Ritesh, I want to thank you and your company for -- Investec for hosting

this call for us. Thanks a lot to Tanvi for doing a great job, coordinating everything. And of course, thanks to all the investors and all the questions that you have put forward. Like always, they are initiatives, they are a learning exercise for us. Maybe some of the answers that we knew, but it definitely helps us to focus on areas where we may have -- they may have stepped out of our data.

I also take this opportunity to -- because we just concluded our Annual Board Meeting yesterday, so to thank the Board members and all the senior management and the company for helping in Sheela Foam Limited

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the year that's gone by. And of course, last but not the least, I thank the team, which has been there with me on this call. So thank you very much and

I look forward to seeing you soon.

Moderator: Thank you very much. On behalf of Investec Capital Services, that concludes this conference.

Thank you for joining us, and you may now disconnect your lines.

Call: Aug 2023

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CIN-L74899DL1971PLC005679

8th August , 2023

To

The BSE Limited The National Stock Exchange India Limited
Phiroze Jeejeebhoy Towers Exchange Plaza, Bandra Kurla Complex
Dalal Street, Mumbai -400001 Bandra(E), Mumbai -400051
Scrip Code: 540203 NSE Symbol: SFL

Subject: Transcript of Investors' Conference Call for Quarter ended 30th June , 2023
Financial Results.

Dear Sir/Madam,

Please find below the transcript of Investors' conference call organized on August 03, 2023 post declaration of Financial Results for the quarter ended on 30th June , 2023 for your information and records.

Thanking you,

Yours truly,
For Sheela Foam Limited

Company Secretary & Compliance Officer

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"Sheela Foam Limited
Q1 FY '24 Earnings Conference Call"
August 03, 2023

MANAGEMENT : MR. RAHUL GAUTAM – CHAIRMAN AND MANAGING
DIRECTOR – SHEELA FOAM LIMITED
MR. RAKESH CHAHAR – WHOLE TIME DIRECTOR –
SHEELA FOAM LIMITED
MR. TUSHAAR GAUTAM – WHOLE TIME DIRECTOR –
SHEELA FOAM LIMITED
MR. NILESH MAZUMDAR – CHIEF EXECUTIVE
OFFICER , INDIAN BUSINESS – SHEELA FOAM LIMITED
MR. AMIT KUMAR GUPTA – GROUP CHIEF FINANCIAL
OFFICER – SHEELA FOAM LIMITED

MODERATOR : MR. SUMANYU SARAF - JM FINANCIAL

Moderator: Ladies and gentlemen, good day and welcome to Sheela Foam Limited Q1 FY '24 Earnings Conference Call, hosted by JM Financial.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star, then zero on your touchtone phone. Please note that this conference is being recorded.

I'll now hand the conference over to Mr. Sumanyu Saraf from JM Financial. Thank you, and over to you Mr. Saraf.

Sumanyu Saraf: Thank you. Good afternoon, everyone. We would like to welcome the management and thank them for this opportunity. We have with us Mr. Rahul Gautam, Chairman and Managing Director, Mr. Rakesh Chahar, Whole-Time Director, Mr. Tushaar Gautam, Whole-Time Director, Mr. Nilesh Mazumdar, CEO India Business and Mr. Amit Kumar Gupta, who is the Group CFO.

I'll hand over the call to Mr. Rahul Gautam. Thank you, and over to you, sir.

Rahul Gautam: Thank you, Mr. Saraf. Thank you very much for hosting this call for the Q1 FY '24 results of Sheela Foam and I also thank JM Financial for that. Welcome to all the investors and the participants and a very good afternoon too. It's my pleasure to be presenting this quarter earnings.

Let me first begin by sharing with you that or recollecting with you that recently on July 19, we had another investor call and that was when the company made the announcements of acquiring Kurlon and Furlenco and I'm just happy to communicate to you that both the acquisitions are progressing well and we should be closing them soon well on-track.

I also thank all the investors for helping us and supporting us as far as our investment is concerned or these acquisitions are concerned. And also to say it once again that this would help your company to become a substantive player in mattresses and also make its foray into the furniture business.

As mentioned to you on the 19, July call, this move will not only benefit the company but will also benefit the entire industry and the complete value chain of the mattress and the furniture industry. For the industry, it will definitely make a move of converting the unorganized players to the organized ones and for the consumers, which is the other end of the value chain, the choices will become crystal clear and help them go through a painless journey of selecting a mattress.

Coming back to this quarter, the results of this quarter, let me share the performance both of India stand-alone as well as the consolidated performance. I must start on a happy note, saying that after a long time the raw material prices have really started rationalizing and coming to their normative levels and this is after probably about seven quarters or eight quarters. And now, whatever levels that they are in, we can easily make out and with all the other information that we have from the supplier side that these prices, the low prices, the steady prices are here to stay for some time.

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I recall that TDI was as high as about -- just a couple of quarters away was as high as INR274 and now it's down to about INR185. Similarly, the Polyol with almost closer to INR200 and now it's down to INR116 and we have always believed that these are the levels that it should be and very hopeful that they will remain there.

Let me also share with you that post-COVID and the stabilization process that took after in the ensuing months, the company waited for this time and actually took a bold step of rationalizing our products and this was primarily on the mattress side, where we were competing on the e-commerce at extremely low prices, in fact they were loss making products that was there. You know how the e-commerce work

s, which is just to give discounts and keep increasing the topline.

And when the raw material prices have come down, we said this is the right time for us to rationalize this and therefore we took a call to increase the prices of SleepX, however, that was not to stay because that's not the nature of the game and realized that it was Sleepwell brand of mattresses that need to come in there.

We had by that time learned how to cater to the offline and online conflict and therefore, slowly the SleepX mattresses started coming down and Sleepwell have started going up. So I must say that again, the very nature of the e-com business, it may appear from the records that the number of mattresses fallen down dramatically, but these are all mattresses which were loss making SleepX stuff. And the good news is that Sleepwell, which are profitable, which we now know

how to deal with on the e-commerce side have started growing in number. And in this process of course the profits have been impacted -- and has been positively impacted and have grown. Similarly, I must also share with you that the raw material prices, because they came down very steeply, there is also a sizable business of the company which is either on the cushioning of the core side, as well as on the B2B side, where the prices are related to the raw material prices. And everyone is aware of raw material prices, therefore, the selling price has come down, the profit has gone up, but not yet gone up to the extent that it can go and the real impact would be seen in the coming.

So as an overall situation, what you see is that the topline may have partially or partly been eroded, but the bottom-line continues to be strong. In fact, we have reported a standard India business EBITDA levels of 13.3%, and overall on a consolidated basis of 12%, because the same story was playing out in Australia and in Spain too.

And in the same breath I add that, in spite of whatever the challenging times that have been, the selling prices may have come down, but the tons or the quantum of material that we make are completely intact and there is no loss in the market share whatsoever, in fact it would have gone up. So with these few changes that have happened, and those are important ones, I just repeat that the Kurlon and Furlon acquisitions are on track and soon, we should be seeing all the benefits that will come as soon as the transaction gets over. The raw material price is coming down, and all the indications of them being steady and low for a long time to come indicate that the topline may appear to be going down, but the bottom is going to be good and strong.

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And the third is the move by the company, to say that whatever has been loss making proposition for me, not going to continue to that, but replace with a long impacting and long continuing Sleepwell brand as far as the e-commerce market is concerned.

So with those words I thank you. Thank you once again and I'm open for questions.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Nihal Jham from Nuvama. Please go ahead.

Nihal Jham: Sir, my first question was to be sure, did you mention the fact that one of the reasons that there has been a reduction in mattress revenues and volumes is because we downsized SleepX online and that is primarily the reason whereas Sleepwell as a brand has grown volumes and absolute revenues. Was that the right interpretation?

Rahul Gautam: So I would say that Sleepwell as a brand is definitely held up with volume and may have marginally increased. However, it is true that SleepX we have consciously started reducing from selling on the e-com because it was not a profitable business. You know how e-com works where you just keep giving discounts and everyone down there is making a loss. We don't want to

do

that and therefore we have shifted to the Sleepwell side, but obviously the Sleepwell will take a little bit of time, but it is -- I can only say that day-by-day it is increasing as far as e-commerce is concerned.

Nihal Jham: Okay. So does SleepX as a brand continue ahead online or you plan to phase that down?

Rahul Gautam: I think it will fade, it will automatically phase out because when you make it profitable, the price that is there, the people don't understand that and they will not. However, with Sleepwell that is not a problem. So I think that SleepX will go down once you put it at the price or when do you have put it at a price that it should rightly be.

Nihal Jham: Sure. So the reduction in the SleepX contribution has also been a driver of the gross margin improvement in the India business. That would also be one of the aspects, right?

Rahul Gautam: One-off, yes, absolutely. It's one of the aspects and the other one, of course, which I said is the raw material prices going down. But primarily it is this part and of course a bit of rationalization on the cost structures and other things that you would see on it.

Nihal Jham: Would it be possible to give a ballpark bifurcation for this gross margin improvement in India because we don't see that, say, in fact -- in Spain, in Australia, which also would be using TDI and Polyol. So is it right to assume that majority of this improvement at least for this quarter is because of the reduction in the SleepX contribution?

Rahul Gautam: So both have different phenomena. But however, definitely we will give you the breakdown.

Amit, can you just make a note of that and send Nihal all the details of which is the bridge, which has contributed to the increase in EBITDA levels as far as India is concerned and also as far as the global participants.

Amit Gupta: Sure.

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Nihal Jham: Just two more questions if I could very quickly that you have not shared the volumes for the mattress business in this presentation or if it's possible for you to give a number? That would be very helpful.

Rahul Gautam: So generally, we're not doing that, but specifically you have asked this question. So Amit please also that we give that breakup to Nihal immediately after the meeting.

Amit Gupta: Yes. So Nihal can you please repeat what you are asking for?

Nihal Jham: I was looking for the volumes for the mattress business which you're reporting to last quarter. I'm not sure if there has been mentioned, but could not see in the presentation that you uploaded.

So if you could just give a sense of that it would be helpful.

Amit Gupta: Nihal, there is a challenge that we face. You know that we already stated that these acquisitions will be funded with a mix of debt and equity and when you do it equity transaction all the information that you put up in the presentation have to be published in the information memorandum for which a lot of certifications etcetera are needed. So we have tried to basically get as much information as possible, but volume information is something which like needs a lot of deep dive into the internal systems of the company to certify. And that's why we have just taken it out for this particular quarter. Next quarter onwards you will have all the information, whatever you have been receiving in the past.

Rahul Gautam: In the meantime as far as Nihal is concerned, you can share the ballpark numbers here. It's all right.

Amit Gupta: Okay, sir.

Nihal Jham: Just one final question was that, it's been just I think a few weeks the transaction was announced. But if you want to highlight anything more on the potential revenue synergies, you highlighted the cost synergies in the last acquisition call, but any revenue synergies that you would want to highlight to, and I will be done.

Rahul Gautam: All right. So I just wanted to say this that there

is a lot of overlap as far as the number of products are concerned on either with both the brands. And that only creates more and more confusion in the market. But the basis or the big -- the background for that is that each brand needs to or has to cater to the full range. The moment I make each of the brands absolutely crystal clear as to what their positioning is, the consumer gets a clear message and can painlessly negotiate through the entire rate and buy what he or she wants, that's one.

The second part is that because of regional or zonal strength of each brand which exist, the other brand can leverage that as we go forward. So if you say South is extremely strong for Kurlon, North is extremely strong for Sleepwell, both can leverage those and thereby increasing the total revenue, increasing each one's revenue and then increasing the total revenue.

Moderator: Next question is from the line of Ritesh Shah from Investec. Please go ahead.

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Ritesh Shah: Sir I have like few buckets of questions. First one is on capital structure and cash flow fungibility. So, we have taken enabling resolution of INR1,200 crores, INR600 crores on equity and debt.

Sir, my question is what is the threshold that you will be comfortable with on a net debt to EBITDA basis. Is there a particular number that we have in our mind, how are we looking at that?

Rahul Gautam: So Amit, would you take that question. Although, I know that we have fixed the debt that we want to raise and the EBITDA levels are known. So I think if you take a combined EBITDA I think there would be of the order of some INR250 something, INR250, INR300. But maybe you can be more accurate, so about 1.5 years or 2 years of debt is what we have taken. But, Amit just...

Amit Gupta: Yes, I'll take it sir. So Ritesh on a combined basis, we hope that financial year '24 should end somewhere around 2 times to 2.5 times and in subsequent year with the prolonged profitability coming back, they should come down to less than 1 times. So we have been quite conservative on our debt profile, primarily because we didn't want to raise debt at the cost of deterioration of our ratings.

Ritesh Shah: Sure. And this is net debt right sir. Net debt to EBITDA?

Amit Gupta: Yes. Net debt to EBITDA.

Ritesh Shah: Sir Rahul, just to continue with the question how are you approaching the business. My specific question comes because Furlenco we have taken 35% stake, and I'm sure basically the intent would be to increase the stake eventually, and it's not something which is a profitable asset right now and the outgo is significantly higher.

So, when you allocate capital, are you looking at Furlenco and refurbishment together as one silo Kurlon and Sheela Foam the mattress part of the India business as one silo, technical foam India is one silo and overseas business as one silo. So the question is more from a cash flow

fungibility standpoint and specifically, given we have Furlenco which is not making money at this point in time. So what's the thought process, sir?

Rahul Gautam: Let me first begin by talking about Furlenco. And as I said that we are not that new age business where you just run after the top line and burn cash. So we have ensured that Furlenco turns EBITDA positive by October and if we were not confirmed that we won't do it and before by December, it should turn PBT positive.

So having said that after us investing and this is primary investments into the company, our projections are that there will be no need for any cash as far as Furlenco is concerned. Therefore, there would not be a need for any more allocation to it. It may still have a little bit of a debt, which may be a bit higher than normal bank rate but the moment it gets into that situation, it will be in a position to get money from any of the banks at very standard rate, but for continuing it would

Id not need any more cash infusions into the Furlenco.

And as far as looking at the businesses are concerned look, I go back to my -- probably it was the last time statement that both businesses though appears different as far as the front -end part

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is concerned and as it though appear different, at the back -end are pretty well integrated because the major ingredient which goes into them is polyurethane foam, which the company does very well in or has the experience to do too well in and that's the genesis of both the businesses.

Come to the front -end part, again, the opportunity to put the furniture onto retail showrooms so that the touch and feel factor comes in and it also helps to grow the Furlenco business beyond just the rental part that it is doing today. So there would be connection, they will be definitely a separate corporate entities, but there would be a connection between them.

Ritesh Shah: If I may just continue on Furlenco sir, is there any timeline by which we are looking to increase the state to say 100% and what are the voting rights do we have right now?

Rahul Gautam: So on the Board we have majority of three versus -- three is ours and one is the promoter group and one more is the PE fund, which is there, which will be reducing. And to the time that it reaches 10%, then that position in the Board will be extinguished. And therefore there would be total control of it even with a 35% share that we have. Beyond this, we have an option with us, which is another 9% at the same valuation, which we can exercise within one year. That takes us to 44% and amongst, I mean that is as far as the primaries are concerned.

Then coming to the secondary part, there are multiple of them who are ready to, I mean there are totally from 67 or 71 small investors and there are many of them. So they are, I mean we are in talks but at the moment, we don't want to invest beyond this, we want to take it to the profitable position and then look at, but definitely moving to majority position even on the shareholding part.

Ritesh Shah: Sir. I have a couple of more questions. Can I continue, or I can join back the queue, sir.

Rahul Gautam: I am not the decider, but I think, let's the moderator decide that. I'm okay.

Moderator: Sir will you come back in the question queue for a follow -up question?

Ritesh Shah: Sure.

Moderator: Next question is from the line of Nalin Shah from NVS Brokerage. Please go ahead.

Nalin Shah: First of all, let me just congratulate on the acquisition of Kurlon, which is a prime. I would say that the branded product company, and I am sure that under the leadership of Mr. Gautam it should do extremely well in that time to come. Sir, I have some few questions like this. That one, what is going to be the structure of this company? Are you going to take over the Company fully, but are you going to maintain it as a subsidiary company? And then, I mean, take a call on the merger of the two companies or how it is going to happen. So that is one.

Secondly, what is the funding pattern for the entire whatever some INR2,150 crores or something, which we have seen from the newspaper reports.

Thirdly, I want to ask is that, what is the kind of topline addition you envisage from day one, because it's a running company and how do you feel that it is going to add a lot of value. I am sure that your position as a mattress manufacturer in the country is going to be very, very prime

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and that should give you a huge lead over most of the others, and it should become a very profitable transaction in the times to come. So if you can just highlight some of the things that will be great.

Rahul Gautam: So number one towards the question you asked about the corporate structure. At the moment when we are beginning it will be a subsidiary of Sheela

la Foam and post the stabilization maybe

in a couple of years' time, we would consider merging the two together. But at the moment it will be a separate corporate structure, 100% or 95% right now and the balance 4%, 5% are also in the process of being acquired, so it will be a substantial subsidiary of Sheela Foam.

On the funding pattern, so we need about 2050 for Kurlon for the 95% and we need another 300, but that makes it 2350 and on our books we have cash available of about 850, leave 50, 60 behind, 800 from there, 600 that we raised and the balance QIP which will be of the order of about 1,000. That's how it should be.

And the third question that you asked was how much top line will be added. So, I mean, just a ballpark figure I would say about INR1,000 crores would be added.

Nalin Shah: Okay. And sir, can you just give us some idea about what is the full potential of this acquisition, because as I understand, some 11, 12 plants all over the country and more or less you are having entire footprint on the Indian markets. So at a full capacity utilization what kind of numbers you are talking about?

And secondly you said that 5% are and pulse of accretion. So other than promoters who serve the shareholders you will be giving some open offer or how are you going to do that?

Rahul Gautam: Okay. So let me answer the second question first. That is the 5% part that's also amongst the extended family and they have said it is the availability, non-availability, etcetera, but it is up to them. They have given -- and it's a part of our understanding that they will acquire it and hand it over to us at the same price as soon as it happens and they have taken a couple of months for that.

And the second question that you asked was on the number of companies and production facilities that are there. I just wanted to say recollecting totally with both companies put together, there would be 20 such establishments across the country. The good point is that none of them are co-located into any particular city. Therefore, there will be no overlaps and then what is best suited from each of them to the market, we would drop that structure as soon, I mean all that is being actually worked out. So that's how it will be.

Nalin Shah: I feel that Sleepwell has got I think very, very good deal on the platter and I'm sure that you are going to make the, I mean really make this acquisition very, very value creative kind of acquisition.

Moderator: Next question is from the line of Anik Mitra from Finartha. Please go ahead.

Anik Mitra: My first question is post this acquisition what will be the product mix?

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Rahul Gautam: So, we will first take the current on acquisition and therefore just say that whatever is the current product mix of Kurlon and the product mix of Sleepwell, they are virtually similar in nature. I mean, in the sense, these are consumer products. Therefore, the brands are separate, the model names are separate, they are priced differently and they are supplied to the country differently. The real advantage would be that one, I mean in a very diverse country like India, one consumer brand is not enough to take care of everything and therefore both these together, but product mix I mean if you really go down to hardcore breaking it down, look at the bills of materials, etcetera, well, very similar. But what they communicate and what they convey and what they make the consumer perceive are the brands under which they're sold.

Anik Mitra: What I mean to say in terms of product mix is like how much will be the contribution from foam-based mattresses and how much from the rubber coir-based mattresses in your top line like any ballpark figure?

Rahul Gautam: So let me say, if I look at the current position, Sleepwell has about 60% foam and Kurlon has 40% foam. And of course, there are some small things

which are of for spring, then latex and

EP. But by and large, it's 60% or 70% - 30% foam rubberized coil for Sleepwell and about 40% - 60% for Kurlon.

Anik Mitra: Okay. Sir my next question is, what would be the capex for FY '24 for and FY '25?

Rahul Gautam: I will have to hand you over to Amit, what are the projections for FY '24 you would know, but FY '25 that I don't think we have made any business plans as yet. But Amit you can.

Amit Gupta: So, post the acquisition of Kurlon, as you would have now seen, we just have a very more deeper penetration and covering a lot of more white areas across the subcontinent. So the primary reason why we expand capacity is basically to increase our footprint, setting up a facility for capacity is not that system. We always have surplus capacity for our plants. So once both these combined together and our need for further expanding to cover more white areas reduce to an extent, we believe that we would not be required to do any incremental capex until and unless there is an incremental opportunity being presented for something alternative.

The only capex that will happen going forward at least for the foreseeable future would be maintenance capex which for Sheela Foam would be in the range between INR10 crores to INR20 crores and INR10-odd crores maybe for Kurlon. But there would not be any plan setting

capex except for exceptional opportunities that come our way.

Anik Mitra: Okay. And my final question is, what is your current capacity utilization in Sheela Foam?

Rahul Gautam: So, as far as capacity is concerned, each of the plant has a very large capacity. The reason for setting up another plant is because it is at a distance it is closer to the market. So, we could supply it from an existing plant, but the transportation costs would go up and therefore you need to set up another plant. And with the spread that we have, I mean I can easily say that whatever both the companies are producing, we could easily produce 4 times this material and be well positioned to cater to that.

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Anik Mitra: Got it. And sir, like what is the debt in the books of Kurlon?

Rahul Gautam: So what we are requiring the company is based on a debt free cash free basis, so there will be no debt.

Anik Mitra: And sir in Q1 FY '24 like we have witnessed a significant drop in the other expenses part. So it used to be 15% -- means last year same quarter it was 21% of the top line. This quarter it is 15% of the topline. So sir, what made this difference?

Amit Gupta: Look at other expenses, last quarter we had to take a hit around foreign exchange fluctuations, which was to the tune of INR10 crores plus, so that has gone away this time. In addition, I think we were giving up SleepX brand like since we anticipated there will be a reduction in volumes because of this we had put a control on all the indirect expenses that was there. All these together has led to a major reduction in other expenses, most important of them being the foreign exchange fluctuations, which was a one-off item last time.

Moderator: The next question is from Ritesh Shah from Investec. Please go ahead.

Ritesh Shah: I have a bucket of questions. First one is, sir, you did indicate the rationale on Kurlon. We completely buy into the agreement of products and regional brand strength, but, sir if I just have to push you a little bit to understand, how will the volume growth numbers move beyond some of parts. So A is fine, B is fine, but obviously we want something more than A plus B. So sir, how should we understand this?

And a related question over here is, are we planning anything specifically more efforts on A&P, S&P to actually towards category creation for mattress as a segment?

Rahul Gautam: Okay. So first on the volume increase and beyond the sum of parts. So I think I remember somebody else had also ask

ed this question and that besides the clarity that would come to the consumer and therefore the drive what the tension to buy more, it's the presence of each brand in a particular geography and the availability of the other one to be able to because it's already present there. I mean for Sleepwell to go down south more stronger to go east more stronger for Kurlon to come to the North stronger and come to West stronger. And that is how that some of, I mean the growth in each one of them would be much more than from standard annual growth, which have been there. And therefore that some of that will be greater than what it should be.

The second question that you had on spending on the marketing expenses. So for sure, I mean in general I can just say at the moment that the cost synergies or the cost reduction synergies that will come about will provide us enough money or enough kitty to advertise in both the brands as we go to advertise more for both the brand as we go forward.

Ritesh Shah: I will just drive a little bit. You indicated on the clarity which comes to the customer, right. But sir, as a layman, honestly, when I get into the shop, I don't know what a rubberized coir or a PU foam is. So two brands, very, very strong. I will still end up buying one of the two brands. But how do I get to A plus B plus something. So I'm just not able to comprehend that. If you can give a simple example that would be great. And sir on A&P spends historically our number has been around 3%, 3.5%, which has been pretty high when we look at it on a standalone basis, in

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line with other companies. So, if I had to look at the effectiveness of this A&P spends, how do we gauge it or are we looking to do something different, specifically with Mr. Nilesh joining us on his background at Pidilite.

Rahul Gautam: So while I will request Nilesh to prepare for responding to the marketing expenses and go into 5 etcetera, we let him do that. But I will go back to try and explain to you that, how would that clarity come in. Number one, globally mattresses are also known by the materials that they are built on. So there are spring mattresses, there are foam mattresses, there are latex mattresses and then there are air mattresses, etcetera.

That's how the world is also divided. Cut to India, India, we also have rubberized coir mattresses,

foam mattresses, spring mattresses, latex mattresses are virtually gone now. So these are the three categories that exist. The way that each brand has grown, Kurlon has grown as a rubberized coir mattresses and that is what people understand. I'll come back to your question about using that you being a customer, you don't understand the difference between the two. And similarly Sleepwell which has grown as a foam mattress or is a foam product is the foam mattress, that's how it is understood.

Ritesh, I do not know about you but when a consumer takes a decision, there are two aspects to it. One is the brand that he or she looks for which I would put the percentage as 50% and 50% I would put is based on the trade, on the retailer. The retailer has at least a 50% influence on deciding what.

And as far as the trade is concerned and the retailers are concerned, completely understand and know that what is a rubberized coir mattress and for whom this is better and for whom the foam mattress is better. Plus we go ahead, we're going to drive these differences sharper, which means that all the advantages of rubberized coir would be advertised and so it will be, you would then Mr. Ritesh Shah will be a better informed consumer to say look, I want the natural product or I want a immunity or hygienic product or I want something firmer or I want a green one or I want it. Once those things are clearer, you will make that choice much quicker and much better. So we expect that it's how the market will evolve as

we go forward.

Nilesh, would you please take that question.

Nilesh Mazumdar: Yes, I'll do that, Rahul. I will just try and also respond to your question about how brand A and brand B combined together will become larger than the part. You see that even after -- come together, there is a significant amount of opportunity, which still remains in the marketplace, which is in essentially three different areas.

One is that there is still a large unorganized sector and therefore when I gain share from the unorganized sector, I need to invest on creating far higher brand saliency and brand saliency for both the brands. There is obviously also share gain from some of the national organized players. And the third leg, which we have spoken about in the past, which is about category creation, which is to upgrade the non -foam that the cotton users, the cotton mattress users, etcetera and upgrade them into an entry -level foam mattress.

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Now in order to do these activities what is required is to invest on consumer communication. And as I look at things as we move ahead that the economies of scale that we will be able to derive at the back -end and also some of the economies that we will get from the go -to-market strategy channel that we have that will help me in building and investing in brand and brand saliency. So anywhere between 4% to 5% would therefore be the marketing spend, without compromising on the EBITDA level.

Ritesh Shah: Rahul sir, just couple of questions. Sir, Jabalpur expansion, which was due in June, are there any timelines and we had earlier spoken about mattress for every Indian that was also expected something by June, any specific updates over here. And if you would like to spell something out on the progress on the Indian Railways side, those are the last two. And I suppose the third one, sorry.

Rahul Gautam: Yes. First, on the Jabalpur one, the installations are going on, commissioning is going on. And at the same time by June we have already begun piloting in the market. We've already got our first reports, they are extremely encouraging and we expect everything to get kind of streamline by about September -end or October that it should have. However, nothing is, as I've said, nothing on the marketing side is getting stopped and as far as the commissioning part is yes, it continues to or it was a little more delayed but it's in full swing and full progress.

And the second question that you had was on the Railways. So Railways we continued to supply to them. But it's also true that there is increased competition as far as railways are concerned and there are I mean it's a constant process of upgrading and technically improving the products over the others and the others continuing to sort of catch -up and be able to supply to the Railways. But we are the the flagship suppliers, we are the foremost suppliers. We continue for all their prestige projects. They continue to buy from us and that's in progress.

Ritesh Shah: Sir, exports. Any specific numbers on exports?

Rahul Gautam: Exports. Okay. So Ritesh, exports are going through a bit of on metamorphosis. Besides all the other issues of supply chains and logistics and a bit of a recession in the US because US was the main market that we were exporting to. They are also intending to -- they have already announced extremely high anti -dumping duties. So all this haze will clear in about a month's time and they have gone ahead and put mattress or anti -dumping duties on mattresses virtually from everywhere, entire Europe so our Spain facility supplying is also out of question or it will be a cost, will be a huge cost and coming out of India, China, Southeast Asia, etcetera. It appears

that the US is moving towards wanting to produce themselves and supply to dealer. We do have very small orders, small quantities small compared to what we had

projected. But as I said, the

haze will sort of clear -up in about a month's time

Ritesh Shah: Just last two. Sir, would you like to qualify number on B2C. I think last year you had indicated, we did around INR100 crores plus, but you also did indicate that we will slowly get SleepX out with focus on profitability. So, over the longer run, how should we look at this particular segment, which has been contributing something, that is one.

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And the last question is, I think there was a fire incident that is the exceptional item which is booked around INR11 crores, what was the source, any mitigation variables that we are looking at? And was there any loss in business or revenues on back of that particular event?

Rahul Gautam: Yes. So one is B2C business of INR100 crores that you're talking about, right? And that's the one that I referred to which we were selling under the brand, SleepX and that's, would continued and increased and more intense kind of competition was becoming a loss-making proposition. So we have decided that we will increase the prices there.

And we also understand that that's not a very sustainable proposition and therefore what is sustainable is through the flagship brand of Sleepwell. So the process has already begun. There may be a reduction in the numbers, but it is definitely added to the bottom line and the Sleepwell numbers are catching up and they are increasing day by day as we learn how to cater to online and offline.

On the fire incident, so this was an old unit which was leased to one of our vendors and there was a bit of stock that we had very, very insignificant amount which had the fire incident. There was no loss of life. Primarily, I would say a bit of a learning for us. It is that we have to extend our fire safety etcetera to our vendors and suppliers too. But because we owned that place and that's why it's coming into our place. But otherwise our systems were not there and we were not running it, it was one of the vendors, it has not impacted the supply one little bit, nothing at all, absolutely.

Moderator: Next question is from the line of Mehul Desai from JM Financial. Please go ahead.

Mehul Desai: My first question is specific to Sheela Foam, I mean let's keep our loan acquisition outside.

Given the first quarter you have seen almost 7%, 8% kind of revenue decline. How do you see Sheela Foam business for FY '24. Are you internally targeting double-digit sales growth for the full year FY '24? And is this SleepX rationalization largely done or will we see further impact in coming quarters also?

Rahul Gautam: So first let me go to the side SleepX. SleepX is largely done. Whatever we'll sell at an elevated price we'll sell, otherwise Sleepwell is catching on and the numbers. So in any case for this action as we go forward, we would only have positive impacts coming out of it. There would not be any more negative impacts on that. That's as far as the SleepX part has been done.

As far as the drop in the top line is concerned, I have already explained that. A little bit is on account of SleepX which I said is already kind of done. The other one is on account of the raw material prices coming down and there is a bit of business of ours here in India and Australia and Spain, which is completely related to the raw material prices. So, if it kind of sharply fell, we had to bring the price down for the customer.

However, as I said, the impact on the bottom line will make some impact, but will only improve as time goes by. If the prices stabilize around this, there shouldn't be any more. I may not be able to share with you the numbers exactly what we plan and what we believe, because I think there is a bit of a period when we should be giving any guidance on that. Amit, is that right.

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Amit Gupta: Yes s

ir. We cannot make any futuristic objectives.

Rahul Gautam: Sure. So I'll not. But by and large I think wherever needed corrections needed to be done have been done and there should only be positive impacts of both these things, both these actions of SleepX as well as raw material prices coming down as we go forward.

Mehul Desai: And on the gross margin side, is the full benefit of this fall in input cost in this current quarter gross margins or you would see further benefit?

Rahul Gautam: I can only give a general comment on it. I mean that's, Amit, I mean technically I don't know how to answer that, but is it something to do with inventory.

Mehul Desai: I think the question here is that upon reduction of cost, is it whatever enhancement need or impact need to add on the gross margins. Has that happened or is there something else.

Rahul Gautam: I would say that there would be, there would be something else as we kind of move forward because eventually the raw material that will be used for producing whatever you have already changed your selling price but the raw material prices depends on the inventory, and that will come down. Is that not correct?

Amit Gupta: You are right, sir.

Moderator: Next question is from the line of Aniket from BMSPL Capital. Please go ahead.

Aniket Kulkarni: So, I had a question regarding the acquisition. So can you just give a number as to what will the goodwill be that will be additive to this acquisition and how will this affect the return profile for the company?

Rahul Gautam: How will it impact? Can you just repeat that. How will it impact?

Aniket Kulkarni: How will it affect the return profile for the company?

Rahul Gautam: So Aniket, I think it will be better if we kind of respond to that a little down the line. The reason being that it to the best of my understanding the goodwill is a kind of a residual number after calculating the brand values and the distribution numbers or valuing the distribution etcetera and goodwill is a bit of a residuary number. So we are in the process of calculating that whether it'd be big or large or small we still need to know that and probably the next time we should be in a better position to answer that.

Moderator: Thank you. Next question is from the line of Anirudha Jain from HU Consultancy. Please go ahead.

Anirudha Jain: Yes. So first of all both acquisition seems to be excellent, great and hope this will create value for all stakeholders. So I have couple of questions relating to the acquisition, sir. So first question is on the manufacturing side. So what I believe is the manufacturing facilities relating to the Kurlon, are this the holding company. Is that understanding, correct?

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Rahul Gautam: It's a mix of everything, but eventually, that's one of the conditions precedent to the transactions happening. They all have to be transferred to the operating company. You are right. In some of the cases, it is. In some of the cases, it is not. So wherever it is in the name of the holding company, the holding company will transfer it or is in the process of transferring it to the operating company.

Anirudha Jain: And the second question is, what will be the combined capacity for the Sheela Foam after this Kurlon acquisition in India and if you can just throw some light on the FY '23 numbers of Kurlon?

Rahul Gautam: So we need to yet to receive, but I can make a guess like I don't know. Amit would you have any?

Amit Gupta: We haven't got these numbers in an audited form, so we cannot comment on those numbers then.

Anirudha Jain: Okay. And the capacity plan sir?

Rahul Gautam: Capacity, there is no issue on. As we said that is the business that we are both in, capacities are quite large at all the units. It is just the location of the unit which is important and that's the reason that we would have many more units.

So capacities is not a problem. There is enough capacity at virtually all the plants.

Moderator: Thank very much. As there are no further questions I will now hand the conference over to the management for closing comments.

Rahul Gautam: Thank you, Mr. Saraf. Thank you for conducting this conference and it's really been a pleasure interacting with each one of you and for asking the most initiative questions, as always. It's been a learning exercise for the entire team and we hope that this process continues forever. So thank you very much and wish you a very good evening. All the best.

Moderator: Thank you very much. On behalf of JM Financial Limited. That concludes this conference, thank you for joining us. You may now disconnect your lines. Thank you.

Call: Aug 2023

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CIN-L74899DL1971PLC005679

21st July, 2023

To

The BSE Limited The National Stock Exchange India Limited
Phiroze Jeejeebhoy Towers Exchange Plaza, Bandra Kurla Complex
Dalal Street, Mumbai -400001 Bandra(E), Mumbai -400051
Scrip Code: 540203 NSE Symbol: SFL

Subject: Transcript of Investors' Conference Call held on 19th July, 2023.

Dear Sir/Madam,

Please find below the transcript of Investors' conference call organized on July 19, 2023 discussing the acquisition of Kurlon Enterprises Ltd and House of Kieraya Private Limited for your information and records.

Thanking you,

Yours truly,
For Sheela Foam Limited

Md. Iqbal Ahmad
Company Secretary & Compliance Officer

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Business Update Conference Call
July 19, 2023

Moderator: Ladies and gentlemen, good day and welcome to Sheela Foam Limited's business update conference call. As a reminder, all participants' lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touch-tone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Anuj Sonpal from Valorem Advisors. Over to you, sir.

Anuj Sonpal: Good morning everybody and a very warm welcome to you all. My name is Anuj Sonpal from Valorem Advisors. We represent the investor relations of Sheela Foam Limited. On behalf of the company, I would like to thank you all for participating in this conference call to discuss the acquisition of Kurlon Enterprises Limited and House of Kieraya Private Limited or Furlenco. Before we begin, let me mention a short cautionary statement. Some of the statements made in today's earnings call may be forward-looking in nature. Such forward-looking statements are subject to risks and uncertainties which could cause actual results to differ from those anticipated. Statements are based on management's beliefs as well as assumptions made by and information currently available to the management. Audiences are cautioned not to place any undue reliance on these forward-looking statements in making any investment decisions. The purpose of today's conference call is purely to educate and bring awareness about the company's business and recent acquisitions.

Let me now introduce you to the management participating with us in today's call and hand it over to them for opening remarks. We firstly have with us Mr. Rahul Gautam - Managing Director and Mr. Amit Kumar Gupta - Group Chief Financial Officer.

Before we begin, I'd also like to request everyone to focus their questions related to the acquisitions and not anything regarding the first quarter of financial year 2024 results or operational performance. Now, without any further delay, I request Mr. Rahul Gautam to start

with his opening remarks. Over to you, sir.

Rahul Gautam: A very good morning to everyone joining us. It is my pleasure to welcome you all to the conference call and discuss the recent acquisitions announced by the company. I hope everyone has had a chance to review the exchange disclosures, press releases, and presentations that were made available on the stock exchanges.

Page 2 of 17 Let me first start with Kurlon Enterprise Limited. Sheela Foam would be acquiring

94.66%

shareholding in Kurlon Enterprises Limited at an equity valuation of Rs. 2,150 crores with the effective cost of acquisition becoming to around Rs. 2,035 crores. With this acquisition, Sheela Foam would add strength to the leadership position in the modern mattress segment with a combined market share of more than 20%, should be close to 21%. As you may already know by now, Kurlon is a more than 60-year-old company engaged in the manufacturing and marketing of various foam based and coir based home comfort products across the sit and sleep solution categories such as mattresses, furniture cushions, pillows, and coverings. It has 10 manufacturing plants located strategically across India. It also has a large pan-India distribution network comprising of 10,000 touch points. We believe there are strong synergies between the two companies which will not only widen the market leadership position of Sheela Foam but also cement and safeguard this position in the modern mattress market for years to come. Sheela Foam is a pioneer and leader in foam mattresses while Kurlon's strength lies in its rubberized coir mattresses. Together we would have a much enhanced product portfolio catering across mass and prestige ranges, Sheela Foam being strong in northern and western India whereas Kurlon having a higher market share in the southern and the eastern regions of India. The combined entity will enjoy a deeply entrenched pan-India footprint. Both companies have a complementary distribution network also. Sheela Foam primarily operates through EBOs (exclusive brand outlets) while Kurlon is strong in the multi-brand outlets. This consolidation would provide SFL with a robust distribution network with significant cross selling opportunity, whether they are across the MBO points or they are across the various regions of southeast and northwest of India.

Sheela Foam and KEL have many complementary manufacturing facilities which will create significant production efficiencies and cost savings by improving both logistic costs, also create raw material procurement efficiencies. It is just a sheer coincidence that the factories of Sheela Foam are 12 in number and the ten of Kurlon do not have a single town where there is an overlap, and that helps in the distribution across the country because logistic cost is an important one. The integration is expected to be completed by 30th November 2023.

I must also say that there are some cultural differences which will be important as far as the human integration between the two companies are concerned. Both were promoter driven. One, of course is listed now but the DNA remains virtually the same, and therefore, I believe that the integration would be not so difficult.

Moving to Furlenco, Sheela Foam is investing 35% stake in House of Kieraya that is the owner of the Furlenco brand for an equity valuation of Rs. 900 crores, with the effective cost of 35% coming to Rs. 300 crores. Furlenco was founded in the year 2012 and is today one of the largest and fastest growing furniture rental companies in India. I must add at this point that furniture is an extremely fragmented category as far as India is concerned. And there are multiple ways where you can interact with the consumer, be it selling new furniture, be it renting, be it buying back, be it refurbishing, etc., and all this is in the portfolio of Furlenco. Rental one is the strongest one that they operate in and rental is also a good way of understanding and knowing the needs and requirements of the consumer. And it's probably one of the best and the quickest ways of doing it. The company also has offers for sale of new and refurbished furniture under its Furlenco and they have a brand which is a little on the premium side and that's called Prava which they have begun to operate. Those are designed, manufactured, and the products are offered online but would be a good option

to go offline. It has a strong online presence but is also growing in the offline segment. The Furlenco deal will help the Sheela Foam to enter the fast-growing branded furniture and furniture rental market and an opportunity to further diversify its presence and become a full portfolio company.

As per the industry estimates, the furniture market is significantly larger than the mattresses.

As per the last surveys that have been done in either of the industries, it appears that the furniture market is at least 5x to 6x higher than the mattress market and approximately around Rs. 1.5 lakh crores compared to Rs. 25,000 crores or Rs. 30,000 crores of mattresses. Sheela Foam should benefit from Furlenco's Digital First direct-to-consumer business also and the e-commerce capabilities that they have developed over the past many years.

Another advantage of Sheela Foam and Furlenco coming together is the possibility of offering its products or offering the Furlenco's products on the EBOs and MBOs that we have and vice versa of Sheela Foam's products which is the Sleepwell and the Kurlon mattresses on Furlenco's platform for their online strength. This entire integration between the companies is expected

to be completed by 30th August 2023.

With our past record of acquisitions, there have been 3 small ones in India and there have been the 2 big ones, one in Australia in 2005 and the Spain one in 2019. We have not only successfully grown with these entities, now 5 entities. We are fairly confident of both these recent acquisitions that we should be able to make a success out of them. We believe that over the next 2 to 3 years, the synergistic benefits of both these acquisitions will not only lead to significant growth of Sheela Foam's business but also improve the company's profitability due to the sheer scale of operations and economies of scale but most importantly to create an undisputed strong market leader.

I am reminded of 1994. That was the time when we were looking at extending our portfolio. Primarily, Sheela Foam is a polyurethane foam manufacturer. That is what we do well in India. We are doing that from 1972 onwards. We do that very well in Australia. We do that extremely well in Spain. And I have no hesitation in saying that whether it's the raw material procurement, it's the technology formulations, it's the products that come out of it that we can be compared to any in the world. I would say probably one of the best in the world. Polyurethane foam has 2 major applications. One is the bedding one and the second one is the furniture one. The bedding one, in 1994 when we were trying to expand our polyurethane foam market, we were looking for customers who would buy foam from us who would be the brand owners who would be mattress manufacturers, etc., and would help us to grow our polyurethane foam Page 4 of 17 market. Unfortunately or fortunately, there were none who would want to get into that area. Kurlon was there, Relaxon was there, and Dunlopillo was there, but they were not on the foam side. And at that time, the stress was on rubberized coir and on latex foam. So, we did that ourselves. And since then, we can easily see that how the market has.... It took some time, but the market has grown and the mattress market has become or is becoming an organized product offering to the consumer. I see a similar situation as far as furniture is concerned today where we of course make all the intermediate foams in the different grades and qualities which go into refurbishment, which go into small manufacturers who buy, etc. However, the branded furniture manufacturers who consume foam are just not there and we see that as an opportunity for us. So Furlenco really is our foray into the furniture market where we would have the advantage of the brand, we would have the experience of the strong management team that is there, and then linking it to the input which is the

foam from our side as well as

the point of selling, which will be the MBOs and EBOs, which together Sleepwell and Kurlon would have, I think it's a very strong proposition that will come about.

With those words, I just want to thank you all for participating in this con-call. I hope we have been able to answer your questions satisfactorily. If you have any further questions or would like to know more about the company, please reach out to our IR managers Anuj Sonpal from Valorem Advisors who is present here. And I understand that there would be some questions & answers that we would be addressing right now. Thank you very much and over to you.

Moderator: We will now begin the question & answer session. Ladies and gentlemen, we will wait for a moment while the question queue assembles.

We have the first question from the line of Nihal Mahesh Jham from Nuvama Wealth Management. Please go ahead.

Nihal Mahesh Jham: First of all, congratulations on concluding the deal. Rahulji, if I look at Kurlon's performance, there has been a fall in the margins if I compare from FY20. I know that the last 2 years, FY21 and FY22, were COVID impacted, but if you want to highlight about what has led to the contraction and the margin performance, specifically for Kurlon?

Rahul Gautam: Nihal, you're right that the margins have fallen and you know there was a change in management and they were looking at some transformational changes as far as Kurlon is concerned. And by the time they planned and began executing them, we ran straight into COVID and COVID, of course, everyone was impacted both on the cost side as well as on the revenue side. And then all these change could not be done. And then, of course, there was a little bit of a situation created where you had to probably leave out a few of them. Those had been primarily responsible for this drop in margins. As we get out of COVID or the COVID-like situations and as we get into not being wedded to the changes, etc., we will very quickly get back to the levels that they have been of close to Rs. 1,000 crores as top line and 11% to 12% or even higher than that EBITDA level.

Page 5 of 17 Nihal Mahesh Jham: Were these initiatives a reason for the increase in the cost base which you plan to reverse or is

it that these initiatives will now be implemented which will lead to, say, growth normalizing and say the margins also normalizing?

Rahul Gautam: I would say that there would be a complete review of these changes and some of them would be good, in fact beneficial. But there may be a few of them which don't make sense, and there would also be a few changes that we come out with the two companies coming together. There may be some altered options or changes that may be there, whether it's on the manufacturing side or the front side.

Nihal Mahesh Jham: My second question was that on the cost synergies, I think you've highlighted, you're looking at a 4% improvement, 2% split between on the raw material side and the other two basically on logistics and other aspects. Coming to the revenue synergies, could you give a sense of what are the angles you are looking at? Because, Sleepwell as a brand is primarily selling via its own EBO network, so maybe that cannot look at cross selling Kurlon. So, is it mainly the Feather Foam brand being stepped up via Kurlon's distribution? Is that the main revenue synergy that you feel this acquisition could drive?

Rahul Gautam: Let me just understand the question. You are saying that because Sleepwell sells primarily through an EBO network and therefore any cross selling would be a difficulty. Is that correct?

Nihal Mahesh Jham: Yes, I would believe that selling Kurlon via our Sleepwell EBOs or vice versa is not something possible. I am assuming that the main place where the revenue synergy could come through is using Kurlon's distribution to upsell FeatherFoam. Would that be the right understanding?

Rahul Gautam: I think this entire issue will be revisited on how we want to structure and where we sell our product. I am not bringing FeatherFoam into the picture at the moment at all. And I would say that we should restrict to the promoted and advertised brands and the consumer brands as they stand, which is both Sleepwell and Kurlon. It may be a little premature for me to say, but our attempt is to recognize the differences between the two, to celebrate those differences, and to figure out how we can make a clearer proposition to the consumer. How will that change as far as leveraging the places where they are sold? It may take a little time to figure that out and there can be a mix of many things happening. It will also depend on zone to zone and the strengths, etc. For example, if we would look at the east zone where, yes, we sell through EBOs, but we are present in a very few numbers that are there and it may not be difficult at all to look at a kind of a combined possibility. Those are being worked out. I would request that if you can hold on for about a couple of weeks, we will be able to unfold the entire plan there, but there would be cross selling possibilities almost everywhere.

Moderator: We have the next question from the line of Dhananjai Bagrodia from ASK Management. Please go ahead.

Page 6 of 17 Dhananjai Bagrodia: Firstly, congratulations on this acquisition. Maybe I missed this earlier, but will the two entities

be selling separately or will the brand now be renamed for Duroflex and for Kurlon be renamed into Sheela Foam and we will be selling it as one? Secondly, now would we see growth rates significantly improved? Because, that has been a little pain point for us for the last few years.

Rahul Gautam: The first question, as I understand, is that will the two entities be working together or selling together? These are few things again I would suggest and request that if we give it a few days.

We are also taking some professional help on these matters. There are companies which are national as well as international who have experience on this issue. There have been such kind of mergers - such horizontal mergers - in the past and some of them have done phenomenally well, and therefore, we just need to understand that part. But just to give you a principle, as I was telling Nihal that our aim is not for them to go out and compete against each other and not be conflicting as far as the sales part. We would ideally like that both of them support each other and make the offering, and therefore, there is a need to position them properly and that's an area that we will be working on. That's how it was done internationally. There have been, of course, also national examples like I think more in the luggage space where you have Aristocrat and Skybags and VIP and American Tourister, etc. And if you just look at Skybags and VIP, they are from the same stable but completely different and therefore continuing on its growth path. No conflict, but actually helping each other. I think something like that, but just give us a couple of weeks and we will get back.

On the second one that you talked about the growth rate part, the growth rate has been a combination of a couple of things. And in the past, it has been whatever happened during COVID times, then subsequently, people have reduced buying, there has been a lower push for ASP to get lower and therefore the unorganized sector getting a little more active, however. And of course, there was inflation. As all these things are beginning to fade out, these growth rates are bound to rebound or to come back. Whether it will happen now or it will happen close to Diwali with the impact of the monsoons, etc, and all the other things, as I said, going away, we will just need to wait and look at it. But the signs are very ominous.

Moderator: The next question is from the line of Varun Singh from ICICI Securities. Please go ahead.

Varun Singh: Sir, my first question is I understand that the acquisition would be 300 basis points accretive to EBITDA. But if you can share some calculation with regards to EPS, you think both the acquisitions would be EPS accretive for existing shareholders?

Rahul Gautam: Let me just say this thing that even this 300 bps number that they have brought, this has been a talk, there have been expectations probably, but as things would unfold, this may alter a bit.

On the EPS part, I would just say that again it depends on the kind of debt and equity that we would be using to or the cash that we would be using to fund this. I can make a guess of saying

that there may be a little bit of a fall for a short time, but it will soon pick up and it should become accretive in a few months' time in a ny case.

Page 7 of 17 Varun Singh: Regarding the 7% to 7.5% net profit margin that we have seen in Kurlon pre -COVID, I understand you highlighted that the new management could not implement or execute their strategy well due to COVID, but now that FY23 was a year which was free from COVID, 2 questions on this front. If you can highlight what was the strategic change which was effected into the business? And of course, FY23 should be a reflection of that. If you can throw some light on the change in strategy part and als o with regards to the 7% to 8% net profit margin which is equivalent to our own company, the sustainability of that margin going forward?

Rahul Gautam: Let me just say this that as far as what did not work and what worked at that time, one wouldn't have en ough details or knowledge to share with you that exactly what. We have a macro level picture on it. We know that what is going to continue to work in the post -COVID era and what will not work or what will be changed because the two companies are kind of co ming together. We will be drawing up a detailed strategic list and I think you will have to just wait for a couple of weeks more for that to see. Getting it back to its pre -COVID levels should be an easier done possibility and whether FY23 will reflect tha t or not, the transaction has been done but it has not been closed as yet. It will also close in the next 2 .5 to 3 months or so and then the changeover and all that will happen. But I think you can be pretty sure that things should be back to that level or in an improved version as far as FY25 is concerned because a couple of months going away for things to kind of settle down. And the detailed strategy, of course, we will be having the earnings call - one of course in the first week of August and then subs equently every quarter we would keep informing you as to how things have unfolded and how we can do that. Just kindly bear with me for some time.

Moderator: The next question is from the line of Nalin Moniz from Edelweiss Asset Management. Please go ahead.

Nalin Moniz: My question is regarding Furlenco. This Rs. 300 crores that is going into Furlenco is going to be.... What is the split between retirement of debt and growth capital? And for the growth capital, where is that going to be used? And my second que stion is what is the plan to acquire a majority stake at some point in Furlenco? Is there a roadmap in place on that?

Amit Kumar Gupta: The Rs. 300 crores that will go into the company is totally primary infusion and broadly you can say 55% would go for th e retirement of debt. The remaining would be with the company for growth capital. The company is currently having a lot of orders which are to be serviced into and that is what the growth of business would lead to the profitability of the company. And that's why we have decided that all the capital which would go to the company would go in the form of primary capital.

Nalin Moniz: And on raising your stake in Furlenco?

Rahul Gautam: Currently we have 35% and we have another option of 9% at the same valuatio n to be exerci sed

within 1 year. And that option we will take in 6 -7 months down the line or a couple of months Page 8 of 17 down the line. That would raise it to 44%. There is a PE fund which is there which will be holding 26% to 27% and their time is now coming to an end and from FY24 onwards or calendar year '24 onwards, they would be looking for exit, etc. Besides these two, there is the promoters who hold about 12% and then there are multiple investors - very small - close to about 60 -70 investors who hold very sma ll shares. Most of the investors have also expressed their view to sell. Some of them, of course, want to stay and see the value increase. But if the day that we decide that we want to go into a majority one, we will have the options to do that. But at the moment, we will be the largest one there. We would have the board, etc., being controlled and we would also get a feel for the business and for the industry and then we can take our call as we move forward.

Moderator: The next question is from the line of Arjun Khanna from Kotak Mahindra Asset Management. Please go ahead.

Arjun Khanna: Thank you for taking my questions. I have a few, I'll just go through them. First, on the acquisitions in terms of EPS accretion. In terms of EBITDA, we would be consolidati ng Kurlon but Furlenco I would assume being an associate. Is that the right understanding or do you have management control on Furlenco?

Rahul Gautam: At the moment, this is a little question that we would be probably answering in a few days' time. We have raised that question, but I think just the definition of saying management control, I think it also requires that by management control what do we mean? Is it just an issue of a board matter or is it that you have 100% all decisions being taken on a daily basis? I think there is a bit of a gray area there - Amit, you may answer that - but most probably, I think it'll be like an associate company for a while at least. Is that true?

Amit Kumar Gupta: Yes, you are right, sir? Currently it will be treated as a n associate company and we would not be doing a line by line consolidation.

Arjun Khanna: So, therefore, we say it'll be accretive on EBITDA but EPS obviously we would be consolidating. Hence you're looking at FY25 EPS accretion. Is that the right understa nding I have?

Amit Kumar Gupta: You are right. It won't affect your EBITDA either positive or negative, but as soon as it gets into

a positive PAT environment, it would be adding to the EPS.

Arjun Khanna: Secondly, sir, if you could help us understand in terms of the integration. You talked of the cultural integration. Ourselves at Sheela Foams, we've got a new India CEO, we've got a new CFO. In that sense, how do we look at in terms of management bandwidth, in terms of acquisition, in terms of the cultural fit with Sheela Foams for Kurlon and potentially for Furlenco going forward?

Page 9 of 17 Rahul Gautam: Thank you Arjun for asking that question. I think the more you do, the less it is on that part. We are just about to appoint a leading consultant for the post-merger integration. And this is in a practice which is internationally as well as nationally well understood. And I will disclose the name before we do that, but probably in the next 2 to 3 days time. We've had presentations from the top people, and I think the need and requirement for that is there. So, there will be a structured integration process for the three that that will begin to happen in a week's time. The second part, how will we structure that integration? Will it be a corporate-to-corporate entities existing or will it be a back end to a front end kind of integration? Most probably the latter so that the synergies can come about easily. And the front end the growth can be sort of.... At the moment, we have decided that we will not be conflicting the brands or we will not be working towards let them fight it out in the

market, but more to be complementary to each other. And to do that, it may be better to have the front end kind of united and the back end united. But let me just say, Arjun, that in the next 2 weeks' time, things should hold but we are taking professional help. The other point that you made was on the resources or the bench strength, so to say. We have a couple of more people on a senior level joining in into the company to strengthen the working. And our attempt will be that the integration process is not done by the regulars and they follow or they do what they need to do as far as the existing business is concerned. But the complete clear blueprint, as I said, will be in about a 2 weeks' time.

Arjun Khanna: Looking forward to that. Just the final part. In terms of funding for this transaction, could you help us understand how do we expect to do the same? And in terms of low hanging fruits, what do you see the time? What are these low hanging fruits potentially that we could quickly realize and what is the scale of the same?

Amit Kumar Gupta: On the funding, we have a total requirement of, say, around Rs. 2,350 crores for both the acquisitions, out of which around Rs. 800 crores to Rs. 850 crores is on our balance sheet and the rest would be funded through a combination of debt and equity. We basically want to keep debt at the minimal. So, we will be looking into as to what is the most optimum leverage ratio such that there is no impact on the rating of the company and basis which we would decide what would be the component of debt to equity. But broadly you can assume that, say, around 2.5 around in the first year gradually reducing to below 2 in the subsequent years.

Rahul Gautam: On the low hanging fruits that you mentioned, there is a back end side. And on the back end side, there are some things which can happen very quickly. For example, volumes of purchases on the raw material side, integration of stuff like where does the expertise lie as far as manufacturing of foam is concerned or manufacturing of coir and coir products are concerned. And that kind of just a little bit of shifting around, just a little bit of talking to the suppliers, exchanging formulations, exchanging manufacturing, all that will happen very quickly. I assume it will end up in less than a few months' time or less than 3 months' time that should happen. As a first principle, we are saying - let me use a phrase like do no harm - let things be as it is. What we are looking at the combined entity, the resources as we see, the human beings as we Page 10 of 17 see, and the plans that we would have, there is absolutely no worry on anyone to be disengaged or anything like that. On the other hand, we would need people to be hired and help and support in the other part. The more difficult one, the back end part of integration, I see that happening in a couple of months' time. The front end part of it, because it involves places of selling, it involves some changes of a few structures here and there, I think the real benefit will come in in FY25, but some changes will start happening from, I would say from January onwards.

Moderator: The next question is from the line of Harsh from Altamount Capital. Please go ahead.

Harsh: Sir, my question is regarding your acquisition and your investments in Furlenco. As you have told us that you are investing Rs. 300 crores, are you also planning to kind of do some debt investments or do you have any already existing debt lines with the company? That's the first question. And the second question is regarding that since Furlenco is already in the rental industry and you are into a selling industry, will the interest not cannibalize here like your mattress selling would be.... there's a rental industry of mattress. I feel that maybe you could just enlighten us on this cannibalization part.

Rahul Gautam: Harsh, I will take the second question first. And the

first question on the existing debt line or

line of debt, etc., Amit, you can respond to it. I said that Furlenco is doing that on a rental basis, but they are a full portfolio furniture company, which means that they do design, they do

manufacture or outsource and internally there is some manufacturing. They do rent, but they also offer to sell, they get the buyback, they also do refurbishing. The entire gamut of stuff is being done by them, and therefore, there is no conflict that will exist. Whatever mattresses that they are renting, they will be people of Kurlon mattresses, but that's a small part of the entire household stuff that they rent. It includes the bed, it includes cupboards, it includes the dining set, it includes all the stuff that is there, and therefore, there is no conflict. The selling part that Furlenco is doing, they have one offline - the second offline store is coming up - but their products will be selling on the Sleepwell and the Kurlon stores soon. Again, there is no conflict at all that will be there and there would be no cannibalization, not at all. On the other hand, there would be complementary support that should come in.

Amit Kumar Gupta: Basis the working capital gap that is there in Sheela Foam and Kurlon, we can draw working capital to the extent of Rs. 200 crores plus at any point of time. We have the credit lines in place and they can be drawn anytime when it is required. Does that answer your question or was there something else to it?

Harsh: I just wanted to understand if you already have a lending line with Furlenco or are you planning to go that side as well?

Amit Kumar Gupta: No, we don't intend to fund Furlenco through debt. We don't have any lending line with Furlenco. Furlenco has its own lines which it has taken from banks and financial institutions Page 11 of 17 which of course would go down once we infuse primary capital into the company. But going forward in case Furlenco needs more money, which we don't anticipate, they would have sufficient lines on their own.

Moderator: The next question is from the line of Anirudh Shetty from Solidarity Investment Managers. Please go ahead.

Anirudh Shetty: Sir, my first question is around.... I just wanted to understand how you guys define your business model because it seems to be that the business has evolved over time and as well entered into new geographies and now you intend to enter into new categories as well. How do you guys define your business? It'll help me appreciate the vision that you guys have for Sheela Foam. And also, how do you guys manage complexity? Because, as of today, you are now in multiple categories and multiple geographies. You have multiple plants as well. Do you think that this complexity is manageable?

Rahul Gautam: As far as geographies are concerned, I just want to say that if you look at the company, it started off being a manufacturer of flexible polyurethane foam which is basically a cushioning material, goes into other businesses. However, there are two major end users, which is one is bedding and the other is furniture bedding. Because, as I said, 1994 -95, nobody else came, and therefore, we started our own and we created that. Furniture, we intend doing that right now. When it comes down to an international location, we would stick only to manufacturing flexible polyurethane foam which is based on machines, technology, and sourcing of raw materials and formulations that we can share with each other. We would not enter into a consumer business in a geography outside of India because we don't understand the consumers there and we will not do it. Any consumer business in India, we would definitely look at it, but at the same time look at the most peripheral first. I think one thing which has worked for us as a company is the focus that we have laid on the product or the segment that we operate in. Let me share with you that in the early

2000s when dot com companies were in vogue and everyone said that if you're not in that area, you are dead, etc., we did not invest. Few years back, absolutely real estate business every company of any genre was doing it. Did we do it? No, we didn't do it. We don't want to do it. We will want to stick to, at the moment, mattress and furniture because these are the two main applications of the core business of the business that the company understands very well. Little addition, little on the periphery; for example, if you make furniture and you make mattresses wouldn't there be any top of the bed kind of stuff that may come in like bed sheets or duvets or quilts, that could be looked at. But at the moment, we don't have any thoughts on it. We do have some Sleepwell bed sheets and Sleepwell quilts, etc., which do sell very small minimal quantities. But expanding into anything else is at the moment not in question or not even being discussed. We don't have any ideas of that. That was that part of it and that's how we deal with complexity. And you are quite right, it's getting more and more complex as time goes by. But we have a simultaneous, at least a thought of simplifying things as we move forward. And that's the reason that I said even on Kurlon and Sleepwell, how do Page 12 of 17 we position them - the two brands - so that they have their own grounds to stand on, they don't conflict with each other, and there is less and lesser of complexity that is there.

Anirudh Shetty: Sir, my second and final question is, right now, post the acquisition of Kurlon, we are a very strong organized player, stronger in fact. The unorganized or unbranded still dominates the industry. It has been losing share, but it's still anywhere between 50% to 60%. Can you just explain the customers' mindset today, which explains why they still keep going to these unorganized and unbranded players? And now that we are an even stronger organized player, what steps are we looking to do? Whether the steps that we have done in the past or anything else that we could do differently to improve the market share that we, as a leading organized

player, have?

Rahul Gautam: Let me begin by saying that 60% of the country still sleeps on some traditional products like cotton mattresses, i.e., chatais, etc. 40% is the modern mattress market. Slowly, the traditional is shifting to the modern mattress. Sheela Foam is the biggest author of that action, which we started 3 years back. But because of COVID and the Ukraine war, it stopped. November where we would be making a product which is a modern mattress. It is affordable, it is accessible, and we should be able to distribute right up to the village level or the Tehsil or a block level. That's one part. That's the 60% part of it. In the 40%, we have a sizable number which is the unorganized sector and something which is the organized sector. Both us and Kurlon operate in the organized sector. But the larger one is the unorganized sector. There is again as time goes by, as GST came, more formalization of the economy and all that happening, people are shifting from the unorganized to the organized. However, during the COVID, pre and post COVID, inflation time, etc., there was a little increase in the sales of the unorganized one; 1) the organized ones didn't do their work enough because of the disruption and 2) because of an average selling price being low. That issue is changing back because eventually everything has to get into the organized sector. We, as a company, would advertise, promote, give guarantees and warranties, and ensure that the right products are there. Those are the steps that we do and it has benefited in the past and it will benefit in the future, but there has been a bit of a disruption though. That's how we intend dealing with it.

Moderator: The next question is from the line of Pallavi Deshpande from Sameeksha Capital. Please go ahead.

Pallavi Deshpande: I would like to know what would be the market share for Furlenco and second would be on your international location. I understand now you will be only doing manufacturing, but what was the reason for doing the consumer business in the past in the international market?

Rahul Gautam: I think you asked the question of market share of Furlenco. It will be in decimal places, so I'll not be able to tell because as I said, the furniture market is very fragmented. It is 4x to 5x to 6x bigger than the.... It's about Rs. 1.4 lakh crores to Rs. 1.5 lakh crores market. And in that, what Furlenco would be doing is negligible, nothing. And therefore, I can't even guess what it would be. However, because it's negligible, I think the potential exists for the balance part to be done. The other question I didn't understand, or whatever I understood was that why are you not in the consumer business outside the country? It's just because of the consumer, the culture, the setup, the languages, the way that people buy products, etc. And above all is the issue of where we manufacture. For example, in Australia, we manufacture foam. The mattress brand owner and the mattress manufacturer are already fixed for years together. He in turn sells to a retail chain of stores which are also a brand unto themselves. For us to try and get into the consumer business, we would be wrapped on our knuckles straight away and we would be told not to do it because we cannot compete with our customer. And therefore, that's another big reason why we will not do it. But the bigger one is that we don't understand it. We don't understand that culture and we are not present there for, let's say, generations to know that. So, at the moment, it's a no for us.

Pallavi Deshpande: Actually, my question was, did we not try the consumer business there in those countries? In the international market, 2 years back, did we not try to do the consumer part of the business?

Rahul Gautam: Are you looking at the exporting from here or doing the manufacturing and doing the business there?

Pallavi Deshpande: Doing the business there. I thought initially when we went into the international market, it was to do the business there itself. That's what I'm coming back to.

Rahul Gautam: Even at the expense of repeating, I am just saying there are two parts to our business. One is the back end, which is manufacturing of foam, which depends on machines, the technologies, and raw material sourcing and formulations, etc. That part of it we know very well and we can do that at any part of the world or the universe we can do anywhere because that's our experience. That's what we have strength in. The front end, the consumer part of it is something which is in India, we know it. We know the people, we understand the diversity, and we know what to do. And we don't do that elsewhere. But foam manufacturing we can do anywhere. That's how we look at the world.

Moderator: The next question is from the line of Lokesh Manik from Vallum Capital. Please go ahead.

Lokesh Manik: Rahulji, one question was that over the years, we have positioned ourselves to marketing, trying to convert the customer from traditional products and from rubber coir products to flexible PU to the Sleepwell brand. And now that we have acquired Kurlon which is pretty strong in rubberized coir, how would your growth plans now pan out? Whether you would want to expand in the rubberized coir or you want to keep it the same and continue focusing on Sleepwell itself. How does this play out going forward for you?

Rahul Gautam: It's a great question, Lokesh, and thank you for that. And that's something which is also taking up our time to take a call. But I will just say this thing that globally also the mattress markets are sort of divided into compartments. So, you have foam brands, you have spring brands, and of course, rubber coir brands.

rubberized coir is not outside, and you have latex brands or rubber foam brands. So, the input material does classify products. If you look at India, and for donkey's years, the rubberized coir has been there and they have been doing well. And of course, initially they had an advantage of taxation and other things. Now it's all at par. But the last survey shows that 35% is still dominated by or is a coir product and about 55% is foam product. At some places, there can be a bit of a hybrid nature, but by and large, the consumer and the channel, they understand this is a coir product and this is a foam product and the brands are also associated with that. So, our thoughts at the moment, and as I said, it still needs to be crystallized, it still needs to be done or sort of sorted out, but these are the differences between the two brands and let's celebrate those differences and let's make the offering to the consumer far more focused and crystallized. That's our thought. But I think it's a great question; it will evolve and probably in the next couple of weeks, we should be able to answer that.

Lokesh Manik: Sir, my second question is on the distribution network. Would you be then keeping the policies that are applicable for the distribution network of Sleepwell similar to those of Kurlon or you want to maintain the policies that Kurlon follows for its distribution network? Do you bring them in line or you don't want to interfere too much to disrupt the existing business? How do you see that?

Rahul Gautam: Lokesh, obviously the way the policies have developed and the products and management everything has developed, there are strong points on either side and I think we must learn rather deeply about the way that each other performs and get the best out of both the worlds. At the moment, I create a position of not conflicting, it makes it much easier. The policies also don't need to be treading on each other's feet. They can be similar, they can have the advantages of both sides. And even on the distribution part, whatever may be the difference - MBOs, EBOs, some other channels that would be there - first of all, we have no reason to believe that we would be disrupting anything on that at all. It will be as it is. We will only build up further on that.

Lokesh Manik: We don't know the distribution policy of Kurlon. We don't know whether that would have an impact on profitability of the consolidated entity. Have they engaged in deeper discounting or anything of that sort? Is that the case? Can it have an impact on our profitability? Can it lower it?

Rahul Gautam: Just allow us a couple of weeks to study that in detail. We've just signed the transaction. At the moment, even to get a little deeper into understanding and as I said that we have also hired an agency or a consultant to help us bring all these things together and we will study. But as I said, the first principle, do no harm. We're not going to run around and change anything overnight. It's not going to happen.

Moderator: The next question is from the line of Manish Poddar from Motilal Oswal AMC. Please go ahead.

Page 15 of 17 Manish Poddar: Primarily, two set of questions. One is, I'm just trying to understand, sir, Kurlon has roughly about 450 EBOs versus us having about 5,400 EBOs. Is it a function of the category or is it a function of company strategy that this number was relatively lower compared to us?

Rahul Gautam: My understanding is it's certainly not a function of the category. It is just that the way that we have chosen to do business. And let me just say that because you are in EBO and you were earlier in MBO also, there are pluses and minuses of either side. Therefore, there is no specific reason, but it's just the way that you have chosen to. And of course, Kurlon also has about 450 and they were also tending to increase that. As I said, I can't think of any reason. There is no particular rea

son except that that's how it grew. Maybe Sleepwell started it much earlier and did the learning and the other things and the way that this model should be developed and the others are now doing it. That's why the number difference is there.

Manish Poddar: Incrementally, would you cross sell the two brands in the same EBO - your existing EBO network?

Rahul Gautam: Again, a question that is it possible? Yes, it's possible. Would we think about it? Yes. Would we do it? I think we'll spend about 3-4 weeks on discussing this and how do we do it. Everything will be definitely oriented towards the consumer that how does the consumer, he or she, believes it to be done or it's less painstaking for them. Does it make it better for them to view that, look, I need to have a choice of 2-3 brands and therefore I want to go to a multiband outlet or I'm happy with one store which has everything and is offering, is better displayed, and there is interaction. There's a mix and match of all this. It's also giving us an opportunity to look and review stuff here.

Manish Poddar: But do you think the two brands are positioned, let's say, in the minds of the consumer separately or there's significant overlap in terms of mattress and how a consumer thinks of?

Rahul Gautam: I will share my understanding and we are going to do a little bit of a dipstick study to find out what it is. But when a transaction takes place today, 50% of that is the retailers who influences and 50% is the consumer who has heard a brand and wants to have that particular thing, etc. This number 50:50, let's say, 10 years back, was more in favor of the shop and less favoring the consumer. But as we advertise and share, it's 50% consumer and we will just take that as something. I was coming to that that both the retailer for sure and consumer to some extent wants a coir mattress or wants a foam mattress. All studies have shown that they want a coir

mattress because they have some memories or legacies of it. And they also relate that to Kurlon. Foam is related to Sleepwell. But of course, as we were growing, individually everyone was trying to do everything. And can we do this a little better? Can we split that? I think that will unfold in the next couple of weeks, and surely it'll help the consumer, but we'll see.

Manish Poddar: Just one last one. How much capital has Furlenco raised till date? In media articles, it says it's in 4 digits. What I'm trying to understand is you've given a thousand crores odd valuation for a Page 16 of 17 company which itself has raised 4 digit number till now in terms of crores. I'm just trying to get that number right. Is that in that range?

Rahul Gautam: Manish, I wouldn't be able to answer that. The only thing that I know is that their last round of funding that they did, at that time, the valuation was 1,400. But I'll get back to you on this.

Moderator: We have the next question from the line of Pritish Chowdhary from Investec. Please go ahead.

Pritish Chowdhary: Sir, on the Kurlon acquisition, the understanding is that prior to COVID, there were some management changes and transformation changes being planned in the company and when COVID hit. But in FY22, overall, all the leading players in the industry performed fairly well including our own business. After COVID withdrawing, what was the reason why the Kurlon growth did not come back? And possibly, is a green shoot reflected in, let's say, first half or 9 months' performance for Kurlon? Or have you seen any turnaround in that story?

Amit Kumar Gupta: The COVID had affected almost all the players. It's not that we were not affected. If you look at our margin trajectory, you will find that that also was hit a little bit. The challenge that happened with Kurlon was they basically embarked on a lot of changes in the way they do the business, which we highlighted earlier also. And for those changes to be implemented and fr

uctify, it was important to have a stable environment. They were caught in between and by the time they could realize it, COVID was already on them. I think they have started improving. And the results that you will see, we hope, for '23, and some of the indications that we have are better than what it was for '22. And I think going forward, the way we intend and we intend to see that improving is retaining some of the changes that they had made, which were quite good and basically looking into some of the other changes which were eating into a lot of profitability and potentially we can do away with those changes.

Pritish Chowdhary: Second question being on the synergy piece. I believe two reasons were raw material procurement and some synergies on the logistics side. Now, raw material being fairly straightforward, I would like to double click on the logistic synergies that you expect given that the regional presence for both the brands is fairly different and Kurlon has no presence in the EBO segment. If we have to increase the sales of Kurlon in Sheela Foam EBOs, will that not be a drag on our logistic cost?

Amit Kumar Gupta: What distribution networks will be like and from where it would be sold will be a different thing, but from a logistic perspective, definitely it gives the combined company a more wider footprint in terms of production facilities. Though it is yet to be decided as to what will be produced where, but yes, the distances between the final delivery destination and the point of production will go down. And secondly, Kurlon has a different model of distribution where they use certain warehouses and then the material is transported, which we have to look into. We believe that once we rationalize it, it will reduce a lot of cost on that account. With a pan -India footprint, there would be a reduction to the extent that we have mentioned in our business.. .

Page 17 of 17 Moderator: Ladies and gentlemen, as we take that as the last question for today, I would now like to hand the conference over to the management for closing comments. Over to you, sir.

Rahul Gautam: Thank you very much everyone for joining and for asking all these questions. It has also made us sort of rethink, review, and I just want to share this with you that both the things have happened only the day before yesterday. Allow us about a few weeks for planning out and strategizing as to how we want to take this forward. But at the same time, I want to assure you that both the things are integrated into the core of our business, which is manufacturing flexible polyurethane foam and it will only see advantages of that rolling out. I would say all the best and look forward to meeting you in the quarterly earnings time which is the first week of August sometime.

Moderator: On behalf of Sheela Foam Limited, that concludes this conference. We thank you for joining us and you may now disconnect your lines.

Call: Nov 2023

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CIN-L74899DL1971PLC005679

November 08 , 2023

To

The BSE Limited The National Stock Exchange India Limited
Phiroze Jeejeebhoy Towers Exchange Plaza, Bandra Kurla Complex
Dalal Street, Mumbai -400001 Bandra(E), Mumbai -400051
Scrip Code: 540203 NSE Symbol: SFL

Subject: Transcript of Investors' Conference Call for Quarter and half -year ended September 30th, 2023 Financial Results.

Dear Sir/Madam,

Please find below the transcript of Investors' conference call organized on November 03, 2023 post declaration of Financial Results for the quarter and half year ended on September 30th, 2023 for your information and records.

Thanking you,

Yours truly,
For Sheela Foam Limited

Md. Iqbal Ahmad
Company Secretary & Compliance Officer

Sheela Foam Q2FY24 Earnings Call

Ronald: Ladies and gentlemen, good day and welcome again to Sheela Foam Q2FY24 earnings group conference call. Please note all participant lines are in the listen only mode as of now, there will be an opportunity for you to ask questions after the presentation concludes. Please note that this call is being recorded. We request that you place your lines on mute except when asking a question. Some of the statements by the management team in today's conference call may be forward looking in nature and we request you to refer to the disclaimer in the earnings presentation for further details. Now, I'll hand over the floor to Mr Siddhartha Bera, CFA, Consumer Durables Research. Please go ahead. Thank you.

Siddhartha: Thank you, Ronald. Good day, everyone. We'd like to welcome the management and thank them for this opportunity to take us through the Q2 results and to answer your questions we have with us, Mr. Rahul Gautam (Executive Chairman and Whole Time Director), Mr. Amit Kumar Gupta (Group CFO) and Mr. Iqbal (Company Secretary). I will now hand over the call to Mr. Amit Gupta Ji for his opening remarks and over to you, sir.

Amit Gupta: Thank you so much and good morning everyone and thank you for joining the earning calls for the second quarter of 2023 of Sheela Foam Limited. I welcome you all to this conference call. I also thank Nomura for organizing this call and helping us through this call. Please let me first take you through the results of the first quarter, financial results of the first quarter of Sheela Foam Limited. So Sheela Foam achieved a revenue of 613 crore for the quarter ended, September 2023. If you compare it with a year on year revenue, this is lower by around 10%. There are three specific reasons for the same. The first one being we have already highlighted in our last quarter that we have increased the prices of our Sleepwell brand on the online segment and have introduced Sleepwell for reasons

we have explained there. We see good traction in the Sleepwell brand on the online segment and it is growing very fast. However, it is still a little bit of time before it can reach to the same level as SleepX, so to some extent, it has affected the top line.

Secondly, the raw material prices have been continuously falling for last one year. So though they don't have any impact on the profitability of the company, but yes, as an optics from a top line perspective, it impacts there and the top line appears to be lower.

And I think the final and the most important thing that we faced in this quarter is that the festive season this t

ime is starting a month later. So usually Diwali festival used to be there in October and the sales started from September onwards, which happened last year. But this year, Diwali is in November and the sales have started in October and of course, we see very good traction in October since we are already over with October. But yes, as a quarter, the second quarter was a little lower.

If we see on a consolidated basis, we achieved the turnover of around 1253 crores. Sorry, we achieved a turnover of around 800 crores. Sorry, just give me one sec for the first half of the financial year 2024 our consolidated revenues were around 1258 crores which again was around 10% lower in comparison to last year for obvious reasons. The international operations are better off or at the same level but the main impact that has appeared here is because of the domestic level, we have been able to maintain EBITDA in amounts which has resulted in better EBITDA margins, but absolute amount remains 144 crores which has contributed to a PAT at the bottom line of around 88 crores.

So apart from this, I would also like to highlight on the other two segments in which we operate. So the technical foam has been doing good from a quantitative perspective. We are better in volumes on the technical foams primarily driven by growth in the OEM segment, especially automobiles. However, furniture cushioning and comfort foams are a little bit lower in comparison to what we did last year, primarily being affected by the festive season. We expect these volumes to pick up from October onwards and the results will be visible in the next quarter results.

I would also like to brief you on the recent acquisitions that we have completed. So last time we mentioned that we have signed two acquisition agreements. We signed an agreement for acquiring 35% in the furniture company, Furlenco and we also signed for acquiring 95% stake in Kurlon. We are very delighted to communicate that we have completed both the acquisitions. Furlenco was completed on August and Kurlon has recently been completed on 20th October, just 10 days back.

One of the best things that has happened to us is that we have been able to complete Kurlon on time we intended. We had mentioned that we should be able to do it by around mid of October. This one has given us an opportunity to take over the company and control it avoiding any lack on the part of the 12 promoters since they had already sold the company. And secondly, just being before the festive season, it has given us an opportunity to drive the volumes right from here so that the company doesn't instead of going down, which generally happens in any acquisition, it starts moving in the positive direction.

We have been in touch with the management team of Kurlon for the last 13 weeks along with our consultant, figuring out the decisions which have to be taken right on the very first day and also the different areas of synergies which we can explore and execute. We figured it out in that period before we took over the company. And the result was that as soon as we took over the company on the next day itself, we could implement a lot of decisions which were required for the company now to take its growth to the next level. Also, all the synergies have been identified, they are already put into execution and we hope that some flavor of it would be available in the October to December quarter. And a good amount of synergy benefits should be available in the January to March quarter with full year benefits coming out in the financial year 2024 - 2025. I would also like to update that Furlenco is also moving in the right direction. So we have paid out of the equity proceeds as well. They have put a sizable portion of the debt, reducing their interest cost to a large extent. They also have now capital for investing in the new assets, creation of new assets by which they would be able to improv

e their top line and hence

the profitability and they are well on track to achieve break even by the end of December of the current calendar year.

On the ongoing capex program just a little bit of an update. We are, we have almost completed the capital expenditure or the plant set up at Jabalpur for our mattress for every Indian. The plant as scheduled will go online from December onwards and we will have the first lot of production in this particular quarter with full quarter coming up as the January to March quarter. In the meantime, we have done a lot of pilots in different districts across the country and the response that we got is very encouraging and we hope that this would be a landmark in the history of the company. As regards the capital expenditures in Australia and Spain are concerned, they are also on track and we expect to start commercial production by end of

December on both these two plants.

With this background, I would now open this particular forum to the overall audience and would be happy to answer any queries or clarifications that is required of us. Thank you.

Ronald: Thank you very much, A mit. So investors on the line, thank you so much. We will now open the floor for a Q&A session. If you would like to raise a question, please use the raise hand button located at the bottom right hand corner of the Webex page, we will unmute your line and prompt you to speak. Or you may submit your questions via Q&A chat box addressing to our panelists. Please be reminded to keep your questions to a maximum of two. If you have more questions, please return to the queue and we will prompt you again. All right, So we have the first questions coming from Ritesh, Ritesh your line is unmuted. Please go ahead.

Ritesh Shah: Hi. So, thanks for the opportunity so, my first question is on Furlenco, you did indicate about releveraging debt repayment over there. Can you give some headline numbers on revenue Ebitda interest cost? How much was the debt? How much has it got repaid? And how, how are we looking at the interest cost movement? A related question specific to Furlenco, how are we looking at the incremental strategy along with the home first stores that we have? So that's a broader question on Furlenco. That's one. And the second question is I think Tarang has been launched on a pilot phases, just was trying to understand what is the product mode over here along with the price point and the addressable TAM, that's the second question and congratulations for two recent campaigns, I think it has gone pretty well. So, yeah, those are the two questions. Thank you.

Management: So, Ritesh, I'll try to answer questions if I miss out anything, please point me out at the end. So Furlenco has a total debt in the range of around 350 crores including the component of capitalized lease, so the debt on books was around 200- 225 crore rest was capitalized lease. Out of which they have paid around 200 crores of debt which has brought down the interest cost by around 60%. Going forward if you look at an operational EBITDA perspective, they are operationally EBITDA positive as on date. But primarily as you could see that still there is some debt remaining there, there is interest cost, which is what we intend to cover in the next two months. And that's why I have indicated that by the end of this calendar month, we should be able to break even, meaning that we would also be able to recover the interest cost, which is being currently incurred.

Ritesh if you can repeat the second question, please. Sorry for that.

Ritesh: Hello, am I audible. So my second question was more on the product Tarang, what is the differentiation on the product? What are the price points over here? And what is the addressable TAM that we are looking at? And how do we see the ramp up of this product? And will it be able to recoup the volume loss probably for SleepX that we have seen e

ither by

Sleepwell or through Tarang? That's the second question. Thank you.

Management: So, I think we had a market. We have already recouped, say around 40 to 50% of the loss in SleepX volume that we had done through the Sleepwell brand. It is not a question of just recouping those volumes. I think the volumes that we are looking forward from Sleepwell are much higher. We have launched recently a very aggressive advertising campaign. And apart from branding, we have also seen its impact on volumes. The new mattress that we have launched Nexa which is at around 25,000 price point is something which is returning good results. And we hope that the volume should be much higher than what we thought in SleepX. As far as mattresses for every Indian is concerned, it's a volume product and the success of that product is only determined if we are able to sell a very high volume of those mattresses. So we are not just looking for recovering these volumes, but we are looking for entry into a totally new era where on one hand, we have the brand strength of both Kurlon and Sleepwell. Now, instead of competing with each other, we'll be acting complementary to it because of their precise positioning, And on the other hand, we are hitting the untapped market, Indian market in the rural and semi urban areas through the Tarang mattress. So it will be a different scenario altogether, Ritesh. As far as TAM is concerned, target market for Sleepwell and Kurlon, it will continue to be urban and semi urban. Whereas for the mattress for every Indian that is, Tarang, it will can be more on the rural side of it and the lower end of the semi urban market, I hope I have answered.

Ronald: All right, thank you very much. Ok, next question will be coming from participant Arjun. Arjun your line is unmuted,, please go ahead.

Arjun Khanna (Kotak MF): Sir, my first question was just in terms of the merger related synergies. Now that both the transactions have been completed, I was hoping that some data could be provided how you actually see this pan out. So just in the interest of the investment community just to get an understanding of, of the merger related synergies, I was hoping to see some data if you could just talk about it.

Management: Sure. So Arjun, there are multiple synergies that we have identified. Some are at the back end and some are at the front end. Though it's a very difficult task to actually or precisely quantify these synergies, but I will just try to give you some idea of what we are looking at. So, on the back hand, I will start, the very first thing is we are a foam manufacturing company and Kurlon has traditionally been a coir manufacturing company, though as on today, also, more than 50% of the material is foam material, but if you look at it, our ability to produce foam, both in terms of chemistry as well as in terms of output is much better in comparison to Kurlon. So the very first thing that we are embarking on is to derive the same level of economic benefits both in terms of yields as well as in terms of quality from the foam which Kurlon is currently manufacturing. So that is one part, the second part is both the companies have been in different economic cycles. K urlon was in a different cycle and we have identified that there were different price points at which both were purchasing raw materials. We leave aside what we could negotiate or what we could do because this is a different type of market. But even if we basically derive the lowest common denominator between the two, still we find that there is a lot of saving which can come out of that, which of course is a very low hanging fruit and we intend or we have already started our journey towards it. The third synergy that we see is in the form of logistics. Till now, yes, we had a Pan India network and Kurlon also had a Pan India network, we were able to supply to our customers from a reasonable level of dista

nance. But now

this footprint has further deepened, which means that you can supply to the customer from a particularly shorter distance. One it helps you in terms of logistic cost. And secondly, it helps you in terms of time to customer, which is again a very important factor in this particular segment. So these are broadly three, there are many others also, but I have just given you the major three ones which are at the back end, And I think at the front end also, first of all, what will happen is we will stop cannibalization between the two brands. So it is previously there was a lot of competition that we were fighting in the South and the East. Whereas Kurlon was also trying to fight it out in the North and the West. Now the positioning will be much faster, not to say that both the brands would not be Pan India, both the brands would continue to be Pan India and be selling across the country. But we will definitely work on the positioning of both the brands across the country such that each brand stands for a particular value delivery and then it becomes complementary between them that both of them support each other in their respective areas to provide the customer the value which each particular brand is giving.

Now, this is something which is I think we have done a lot of brainstorming and to some extent we have laid down certain things, but this would be another few months wherein we execute it on the floor in the market or in the field and we see how best this can be achieved without affecting the existing infrastructure or the existing strength or the existing people that are associated with both the brands.

Arjun Khanna (Kotak MF): Sure, thanks for this overview. But is there any specific milestones we can call out? So as investors, how do we know that the merger or the synergies are coming out in the right direction? So if you could just probably quantify it by the next quarter and give us some data that would be helpful, Sir. Just in terms of milestones over a 2, 3 or 4 period, what we anticipate from the same, but thank you for the same. Sir my second question is related to the expenses part of it. Is there any expenses you'd like to call out that would happen in the third quarter since we did consummate it in October?

Management: Ok. So I'll start take your first thing, one see, I would not be able to give you an absolute rupee amount to that, but we are pretty confident that from the three backend synergies that we have mentioned, the consolidated or the combined ebitda margin should have an impact somewhere between 100 to 200 basis points on a combined entity. What ultimately it will come out, I think give us a little bit more time because putting something on an Excel sheet and actually executing it on the floor are two different things. As far as the outer timeline is concerned. I think this has started being executed and you should see good amount coming out in the fourth quarter of the current financial year. Some impact would also of course be visible in the current quarter as well. But since we will be combining both the companies and there will be a lot of issues which have to be handled, you know, in an integration, those have to be taken care of. I would request that you observe the fourth quarter and definitely there you would be able to see benefits in the financial figures in the next quarter.

On the expense side of it, I think now Sheela Foam is a different company from what it had been say around a few years back. We have now two national brands. We are absolute leaders

across the country and hence, it becomes more important that the company now spends certain resources on things like advertising to take both the brands to the next level, strengthening of the management team, who can then take over all these activities and can realize the benefits which should come out from both the size and the integration of both the brands. So I

believe

that going forward, these will be the two areas which should be, which will be interesting from a, from a cost perspective. But given that I think more important is we are in an industry which works on a 40% gross margin and we are pretty confident that whatever expenses we will be doing here would be coming out of the expansion in volumes with some of it being converted to the bottom line in the form of EBITDA achieved by the company.

Arjun Khanna (Kotak MF): Sure, thank you for the same. Sir, just the second question in terms of Tarang, if you could articulate possibly, what's the output that we could generate from the Jabalpur plant? You mentioned, you need high volumes. So what's the minimum top line do we expect from the business to be break even or to move towards profitability?

Management: So, Arjun, the way we are looking at it, see in our case, the foam plants are not like standard capacity plants. If you see why we put up our plants is mainly in the past, why we did it was mainly to expand our footprint because the cost of setting up of the plant was potentially at times lower in comparison to the volumes that you got from a particular micro market and it was a long distance to serve that micro market. So you went near the micro market and set up a plant there. So even if you look at the Jabalpur plant, the plant has no limitations in terms of capacity. So if I run the plant 24 hours, probably I can feed half of India. But that is not what is important. In this industry what is important is how strong is your distribution network, how the product is being liked by the consumers, and it is able to penetrate across the segments that you want to penetrate. I can say, for any amount of volume that is being asked by the market, Jabalpur plant is capable of delivering that volume. No restrictions in terms of capacity or ability to produce foam.

Management: So Arjun, let me just come in on that. So we should be starting in December this year and we expect that in two years time, we should be looking at a top line of 300 crores and that will be well, well past the break even point. So I can calculate or evaluate the exact break even point, but we'll get back on that. But in two years time, we should be at a 300 crore level.

Arjun Khanna (Kotak MF): Sure, that's really great to hear and wishing you all the best.

Rohald: Thank you Arjun and management. Hi Sid, I believe there are some questions from Q&A chatbox. Would you mind read out the first one? Thank you.

Siddhartha Bera: So sir, there are a few questions, one is from Jainil, he's asking about the total revenues we can expect for Kurlon and Furlenco in FY25, and what kind of EBITDA margins also to expect?

Management: Yeah, so currently if you see financial year 2023 Kurlon had a revenue of 850 crores. Since this year was the year of acquisition, we are not forecasting any revenue for this year, but we are pretty confident that should be the volume which should at least be achievable. However, if we look at financial year at 25 we would be targeting a minimum of 1000 crore from Kurlon and a minimum profitability of at least say around 10% EBITDA which amounts to around 100 crores. Though we are hopeful that if these synergies are implemented, we should be somewhere between 11.5 to 12%. On Furlenco currently, Furlenco is at 156 crores in the last year. This has a break even and a total break even at PBT, with PBT break even at around 210 to 215 crore. And please remember this is not sales revenue, this is total rental business, 95% of the business is rental business. So though it may appear to be a small figure from a top line perspective, but this employs an asset of more than 300 crores to generate this revenue. So once we achieve the break-even in December this year, next year, definitely we are looking at some positive profitability at the PBT level beyond break-even. However, our inten

t with

Furlenco is not to push it just for profitability immediately. Yes, we have a three year plan with them where they have to achieve double digit PBT margins. But before that, what we would be more focused on is that they are able to create assets which can then be deployed for generating of revenue. What happened to them in the last one year was because of paucity of capital. They could not generate the assets in line with the demand that they had from the market. And once they achieve PBT positive, by the end of this calendar year, they would be looking for developing those assets to be deployed further in the market and expanding their market reach. With a brand like Furlenco in their pocket and capabilities like the digital

capabilities that they have, designing capabilities that they have or the manufacturing capabilities that they have, it is very important that we leverage those capabilities and expand geographically before the other players capture the market at different places, which then makes it more costly for us to enter those markets.

So I think the question is there is that FY25 what is the expectation of the revenue?

So Kurlon will be about 1000 crores. Furlenco my understanding, 300 crores and Sheela Foam would be about a 3200 -3300. Sheela Foam would be, yeah, almost at the same level. Yes, you are right. So totaling to a 4600 crore level in FY25.

But Furlenco top line would not be consolidated with this. Yes, they are independent, whatever will come will come. Sure. Sure.

Siddhartha: Ok, sir. So the second question is from Aditya. So as a minority shareholder in Kurlon and who hasn't taken part in the recent buyback from Kurlon, what can we expect from Sheela Foams now?

Management: So as per the, let me take that question. So look as for the arrangements, all shareholders who were unable to join in the selling process, it is the responsibility of the erstwhile promoters to acquire them and then pass them on to us. However, in a rare case, if it will happen and doesn't go through that process, we would be happy to consider an open offer.

Siddhartha: Ok, sir. Got it. Ronald, we can take other participants now.

Ronald: Ok. Thank you Sid and management. I believe Ritesh has some follow up questions. Ritesh your line is unmuted. Please go ahead. Thank you.

Ritesh: So I have two questions. One was specific to Tarang, what is the sort of distribution model that we are looking at? Predominantly Kurlon and Shila Foam we understand it's more Tier 1 and Tier 2 and probably Tier 3. The addressable market over here is very different. So can you give us some specifics on the distribution model and how are we looking at incentivizing the channel specifically given we had indicated earlier that this is something which is likely not to sacrifice on both margins as well as return ratios. That's the first question and the second question is specific to Furlenco. We do see that Furlenco folks are also opening up retail stores. There were two, there was one large one in Bangalore, one more, And how does it mix or mix and match with furniture first retail stores which are there? So are we looking at Furlenco to go more into offline by their own stores, how should we understand the allocation? Those are the two broader questions? Thank you.

Management: Ok, Amit I'll take that question. So as far as Tarang is concerned, we are looking at a completely different distribution channel. The current channels are, as you rightly said, from metros to tier one to tier two and tier three and maximum in a few cases up to tier four towns. But here we are going right the other way around which means that we reach to the tehsil or the block towns. And the model that we are envisaging is actually going to be overriding on what is, what's called as a small town distribution system practiced by FMCG products and the likes. So these are distributors who are in dis

trict headquarters and they have their little vans which do the rounds of the tehsil and the taluks and the block towns and this is what we have piloted on and find that as, as useful. The difference is the distributor will not be an exclusive distributor like we have here. And, and that makes it far more economical. The truck that they would be having to go around would also be carrying some other material. And we, we hope we will, we are looking at just blowing this up on the entire 600 or 700 districts that we have. The second question that you had on the two retail stores which Furlenco has opened. So one was already in operation when we took over, the other one was on the drawing board. The fundamental or the philosophy behind the two stores is that a furniture is an item which has to be felt, which has to be experienced. And or whether over a rental possibility or a sale possibility. In either case, it makes more sense for people to see it in reality.

Now, this is actually, and, and the two stores are lending more credibility to this. The sales have gone up in that area, the rents have or, or the rental part has gone up in that area where there is a store which is in place. This is all lending credibility to our plans that of the exclusive stores that we have. We should be able to leverage them for Furlenco products for rental less our and for sale more. So today, as Amit said, we have a 9 - 5 break which is 95% is rental and 5% is on sales. We expect this to go more to 45 -55 level or a 50-50 level very soon the moment that we are able to do it. So we expect that out of the 5000 odd stores that are with, with Sleepwell and some more to come with Kurlon, we should be able to put furniture on at least about 20% of them and grow that furniture from there.

Ronald: Alright, thank you very much management. Ritesh if you have any follow up questions that you would like to ask later on. We will now take the next question from Anik. Anik your line is unmuted, please go ahead.

Anik Mitra: Good morning, am I audible? Thanks for taking the question. Sir my first question is like you are explaining regarding the, regarding stopping the cannibalizing effect due to both of the brands together. Now from a layman's point of view, like when a consumer goes to the market and if he has option for like both of the options like Kurlon and SFL Sheela Foam together, so which obviously they have to, like the consumer has to pick either of these two. So in that aspect, like how this cannibalizing effect can be stopped because one brand, if I'm taking up one brand means I'm again suppressing the another brand.

Management: So let's look at it like this, that today the consumer has 50% and I'm just taking a number but close to that, a 50% say in what the product he or she is buying and the balance 50% is of the retailer, the retailer and the consumer decide together that what product that they want. The products that in the past have been developed, whether by Sheela, which was a primarily a foam mattress company or by Kurlon, which has been a rubberized coir based company. Each company added all the possible products into their line. And that's where the confusions grew.

Our research on the consumer research shows that when told properly, people know for sure whether they want a coir mattress or they want a foam mattress. And therefore going forward our strategy is that we sharpen the positioning of both the brands. So Sleepwell will stand for a modern mattress, a technology based product, a variety, you know, with comfort levels, etcetera, which are variable, that kind of a positioning; while a Kurlon product will be based on natural product, organic product, recyclable product. And people, you know, who have a sort of affinity towards nature. So that's how the positioning would be. We've seen that in the past that we may have added many products. But there are, there is a consumer w

ho wants A or

who wants Sleepwell or who wants Kurlon and we are only trying to sharpen that and make that better.

Will there be a 0% cannibalization? Probably not. But we expect this to be very, very minimalistic, you know, yeah and all the all the business, let's say a coir business should come at the expense of the other coir mattresses or the unorganized parts.

And similarly, for the foam side, it should come from the unorganized sector to Sleepwell. So as we sharpen, we will also spend a lot of money or considerable amount of money to increase the brand salience of each one of them.

Anik: Fair enough, Sir. My next question is, probably this question may be repetitive in nature as I joined almost 15 minutes late due to some technical glitches. So sir, like for the last five quarters, we have been seeing some kind of the degrowth at the top line year on year basis. So like is it the effect of the low volume or uh like is price erosion? So what it is?

Management: So Anik, first of all, let me assure you that this is not a repetitive question and you are the first one asking that. So, thank you for that. The reasons have been very different and we've, you know, in the recent roadshows, this was a question which was repetitively asked and the reasons have been very different from a quarter on quarter basis. However, all I can say is that as we have pulled out, you know, from the post COVID times, we have been strengthening our, let's say we have been strengthening our positions and getting prepared for the future. I, maybe I'm not 100% legally correct in saying it. But let me, let me just say as a reflection of a quarter that has ended and we are talking to you about it, but there has also been a month that has gone by and you know, when Amit was saying that the festive season has moved and we, we have strengthened our leadership team and we have started advertising and promoting for our brand. These are a few things that have already brought about the change. I may not be able to speak on numbers, but you will see a different picture as we kind of go along. And of course, the consummation of the acquisition has also been a part of or at least responsible for in the past for a little bit of resources and focus to go away. But as far as the future, that's the addition or the inorganic addition that that will play an important role in. So, in a nutshell, if I, I mean, yes, you're right on the five quarters. but the future is not gonna be like that.

Anik: So sir, was there any like erosion in the prices as well?

Management: Yes. So on the, what we call as the industrial foams or the furniture foams, etcetera, they are relatively more commoditized and there the prices do go down. And therefore, this is one reason which I didn't want to talk about, that there is a sizeable drop in the raw material prices and therefore, the selling prices of the foam products has also and which has

impacted the top line and then being reflected as a de-growth.

So Anik if you see, yes, whenever raw material prices go up, you will find selling prices of segments other than mattresses going up. And similarly, it is the case in the reverse. So though you might see the impact on the top line in terms of absolute rupees. But if you look at profitability, the profitability has not been impacted, rather reducing raw material prices to some extent has improved the margins that we are making. So if you look at the contribution margins that we have been doing or we have done in this quarter or the half year, they are a percentage to point to 2% point higher than what we had done in the corresponding period last year, which implies that our operational profitability is better. But yes because the volumes are lower for the reasons we have cited, it has impacted our ebitda. Even on the cost side, we are not extravagant. You see that it is only two costs which you might find or rather in this

quarter it

is only one which is the manpower cost, which has gone up a bit. And there are obvious reasons which we have explained just now why the manpower cost has gone up. But we anticipate that with increasing volumes and with the product portfolio which has 40% gross margin, we should be able to derive better results with these investments.

Ronald: Ok. Thank you very much management and Anik. If you have any follow up questions, please use the raise hand button again.

Now we'll move on to the next person. Nihal your lines muted. Please go ahead.

Nihal Jham: Good morning to the management. My apologies again, even I joined a little late. So I had a question, apologies if it was repeated, that the mattress business while the earlier participant also highlighted the overall business has been seeing a de-growth over the last six quarters. And in Q1, we did allude to the fact that SleepX as a business had been taken away. So would it be possible to give a sense of what was the core, what was the de-growth because of Sleepwell as a brand excluding the impact of SleepX in Q2.

Management: So, I mean, let me just repeat the question so that I have understood it. You're saying in Q2, what was the impact of withdrawal of SleepX as far as the mattress business is concerned? Is that correct understanding?

Nihal: Yes, yes, Rahul ji. That is what I was alluding to.

Management: So on an analyzed basis SleepX had gone up to a level of about 120 crores. And when we withdrew it, of course, we did not withdraw it physically. What we did was to actually increase the prices which appeared and which made it profitable, but which also appeared as, not the right and therefore the sales kind of went down. And I think it dropped to about 10-12 crores annualized. Sleepwell has been taking that position and has been growing. Currently, I would put the Sleepwell numbers in the online business at about 45 to 50 crores annualized, but it is improving month on month basis and actually improving pretty well. So if I took the full year, the impact of SleepX being withdrawn and Sleepwell coming in, I would say that you would have lost about 25% in the current year that I'm talking about, on an annualized; but if you go to the next year, it would have, it would have crossed, it will cross those numbers and not only cross those numbers, it will also get profitable, it is already profitable and we'll continue to have profitability.

Nihal: So just to be sure there was in total an impact for a full year basis of around 100 - 110 crores from SleepX being taken away or say the prices being high. Some of it was made up by Sleepwell's increase. So net net on an annualized level, 80 crores was the impact which ballpark would be around 20-25 crores a quarter. Would that be a right understanding of the choices?

Management : That's right

Nihal: That is clear, a related question to that Rahul ji was that we, we knew that SleepX as a business was obviously lower gross margin. If I look at the TDI prices, they have seen a decent correction versus last year of around 30%. And even there is a benefit of a product mix, I would say with specifically the mattress business, seeing a better mix of Sleepwell, so isn't the increase in gross margin should have been higher versus just the 190 bps that we've seen in the Q2 quarter?

Management: So Nihal, I would say that look the, the reflection on the gross margin will automatically come and the impact of TDI is far lower than the other chemicals and the other things, you know, I mean, polyol is about 60-65% you use polyol and TDI is only used about 30-

35%. So if you just put all that up and it's a, I mean, it's arithmetic that goes on there. So whatever is an outcome is an outcome. But because we don't decrease in decrease any Sleepwell prices, therefore, I don't see it.

So, I see from a margin perspective, I think there is improvement a

nd you are right that the improvement is primarily because SleepX has been converted into Sleepwell mattress, Sleepwell margins which are higher. But broadly, if you see the margins that are coming out of it is a combination of all the products that are here. So I can tell you the margin, the gross margins on Sleepwell, it has gone up and has increased by the similar percentage that I mentioned to you. But yes, at the same time, technical foam, if you see have gone up in and the mattress has come down. Whereas the remaining two segments like furniture foam and comfort form has almost been at the same level or a little, a little lower. So if you look at the mix, I think that this is the result, what is ultimately coming out. But you are right, once these two segments also recoup the increase in contribution margin should be higher than what it is appearing currently.

Nihal: Sure, point taking just one final question if I may, how would Tarang's pricing compare to the erstwhile Starlight brand that we have? And how would the distribution be different versus what we did for Starlight?

Management: So, Nihal on the construction part of it, it's very different from Tarang. Tarang is a good solid foam, solid mattress, while the Starlight was more of an EPE plus kind of foam construction. So they are different from each other. And therefore a comparison may be a little, little different, but the price points may be similar. Tarang, the advantages come in from the ability to come - number one uses a technology to produce, which brings down the cost of foam by at least 15 - 20%. But that a centralized plant and therefore we have to transport to all the parts of India. But this foam also allows saving on the transport cost by compressing and transporting it. And that's very different from a Starlight product. And the third is of course, on the distribution side, I just shared with you or rather on the call that the distribution is not through the regular zonal distributor, area distributor and then the dealer etc. Therefore, the amount of money that is spent on the distribution is far less. And these are the advantages that Tarang would bring to the table as compared to Starlight.

Nihal: Sure point taken. Thank you so much Rahul ji and management. Thank you.

Ronald: Thank you. Next question is coming from Namit. Your line is unmuted, Please go ahead.

Namit Arora: Thank you for the opportunity. My question to Rahul ji is that while Kurlon has been a successful business, you know, obviously with your success at Sheela Foam over the past many decades, there could be very valuable learnings and experiences that you would bring to bear on Kurlon. So I would be grateful for your initial thoughts on how you intend to leverage that to take Kurlon to the next level, given all your experiences and learnings. Thank you.

Management: Thanks Namit for a great question. You know, that's been on our minds all this while. The first step that we would do is to just allow Kurlon to go back to its normalized levels of top line and its normalized levels of Ebitda, which it was used to and which it was delivering for years together before COVID. So that's the first step and which is simple policies, procedures, decision making, etc and leveraging some administration and some let's say leadership issues from one company to the other. So that's the first step.

The second is of course, the synergies that would come in which Amit pointed out a little earlier, right from procurement of raw material to formulations for making foam, to getting the yields or improving the yields out of it. And then the ability to supply it from the nearest manufacturing facility to the market and thereby saving transport costs.

The third level with, of course, some of them will go along simultaneously. The third level is the front end part of it. And in the front end part, we are quite aware that there are

geographies

where Kurlon is extremely strong, South of India, East of India. And unfortunately Sleepwell, has not been as strong or has been rather weak in those areas. In the North and the West Sleepwell is an extremely strong brand. Now, the strong brand means it brings the relationships, it brings the distribution along with it and we now would leverage the South ones for Sleepwell and the North ones for Kurlon and thereby increasing the distribution and the availability of the products. The brands are known, very well known throughout the country. It's the distribution, the availability of the product, that, that we will, we are working on.

So I think on these three steps in the coming times, we should bring this integration to be beneficial to both the companies and to end up with a one plus one far more than two ways.

Namit: Got it. That's extremely helpful. Thank you very much for your detailed thoughts and all the very best to the entire team. Thank you, sir.

Management: Thank you, Namit. Thanks so much.

Ronald: Thank you Management, next question is from Abhinav. Your line is unmuted, please go ahead.

Abhinav Hans: Yes, So my question is related to your overseas operations. So one is if you look at Australia, the gross margins are high and relative to Spain the ebitda margins are much lower. So what is the specific reason for that? And what is the reason for fall in margins in both geographies as well and on a YoY basis?

Management: Abhinav,, if you look at Spain and Australia, first of all, they are not comparable, because even if you see the absolute ebitda margins, they are very different between Australia and Spain. If I remember correctly, Spain has around 30% whereas Australia has around 50% gross margins. They are different operations, even from the perspective that Spain has only one facility, it supplies to the European market, whereas Australia has six facilities across Australia and New Zealand and it supplies mainly to the Australian and New Zealand subcontinent, which is a different market altogether. Now, coming back on the margins, I think what we intend is what our expectation from these overseas operations is that they should be mid to high ebitda margins. During the recent past, first because of COVID and then because of extreme competition, due to the falling commodity prices, there were some pressure on profitability. But Spain has been able to achieve ebitda margin of 11.5% for this quarter. Australia, yes, I agree that it is lower, but it has still improved from 6.2 to 7.7. But that's not what our expectation is, This should also move gradually to more than 10% and maybe in a few period should move to mid teens margins which we believe is the optimum level for the type of business they do in these particular geographies.

Rahul ji: So I'll just add to that Abhinav as Amit said, they are, I mean, they are completely different as to the way that business is done in those areas. In Australia, the pass on to the consumer is very different in the sense that there are some big customers where the pass on happens in 3 to 4 months time and there are some customers, but even it goes up to five months. So if there is a fluctuation in raw material prices, it takes a little time for passing on the the prices, and this, what we are seeing is only an reflection of that. As we go a little forward, this will get back to the 10 or the 10 plus levels that Australia is known for or that is our expectations from there.

As far as Spain is concerned, it's a little more I won't say volatile but a little more moving, easy moving and every month they kind of change prices. So there the experience that is primarily on the top line and that's because whatever Europe is going through at the moment, everyone fully understands that though we are not impacted that much because our market share is extremely small and we still have capabilities and capa

cities to increase which we are, which we are going to do and which we are doing. So on a tonnage basis, on a volume basis, it's not going to reduce. However on a top line it may be because the raw material prices have gone down, but the two of them are completely different from the way they operate.

Abhinav: Thank you. Thank you, sir.

Ronald: All right. Thank you very much. With the interest of time, I think we can take only a few more questions. So I, I believe Anik has some follow up questions that you would like to raise the management, your line is unmuted now.

Anik Mitra: Thanks for taking my repeat question. Sir as you, like last, all of our discussions were related to volume. So my point is, like, do you find any impact of the wedding season in the volume? Like, is there any thrust in the wedding season?

Management: Yes, it's, you know, when we look at reasons to purchase mattresses, the biggest season or reason is the wedding season and, undoubtedly, the volumes go up at that time, and, we can see that because these are also voluminous items. They are not possible to store and stack for too long, neither by us nor by the distribution channel. And therefore you see the reflection of that straight away as far as the factories are concerned and the sales that are happening, the impact is immediate. Absolutely right.

Anik: OK, sir. How is this festive season or let's say wedding season ahead? What is your understanding?

Management: So the festive season one, it got delayed a little bit. So, in the last quarter, the quarter that we are talking about, we did not see the impacts of that season, you know, otherwise people tend to pre-buy a little bit, but the October that has gone by which is a subsequent quarter one, we already feel the good impacts or the very good impacts of the season and therefore expect that to, that the next quarter I mean, the reflection of that will be in the next quarter. However, on the wedding season, let me just say that at this time, we have a short wedding season, but this is in the festival period and therefore the impact may not be so much. The other wedding season comes somewhere in February, end or middle or end February and that's a longer one. But thankfully that is a part of the leaner season. So I think these things should kind of balance out, you know, and both the season and the wedding combinations should be almost equal enough for both these quarters.

Anik: And sir, can you throw some light in terms of the current inventory situation in the system? Like, is there any inventory built up at this point of time in this quarter in Q2.

Management: Generally, we don't, Amit can give you some numbers on it, but generally because these are voluminous items as far as foam and foam products are concerned. Number two on mattresses, unfortunately, there is the standard mattress on a national average about 60-65% balance 35% are custom made mattresses or personalized mattresses on sizes and therefore you can't keep the inventory. So generally the inventory levels are low as far as these products are concerned.

(Amit Ji) And moreover, Yeah, I agree. inventory levels are lower than what it had been in the previous quarters. Primarily because we have been focusing very sharply on inventory and plucking out each and every component of it and trying to say that whatever minimum as required for the business is only the inventory maintained. Of course, if you look at October the wedding season, uh sorry, the festive season, we have increased inventory to some levels because that is what is needed at the time when the demand are high. So specifically in October, you would find high inventory. But by December, the festive season would also culminate. And so you should, you should see similar levels of inventory as in the last quarter.

Ronald: All right. Thank you very much Anik for your question, Sorry, I have to cut you short and

I believe given the interest of time, it will help us wrap up the call with the final question from the Q&A box, Sid please go ahead. Thank you.

Siddhartha: Thanks Ronald. So I'll take the last question from the chat box. So, what is the current transport cost per mattress? And what do you expect it to be once Kurlon is integrated?

Management : So see I can't give you movement cost on a per mattress basis because there are, there are different types of products for which transportation is used. But yes, I can tell you that there would be at least 10 - 15% overall reduction, on a per unit basis once we combine, the Kurlon and the Sleepwell footprint.

Siddhartha: Ok, Sir. So that wraps up the conference call. So thank you so much the entire team from Sheela Foam, that was the last question we had and Sir, I'll hand it over to you in case you have any closing remarks.

Management: Thank you so much. Thanks Siddhartha. So thank you all for participating in this earning conference call and asking such enlightening questions. I think Rahul ji has mentioned it earlier also and I'm also of the same opinion that every time we attend these calls, we get to learn something which helps us to implement in our business and improve further. So, thank you so much for that. I hope we have been able to answer your questions. separately if you have any further questions or you would like to know about the company. You can please reach out to our IR managers and advisors and we would be happy to support, clarify or reply to any of the queries that you might have. Thank you so much.

(Rahul ji): Thank you, Siddhartha and thank you and thanks everyone.

Ronald: Thank you. Have a good day. Take care.

Call: Feb 2024

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CIN-L74899DL1971PLC005679

12th February, 2024

To

The BSE Limited The National Stock Exchange India Limited

Phiroze Jeejeebhoy Towers Exchange Plaza, Bandra Kurla Complex

Dalal Street, Mumbai -400001 Bandra(E), Mumbai -400051

Scrip Code: 540203 NSE Symbol: SFL

Subject: Transcript of Investors' Conference Call for Quarter ended December 31, 2023
Financial Results.

Dear Sir/Madam,

Please find below the transcript of Investors' conference call organized on February 07, 2024 post declaration of Financial Results for the quarter ended on December 31 , 2023 for your information and records.

Thanking you,

Yours truly,

For Sheela Foam Limited

Md. Iqubal Ahmad

Company Secretary & Compliance Officer

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"Sheela Foam Limited

Q3 FY '24 Earnings Conference Call"

February 07, 2024

MANAGEMENT : MR. RAHUL GAUTAM – EXECUTIVE CHAIRMAN –

SHEELA FOAM LIMITED

MR. NILESH MAZUMDAR – CHIEF EXECUTIVE

OFFICER , INDIA BUSINESS – SHEELA FOAM LIMITED

MR. AMIT KUMAR GUPTA – GROUP CHIEF FINANCIAL

OFFICER – SHEELA FOAM LIMITED

MODERATOR : MS. JYOTI GUPTA – NIRMAL BANG EQUITIES PRIVATE
LIMITED

Sheela Foam Limited

February 07, 2024

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Moderator: Ladies and gentlemen, good day, and welcome to the Sheela Foam Limited Q3 FY '24

Earnings Conference Call hosted by Nirmal Bang Equities Private Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Jyoti Gupta from Nirmal Bang Equities. Thank you, and over to you, ma'am.

Jyoti Gupta: Thank you, Tushar. Hello, everyone. On behalf of Nirmal Bang Institutional Equities, I welcome all the participants to Sheela Foam Limited Third Quarter FY '24 Earnings Conference Call. The management is represented by Rahul Gautam, Executive Chairman; Mr. Nilesh Mazumdar, CEO India Business; and Mr. Amit Kumar Gupta, CFO.

Without further ado, I would like to hand over the call to Nilesh sir for his opening comments and then we'll open the floor to question and answers. Thank you, and over to you sir.

Nilesh Mazumdar: Thank you, Jyoti.

Rahul Gautam: I think Amit, you would be doing the opening comments, right?

Amit Kumar Gupta: You're right, sir.

Jyoti Gupta: Sorry, sir. Yes.

Amit Kumar Gupta: Thank you, Jyoti, for this. Good evening, everyone, and thank you for joining us for our earnings conference for the third quarter and 9 months ended financial year '24. I would also like to thank our host, Nirmal Bang for hosting this earnings call.

Let me first take you all through the quarterly and 9 months ended financial highlights and then discuss some of the operational highlights. For the third quarter under review, on a consolidated basis, we reported revenues of INR879 crores, which increased by around 15.5% Y-o-Y basis and 43.3% on a Q -o-Q basis. EBITDA for the quarter stood at [INR76] crores , up by about 0.8% Y -o-Y and 15% Q -o-Q. EBITDA margins were reported at 8.67%. Net profit stood at INR31 crores, which was down by about 49% Y -o-Y.

For the 9 months ended financial year '24, our consolidated revenue are approximately at the same level on a Y -o-Y basis at INR2,137 crores. The EBITDA was flat for the year at INR220 crores, with EBITDA margins at 10.3% and net profit at INR118 crores, declining by about 24.5% Y -o-Y.

As a part of our drive to focus on our core brands, Sleepwell brand mattress segment continues to do very well with 26% growth on a Y -o-Y basis. This growth is aided by the two new models under the Sleepwell brand, namely Nexa and Fitrest, which has received tremendous market response on the back of the marketing campaign undertaken during the World Cup.

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On a stand -alone basis, contribution margins have improved by 4.7% Y -o-Y basis and 1.1% on a Q-o-Q basis, representing strong operational improvement in the business and the profitability. EBITDA margin for the quarter on a stand -alone basis is 10.5%. This is in spite of our marketing expenses increasing from 5.4% to 8.6% as compared to the last quarter. Most of the profit generated from improved contribution margin and increase in sales have been ploughed back into the business with minimal impact on EBITDA margins.

Moving to the next financial year, we expect marketing expenses to stabilize between 6% to 6.5%, which is around 2% lesser than the current -- level of the current quarter. Hence, the current EBITDA margin of around 10.5% can be normalized to around 12.5%.

On the other highlights, we have successfully completed both our announced acquisitions, adding Furlenco in August and Kurlon in October to our portfolio. We are happy to report that Kurlon has clocked a revenue with an annualized basis comes to around INR890 crore

s. This

is basis 72 days of sales post our acquisition on 20th October.

EBITDA margin for Kurlon stood at 3.6%, mainly on account of incremental marketing sales expenses, which happen when you take over a company and you have to acquaint yourselves with the entire company and take all the people along with you for taking the business to the next level.

If we normalize it with the selling expenses and the promotional expenses done during this period, EBITDA margins currently stand at around 7% to 8%, which is better than the historical margins in the previous time for Kurlon Enterprises limited.

With this, I hand it over back to Jyoti for any questions that you might have. Thank you.

Moderator: Nilesh sir, should we start for the question and answer session?

Nilesh Mazumdar: Yes, please.

Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Ritesh Shah, an Individual Investor . Please go ahead, sir.

Ritesh Shah: Sir, I'm not an individual investor, still with Investec. Sir, I have two questions for Rahul sir,

two for Nilesh sir, one for Gupta sir. Rahulji just to start with you. First is, if we look at Kurlon margins, do you see sale expenses at 20.1%. Has this number bumped up? If yes, is it a onetime number? How should we look at it? I think we also mentioned that the normalized margin would be 7.8% and not the reported 3.6%. So are there any other one-offs, which are there over here, which we need to look at?

Rahul Gautam: Ritesh, thank you. You're absolutely right that these are one-off numbers. This is just the first 70-odd days and there are many things from the transactions, which are spilling over to this period. And therefore and the other normalized numbers that you talk about are exactly what's going to be there.

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So I would just say that it's in the positive direction, it is moving. There is a lot of expenses being booked at this time, which are abnormal. Just give it another quarter for stabilizing and you will see the numbers that we are talking about. It's not better than that.

Ritesh Shah: Sure. Sir, just to ask an incremental question over here. Have we changed the incentive discount schemes for Kurlon dealers because the thought process was that the larger scale, we will be able to review probably the incentives or discounts with the rate of the channel?

Rahul Gautam: Nilesh, would you please take this question?

Nilesh Mazumdar: Yes, I'll take that question. So deficit is a little more complex than that because there was a set of pricing decisions, which historically had been taken by Kurlon, which made the brand in some price segments and competitors. So as we took charge, some price correction had to be done so that the brand and in those size segments, we stay competitive.

We have right now not yet tweet with the dealer margin. It's too early for us to dealer margin or the dealer incentive program. We will do that gradually. We don't want to rush into it. Let them settle down because it's -- as you understand that in this process like this, there is a lot of apprehension that this in stakeholders have and it's important that we give them that confidence that for them also, things will improve. And as we move into it, we will then take a considered call on how do we want to look at the overall earnings for a dealer.

Ritesh Shah: Sure. This is helpful. So my second question was around [Tarang], if you could detail something incremental on the distribution versus what we had indicated last quarter. How has the response been so far? And you did indicate there were two new brands which were launched, so if you could help the price point and the positioning for the two new brands?

Thank you.

Nilesh Mazumdar: So Ritesh, Tarang, yes. We were -- as we had discussed in the previous meetings that we were

piloting that entire model in rupees we've had a fairly successful pilot. We have got the learnings. And now as we speak, we are now gradually scaling it up in the same parts of the country. We would have now gone into about 3 or 4 odd states. We are taking it step by step by creating a completely different distribution structure and a separate sale structure, which we'll only look at down below 1 lap population in POPs data. So we are getting a good success and month-on-month, almost the business is obviously scaling up the way we desire.

It's also important that we have the implement model in place because as we go across different parts of the country, we should be able to service these requirements through an appropriate manufacturing footprint across the country that we will have for mattress. So that capability also, as we speak, we are building it up. So fingers cross, things are looking positive as far as Tarang and the small town India project is concerned.

Ritesh Shah: Sir, can you detail something incremental on distribution? Because earlier you had educated that we'll follow basically likes of what HUL basically a different distribution model.

Management: Yes, yes. So therefore the distribution model here is we are not going through our existing distributors. We have to understand that we find -- we don't want to create a completely new

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distribution cost structure only for this because these are lower-cost products. So the model that we are following is that we will drive on an existing distribution of FMCG. So therefore, the distributors that we are selecting currently are those people who already have distribution network in the FMCG area -- FMCG category in these markets.

And for them, therefore, it just is an add-on product, which they carry on their existing infrastructure of warehousing, transportation, etcetera. So it doesn't need to create dedicated storage, etcetera, which would have therefore created a high-cost model. So that's exactly the model, which we are now extending to the rest of the country.

Ritesh Shah: And sir, the price point for Tarang versus the new brands that we have launched and the

rationale behind that?

Nilesh Mazumdar: Okay. So Tarang is a completely different model as customer segment, and we should not confuse it with the current and the other offerings, which are there in the urban mid to high end. As we have been saying, Tarang is positioned the customer who is currently using a cotton mattress. A cotton mattress in this country today cost anywhere between INR800 to INR1,200 for a mattress. So that's the customer segment to whom we are taking. Tarang is light set at around INR2,000 with a 3-year warranty on it. So the lifetime value of the product is good. The initial response from consumers also has been rather positive.

Ritesh Shah: Sir, you indicated Nexa and one more brand I missed that. If you could just help with some color over that.

Nilesh Mazumdar: Yes. So therefore, if you see the performance in quarter 3, Ritesh of Sleepwell mattress, we have been able to clock a growth of about 26% in Sleepwell mattress. This has been driven largely through 3 different initiatives. We rolled out the brand campaign on Did you Sleep Well, which was there on World Cup. We can presume maybe some of you may have seen.

The other campaign was to back a product called Nexa, which we launched in the market and which has received very positive response. This is a product, which is superior to what today consumers know of called as memory foam. So this is a product, which is superior to that. It's at a price point of approximately INR24,000 onwards. There are 3 different variants in that. And as we see, the campaign is still continuing and it has been received very, very positively by the consumers across the country. So that is the Nexa model that we have.

The ot

her model that we have launched is called FitRest, which is slightly lower at price points. This has got a profiling to it, a mattress is a profile point to it. This is targeted towards a particular segment that we have been seen perhaps increasing its presence in the country, which is of what is called a covered mattress, where basically people -- local players were piecing foam and covering it in different fabrics and filling it as a mattress.

In order to cater to that segment and having an offering, which cannot be matched by then. FitRest, which is a Foam PU mattress, we have first launched in Gujarat and then we extended to the rest of the country. And once again, very well looking. So these are the two different models addressing to very different consumer segments that we have launched in the market and until now things look positive.

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Ritesh Shah: This is very helpful. Sir, just last question before I join back. Sir, how should we look at Furlenco numbers. We see some headline losses we had guided for some numbers at EBITDA and P AT by December. Where are we over there? And how should we look at the road ahead, increasing stake as well as on the numbers ramp up?

Nilesh Mazumdar: Amit will take that question.

Amit Kumar Gupta: For Furlenco, we've got the results for this quarter. And as you just stated at the moment, the entire drive is to make it profitable and we are progressing very, very sharply on that part.

There has been a delay of one month. What we expected January to be profitable, we would be in February. And we will -- we are operating EBITDA wise, we are already positive in December, but PBT wise, we will start from February.

The moment we get into that virtual cycle of getting positive, we will start then looking at doing all the other things, which we intend to do. But the first is the profitability part. And the top line numbers are also increasing and that's obviously contributing to the bottom line, plus some cost lines and cost reduction of management initiatives are also in place.

Ritesh Shah: Sir, would you like to share some numbers over here? So the margin in the next year, what sort of revenue EBITDA do we look at and the timelines of increasing with the state?

Amit Kumar Gupta: Ritesh, we would also probably give it this quarter and probably the next one that we talk because to us, the first and the most important thing is that the whole operation needs to get positive. They are going in that direction.

As far as increasing the stake is concerned, last time I have already mentioned to you that we do have some available for one year. But besides that, we would look at it. In any case, we have total control as far as the Board is concerned, that the decision-making is concerned. So I just request for this quarter so that when we reported that we are profitable and then we are taking these steps, it will probably make more sense.

Moderator: And the next question is from the line of Nihal Mahesh Jham from Nuvama. Please go ahead, sir.

Nihal Mahesh Jham: Good evening to the management. Sir, my first question was, I think we've done a reclassification of the way we are reporting our segments. If you could just give a ballpark sense I was not able to find the details on the same if they are and maybe a look at that and not take a question ahead. But in case not, if you just want to highlight what are the changes or the

reclassification that you've done in terms of reporting our numbers.

Nilesh Mazumdar: Amit, do you want to get that, please?

Nihal Mahesh Jham: I was referring to the operational numbers, not the earlier reclassification that we had done last year.

Amit Kumar Gupta: So operational numbers, we have -- Nihal, as we have not done any reclassification. What you see in the sheet for the result is because we started reclassification from Q4 last year. So as per

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the requirement, we have to show a comparative of that. But as far as in this quarter, no further reclassification has been done.

Nihal Mahesh Jham: I was referring more to the presentation actually where even if I add up the mattresses, both on small town India offline and online, the number seems different from what we had reported last time in terms of volumes?

Amit Kumar Gupta: So maybe, Nihal, I think you would need a more detailed discussion. And I think those numbers are in tandem but in case you feel there is something different in the numbers in your perception in mind, we can set up a separate call and discuss.

Nihal Mahesh Jham: Sure, I'll just take that offline back.

Amit Kumar Gupta: Sure.

Nihal Mahesh Jham: The second question was on Furlenco that as maybe the business is planning to get more into the sale of furniture rather than renting. Is there going to be a significant capital requirement for the business? And if it is, and how do you plan to finance that? Yes, I was just asking that in case of Furlenco. Would the business obviously be contemplating going more deeper into the purchase and the sale of furniture also, would there be a change in the -- or a higher capital requirement in the future? And how would that be financed?

Rahul Gautam: So we take that as a sort of second phase that we do. As I said, the first phase is just to make that profitable and we are progressing on that part of it. The second phase, which we would sort of start soft the beginning is the furniture which is going to be sold through our stores or through online. And let me just say that the capital that we required for before those assets will be generated from this business itself. We will not be requiring any more capital.

Nihal Mahesh Jham: That is clear Rahulji. Thank you so much.

Moderator: Thank you. And the next question is from the line of Aniket Kulkarni from BMSPL Capital. Please go ahead.

Aniket Kulkarni: Yes. So I have a couple of questions. So post the Kurlon acquisition coming on to the books, can you guide what will be the goodwill and PPA number on a full year basis?

Nilesh Mazumdar: So Aniket, I think we are doing the maths on that. I mean, how this allocation going to be done. We have the current assets and the fixed assets, those are clearly classified. The balance is to be divided between brand and goodwill and franchising and all those kind of things. Amit, am I right that we will take a little more time on allocating those numbers?

Amit Kumar Gupta: Yes, you are right, sir. So the PPA is underway. It is being done currently. You can see you have the balance sheet of Kurlon. So whatever tangible assets are there would remain as tangible assets. And the rest will be all intangible. Whatever name it will be defined with that is under progress, whether it will be goodwill or customer contracts or franchisees or any other intangibles which router is mentioning.

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Aniket Kulkarni: Okay. Okay. All right. And secondly, now the net worth has gone up to INR2,900 crores close the QIP, which you did. So based on this high net worth now, can you manage to do, let's say, 18%, 20% ROEs on this new equity base couple of years down the line was on the businesses, synergies are -- synergies flow through and you can operate both of the businesses together. So will you be able to do such return numbers?

Rahul Gautam: Amit, I would want you to take it. Although I just want to say that as far as this call is concerned, it is still there. The acquisition, which is over, and things are settling down. So this is going to be, I think, the question from Aniket is a little bit, I won't say futuristic, but trying to get a sense of how -- what are we looking at in the next couple of quarters. But Amit, you please take the question.

Amit

Kumar Gupta: Yes, Aniket, just before I detail it, I mean we are pretty confident of getting to the numbers that you had just mentioned. So you see, we were the largest brand in the country with Kurlon

being the second largest brand in the country. And with the acquisition of these brands, the two brands together are now like stronger in almost all parts of the country. So if you refer within the branded segment in any part of India, one of the two brands is a leader in those places. This gives us multiple benefits, which we have outlined earlier also, I would not repeat them. But just for the sake of recall, there are benefits in terms of footprint across the country. So you can reduce your freight costs. There are efficiencies or expertise of their respective companies. Kurlon has a high level of expertise in rubberised coir, making those coir, which we used to buy from outside. We manufacture foam much more efficiently than Kurlon. Approximately our yield is 10% higher to them.

We are able to service our customers from the nearest distance possible. So our freight cost is going down. So these are the things which definitely yield -- would yield tangible benefits to the bottom line.

But what is important here. Important here is that our ability to penetrate the Indian market and to increase our market share is now much more robust. So the next thing that we are looking on is to enhance our presence and market share in the market. And I think with that being in place, the figures that you are mentioning are very reasonably achievable.

Moderator: The next question is from the line of Arjun Khanna from Kotak Mahindra Asset Management. Please go ahead.

Arjun Khanna: The first question is on our marketing expenses. We have broken it out at roughly 8.6%. Essentially, I understand we had the Cricket World Cup, where we had indicated in the previous quarter, we would look at advertising a lot more. But just to get the context of this number, since it would also include the Kurlon acquisition.

So in a sense, if you look at numbers we are spending, if you look at the non -consumer business, and please correct me, the technical form ideally wouldn't have too much of marketing expenses. And if I look at comfort foam that too may not have too much marketing expenses with furniture cushioning. So it's largely the marketing is for the mattresses, is that the right understanding?

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Nilesh Mazumdar: Well, that's right largely...

Arjun Khanna: So if that's the case -- sir, if that is the case, then potentially the advertising seems to be a very high for a turnover of close to INR350 crores, INR370 crores to spend roughly INR45 crores plus. So I just wanted to get context.

Nilesh Mazumdar: Should I take that, Rahul ji?

Rahul Gautam: Yes.

Nilesh Mazumdar: Yes. So yes, you are right that the current spends are mostly on the mattress. However, having said that, there are some expenditures that also happen on the technical foam, etcetera, which is like participation and exhibition, roadshows, so on and so forth. So there is a certain level of spend, but we are at the higher spend obviously happens on mattress.

World Cup, we have to remember is a very high -impact property. So these media costs come at a far higher CPRP. So going forward, we will continue to be invested on the brand. The level that which we will operate is around 6.5% to be overall total. So that's the way that we are looking at it. World Cup is at a far higher premium. It creates an impact in the consumer mind and we have seen the results. But then obviously, every quarter, you don't need to have that level of spend because you may not be taking impact properties.

Arjun Khanna: But with a large...

Rahul Gautam: Arjun, I just want to sort of butt in at this time. And just to add what Nilesh said, I see the point that you are making, but let me shar

e that even the other parts of the business do get impacted in variety of stadiums or by the brand equity of Sleepwell which may not be a direct one. It's not completely correlatable, but it does impact.

So whether even if when I'm going ahead to sell a technical foam or I'm going ahead to sell a furniture foam, I mean there is this issue of saying, this is the Sleepwell Company or this is a Sleepwell part of it, number one.

Number two, I just also want to add that the flavour that we are now doing or changing the direction that you would notice in the last quarter, is that we are consolidating all the other small little brand here and there, which may have been additional or a part of the industrial side or the furniture side and focusing on Sleepwell and the percentage of Sleepwell in the business is on the increase, and that will keep on increasing.

So what you would see in another year's time, is that instead of let's say, a 55%, 60% of Sleepwell to 70% or 75%. And then you are quite right that this kind of spend on Sleepwell will make more sales. But that's the direction that we have done.

Arjun Khanna: Perfect. Very helpful, sir.

Amit Kumar Gupta: Sorry, just to break this, 6.5% which Nileshji and Rahulji have just mentioned, this is a combination of advertising expense plus dealer expenses that we do. So around, say, 1.5% or should be dealer expenses, which is done for all the brands. Just to make it a little bit clear.
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Arjun Khanna: Sure. And sir, since you are giving a breakup, what would we be spending, say, on the other items as in the non -mattress segment, in terms of the technical foam.

Rahul Gautam: I would not be able to off the cuff tell you . But as Amit just now mentioned the kind of expenses there would be on dealer, dealer needs, exhibitions, brochures, etcetera, that we would be doing. But when we look at the overall expense of marketing, we look at it at the total business level, and that's how we allocate.

Arjun Khanna: Sir, the second question is on Kurlon. Now we have mentioned that we have a trajectory to reach 10%. I just want to understand, given that now it is within our fold, do we have some sense in revised timelines ? When do we see this moving closer towards 10% and in terms of synergies, the fact that now it's within the fold, you all would have better access to data. How do you all see those synergies pan out? And how has it changed versus what we envisaged before the transaction?

Rahul Gautam: Arjun, I would say that the first job was to really get it to the normative levels and normal levels of about a INR1,000 crores and at about a 10% EBITDA. And I think on a run rate basis, we may have come very close to it already.

So I'm not seeing too much of time going by before we get to that levels. The synergies, some have started to be coming in. The impact would be felt in this quarter or maybe the quarter after that, which is the operation -- operating synergies, which is a procurement of raw material synergies, which may be on the population synergies, etcetera. So the impact should -- or has already begun. And I'm not going to revise the timeline , but I would say that by the time we closed this quarter, you would see that. Amit, is that right that we would begin to see these changes?

Amit Kumar Gupta: Yes, sir, you are right. So the advantage that we had here was that we started execution of synergy right on the very first day. That is the 21st of October. So that is my strategic advantage has led that in current quarter, though not for the full quarter. It will be spread over the quarter. But yes, in that part of the synergies will be in operation and yielding results.

Arjun Khanna: I'm sorry, could you please repeat that, sir, you're saying a large part of synergies are already within these numbers?

Amit Kumar Gupta: No, no. I'm not saying. So I'm r

eferring to the current quarter, which is Jan to March quarter.

So we started execution on 21st of October, like working on those synergies. And during this quarter, one -by-one those synergies are getting implemented. So what I'm saying is it will not be like all the synergies for 1/4 of a year. But yes, over a period of the quarter as it gets implemented, the net of it would be visible in the bottom line for this quarter.

Arjun Khanna: Sure. Very helpful, sir. Sir, the last question is just on the exports part of it. There was an antidumping duty proposed on mattress exports from India to the US. So I just wanted to understand, has it finally come? What is the duty that has been proposed for us? And in terms of our exports, we had set up a plant for the same. Could you talk about its current utilization? And what is our thought process on the same?

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Nilesh Mazumdar: So basically on the export side, I think what I mentioned last -- in the last week, it continues to be the same, exports have become very, very difficult to carry out because the US, which was the main importer had already imposed it. The import duty is something like between 27% and 30%. And that is just too much for this product to what we call for this product to travel and be there i.e., is there going to be any change in that? Probably not.

And let me say that most of the manufacturing of these kind of mattresses has now become centralized in the US for the US market. I mean, would you believe is that they have even changed the NAFTA rules from imports from Mexico, which is next door are also being levied to some entities .

Coming back to your question of saying the unit that we had set up. So the unit was not a foaming unit. It was a mattress manufacturing unit and with all the modern equipment, etcetera. And let me say that today, we have centralized the production of Kurlon and Sleepwell mattresses in that unit and that's began excellently for supplying to the western part of India. Kurlon was supplying mattresses Bangalore to the west. Now it is from west to west.

So that's a synergy that will be there.

But that unit is -- has already begun and it's completely being utilized. In fact, this is one of the units, which is also close to Mumbai, where most of you are located. We would have an open invitation for people to come and visit it. It's also one of the modern mattress manufacturing unit. So we are happy that we are able to do that.

Arjun Khanna: Sure. So essentially, the product has been -- I mean, the facility has been re -purposed?

Nilesh Mazumdar: Yes.

Arjun Khanna: That's clarified. Thank you.

Moderator: And the next question is from the line of Bhavin Rupani from Investec. Please go ahead.

Bhavin Rupani: My first question is related to Australia and Spain entry, sir. Could you provide some update over here as we could see revenue and margin pressures to continue in this quarter as well?

Rahul Gautam: Bhavin, thanks for the question. Let me first take up Spain, which is part of Europe. Europe has been experiencing almost 25% to 30% of recession. But I already mentioned that we are an extremely small part or we have a very small share of the entire European market, and therefore, the impact or not as far as the quantity is concerned, has not been much. In fact, we have retained all the quantity.

The issue there is that because of the raw material prices kind of coming down, the topline has reduced. I think it's by 10 -odd percent in 12% and margins are retained absolutely. But however, they are on them, what's topline. And that's because of the prices of the material that has fallen.

The current position is that the trend of increasing or the curve changing the direction has already begun. We do take maybe take another 1 or 2 quarters before it gets to the normal

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levels. But we have not lost any volumes. In fact by the end of this quarter, we would actually be increasing volumes. So that's peak.

Bhavin Rupani: As far as Australia is concerned?

Rahul Gautam: It's a pretty steady state, is not increasing too much. But it is not increasing, it's decreasing a little bit. But that's just again because of the raw material prices and because of some regional disturbance that have happened. But it will be, as I said, it will be -- it won't increase tremendously. It won't decrease remember it would be a pretty steady state, and we would be seeing it kind of this quarter that is kind of come back.

But I think it's just the economy need to stabilize the global economies, which impact both Australia and Europe. And these things will be, as I said, on just moving steadily forward.

Spain, of course, we would keep it increasing because we have a very small percentage of the market.

Bhavin Rupani: All right, sir. And any update on the capacity expansions over there has been done?

Rahul Gautam: Yes. In Australia, we've already done. It is commissioned, and we are at the moment in the process of transferring some materials and have also begun to look at a segment of the market, which we were not kicking to, which is the Furniture segment. And now we should see the increase in the volumes. And obviously, the topline results -- that unit is commissioned. It has started operating in the first week of January, around the 10th of January and the impacts would be seen in that.

Bhavin Rupani: Got it, sir. And just one clarification, sir. You have mentioned that in PPT, our volumes are approximately INR 634,000 in Q3 FY '24. Mattress volumes is what I'm referring to. Is it a combination of both Kurlon and Sheela Foam?

Rahul Gautam: Nilesh, do you want to take that?

Nilesh Mazumdar: Yes. That is a combination of both.

Bhavin Rupani: And previous year?

Nilesh Mazumdar: Previous year.

Bhavin Rupani: [inaudible].

Amit Kumar Gupta: So it has been taken in these figures for the period for this Kurlon was in our control. So previous year does not include Kurlon volumes.

Bhavin Rupani: All right. So is it possible to provide the breakup of the current year for Kurlon and Sheela Foam?

Amit Kumar Gupta: Yes. So maybe we will send it separately.

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Moderator: Thank you. As there are no further questions, I would now like to hand the conference over to

Mr. Amit Kumar Gupta for closing comments.

Amit Kumar Gupta: Sorry, maybe Rahul sir, should I take it? Or would you like...

Rahul Gautam: Yes, please go ahead. Go ahead.

Amit Kumar Gupta: So thank you, everyone, for participating in this earnings conference call. I hope we have been able to answer your questions satisfactorily. If you have any further questions or would like to know more about the company, please reach out to our IR manager at Valorem Advisors. Thank you.

Moderator: On behalf of Nirmal Bang Equities, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Feb 2024

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CIN-L74899DL1971PLC005679

12th February, 2024

To

The BSE Limited The National Stock Exchange India Limited

Phiroze Jeejeebhoy Towers Exchange Plaza, Bandra Kurla Complex

Dalal Street, Mumbai -400001 Bandra(E), Mumbai -400051

Scrip Code: 540203 NSE Symbol: SFL

Subject: Transcript of Investors' Conference Call for Quarter ended December 31, 2023
Financial Results.

Dear Sir/Madam,

Please find below the transcript of Investors' conference call organized on February 07, 2024 post declaration of Financial Results for the quarter ended on December 31 , 2023 for your information and records.

Thanking you,

Yours truly,

For Sheela Foam Limited

Md. Iqubal Ahmad

Company Secretary & Compliance Officer

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"Sheela Foam Limited

Q3 FY '24 Earnings Conference Call"

February 07, 2024

MANAGEMENT : MR. RAHUL GAUTAM – EXECUTIVE CHAIRMAN –

SHEELA FOAM LIMITED

MR. NILESH MAZUMDAR – CHIEF EXECUTIVE

OFFICER , INDIA BUSINESS – SHEELA FOAM LIMITED

MR. AMIT KUMAR GUPTA – GROUP CHIEF FINANCIAL

OFFICER – SHEELA FOAM LIMITED

MODERATOR : MS. JYOTI GUPTA – NIRMAL BANG EQUITIES PRIVATE
LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to the Sheela Foam Limited Q3 FY '24

Earnings Conference Call hosted by Nirmal Bang Equities Private Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Jyoti Gupta from Nirmal Bang Equities. Thank you, and over to you, ma'am.

Jyoti Gupta: Thank you, Tushar. Hello, everyone. On behalf of Nirmal Bang Institutional Equities, I welcome all the participants to Sheela Foam Limited Third Quarter FY '24 Earnings Conference Call. The management is represented by Rahul Gautam, Executive Chairman; Mr. Nilesh Mazumdar, CEO India Business; and Mr. Amit Kumar Gupta, CFO.

Without further ado, I would like to hand over the call to Nilesh sir for his opening comments and then we'll open the floor to question and answers. Thank you, and over to you sir.

Nilesh Mazumdar: Thank you, Jyoti.

Rahul Gautam: I think Amit, you would be doing the opening comments, right?

Amit Kumar Gupta: You're right, sir.

Jyoti Gupta: Sorry, sir. Yes.

Amit Kumar Gupta: Thank you, Jyoti, for this. Good evening, everyone, and thank you for joining us for our earnings conference for the third quarter and 9 months ended financial year '24. I would also like to thank our host, Nirmal Bang for hosting this earnings call.

Let me first take you all through the quarterly and 9 months ended financial highlights and then discuss some of the operational highlights. For the third quarter under review, on a consolidated basis, we reported revenues of INR879 crores, which increased by around 15.5% Y-o-Y basis and 43.3% on a Q -o-Q basis. EBITDA for the quarter stood at [INR76] crores , up by about 0.8% Y -o-Y and 15% Q -o-Q. EBITDA margins were reported at 8.67%. Net profit stood at INR31 crores, which was down by about 49% Y -o-Y.

For the 9 months ended financial year '24, our consolidated revenue are approximately at the same level on a Y -o-Y basis at INR2,137 crores. The EBITDA was flat for the year at INR220 crores, with EBITDA margins at 10.3% and net profit at INR118 crores, declining by about 24.5% Y -o-Y.

As a part of our drive to focus on our core brands, Sleepwell brand mattress segment continues to do very well with 26% growth on a Y -o-Y basis. This growth is aided by the two new models under the Sleepwell brand, namely Nexa and Fitrest, which has received tremendous market response on the back of the marketing campaign undertaken during the World Cup.

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On a stand -alone basis, contribution margins have improved by 4.7% Y -o-Y basis and 1.1% on a Q-o-Q basis, representing strong operational improvement in the business and the profitability. EBITDA margin for the quarter on a stand -alone basis is 10.5%. This is in spite of our marketing expenses increasing from 5.4% to 8.6% as compared to the last quarter. Most of the profit generated from improved contribution margin and increase in sales have been ploughed back into the business with minimal impact on EBITDA margins.

Moving to the next financial year, we expect marketing expenses to stabilize between 6% to 6.5%, which is around 2% lesser than the current -- level of the current quarter. Hence, the current EBITDA margin of around 10.5% can be normalized to around 12.5%.

On the other highlights, we have successfully completed both our announced acquisitions, adding Furlenco in August and Kurlon in October to our portfolio. We are happy to report that Kurlon has clocked a revenue with an annualized basis comes to around INR890 crore

s. This

is basis 72 days of sales post our acquisition on 20th October.

EBITDA margin for Kurlon stood at 3.6%, mainly on account of incremental marketing sales expenses, which happen when you take over a company and you have to acquaint yourselves with the entire company and take all the people along with you for taking the business to the next level.

If we normalize it with the selling expenses and the promotional expenses done during this period, EBITDA margins currently stand at around 7% to 8%, which is better than the historical margins in the previous time for Kurlon Enterprises limited.

With this, I hand it over back to Jyoti for any questions that you might have. Thank you.

Moderator: Nilesh sir, should we start for the question and answer session?

Nilesh Mazumdar: Yes, please.

Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Ritesh Shah, an Individual Investor . Please go ahead, sir.

Ritesh Shah: Sir, I'm not an individual investor, still with Investec. Sir, I have two questions for Rahul sir,

two for Nilesh sir, one for Gupta sir. Rahulji just to start with you. First is, if we look at Kurlon margins, do you see sale expenses at 20.1%. Has this number bumped up? If yes, is it a onetime number? How should we look at it? I think we also mentioned that the normalized margin would be 7.8% and not the reported 3.6%. So are there any other one-offs, which are there over here, which we need to look at?

Rahul Gautam: Ritesh, thank you. You're absolutely right that these are one-off numbers. This is just the first 70-odd days and there are many things from the transactions, which are spilling over to this period. And therefore and the other normalized numbers that you talk about are exactly what's going to be there.

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So I would just say that it's in the positive direction, it is moving. There is a lot of expenses being booked at this time, which are abnormal. Just give it another quarter for stabilizing and you will see the numbers that we are talking about. It's not better than that.

Ritesh Shah: Sure. Sir, just to ask an incremental question over here. Have we changed the incentive discount schemes for Kurlon dealers because the thought process was that the larger scale, we will be able to review probably the incentives or discounts with the rate of the channel?

Rahul Gautam: Nilesh, would you please take this question?

Nilesh Mazumdar: Yes, I'll take that question. So deficit is a little more complex than that because there was a set of pricing decisions, which historically had been taken by Kurlon, which made the brand in some price segments and competitors. So as we took charge, some price correction had to be done so that the brand and in those size segments, we stay competitive.

We have right now not yet tweet with the dealer margin. It's too early for us to dealer margin or the dealer incentive program. We will do that gradually. We don't want to rush into it. Let them settle down because it's -- as you understand that in this process like this, there is a lot of apprehension that this in stakeholders have and it's important that we give them that confidence that for them also, things will improve. And as we move into it, we will then take a considered call on how do we want to look at the overall earnings for a dealer.

Ritesh Shah: Sure. This is helpful. So my second question was around [Tarang], if you could detail something incremental on the distribution versus what we had indicated last quarter. How has the response been so far? And you did indicate there were two new brands which were launched, so if you could help the price point and the positioning for the two new brands?

Thank you.

Nilesh Mazumdar: So Ritesh, Tarang, yes. We were -- as we had discussed in the previous meetings that we were

piloting that entire model in rupees we've had a fairly successful pilot. We have got the learnings. And now as we speak, we are now gradually scaling it up in the same parts of the country. We would have now gone into about 3 or 4 odd states. We are taking it step by step by creating a completely different distribution structure and a separate sale structure, which we'll only look at down below 1 lap population in POPs data. So we are getting a good success and month-on-month, almost the business is obviously scaling up the way we desire.

It's also important that we have the implement model in place because as we go across different parts of the country, we should be able to service these requirements through an appropriate manufacturing footprint across the country that we will have for mattress. So that capability also, as we speak, we are building it up. So fingers cross, things are looking positive as far as Tarang and the small town India project is concerned.

Ritesh Shah: Sir, can you detail something incremental on distribution? Because earlier you had educated that we'll follow basically likes of what HUL basically a different distribution model.

Management: Yes, yes. So therefore the distribution model here is we are not going through our existing distributors. We have to understand that we find -- we don't want to create a completely new

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distribution cost structure only for this because these are lower-cost products. So the model that we are following is that we will drive on an existing distribution of FMCG. So therefore, the distributors that we are selecting currently are those people who already have distribution network in the FMCG area -- FMCG category in these markets.

And for them, therefore, it just is an add-on product, which they carry on their existing infrastructure of warehousing, transportation, etcetera. So it doesn't need to create dedicated storage, etcetera, which would have therefore created a high-cost model. So that's exactly the model, which we are now extending to the rest of the country.

Ritesh Shah: And sir, the price point for Tarang versus the new brands that we have launched and the

rationale behind that?

Nilesh Mazumdar: Okay. So Tarang is a completely different model as customer segment, and we should not confuse it with the current and the other offerings, which are there in the urban mid to high end. As we have been saying, Tarang is positioned the customer who is currently using a cotton mattress. A cotton mattress in this country today cost anywhere between INR800 to INR1,200 for a mattress. So that's the customer segment to whom we are taking. Tarang is light set at around INR2,000 with a 3-year warranty on it. So the lifetime value of the product is good. The initial response from consumers also has been rather positive.

Ritesh Shah: Sir, you indicated Nexa and one more brand I missed that. If you could just help with some color over that.

Nilesh Mazumdar: Yes. So therefore, if you see the performance in quarter 3, Ritesh of Sleepwell mattress, we have been able to clock a growth of about 26% in Sleepwell mattress. This has been driven largely through 3 different initiatives. We rolled out the brand campaign on Did you Sleep Well, which was there on World Cup. We can presume maybe some of you may have seen. The other campaign was to back a product called Nexa, which we launched in the market and which has received very positive response. This is a product, which is superior to what today consumers know of called as memory foam. So this is a product, which is superior to that. It's at a price point of approximately INR24,000 onwards. There are 3 different variants in that. And as we see, the campaign is still continuing and it has been received very, very positively by the consumers across the country. So that is the Nexa model that we have.

The ot

her model that we have launched is called FitRest, which is slightly lower at price points. This has got a profiling to it, a mattress is a profile point to it. This is targeted towards a particular segment that we have been seen perhaps increasing its presence in the country, which is of what is called a covered mattress, where basically people -- local players were piecing foam and covering it in different fabrics and filling it as a mattress.

In order to cater to that segment and having an offering, which cannot be matched by then. FitRest, which is a Foam PU mattress, we have first launched in Gujarat and then we extended to the rest of the country. And once again, very well looking. So these are the two different models addressing to very different consumer segments that we have launched in the market and until now things look positive.

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Ritesh Shah: This is very helpful. Sir, just last question before I join back. Sir, how should we look at Furlenco numbers. We see some headline losses we had guided for some numbers at EBITDA and P AT by December. Where are we over there? And how should we look at the road ahead, increasing stake as well as on the numbers ramp up?

Nilesh Mazumdar: Amit will take that question.

Amit Kumar Gupta: For Furlenco, we've got the results for this quarter. And as you just stated at the moment, the entire drive is to make it profitable and we are progressing very, very sharply on that part.

There has been a delay of one month. What we expected January to be profitable, we would be in February. And we will -- we are operating EBITDA wise, we are already positive in December, but PBT wise, we will start from February.

The moment we get into that virtual cycle of getting positive, we will start then looking at doing all the other things, which we intend to do. But the first is the profitability part. And the top line numbers are also increasing and that's obviously contributing to the bottom line, plus some cost lines and cost reduction of management initiatives are also in place.

Ritesh Shah: Sir, would you like to share some numbers over here? So the margin in the next year, what sort of revenue EBITDA do we look at and the timelines of increasing with the state?

Amit Kumar Gupta: Ritesh, we would also probably give it this quarter and probably the next one that we talk because to us, the first and the most important thing is that the whole operation needs to get positive. They are going in that direction.

As far as increasing the stake is concerned, last time I have already mentioned to you that we do have some available for one year. But besides that, we would look at it. In any case, we have total control as far as the Board is concerned, that the decision-making is concerned. So I just request for this quarter so that when we reported that we are profitable and then we are taking these steps, it will probably make more sense.

Moderator: And the next question is from the line of Nihal Mahesh Jham from Nuvama. Please go ahead, sir.

Nihal Mahesh Jham: Good evening to the management. Sir, my first question was, I think we've done a reclassification of the way we are reporting our segments. If you could just give a ballpark sense I was not able to find the details on the same if they are and maybe a look at that and not take a question ahead. But in case not, if you just want to highlight what are the changes or the

reclassification that you've done in terms of reporting our numbers.

Nilesh Mazumdar: Amit, do you want to get that, please?

Nihal Mahesh Jham: I was referring to the operational numbers, not the earlier reclassification that we had done last year.

Amit Kumar Gupta: So operational numbers, we have -- Nihal, as we have not done any reclassification. What you see in the sheet for the result is because we started reclassification from Q4 last year. So as per

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the requirement, we have to show a comparative of that. But as far as in this quarter, no further reclassification has been done.

Nihal Mahesh Jham: I was referring more to the presentation actually where even if I add up the mattresses, both on small town India offline and online, the number seems different from what we had reported last time in terms of volumes?

Amit Kumar Gupta: So maybe, Nihal, I think you would need a more detailed discussion. And I think those numbers are in tandem but in case you feel there is something different in the numbers in your perception in mind, we can set up a separate call and discuss.

Nihal Mahesh Jham: Sure, I'll just take that offline back.

Amit Kumar Gupta: Sure.

Nihal Mahesh Jham: The second question was on Furlenco that as maybe the business is planning to get more into the sale of furniture rather than renting. Is there going to be a significant capital requirement for the business? And if it is, and how do you plan to finance that? Yes, I was just asking that in case of Furlenco. Would the business obviously be contemplating going more deeper into the purchase and the sale of furniture also, would there be a change in the -- or a higher capital requirement in the future? And how would that be financed?

Rahul Gautam: So we take that as a sort of second phase that we do. As I said, the first phase is just to make that profitable and we are progressing on that part of it. The second phase, which we would sort of start soft the beginning is the furniture which is going to be sold through our stores or through online. And let me just say that the capital that we required for before those assets will be generated from this business itself. We will not be requiring any more capital.

Nihal Mahesh Jham: That is clear Rahulji. Thank you so much.

Moderator: Thank you. And the next question is from the line of Aniket Kulkarni from BMSPL Capital. Please go ahead.

Aniket Kulkarni: Yes. So I have a couple of questions. So post the Kurlon acquisition coming on to the books, can you guide what will be the goodwill and PPA number on a full year basis?

Nilesh Mazumdar: So Aniket, I think we are doing the maths on that. I mean, how this allocation going to be done. We have the current assets and the fixed assets, those are clearly classified. The balance is to be divided between brand and goodwill and franchising and all those kind of things. Amit, am I right that we will take a little more time on allocating those numbers?

Amit Kumar Gupta: Yes, you are right, sir. So the PPA is underway. It is being done currently. You can see you have the balance sheet of Kurlon. So whatever tangible assets are there would remain as tangible assets. And the rest will be all intangible. Whatever name it will be defined with that is under progress, whether it will be goodwill or customer contracts or franchisees or any other intangibles which router is mentioning.

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Aniket Kulkarni: Okay. Okay. All right. And secondly, now the net worth has gone up to INR2,900 crores close the QIP, which you did. So based on this high net worth now, can you manage to do, let's say, 18%, 20% ROEs on this new equity base couple of years down the line was on the businesses, synergies are -- synergies flow through and you can operate both of the businesses together. So will you be able to do such return numbers?

Rahul Gautam: Amit, I would want you to take it. Although I just want to say that as far as this call is concerned, it is still there. The acquisition, which is over, and things are settling down. So this is going to be, I think, the question from Aniket is a little bit, I won't say futuristic, but trying to get a sense of how -- what are we looking at in the next couple of quarters. But Amit, you please take the question.

Amit

Kumar Gupta: Yes, Aniket, just before I detail it, I mean we are pretty confident of getting to the numbers that you had just mentioned. So you see, we were the largest brand in the country with Kurlon

being the second largest brand in the country. And with the acquisition of these brands, the two brands together are now like stronger in almost all parts of the country. So if you refer within the branded segment in any part of India, one of the two brands is a leader in those places. This gives us multiple benefits, which we have outlined earlier also, I would not repeat them. But just for the sake of recall, there are benefits in terms of footprint across the country. So you can reduce your freight costs. There are efficiencies or expertise of their respective companies. Kurlon has a high level of expertise in rubberised coir, making those coir, which we used to buy from outside. We manufacture foam much more efficiently than Kurlon. Approximately our yield is 10% higher to them.

We are able to service our customers from the nearest distance possible. So our freight cost is going down. So these are the things which definitely yield -- would yield tangible benefits to the bottom line.

But what is important here. Important here is that our ability to penetrate the Indian market and to increase our market share is now much more robust. So the next thing that we are looking on is to enhance our presence and market share in the market. And I think with that being in place, the figures that you are mentioning are very reasonably achievable.

Moderator: The next question is from the line of Arjun Khanna from Kotak Mahindra Asset Management. Please go ahead.

Arjun Khanna: The first question is on our marketing expenses. We have broken it out at roughly 8.6%. Essentially, I understand we had the Cricket World Cup, where we had indicated in the previous quarter, we would look at advertising a lot more. But just to get the context of this number, since it would also include the Kurlon acquisition.

So in a sense, if you look at numbers we are spending, if you look at the non -consumer business, and please correct me, the technical form ideally wouldn't have too much of marketing expenses. And if I look at comfort foam that too may not have too much marketing expenses with furniture cushioning. So it's largely the marketing is for the mattresses, is that the right understanding?

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Nilesh Mazumdar: Well, that's right largely...

Arjun Khanna: So if that's the case -- sir, if that is the case, then potentially the advertising seems to be a very high for a turnover of close to INR350 crores, INR370 crores to spend roughly INR45 crores plus. So I just wanted to get context.

Nilesh Mazumdar: Should I take that, Rahul ji?

Rahul Gautam: Yes.

Nilesh Mazumdar: Yes. So yes, you are right that the current spends are mostly on the mattress. However, having said that, there are some expenditures that also happen on the technical foam, etcetera, which is like participation and exhibition, roadshows, so on and so forth. So there is a certain level of spend, but we are at the higher spend obviously happens on mattress.

World Cup, we have to remember is a very high -impact property. So these media costs come at a far higher CPRP. So going forward, we will continue to be invested on the brand. The level that which we will operate is around 6.5% to be overall total. So that's the way that we are looking at it. World Cup is at a far higher premium. It creates an impact in the consumer mind and we have seen the results. But then obviously, every quarter, you don't need to have that level of spend because you may not be taking impact properties.

Arjun Khanna: But with a large...

Rahul Gautam: Arjun, I just want to sort of butt in at this time. And just to add what Nilesh said, I see the point that you are making, but let me shar

e that even the other parts of the business do get impacted in variety of stadiums or by the brand equity of Sleepwell which may not be a direct one. It's not completely correlatable, but it does impact.

So whether even if when I'm going ahead to sell a technical foam or I'm going ahead to sell a furniture foam, I mean there is this issue of saying, this is the Sleepwell Company or this is a Sleepwell part of it, number one.

Number two, I just also want to add that the flavour that we are now doing or changing the direction that you would notice in the last quarter, is that we are consolidating all the other small little brand here and there, which may have been additional or a part of the industrial side or the furniture side and focusing on Sleepwell and the percentage of Sleepwell in the business is on the increase, and that will keep on increasing.

So what you would see in another year's time, is that instead of let's say, a 55%, 60% of Sleepwell to 70% or 75%. And then you are quite right that this kind of spend on Sleepwell will make more sales. But that's the direction that we have done.

Arjun Khanna: Perfect. Very helpful, sir.

Amit Kumar Gupta: Sorry, just to break this, 6.5% which Nileshji and Rahulji have just mentioned, this is a combination of advertising expense plus dealer expenses that we do. So around, say, 1.5% or should be dealer expenses, which is done for all the brands. Just to make it a little bit clear.
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Arjun Khanna: Sure. And sir, since you are giving a breakup, what would we be spending, say, on the other items as in the non -mattress segment, in terms of the technical foam.

Rahul Gautam: I would not be able to off the cuff tell you . But as Amit just now mentioned the kind of expenses there would be on dealer, dealer needs, exhibitions, brochures, etcetera, that we would be doing. But when we look at the overall expense of marketing, we look at it at the total business level, and that's how we allocate.

Arjun Khanna: Sir, the second question is on Kurlon. Now we have mentioned that we have a trajectory to reach 10%. I just want to understand, given that now it is within our fold, do we have some sense in revised timelines ? When do we see this moving closer towards 10% and in terms of synergies, the fact that now it's within the fold, you all would have better access to data. How do you all see those synergies pan out? And how has it changed versus what we envisaged before the transaction?

Rahul Gautam: Arjun, I would say that the first job was to really get it to the normative levels and normal levels of about a INR1,000 crores and at about a 10% EBITDA. And I think on a run rate basis, we may have come very close to it already.

So I'm not seeing too much of time going by before we get to that levels. The synergies, some have started to be coming in. The impact would be felt in this quarter or maybe the quarter after that, which is the operation -- operating synergies, which is a procurement of raw material synergies, which may be on the population synergies, etcetera. So the impact should -- or has already begun. And I'm not going to revise the timeline , but I would say that by the time we closed this quarter, you would see that. Amit, is that right that we would begin to see these changes?

Amit Kumar Gupta: Yes, sir, you are right. So the advantage that we had here was that we started execution of synergy right on the very first day. That is the 21st of October. So that is my strategic advantage has led that in current quarter, though not for the full quarter. It will be spread over the quarter. But yes, in that part of the synergies will be in operation and yielding results.

Arjun Khanna: I'm sorry, could you please repeat that, sir, you're saying a large part of synergies are already within these numbers?

Amit Kumar Gupta: No, no. I'm not saying. So I'm r

eferring to the current quarter, which is Jan to March quarter.

So we started execution on 21st of October, like working on those synergies. And during this quarter, one -by-one those synergies are getting implemented. So what I'm saying is it will not be like all the synergies for 1/4 of a year. But yes, over a period of the quarter as it gets implemented, the net of it would be visible in the bottom line for this quarter.

Arjun Khanna: Sure. Very helpful, sir. Sir, the last question is just on the exports part of it. There was an antidumping duty proposed on mattress exports from India to the US. So I just wanted to understand, has it finally come? What is the duty that has been proposed for us? And in terms of our exports, we had set up a plant for the same. Could you talk about its current utilization? And what is our thought process on the same?

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Nilesh Mazumdar: So basically on the export side, I think what I mentioned last -- in the last week, it continues to be the same, exports have become very, very difficult to carry out because the US, which was the main importer had already imposed it. The import duty is something like between 27% and 30%. And that is just too much for this product to what we call for this product to travel and be there i.e., is there going to be any change in that? Probably not.

And let me say that most of the manufacturing of these kind of mattresses has now become centralized in the US for the US market. I mean, would you believe is that they have even changed the NAFTA rules from imports from Mexico, which is next door are also being levied to some entities .

Coming back to your question of saying the unit that we had set up. So the unit was not a foaming unit. It was a mattress manufacturing unit and with all the modern equipment, etcetera. And let me say that today, we have centralized the production of Kurlon and Sleepwell mattresses in that unit and that's began excellently for supplying to the western part of India. Kurlon was supplying mattresses Bangalore to the west. Now it is from west to west.

So that's a synergy that will be there.

But that unit is -- has already begun and it's completely being utilized. In fact, this is one of the units, which is also close to Mumbai, where most of you are located. We would have an open invitation for people to come and visit it. It's also one of the modern mattress manufacturing unit. So we are happy that we are able to do that.

Arjun Khanna: Sure. So essentially, the product has been -- I mean, the facility has been re -purposed?

Nilesh Mazumdar: Yes.

Arjun Khanna: That's clarified. Thank you.

Moderator: And the next question is from the line of Bhavin Rupani from Investec. Please go ahead.

Bhavin Rupani: My first question is related to Australia and Spain entry, sir. Could you provide some update over here as we could see revenue and margin pressures to continue in this quarter as well?

Rahul Gautam: Bhavin, thanks for the question. Let me first take up Spain, which is part of Europe. Europe has been experiencing almost 25% to 30% of recession. But I already mentioned that we are an extremely small part or we have a very small share of the entire European market, and therefore, the impact or not as far as the quantity is concerned, has not been much. In fact, we have retained all the quantity.

The issue there is that because of the raw material prices kind of coming down, the topline has reduced. I think it's by 10 -odd percent in 12% and margins are retained absolutely. But however, they are on them, what's topline. And that's because of the prices of the material that has fallen.

The current position is that the trend of increasing or the curve changing the direction has already begun. We do take maybe take another 1 or 2 quarters before it gets to the normal

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levels. But we have not lost any volumes. In fact by the end of this quarter, we would actually be increasing volumes. So that's peak.

Bhavin Rupani: As far as Australia is concerned?

Rahul Gautam: It's a pretty steady state, is not increasing too much. But it is not increasing, it's decreasing a little bit. But that's just again because of the raw material prices and because of some regional disturbance that have happened. But it will be, as I said, it will be -- it won't increase tremendously. It won't decrease remember it would be a pretty steady state, and we would be seeing it kind of this quarter that is kind of come back.

But I think it's just the economy need to stabilize the global economies, which impact both Australia and Europe. And these things will be, as I said, on just moving steadily forward.

Spain, of course, we would keep it increasing because we have a very small percentage of the market.

Bhavin Rupani: All right, sir. And any update on the capacity expansions over there has been done?

Rahul Gautam: Yes. In Australia, we've already done. It is commissioned, and we are at the moment in the process of transferring some materials and have also begun to look at a segment of the market, which we were not kicking to, which is the Furniture segment. And now we should see the increase in the volumes. And obviously, the topline results -- that unit is commissioned. It has started operating in the first week of January, around the 10th of January and the impacts would be seen in that.

Bhavin Rupani: Got it, sir. And just one clarification, sir. You have mentioned that in PPT, our volumes are approximately INR 634,000 in Q3 FY '24. Mattress volumes is what I'm referring to. Is it a combination of both Kurlon and Sheela Foam?

Rahul Gautam: Nilesh, do you want to take that?

Nilesh Mazumdar: Yes. That is a combination of both.

Bhavin Rupani: And previous year?

Nilesh Mazumdar: Previous year.

Bhavin Rupani: [inaudible].

Amit Kumar Gupta: So it has been taken in these figures for the period for this Kurlon was in our control. So previous year does not include Kurlon volumes.

Bhavin Rupani: All right. So is it possible to provide the breakup of the current year for Kurlon and Sheela Foam?

Amit Kumar Gupta: Yes. So maybe we will send it separately.

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Moderator: Thank you. As there are no further questions, I would now like to hand the conference over to

Mr. Amit Kumar Gupta for closing comments.

Amit Kumar Gupta: Sorry, maybe Rahul sir, should I take it? Or would you like...

Rahul Gautam: Yes, please go ahead. Go ahead.

Amit Kumar Gupta: So thank you, everyone, for participating in this earnings conference call. I hope we have been able to answer your questions satisfactorily. If you have any further questions or would like to know more about the company, please reach out to our IR manager at Valorem Advisors. Thank you.

Moderator: On behalf of Nirmal Bang Equities, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: May 2024

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CIN-L74899DL1971PLC005679

27th May , 2024

To

The BSE Limited The National Stock Exchange India Limited
Phiroze Jeejeebhoy Towers Exchange Plaza, Bandra Kurla Complex
Dalal Street, Mumbai -400001 Bandra(E), Mumbai -400051
Scrip Code: 540203 NSE Symbol: SFL

Subject: Transcript of Investors' Conference Call for Quarter and Year ended March 31, 2024 Financial Results.

Dear Sir/Madam,

Please find below the transcript of Investors' conference call organized on May 22, 2024 post declaration of Financial Results for the quarter and year ended on March 31, 2024 for your information and records.

Thanking you,

Yours truly,
For Sheela Foam Limited

Md. Iqbal Ahmad
Company Secretary & Compliance Officer

"Sheela Foam Limited Q4 FY '24 Results Conference Call" May 22, 2024

MANAGEMENT: MR. RAHUL GAUTAM – EXECUTIVE CHAIRMAN – SHEELA FOAM LIMITED MR. TUSHAAR GAUTAM -- MANAGING DIRECTOR – SHEELA FOAM LIMITED MR. NILESH MAZUMDAR – CHIEF EXECUTIVE OFFICER, INDIA BUSINESS – SHEELA FOAM LIMITED MR. AMIT KUMAR GUPTA – GROUP CHIEF FINANCIAL OFFICER – SHEELA FOAM LIMITED MODERATOR: MR. DEV ANSHU BANSAL -- EMKAY GLOBAL FINANCIAL SERVICES.

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Sheela Foam Limited May 22, 2024 Moderator: Ladies and gentlemen, good day, and welcome to the Q4 FY '24 Results Conference Call of Sheela Foam Limited hosted by Emkay Global Financial Services. We have with us today, Mr. Rahul Gautam, Executive Chairman; Mr. Tushaar Gautam, Managing Director; Mr. Nilesh Mazumdar, CEO, India Business; and Mr. Amit Kumar Gupta, Group Chief Financial Officer. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Devanshu Bansal from Emkay Global Financial Services. Thank you, and over to you, sir. Devanshu Bansal: Yes. Good evening, everyone. I would like to welcome the management and thank them for this opportunity. I shall now hand over the call to Mr. Amit Kumar Gupta for his opening remarks. Over to you, sir. Amit Kumar Gupta: Thank you, Devanshu. Good afternoon, everyone, and thank you for joining us for our earnings conference call for the fourth quarter of the financial year '24. I would like to thank our host Emkay Global Financial Services for hosting this earnings call. Financial year '23, '24 has been a very eventful year for us. We acquired Kurlon this year, as well as we took a stake in the furniture rental company Furlenco. We are delighted to state that both in the acquisition, as well as the investments are moving as per plan to achieve the desired objectives. Kurlon achieved a 7% plus EBITDA margin for the fourth quarter '24, which is double the margin that we acquired in the third quarter. Kurlon is on line to achieve our stated goal of INR1,000 crores topline and INR100 crores EBITDA as a starting point. Kurlon integration is underway and the synergies are in the process of implementation. We have already implemented our own ERP in Kurlon from 1st of April 2024. With this integration, all the processes and policies applicable to SFL is now applicable to Kurlon as well, and we derive all the information that we are using in SFL to better manage the business and

understand it much better way. Kurlon is a very strong brand in south and east of India and is very precious to us. We are on our way to launch a brand refresh for Kurlon on 9th of June with the India-Pakistan match in the T20 World Cup. Furlenco has

also progressed rapidly post investment. And as on date, it has been PBT profitable consistently for the last 3 months. Furlenco has been showing a lot of promise post our investment, it used a large part of the proceeds to repay its debt. This reduced a lot of interest burden on the company, both on debt reduction and lesser interest cost. The company has also moved on to the next level of growth and has added a subscriber base or increased our subscriber base by more than 50% of what we took over when we made the investment. Now moving on to some of our internal initiatives, I'm delighted to inform that we have completed the commissioning of our Jabalpur plant, and now it is producing desired qualities Page of 215

Sheela Foam Limited May 22, 2024 which gives us another competitive edge. This will greatly boost our small town India initiative, wherein we want every Indian household to have a modern mattress. Let's talk something about our IT initiatives. Staqa is a company which has been performing very well. We started it several years ago as an in-house IT wing to cater to the needs of the company. However, it has grown over time and today, we not only caters to all the needs of SFL at a much reasonable cost than that can -- could have been outsourced and it serves not only the India business, but to all the companies of the group globally. It also services to customers outside the group. Currently, it generates around 20% to 25% EBITDA margin and we hope to grow it to a sizable company very fast. However, first priority remains Sheela Foam Group and the group company. The year has also been a little bit turbulent for us, wherein we took certain bold initiatives like discontinuance of our online brand SleepX and shifting to Sleepwell brand in the online segment. This impacted our top line for some period, but we are happy to communicate that we have not only regained the online volumes to Sleepwell brand but have done so profitably. Online continues to be a critical channel for us, and now we have CXO-level professionals driving growth in this segment. The impacts are visible and we aspire soon become a leading player in this channel as well. In spite of impacts of SleepX and reductions in volumes of exports and railways, we have still been able to retain our EBITDA levels in absolute terms. The top line reduction is primarily because of reduction in raw material price. Now friends, let me take you through the quarterly and year-end financial highlights. For the fourth quarter, under review on a consolidated basis, the company reported revenues of INR845 crores, which increased by around 16% year-on-year. EBITDA for the quarter was INR81 crores, which grew by about 3% year-on-year, while EBITDA margins were reported at 9.53% for the quarter. Net profit stood at INR65 crores, which was up by about 49% for the quarter. For the financial year ending 2024, our consolidated revenues were up by 3.8% on a year-on-year basis to INR2,982 crores. The EBITDA was flattish on the year at around INR300 crores, with EBITDA margins reported at 10%. The net profit was reported at INR184 crores, which declined by about 8.4% year-on-year. PAT margin is standing at 6.17%. On a stand-alone basis, our revenues were INR487 crores, which decreased by around 6% year-on-year. EBITDA for the quarter stood at INR50 crores, down by about 14% year-on-year. EBITDA margins were reported at 10.31% for the quarter. Net profit stood at INR56 crores, which was up by 35% year-on-year. For the financial year ending 2024, our stand-alone revenues were down by 7.8% year-on-year at INR1,880 crores. The EBITDA, however, was flattish at around INR210 crores with EBITDA margins reported at 11.2%. Net pro

fit declined by 1.7% on a year-on-year basis to INR168 crores with PAT margins at 8.95%. On the operational front, we saw a strong volume growth in both Sleepwell and Kurlon brand in the quarter. Our flagship brand Sleepwell mattress registered a volume growth of 31%, while Kurlon brand mattress registered a volume growth of 17% in Q4 '24. Page of 315

Sheela Foam Limited May 22, 2024 The foam business witnessed a strong volume growth across geographies. Spain business also clocked higher volumes in financial year '24. However, lower revenue because of lower raw material prices. With this, we conclude our opening remarks, and open the floor for question and answers. Over to you, Devanshu.

Moderator: The first question is from the line of Bhavin Rupani from Investec. Bhavin Rupani: My first question is related to volume growth. Sir, volumes we have reported in PPT of like 675,000 pieces in Q4. Can you please provide corresponding comparable number for previous year? We believe SleepX, 675,000 for Kurlon as well. Moderator: I'm sorry to interrupt. Members of the management team, there was a slight disturbance from your line. Amit Kumar Gupta: Actually, there is no -- nothing happening here. I don't know if the connection is slow. Can you hear us? Moderator: Yes, sir. We're able to hear you. Mr. Rupani, please go ahead with your question. Bhavin Rupani: My first question is related to volume growth. Sir, in our PPT, you have mentioned our volume was approximately 675,000 pieces in Q4. Can you provide corresponding and comparable number for previous year? I believe the 675,000 for current year also includes for Kurlon numbers? Tushaar Gautam: Mr. Nilesh Mazumdar will take that question, please. Nilesh Mazumdar: Bhavin, the corresponding numbers for mattress on the previous quarter 4 will be 665,000. Bhavin Rupani: Sir, is it possible to break it up between Sheela Foam and Kurlon for both the quarters for current quarter and previous quarter? Nilesh Mazumdar: No, we would generally give a combined number. But as far as the brand Kurlon and Sleepwell is concerned, Amit just now shared those volume growth. So for Sleepwell mattress, our volume growth has been 31%. And for Kurlon mattress, the growth has been 17%. The decline that you would see is because of the other ancillary brands that we would have, which we spoke about of SleepX, Feather Foam, Starlite, et cetera. Bhavin Rupani: All right. Sir, so as you said, Sleepwell brand reported volume growth of 31%. Can you please tell us which all brands are included under? Does it include the Starlite, Feather Foam. Nilesh Mazumdar: So Sleepwell only includes Sleepwell. Feather Foam, Starlite, SleepX, et cetera, are what I'm calling as the other ancillary brands. So the 2 flagship brands of the portfolio, I mean, which is Sleepwell and Kurlon. One has grown by 31%, which is Sleepwell, only Sleepwell brand, and Kurlon has grown by 17%, which is the Kurlon flagship brand mattress. Bhavin Rupani: All right sir, got it. And is it possible for you to provide what is the proportion of total volume that has seen 31% volume growth? Amit Kumar Gupta: Sorry, could you repeat that, Bhavin, didn't get that? Page of 415

Sheela Foam Limited May 22, 2024 Bhavin Rupani: What proportion of Sheela Foam's total volume reported? I want the actual absolute number which saw 31% volume growth, which reported Sheela Foam's previous year number and current year number? Is it possible to bifurcate? Amit Kumar Gupta: So Bhavin, these are two detailed information. What we have already given you is the total number of mattresses that were produced in the last year and the current year. We have also given you what is the percentage growth in the respective brand. And this reflects basically our intent and our strategy to ultimately shift to our flagship brand so that we can focus on those brands and that is something which looks -- we look into the future to invest into and to develop. Do I answer that,

Bhavin? Moderator: The line of the current participant has dropped off. We'll move on to the next question. That is from the line of Aniket Kulkarni from BMSPL Capital. Aniket Kulkarni: So the first question is, can you tell me where the INR117 crores of other income is coming from? And how sustainable is this? So I mean, what could be the steady-state number that we can see for FY '25? Amit Kumar Gupta: Aniket, the voice reaching us is not very clear. So I'm asking -- is there another way to connect up? Or is there another way that we can communicate, not coming through. Moderator: Aniket, please repeat your question. Aniket Kulkarni: Yes, yes. I repeat my question. So my first question was the INR117 crores of other income, which we can see on the consolidated numbers. Can you tell me where it is coming from and how sustainable this is? I mean what will be the steady state number we can see in FY '25? Tushaar Gautam: Okay. Amit, you -- this is Tushaar, that is INR170 crores of other income. Amit Kumar Gupta: INR117 crores. Tushaar Gautam: INR117 crores. And the question is that how sustainable -- what is the breakup of that and how sustainable that is? Amit Kumar Gupta: So Aniket, INR117 crores is the income from our investments. So at the beginning of the year, we had an investment of around INR750 crores. We use a part of it for our acquisitions. And as on date, our investment stands between INR500 crores to INR550 crores. So this income has been coming in the past as well. And with the investment in test, we hope this income to continue in the future also. Aniket Kulkarni: Okay. And secondly, in the Q2 call, if I'm not wrong, you guided an overall revenue of about INR4,000 crores to INR4,300 crores. So if I give a 11% margin, I guess, to about INR500 crores of EBITDA. And from that, if I take INR400 crores of EBIT that [Inaudible 16:10] Moderator: Sorry to interrupt. Aniket, your audio is breaking up. Aniket Kulkarni: Yes. So in the Q2 call, I think you had guided an overall revenue of about INR4,000 crores to INR4,300 crores for FY '25. And if I give a 11% margin, 11%, 12%, I get to around INR500 crores of EBITDA. And if I take INR400 crores of EBIT from that, I think it we arrived at 12% Page of 515

Sheela Foam Limited May 22, 2024 of ROCE. So to get to your targeted ROCEs of about 18% to 20%. I think you will have to almost double your EBIT from the FY '25 numbers. So how fast do you expect this to happen? And what will be your plan to achieve these numbers going forward? Amit Kumar Gupta: So Aniket, like -- last time we had said that we will grow -- we anticipate to grow by around 15% CAGR for the company as a whole, especially India business, and that is what we stick to. If you look at capital employed, I think the business is sufficiently capitalized as of now and fully geared up to cater to the volume growth or the business book, which is there for the next 2 to 3 years. So I think 15% growth would -- in the next 3 years should take us to the level that you are looking at. And the margins that are being mentioned at 11%, 12% is something which is for financial year '25. As we grow by 15% per annum, we anticipate these margins also to improve in line. We are a 40% contribution business. So higher growth leads to better profitability at the bottom line. So I won't guide you to anything, but broadly, with these parameters, you can calculate as to where we would be looking in the next 2 to 3 years. Aniket Kulkarni: Understood. And one last question. So you have about INR1,200 crores of debt, I mean, after leaving out the lease liabilities. So if I get -- if I put an 8% interest on that, that's around 100 -- close to INR100 crores of interest cost. So is this assumption correct? Or it is at a lower rate or at a higher rate? Amit Kumar Gupta: So the breakup of this debt is around 800 -- INR725 crores is the NCD that we raised for the acquisition, which is at around 8.45%, there is foreign debt of around INR250

crores to INR300 crores, which would be at a lower cost since it is [Inaudible 19:18] currently would be at around 5%-odd. But yes, as interest rate moves, it should move but not higher than this. And the residual will be the debt in ICTCL, which we took for Jabalpur plant and which will now come to Sheela Foam, which is at around 5.5% to 6%. So I would say somewhere around 7.5% to 8% of interest would be a reasonable number on INR1,100 crores, INR1,150 crores of that. Moderator: Thank you. We'll move on to the next question, that is from the line of Arjun Khanna from Kotak Mahindra Asset Management. Please go ahead. Arjun Khanna: The first one is regarding the volumes that you mentioned, sir, the number for fourth quarter FY '23 like-to-like would be 5 -- sorry, 655, is that the right number I got, sir? Amit Kumar Gupta: Yes, you are right, if we consider full volume of Kurlon for the last year. Arjun Khanna: Right. So sir, essentially, we have grown on about 3% volumes. Does that include Kurlon? Amit Kumar Gupta: Yes, it does. Sorry. Go ahead. Arjun Khanna: No, please go ahead, sir. Tushaar Gautam: No, no, no, that's right. Page of 615

Sheela Foam Limited May 22, 2024 Amit Kumar Gupta: Yes, it does include Kurlon. Whatever matters that we are selling currently, it includes everything. Arjun Khanna: Sure. So essentially, in terms of market shares, I'm sure we would be tracking. If you could comment how do we look at our market shares in the organized space. And what do we feel that number could land up at being over the next 2, 3 years? Amit Kumar Gupta: You are talking of organized mattress market share? Arjun Khanna: Yes, sir. Amit Kumar Gupta: So our estimate is that we will be approximately be around 29% to 30%. And our own assessment of the market from whatever information we have at least of the leading brands, it has either been flattish or the volumes have actually decreased of some of the leading brands who are there in the industry. The only segment which keeps on doing comparatively better is the online e-commerce space, which is in the region of about 9% to 10% of the industry. But otherwise, the off-line space would have been either flattish or would have been marginally gone down. Arjun Khanna: Sure. So when we envisage a growth of maybe 10% to 15%, essentially, we are looking at the end market growing? Or is it more in terms of volumes growing? Or do you expect pricing to move up? Just want to gauge your understanding and for us to learn, sir? Tushaar Gautam: We are unable to hear. Can I please request the coordinator to ensure that there is better connectivity. Arjun Khanna: Sure. I'll repeat my question, sir. My question was we did indicate we are looking at a CAGR growth of around 15%. Just wanted to understand, do we envisage the end market growing at same pace? And is our growth largely going to be led by volumes? Or would it be led by pricing? Amit Kumar Gupta: Yes. So Arjun, yes, you're right. We are -- we have envisaged and planned for a growth of 15% CAGR, which is a value CAGR that we are talking of. But our estimate is that the volume growth rate is going to be higher as compared to this because what we are finding is that the market segments which are growing faster as the penetration of the category grows in this country will be more there in perhaps the economy end of the segment, and therefore, the volume growth rates for us would probably be higher than the value growth rate. Arjun Khanna: Sure. Sir, this question is in the context of us vacating some of the lower-end brands and moving more towards our higher brands of Kurlon and Sleepwell, given that the lower brands were more in the economy segment, I'm just trying to understand the two, if you could help, sir? Amit Kumar Gupta: Yes, sure. So we just need to understand that both Kurlon as well as Sleepwell will straddle all the price points. It will straddle the price point at the economy end as well as at the higher

end of the market.

Because for us, what we need to be clear that strategically, what we have decided is that we will focus on the B2C space and within that, the branded mattress space. Page of 715

Sheela Foam Limited May 22, 2024 Now I'm sure you will appreciate that in this country, when I have to establish a brand, it will require us to invest significantly behind them. And that's what we are doing with both Sleepwell and Kurlon that there will be a significant amount of brand investment that will be behind both of them, and they will both straddle all the price segments. So the economy end of the market that you are talking of will be catered under the Sleepwell brand as well as under the Kurlon brand. And we are making our portfolio, etcetera, according to that. So for example, this small town initiative that we have been talking of, Tarang is actually -- currently under the Sleepwell brand. We have also introduced an equivalent model of that under Kurlon also, which is just got launched last month, which will also cater to the economy end of the market. So that is how we will be able to cater to all the different segments in the market. Arjun Khanna: Sure. Very helpful. Second question is generally when we have seen lower raw material costs, we have seen a significantly higher EBITDA margins. This quarter too, we saw gross margin expansion. Just wanted to understand, while margins are lower, partly the addition of Kurlon, but if one looks at Sheela Foam itself, margins aren't at the 12% to 14% range that we envisage. So if you could help us understand why is that the case? Tushaar Gautam: Amit. You want to take it? Amit Kumar Gupta: Yes. So if you look at Sheela Foam stand-alone level -- sorry, Arjun, broadly, you would -- though the gross margins have expanded, a part of it has been utilized for investing back into the bank. So if you see our advertising or marketing cost has gone up by 1-odd percent. So broadly, broadly for a stand-alone level, it would be 12-odd percent margin, if you normalize that. Now say that I understand your 12% to 14% range. But as we have like indicated earlier also, there are a lot of initiatives which we are already working on, both on the variable side of the cost structure as well as on the fixed side. For example, with the coming of Kurlon into this gamut, there is a lot of -- we don't need to run to parallel organization at the fixed cost level. So there is a lot of opportunities there in which has been identified and put into implementation. And also on the variable side of it, I think there are lots of synergies of scale and negotiating ability, which is available, which will get into the -- and all this should lead us to a comfortable position gearing we say that we will lead to 3% incremental margin over the next 2 to 3 years. Moderator: The next question is from the line of Bhavin Rupani from Investec. Bhavin Rupani: Yes, sir. I'll continue with my previous question. Sir, when you say 31% volume growth, actually very difficult to comprehend the numbers over here. So this 31% volume growth is on what gauge, if you can quantify that, it will be very helpful, sir? Amit Kumar Gupta: So Bhavin, the volume growth that we are sharing are of all the mattresses which we sell under our flagship branding of either Sleepwell or Kurlon. So the 31% growth number that we are sharing is all mattresses that we have sold in quarter 4 under Sleepwell flagship brand. And 17% is all that we have sold under the Kurlon flagship branding. Page of 815

Sheela Foam Limited May 22, 2024 Bhavin Rupani: Sir, is it possible for you to quantify the number? What is the total number in our total volumes? Total... Tushaar Gautam: We can connect with you Bhavin separately if that helps because we won't have the exact breakup number right now. Amit Kumar Gupta: Bhavin, this is Amit here. I think too much detailing we have never been giving that as a guidance. And if you look at our current structure, our focus is on incre

asing the overall volume. So like we mentioned earlier also that Sleepwell till now has been selling only through EBOs. But going forward, it will be selling through a mix structure of EBOs and MBOs, wherein it will be present along with other brands, including Kurlon. So whether a dealer sells a Kurlon brand or a Sleepwell brand that is less material for us. What is more important for us is what they sell together. So I think what we will be focused on going forward as well, currently because these companies are recently acquired. They are -- as you know, they are also under a process of merger. But going forward, we will be focusing simply on what is the category that we are looking at and how much growth is coming in that category whether it is coming in Sleepwell or whether it is coming on Kurlon is immaterial. But for your satisfaction at this point since this question is repeated every time, I would mention that they both have grown like the numbers that they both have shown are almost proportional. So it is not that one has lost and the other has gained tremendously, but they are almost in the same line with each other. Bhavin Rupani: Got it, sir. My second question is related to Furlenco, sir. Can you provide the revenue, EBITDA, PAT for FY '24? And how do you see that ramping up in FY '25? Amit Kumar Gupta: So I can tell you for the period that we have had because that was a period under our control and relevant to us. We acquired this company in August. As soon as we acquired this company, the losses that they were doing -- because earlier, there was a lot of debt on the company, which was paid out of the equity proceeds that we had put into the company. So from August till January, the debt reduced gradually, the interest costs reduced gradually and the losses kept coming down. From February onwards, the company is fully PBT-positive. It is covering all its costs, including lease rentals, interest, depreciation and all its operating costs. The revenue, which was at around INR10 crores, INR10.5 crores to INR11 crores post August has now increased to around INR15 crores, and this I'm not referring to March, it was around INR13.5 crores, INR14 crores now, but we have already crossed the INR15 crores mark, and we are slated to cross INR20 crores in the next 6 months. This is a 40% to 50% contribution business. I think that, that data would give you whatever you were looking for. Bhavin Rupani: Got it, sir. And any timelines over here to increase the stake? Amit Kumar Gupta: Sorry, I again missed what you were saying. Your line is not very good. Bhavin Rupani: Yes. Sir, any timelines here to increase the stake? Page of 915

Sheela Foam Limited May 22, 2024 Amit Kumar Gupta: So we already have an option to increase 9% stake at the same price at the time of acquisition we declared. But that is a matter being currently debated internally, and we will come back to you as soon as we reach any decision on that. Bhavin Rupani: All right. Got it, sir. Sir, next question is related to synergies. Is it -- so is it possible for you to quantify any synergy gains that we have in Q4? Rahul Gautam: This is -- okay, I'm going to take this. Rahul Gautam here. You are talking about the synergies of the Kurlon acquisition. Is that correct? Bhavin Rupani: Correct, sir. Rahul Gautam: So I think the guidance has already been provided last time that you would have an EBITDA at least of 3% increasing. And we are on track for that. Actual quantum, I mean we can easily derive about 3% of the entire sales value is. But I mean if I was to make a guess, I would say of 100, 150 or something like that happening quickly. Moderator: The next question is from the line of Paras from Enam Holdings. Paras: Yes. Sir, one point which I think most of the participants have asked and it is slightly confusing that if your premier both have more -- your Kurlon as well as Sleepwell has grown by 31%

and 17%. How come the overall volume growth is just 1% if I

compare a 675 versus the number that you have given of 665. Hence it is slightly difficult for us to understand the overall picture why the sales hasn't grown in spite of your 2 major flagship brand growing by 31% and 17%, sir? Rahul Gautam: So Paras, thank you for bringing this out. And even in the previous discussions, I could see that there was difficulty in appreciating our understanding that. Let's just step back a little bit, and we go through the strategy that the company is following. Number one, we will grow our market share and our presence in the mattress segment that we took. As you know, the company does mattress segment. It also does comfort segment, it also does B2B businesses, does a whole lot of other businesses. So strategy number 1 point is we will grow our presence in mattress. That is the D2C part and that is where we believe that our destiny lies as far as future is concerned. Of course, the other parts continue and they grow as they grow. But we will grow the mattress segment. Then within the mattress segment, to respond or to address the various channels, the various different kinds of consumers that we have, we had different brands or multiple brands like SleepX, like Starlite, like Feather Foam. And of course, we had Sleepwell. But we recognized that -- to promote, to advertise, we can do that very well with one brand and that's our flagship brand, Sleepwell. So the entire effort of the company has been -- it's not closing down the other brands, but we are growing the Sleepwell brand. And somewhere down the line, let's say, another year, years' time, we would have Sleepwell as the mattress brand existing straddling the entire arena of places where it can be sold. And therefore, the primary function that we measure or the metric that we measure is that what is happening in Sleepwell, which is growing. And 31% is the number at which the Sleepwell segment has grown over the previous one. Page of 1015
Sheela Foam Limited May 22, 2024 Now something would have gone down. And that would have been Feather Foam would have gone down, Starlite could have gone down. But those are the less remunerative areas and areas that do not have future with us. And therefore, that's what. However, what I'm going to do is -- Amit, just make out the sheet and share it off-line or if you will reach out to Amit. He will share with you that what does the exactly 31% means? Actually, it means growing the Sleepwell brand. But we are trying to correlate it with the overall volume growth, and there would be some mismatch on that. Paras: Got it. Sir, my other question is on the other income. I'm sure that on INR117 crores other income on an average investment of INR750 crores before and INR500 crores now. It doesn't seem that the whole of other income is from investments. So if you could understand if there is any operational other income or any other part of the -- any forex gain or something like that, which is part of the other income? Because this quarter also, it is on a consolidated basis, INR37 crores on an -- if we have an ever considering our investment book of INR500 crores for this quarter, it is slightly on the higher side. So I wanted some color on the other income also. Amit Kumar Gupta: So Paras, this is Amit here. So operational income is not there because has there been any operational income like waste or -- we sell other things. We don't do that. Most of our wastes et cetera, are recycled and used in our mattresses. So mostly, this INR117 crores are investment income for the first half of the year on INR750 crores. And for the second half of the year, on around INR500 crores to INR550 crores. There is no other source. As far as forex income or expense are concerned, they are not material for us. I think there would be INR1 crores or so of forex gain that would have accumulated on something... Rahul Gautam: That would be primarily on the forex move. Yes, that's been significant. So this is primarily income

of -- on the investment thing. Paras: Got it. And sir, my last question is on the Tarang brand. How is the traction that we have seen on the brand and where are we positioned for that? If you could give some color on this? Rahul Gautam: Yes. So Mr. Nilesh Mazumdar will take that. Nilesh Mazumdar: Yes. So Paras, Tarang is doing well. We have now -- as we speak, we have extended it to almost half the country. As I mentioned that what we have also done along with Tarang, Tarang was under the Sleepwell brand. We have also introduced a similar model to cater to the same segment under Kurlon, so that we are able to leverage the Kurlon brand strength also in different parts of the country to able to cater to the cotton mattress user. So it's doing well. The structure has got rolled out in half of the country. The distribution is picking up quite well, and we are quite bullish around that category has been brand. Moderator: The next question is from the line of Karan Bhuwania from ICICI Securities. Karan Bhuwania: Yes. So I just wanted to understand the 17% volume growth in the Kurlon brand, that seems very good. Just wanted to understand what has led to that because, as you mentioned, right, the demand environment and the overall market situation still seems to be -- you mentioned that the off-line market volumes have largely remained flatish or decline. So just wanted to know what different thing is happening for Kurlon this quarter with the 17% volume growth? Page of 1115

Sheela Foam Limited May 22, 2024 Rahul Gautam: Thanks, Karan. See, as far as Kurlon is concerned, what we are able to do for both the brands is to extend Kurlon to the network in the other parts of the country where they were not present in, number one. Number two, there is a fair amount of positivity and bullishness with the channel that now is happening around with the brand as we have -- as now they have seen us taking over, there have been several set of initiatives that we have taken around Kurlon, for example, some of the economy end models that were there, which had become price uncompetitive. We have rationalized those prices. There have been reintroduction of a couple of faster-moving models, which were they're demanded in the market. So there is a fair degree of positivity around which the brand. And as we move ahead, there is a completely new brand identity that we have now created and we will also be seeing a complete integrated marketing campaign, which will back up Kurlon as we move ahead. There is a complete new set of models, which we are launching in the current quarter, which is actually already underway. So several initiatives on channel, on brand as well as on the team has happened, and that's what is actually giving us this positive bump up in sales. Karan Bhuwania: Got it. And just wanted to understand, is there a shift in terms of how the growth of Kurlon brand is an online business as we see that Sleepwell is also doing well online now, right? So is there a disproportionate growth in the online channel for Kurlon also for this quarter? Rahul Gautam: There is a disproportionate growth here is happening for Kurlon also. Kurlon's presence online was limited. So we have expanded the portfolio. We have managed to address lot of the typical online/offline conflate and therefore taken care of that. So Kurlon also on the e-commerce space is seeing a fair amount of growth, which is happening. However, the ratio still is lesser as -- in terms of the percentage and the offline is going to be the biggest contributor to the both the brand sales. Moderator: The next question is from the line of Deepak Malhotra from CapGrow. Deepak Malhotra: Okay. Most of my questions have been answered. I just have two follow-up questions. With all the initiatives, which are being taken. I mean,

once you have now this merger going ahead in terms of consolidation, whether I should say, in terms of both Sleepwell and Kurlon in your order book. What kind of market s

hare gains are you really targeting? And what kind of competitive intensity are you witnessing in the market, please? Rahul Gautam: Good question. I think market share will be a main result of whatever we do. So we are more focused on currently doing the right things with both the brand and market share will be a resultant. So I don't think we would want to predict what will happen because as a market leader, our primary responsibility is also to grow the market. Having said that, the competition intensity, Deepak that you are talking of is largely today in the industry being only seen in one space, which is in the e-commerce space with certain specific brands who for them, the D2C and the e-commerce platforms are an easy route to reach across the market. So that is where we are seeing large amount of competition intensity. Page of 1215 Sheela Foam Limited May 22, 2024 Some of them are trying to make forays into the offline space also, but the presence is still limited. So as we go ahead, offline space is dominated by 3 brands and the rest of the intensity that we are seeing are largely in the e-commerce platform. Deepak Malhotra: Do you see the e-commerce platform sales picking up much more as we move into short to medium term or long term and becoming a larger part of the market? Nilesh Mazumdar: So Deepak, this in, I think also our previous quarters, we have shared our understanding of the e-commerce platform that yes, e-commerce is going to stay. But our own thinking is that over the next 2 to 3 years, the contribution of e-commerce would probably be in the region of anywhere between, let's say, 10% to 12% or let's say, 10% to 15% maximum. And the reason is as follows: if you look at internationally, what is happening in the e-commerce space or during COVID, the contribution of e-commerce really went up because that became a far more convenient method of buying for most categories, including mattress. So at that time, the contribution of e-commerce had gone up. But subsequently, it has tapered down in most of the developed countries. So it is anywhere between 17% to 18% maximum. And therefore, if you were to benchmark against that, we see the -- in India also the contribution staying somewhere thereabout, number one. Number two, what sales on e-commerce is largely the low-price mattress, which is sub, say, INR10,000 or maybe even sub INR8,000, that's what contributes to almost 70%, 75% of the sales because as far as the mattress as a category is concerned, the moment the consumer wants to buy mattress, which you say INR15,000, INR20,000 you will -- they will want to touch and feel the mattress because this category does not gets sold by specifications. It gets sold by a touch and feel and therefore, a customer would want to visit an offline shop in order to experience the product. But having said that, what we must take cognizant of is that digital marketing will play a significant amount of role in this category, and we will as brands way to invest on that because a lot of information search around the category and brands will happen digitally, and that is what we will need to invest in as we move ahead. Deepak Malhotra: Okay. One more question I have is in terms of the underlying raw material pricing. I think over the last few quarters, that has kind of been a trend, which has also been reflected in the overall revenue numbers coming down. So what is the kind of view you have on the underlying raw material prices? I mean how is it really going to behave over the next, say, 1 to 3 years, please? Rahul Gautam: Yes. Deepak, good evening. This is Rahul Gautam trying to address your question. I wish I had some good, clean, clear answers for you. In spite of all our hopes and prayers that they should stabilize, there should be a bit of a steady movement upwards and not spikes and other things, and they still seem to do. And this is because whatever happened, and believe it or not, whatever happened at COVID times, t

he oscillations still continue. There are many factories which closed down. There are many areas where the consumption went down. Some are starting, some are not wanting to. Then there are these issues about the Red Sea and the Suez Canal issue and problems. So going forward, I do see fluctuations happening or continuing to happen. Though I do not see any kind of spikes happening or a sudden free fall of the raw material, the things that we have witnessed in the past. Page of 1315 Sheela Foam Limited May 22, 2024 And just to overcome these oscillations once I take you back to a couple of minutes back or half an hour back where we said that we're going to focus our approach and our concentration more towards the B2C part of the business, where the destiny is far more in control, even if there are too many of fluctuations, we are able to take care of it, whether it is passing on or whether it is looking at the cost side, et cetera. But on the raw material, frankly, there is neither does a system exist where you could book for a year and close it, nor does it appear that these fluctuations will completely vanish here. But spikes will probably. Moderator: The next question is from the line of Bhavin Rupani from Investec. Bhavin Rupani: I had just one question related to our overseas business. Australia and Spain's revenue as well as margins have been declining over the past few quarters. Can you please provide some of the reasons behind it and by when should this business normalize? Rahul Gautam: Thanks. So both are independent. I mean they are separate markets and they have separate forces working there. Let's just look at the Spanish side. On Spain, we are a very small part of that large market. And therefore, our effort was to increase capacity even the market shrunk a little bit. It did not matter. We would have a size -- or we would have the opportunity to increase would be there. So we've debottlenecked. We have already increased our capacities from 14,000 tons to 19,000 tons and slowly ramping that up. What you see as a drop in the top line is primarily on account of the raw material prices falling, and we have to pass on those prices or those drops to the consumer. And that's the reason that you see a lower number. As far as EBITDA percentages are concerned, holding up, and I don't think that that's an issue. As we increase our volumes, which now we have the capacity, this will keep improving in the next 2 years' time, you should see a completely different picture. And this, I'm talking about Spain. As far as Australia is concerned, the problem -- or not the problem, let's say, the issue is a little different. There, we have a large share of the market. And the market size needs to go up for us to get better on our performance and to have better results, which we are doing to issues like looking at antidumping duties. We are looking at sizes of looking at absolutely newer segments like the furniture segment and of bed-in-a-box mattresses which are being imported into Australia and New Zealand. We are making some progress on that, and we expect again in a year's time, to -- for you to see a lot of change that is happening. We have started both the top line and bottom line improvement projects, which are beyond the market and the market size, but internally, and they are beginning to show some results at the moment. But I would give Australia one year's time where you would see climbing back to normal levels and then even going beyond that. As far as Spain is concerned, you would start seeing it from next quarter and probably good results or good healthy ones in about 2 years' time. Moderator: Ladies and gentlemen, that was the last question. I now hand the conference over to the management for the closing comments. Page of 1415

Sheela Foam Limited May 22, 2024 Amit Kumar Gupta: Great. This is Amit here again. So I take this opportunity to thank you all for participating in this earnings call, and asking ques

tions, putting us also to think about it, to answer. I hope we have been able to answer your questions to your satisfaction. If you have any further questions or would like to know more about the company, we would request you to reach out to our IR managers at Valorem Advisors. Thank you. Moderator: Thank you, members of the management team. Ladies and gentlemen, on behalf of Emkay Global Financial Services, that concludes this conference. Thank you for joining us and you may now disconnect your lines. Thank you.

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Call: Aug 2024

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08th August , 2024

To

The BSE Limited The National Stock Exchange India Limited
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Dalal Street, Mumbai -400001 Bandra(E), Mumbai -400051
Scrip Code: 540203 NSE Symbol: SFL

Subject: Transcript of Investors' Conference Call for Quarter ended June 30, 202 4
Financial Results.

Dear Sir/Madam,

Please find below the transcript of Investors' conference call organized on August 05, 2024 post declaration of Financial Results for the quarter ended on June 30, 202 4 for your information and records.

Thanking you,

Yours truly,
For Sheela Foam Limited

Md. Iquebal Ahmad
Company Secretary & Compliance Officer

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"Sheela Foam L imited
Q1 FY '25 Earnings Conference Call "
August 05, 202 4

MANAGEMENT : MR. RAHUL GAUTAM – EXECUTIVE CHAIRMAN –
SHEELA FOAM LIMITED
MR. TUSHAAR GAUTAM – MANAGING DIRECTOR –
INDIA BUSINESS – SHEELA FOAM LIMITED
MR. NILESH MAZUMDAR – CHIEF EXECUTIVE
OFFICER , INDIA BUSINESS – SHEELA FOAM LIMITED
MR. AMIT KUMAR GUPTA – GROUP CHIEF FINANCIAL
OFFICER – SHEELA FOAM LIMITED

MODERATOR : MR. AMIT PUROHIT – ELARA SECURITIES PRIVATE
LIMITED

Moderator: Ladies and gentlemen, good day and welcome to the Sheela Foam Limited Q1 FY '25 Earnings Conference Call, hosted by Elara Securities Private Limited. As a reminder, all the participants' line will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Amit Purohit from Elara Securities Private Limited.

Thank you. And over to you, sir.

Amit Purohit: Yes. Good evening, everyone. On behalf of Elara Securities, we welcome you all for the Q1 FY '25 Conference Call of Sheela Foam. I take this opportunity to welcome the management of Sheela Foam represented by Mr. Rahul Gautam, Executive Chairman; Tushaar Gautam, Managing Director; Mr. Nilesh Mazumdar, CEO, India Business; and Mr. Amit Kumar Gupta, Group CFO. We will begin the call with a brief overview by the management followed by a Q&A session. I will now hand over the call to Mr. Rahul Gautam sir, for his opening remarks.

Over to you, sir.

Rahul Gautam: Thank you, Amit. Good afternoon. Good afternoon to everyone and thank you for joining us for our Earnings Conference for the First Quarter of Financial Year 2025. I would also like to thank Elara Capital for hosting this earnings call. Let me first take you all through the financial highlights for the quarter. For the first quarter under review on a standalone basis, we reported revenues of INR504 crores which increased by around 10% year-on-year.

EBITDA for the quarter stood at INR48 crores which declined by about 22% year-on-year.

EBITDA margins were reported at 9.45% for this quarter and the net profit stood at INR32 crores which is down by about 25% this year. On a consolidated basis for the first quarter under review, we reported revenues of INR810 crores which increased by around 26% year-on-year. EBITDA for the quarter stood at INR60 crores, down by about 23% on a year-on-year basis.

EBITDA margins were reported at 7.4% for this quarter and the net profit stood at INR47 crores which has actually increased by about 8% on a year-on-year basis. Let me just begin by sharing with you that this quarter has been a very eventful quarter. Besides the financial year starting which has the regular changes and the annual changes which we all have to do in all the companies, we were reintegrating Kurlon represented by KEL, Kurlon Enterprise Limited which was acquired in October 2023. You know the integration processes have their own complex and complicated situations when the process takes place.

We could have waited to run the two entities separately as different businesses like we are all aware of Air India and Vistara, that's going on, going on for almost a year and probably would take another two years to three years to complete, but we chose otherwise. If we had continued by keeping them separate, the fluid situations would have also continued for a very long time. Additionally, all the synergies that we have anticipated or we are working on would have taken that much longer to crystallize and as I mentioned, we chose to consolidate right away, consolidate the operations side, consolidate the services side and consolidate the sales and marketing side.

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In fact, we have gone one step ahead to even consolidate both the corporate entity and have already filed for a merger with effect from October 2023. That is the date of the acquisition. And when we chose to do this, there were some actions and some steps taken by us immediately. On the operations side, we determined wherever manufacturing of whichever product was the best suitable, for

example, foam being manufactured in erstwhile, Sheela Foam factories while coir products being manufactured in Kurlon factories.

Similarly, we also chose logistically the best suitable places for supplying and catering to the nearest markets. In this process, we closed down two factories very peacefully with all the people being taken care of, and there have been benefits which have ensued thereof. Some of them are already beginning to flow in. On the services side, I shared with you the ERPs, or integration of ERPs as we all know how important IT services are these days. Normally the integration takes -- takes six months to 12 months, but we did that in less than a week and ensuring that all the security, the cybersecurity were taken care of and are being taken care of as we move forward. Along with it, the F&A, Finance and Accounts department has also been integrated and the HR practices are under preview or under review and will be done soon. On the front end, at sales and marketing, we are all aware that different businesses though may appear as absolutely

similar, supplying mattresses to the markets or to the consumers but in functioning were very distinct from each other, very different. One operated through regional warehouses or regional distribution centers and then going directly to the retailers, while the other one operated through zonal distributors and then reaching out to the dealers.

Various pilots and various models were initiated, were reviewed, were viewed to see that we arrive at the same -- we arrive at an integrated outcome, but at the same time the best one that is possible. And I'm happy to share with you that we have come up, the RDCs have been reduced largely from a number of about 55 to about 16. And while the distributors have been given the additional task of distributing Kurlon products. Now this may sound as simple but when it involves retailers across India or across the entire geography and across EBO and MBO systems being operated and with the two different sales forces in operation, integrating this was not easy and I must say that in this quest for doing things quickly, for obvious reasons, it did result in disruptions, especially on the sales side.

And I believe now we are in a place to say that the negative environment or economic environment was definitely not helpful during this process. The impact of doing all this was the savings potential which we have evaluated at INR250 crores annually, we have already achieved the run rate of about INR100 crores. The fixed cost of both the units which I mentioned or fixed costs arising because of the two units have come down and they have been actualized in the quarter one, that is the one that we are talking about.

The same system is completely in place. However, we all know that did create some disruptions resulting in sizable sales office. But now the system is completely in place, everyone is operating. And let me say that even -- or I have information beyond the closing of the last quarter, things are running as smoothly as they should. We are happy to share that the entire integration process is about 85% to 90% complete and we are ready for the upcoming season.

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I must also share that the merger which has been filed with the NCLT, whenever that -- the order comes out, it will be a seamless conversion even at the corporate level. Lastly, let me talk about the international businesses in both the geographies of Australia and Spain and we must say that both had a process of increasing their capacities that has been completely commissioned. Australia has gone up from about 10,000 tons to 15,000 tons per annum and in Spain we have gone from 12,000 tons to 18,000 tons, which ensures that we are very future-ready as far as those places are concerned.

I must say that sales have been much too far away, has been reasonably

stable, and if they have

not increased, it's only on account of the raw material prices which have been on the lower side and have reflected on the top line being just lukewarm. So with these words, I conclude the opening remarks and open the floor to all the questions and we will try our best to answer each one of them. Thank you very much.

Moderator : Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Tushar Vaidya, who is an Individual Investor. Please go ahead.

Tushar Vaidya: Good evening Mr. Gautam. Looking at the Q1 results I can see that the number one revenues have not grown commensurately. For example, after the Kurlon takeover after -- Kurlon should have brought revenues of roughly INR850 crores, INR900 crores to INR1,000 crores to the table, however -- which is approximately maybe INR250 crores per quarter. However, this year's Q1 FY '25 year-on-year the revenues have grown only by about INR160 crores. So it implies that either Kurlon revenues have dropped or Sheela Foam businesses revenues have dropped significantly. So the first part of my question was relating to what to revenues? Why are revenues falling?

And this is concerning from the context that when we look at competitors, other mattress manufacturers, their revenues are growing. So why are our revenues falling in a market when our competitors' revenues are growing? That's the first part of the question. The second part of the question pertains to profitability.

EBITDA has lumped from 12% last year to 7.4% this year. Other expenses have gone up by -- from 26.6% to -- last year to 34.9% this year, an increase of 8.3%. So costs appear to be -- I noticed that marketing expenses have gone up, but they've gone up by roughly 1.9% whereas expenses have gone up by 8.3%, so marketing expenses will not account for the total increase in expenses. So the second concern is that expenses appear to be growing and the EBITDAs are falling. So these are the questions I have. Looking forward to hearing from you, sir.

Rahul Gautam: Thank you, Tushar. Thank you very much for bringing these questions. As far as the total revenues are concerned, I know that you are referring to the target that we have for Kurlon at INR1,000 crores and therefore a quarter of this revenue of INR250 crores. But it is the process of integration which has impacted or let's say temporarily impacted the revenues, especially

when you do the front -end part of it and the processes, as I said, the way that the product is sold are completely different. There are leftovers, there are stocks from before. There are people who have to be brought on board. There are -- the final process that we decided was through these
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zonal distributors. Now, they were dealing only in Sheela Foam products earlier. They have to be -- Kurlon has to be added to them, et cetera.

The regional or the -- Yes, the regional distribution centers which were carrying the stocks, they had to be closed down. Materials have to be transferred. There are some disruptions that take place and it's a result of all that. But let me just repeat myself and assure you that this is a part of quickly trying to integrate, getting over it and getting on with our jobs of manufacturing and selling. And this number that you talk of, INR1,000 crores will soon be realized. As far as the EBITDA part is concerned of 12% going to 7.5%, Amit, would you take that question?

Amit Kumar Gupta: Sure. Hi, Tushar, this is Amit Kumar Gupta. I am the Group CFO for the company. So Tushar, if you look at it, I would answer -- I suggest my answer into two parts. The first, I will point out to the gross margin. I think when we started post-acquisition of Kurlon, the combined gross margin would be around 40% -odd.

The Q1 figures that you see here only comprise of Sheela Foam. Since

in Q1 last year Kurlon

was not there, so -- and that is written at the bottom of the presentation also. So you cannot compare it with Q1. But yes, Q4 will be comparable. So firstly, I would mention that whatever benefit were to come by the integration process, as Rahul Ji just mentioned, INR100 plus crores run rate has already been achieved and this is reflected in the gross margin that we have.

The lesser EBITDA is only on account of fixed cost levels. Since that top line you see there, even if you compare it with, say, Q4, it is lower by around INR70 crores. And if I take a gross margin which went there and multiply it by that INR70 crores, you find that the EBITDA margin would be somewhere in that 12-plus range. So what I can say the revenue was disrupted temporarily because of the integration process and now it is all on track. So as soon as in the next quarter we see this revenue coming up, I think whatever was to be done on the cost side has already been done and you should observe a much better EBITDA on the cost side.

Tushar Vaidya: Rahul Ji, as a follow-up, may I ask -- may I know the split of top line between original Sheela Foam and Kurlon?

Rahul Gautam: Which part of the year are you talking about?

Tushar Vaidya: For Q1, sir. For Q1, FY '25 against the console top line of INR810 crores, how much came from Kurlon and how much came from the erstwhile Sheela Foam?

Rahul Gautam: So you are referring to consolidated revenue, right?

Tushar Vaidya: Yes, I'm referring to consolidated total revenue.

Amit Kumar Gupta: Yes. So this includes Kurlon, Sheela Foam, Australia and Spain.

Rahul Gautam: That's right.

Amit Kumar Gupta: So very difficult for us to bifurcate. See, the model that Rahul Ji just explained now both the brands are working together to derive the integration benefits. So especially in India, we have combined the distribution network wherein though on the shop excludes -- on the shop we will
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find them at different places, but at the back end, it is the same sales team or the same channel that is distributing those products.

So we have stopped doing it on that way. Because ultimately, what is the sales proposition that the dealers and distributors have is how much of the combined volume are they able to sell and how much they are able to deliver. But still broadly, if you ask me, I can tell you that Kurlon, because of disruption, has been a little bit lower this time. It would be somewhere around say INR170 crores, INR175 crores, whereas Sheela Foam would be around INR44, INR45 crores.

Tushar Vaidya: Okay. Noted. Okay. Okay. Got it. Got it. Thank you. Thank you, Rahul Ji. Thank you, Amit.

Rahul Gautam: Welcome.

Moderator: Thank you very much. The next question will be from the line of Drisha Poddar from Carnelian Asset Managers. Please go ahead.

Drisha Poddar: Yes. Hi. Just want to have a couple of questions. So I wanted to understand that even on a standalone basis gross margins have declined by about 383 basis points on a year-on-year basis from about 38.6% to 34.8%. So what has led to this gross margin decline even on a standalone basis?

Amit Kumar Gupta: Early you were missing at.

Rahul Gautam: So can you repeat yourself, please? The voice is not coming through clearly.

Drisha Poddar: So wanted to understand the decline in gross margins even on a standalone basis. So standalone also, we've seen a gross margin decline of about approximately 383 basis points.

Rahul Gautam: So Amit.

Amit Kumar Gupta: Yes, I do. So ma'am, just to tell you, as you would have replied to my last question, Sheela Foam [inaudible 0:22:17] had a revenue of around INR440 crores to INR435 crores, whereas the top line that you see here is INR487 crores. The remaining INR40 crores INR45 crores is because of the intercompany base between SSL and EEL because now what we are doing

so, the merger

is outstanding. But we have developed an arm's length principle and we have put all this business in a manner that they are able to function together. That is how only the efficiencies can be derived. So this all arrangement has been put in.

But when you do it at arm's length, the profit margin that you get from the sister company is much lower. It cannot be as you are telling it to a third party. So generally you take a 5% to 6% profit margin on cost of goods sold. Because of this, the intercompany sales gross margin would be much lesser. And so when you do an average of it, you find that the overall gross margin has reduced. But if you see on an India business level which is the right metric to look at it, you will find that the margin has actually improved, gross margin. So it has grown in the financials, it shows an improvement by around only 0.1%. But there were certain product mix which has happened in this quarter for the good.

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We have increased the sales of online segments. We have increased the sales of the mattress, which is mattress for every Indian, there the gross margins are lesser for the EBITDA of the same because they don't involve marketing costs, et cetera. So effectively this margin should have gone down by 0.4% whereas it has increased by 0.1%. So I would say that from quarter four my gross margin has increased by approximately 0.5% on an India business level which is the right metric to look at it.

Drisha Poddar: Okay. Okay. So Amit Ji, what can be the gross margin levels to work upon now in the future? Like, should we work with about 35%, 36%? Should that be the new normal?

Amit Kumar Gupta: No. While 35%, 36%, you should work with gross margin at India level, which is currently around 44%. And there are certain synergies which Rahul Ji mentioned that out of INR250 crores, only INR100 crores have been executed, or [inaudible 0:24:38]. So there is an incremental savings efficiency of INR100 crores to INR150 crores, which will come over the next six months to nine months. So definitely you should see an enhancement in the gross margin over this period, and that should lead to a much higher gross margin than what even currently it is.

Drisha Poddar: Got it. And on the growth side, like now that I assume that most of our synergy -- like integration issues are behind us at like 85% to 90% that we've been integrated, so what kind of growth rates can we expect for the balance three quarters and for next year?

Amit Kumar Gupta: So, on a quarter-on-quarter basis, as we had given the guidance earlier, we are looking on a quarter-to-quarter on a year-on-year basis, a growth of around 15% -odd. You can be rest assured that we are looking at double-digit growth rate on a -- in the quarter on a year-on-year basis.

Drisha Poddar: Got it. Understood. And lastly, on the two subsidiaries that we have, both Australia and Spain, where we've seen that due to higher other expenses, margins have compressed further. So what is our outlook there?

Rahul Gautam: Sure. I'll take that. This is, as I again mentioned right in the beginning, these numbers are appearing because of reduced raw material prices. And those areas we supply foam to the brand owners and to the mattress manufacturers and therefore the raw material prices impact is far more. These prices are stabilized, or have stabilized. And second, we are also bringing some of our costs down. That's what you should see a better number in the coming quarters.

Drisha Poddar: Got it. Thank you so much.

Amit Kumar Gupta: Thank you.

Moderator: Thank you. The next question is from the line of Amitosh Kumar from Mastertrust. Please go ahead.

Amitosh Kumar: Thank you for the opportunity, sir. I have two questions. Sir, firstly, you said integration of ERP, so it took six months to 12 months but you did it in a week. So can

you explain how did that happen?

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Rahul Gautam: Is that your first question? Is there a second question?

Amitosh Kumar: Yes, sir. My second question is regarding that you mentioned negative economic environment was not helpful. So could you emphasize on that as well?

Rahul Gautam: All right. So let me first talk about the ERP part of them. The integration of ERP, when you switch especially from a system like they had an old version of SAP which was operating, and as far as Sheela Foam was concerned, operating on itself, it's a homegrown system that is there. So when you do it module by module, let's say, starting from stock to manufacturing, to sales to financial accounting, you have -- you can do it module by module. And let's say we could have done the sales and marketing first and let the back end continue to work as it was or we could have done -- and/or we could have done was do a module of just magnify sales and switch over feed -- switch it over to the other company.

The people take time for training and that's the normal standard six months to 12 months that it takes for when you switch over from one year to the other. Here, we trained people a little in advance, we prepared for it and we checked the financial year starting on 1st of April, and we will start it at that particular time. And it is fortunate that we are in the same business and therefore the people understood the manufacturing processes or the selling processes. However, systems are different and the way that each one has to operate on it, it takes time for training and implementation.

Any follow-up questions on that? I'm happy to answer.

Amitosh Kumar: No, sir. I'd like to understand the negative economic environment point as well.

Rahul Gautam: Yes. So I think that's accurate. What we have been seeing in the first growth rates of -- growth - declared growth rates in India of 7% - odd, that has been there. But when you break that down, you find that it is the services side which is contributed to it. And it's not the other part that includes the consumer durables or the areas that we operate in. And that's the negative part that I talk about that it was not that -- I mean, if you look at the last six months, the only consumer durable which is growing is the air conditioners and that's because of intense heat that was there. But all the others have been having an absolute lukewarm or actually a little lower turnovers compared to the previous time.

Amitosh Kumar: Okay, sir. Thank you.

Rahul Gautam: Okay.

Moderator: Thank you. The next question is from the line of Resham Jain from DSP Asset Managers. Please go ahead.

Resham Jain: Yes. Hi, good evening. So my question is related to the overall integration, and I'm sorry, but you have explained in detail in last half an hour, but it's very difficult to comprehend that -- the kind of run rate which Kurlon used to do of close to INR250 odd crores on a quarterly basis, Sheela Foam Limited

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how despite the total kind of -- if I look at this quarter number, that mathematics doesn't make any sense.

So I think if you can just explain maybe in a separate sheet that how both the businesses have grown, that would be very helpful. Because it seems that one of the business might have seen a significant growth and I'm not able to understand what is the reason of that degrowth. I understand markets are not great, but still, because of integration what all impact you have in MBOs, EBOs, any region-specific? I think those kind of details would help in understanding those aspects.

Rahul Gautam: Okay. Okay, Resham, so we will prepare a separate document and share it with each one of you of exactly how it impacts in a summary form and in a bit of a repetitive form. I'd just say that it does -- I mean, just imagine that there are two businesses

operating. One operating, which is through MBOs and through regional distribution centers, directly from company to their own warehouses, and then through the retailers. The other case, this company to the zonal distributor, which is a sale, and then from a distributor to the retailers and through EPOs, which is also a sale.

Now you want to integrate the two. So we have got the starting point because these are continuing businesses and they have starting points where there are stocks existing, there are products which are existing, there are payments which are yet to come from either side. And then you now need to shift from a regional distributor on to a distributor. Sorry, from a regional distribution center or to a distributor for selling.

You have to transfer the stocks which are existing in the distribution centers. You have to transfer the credits which are existing. There are human beings which are involved on the retail side and on the distribution side. Those people who have been used to a particular company and now

suddenly have to do both the companies, look at what goes through their minds. I mean look at the insecurities that goes through their minds and till the time that some comfort levels are evolved and the business begins to settle down.

So that's the disruption that we talk about. Products which are being made in one -- two particular factories and then you want to close those two factories down because it doesn't make sense for them to go on a longer -- or for long. They have their impact, the supply chains. There has been a supply chain which has been existing, and there is a supply chain that you want to create, a combination of both of them. So these are the issues that is there. But I would be happy to take -- to prepare one -pager on this and share it with you.

Resham Jain: Got it, sir. The second question is, sir, given for our understanding, it's very difficult to comprehend what kind of visibility you have in terms of, let's say, revenue going forward. I assume that this is temporary in nature, all the stock adjustments and other aspects, but let's say going forward in second half, the key festive season will be there. How do you think about the kind of revenue run rate which we can do in the India business?

Rahul Gautam: So I think, let me first begin by saying that fundamentally, the business, and I'm talking the combined business has actually become stronger. That means as a platform, it has become

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stronger from the two platforms that were existing. Now it's not getting reflected on the top line. And your question is that what kind of confidence levels do you have that the top line will come to protected levels or to even the erstwhile levels that we're existing? Fundamentally, when I say the capacity to manufacture the products that you have, the brands and their salience that is there in the market, the distribution channels that you have, they are stronger than before.

Now it's a question of -- as I said, the numbers that you are watching are 30th June numbers. There is a month and a quarter which is -- or a month and a few days which have gone by. And therefore I speak with some confidence to say that they will return to the old or to the projected numbers that we have. And we will be well in time before the quarter three, which is a high season quarter before that starts. We will be well in position for that. Unfortunately, I can't talk too much about whatever has been done in the recent past or one month back. But the confidence is there.

Resham Jain: Okay. Great, sir. Thank you and all the best.

Moderator: Thank you very much. The next question is from the line of Ritesh Shah from Investec. Please go ahead.

Ritesh Shah: Yes. Hi. Yes. Thank you, sir. Sir, couple of questions. One, is it possible to quantify corresponding numbers to INR170 crores and INR445 cr

ores what you indicated for this quarter for the last year?

Rahul Gautam: You want to answer one by one or you want to put all the questions, Ritesh?

Ritesh Shah: Sir, whatever is convenient to you, sir?

Rahul Gautam: No. All right. So you'll have to repeat this last one.

Ritesh Shah: Yes. So the first question is, I think in the -- one of the questions you answered, Kurlon did around INR170 crores this quarter and SFL did INR445 crores. So the question is how much was the quantum for corresponding period last year?

Rahul Gautam: So, Ritesh, as far as Kurlon numbers are concerned, we would not have them because they were not listed and they did not prepare any quarterly numbers at all. So they only had annual numbers. And therefore we have attempted that in the past but unfortunately not been able to get that. That's one part. And even this INR170 crores and INR445 crores that Amit said is a bit of an estimate because what we are put in process is that eventually -- now finally everything is going to become Sheela Foam that even the sales part of it are whatever comes from Kurlon as a corporate entity goes through Sheela Foam as a related party transaction.

But of course, everything happening at a arm's distance and then goes to the front end or to the market. And therefore it's extremely difficult to get -- these are estimates and we can't have the last years. We can have the Sheela Foam numbers but we can't have Kurlon numbers of last year.

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Amit Kumar Gupta: Sheela Foam numbers, Ritesh, are already there in the presentation, I think which is INR460 crores something. The Q1 numbers on a standalone SFL. But Kurlon numbers since they never published these numbers, very difficult and internal numbers are very subjective. So I would not like to take the risk of citing those numbers.

Ritesh Shah: Sure. That's quite helpful. Sir, my second question was on distribution. Would it be possible to quantify what is the EBO and MBO network under Sheela Foam and how much it is under Kurlon? If the number is like three months back, six months back, it's perfectly fine. And wanted to understand how do we plan to increase the numbers for EBO, MBO for the Sheela markets and for the Kurlon market? And how far have we reached in the journey? Like is it a three-year thing, five-year target? And where are we over there?

Rahul Gautam: So I'm requesting Nilesh to take that question.

Nilesh Mazumdar: Hi Ritesh. So as far as the distribution is now concerned, as we would know that we used to have people doing largely only through exclusive outlets and Kurlon by and large was through multi-brand outlets. And this along with the acquisition, obviously people get the opportunity also to go through multi-brand outlet and also expand the exclusive channel both for SFL and Kurlon. So as we see currently both the brands put together would be getting sold in the urban market for approximately 7,000 outlets now. In the last quarter, we would have added stroke revised approximately about 700 odd outlets for both the brands. And this does not build in the Small Town India where we have a completely independent channel which we have created. So that's the kind of expansion that we have done till now in the first quarter.

Ritesh Shah: Right. And sir, is it possible to break this number of 7,000 between EBO and MBOs including 700?

Nilesh Mazumdar: So if I very broadly break this up it will be approximately around 3,000 outlets will be exclusive and about 4,000 would be multi-brand or high potential outlets.

Ritesh Shah: Sure. And sir, how do we plan [inaudible 0:41:31]. That's helpful. And sir, how do we plan to increase this number, say with a three-year view, five-year view?

Nilesh Mazumdar: So see the distribution expansion would happen in a calibrated manner. We would expand the showrooms for both the brand

s because exclusive gave a different kind of a shopping experience to the consumer. As we had discussed before that the strategy we are following is that the entire country we have broken up in almost 2,000 micro markets. And for each micro market, we have a separate distribution plan how both the brands we will be enhancing their presence either through increasing outlets or through increasing shares depending on what the current status is. The numeric distribution is something that we will be driving through the Small Town India. And my guess is that Small Town India we will have -- we already have about 5,000 outlets. And by end of the year -- this is completely new channel that we are creating, we will have another about 7,500, 8,000 total number of outlets that we will have in Small Town India by the end of the financial year.

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Ritesh Shah: Sure. Sir, I'll ask the question in a different way. Sir, in the past we have indicated that we would look at double-digit volume growth. So please correct me if I'm wrong. So my idea was to understand how much is the same-store sales growth that we are looking at and how much of it will come from the distribution network enhancement. Sir, wanted to understand how you are thinking about this.

Nilesh Mazumdar: So volume growth Ritesh is going to come through just not channel. It will also come through several other initiatives that we are doing. We have -- as we speak from almost every quarter we have a new product introduction that we have planned and which we will be rolling out to fill in some of the portfolio gaps that we have. We will also be looking at communication which will help us obviously both in building the brand saliency and particular model. And along with that the channel expansion. So it will be a combination of all this that will give us the volume growth that Rahul Ji spoke about.

Ritesh Shah: Right. I'll just try to, sir, push in again. If one had to look at 12% volume growth like how are they thinking about it? So I understand enhancing the market share, putting new products in the marketplace. But -- so that's why I asked. I started the question from first the distribution. If you are going from say 7,000 to 7,700, so how should we look at the arithmetic?

Nilesh Mazumdar: Yes. So you see when we are talking about new products and communication et cetera, a large part of that is going to help come to my existing channel itself. When I do a new product introduction, advertising communication, so that will come in the same channel. To break that up into things how much of the communication and new products will help me only in exclusive and not in the other channels, it will be slightly difficult. But overall if you want how much of expansion of channel will happen -- active channel, we are looking at approximately expanding the channel by 10%. Means, if I am at 7,000 outlets we will expand by another 10% the channel in the urban market, if that helps answer your question.

Ritesh Shah: Yes sir. And this 10% will be in a year or two years? Yes. Yes, it will be in the current financial year. Perfect. Useful. And sir, my second question was on incentives. I understand we have tweaked around the incentives for both Kurlon as well as Sheela Foam. They are probably at a

similar level now against the deviation which was there earlier. Please correct me if I'm wrong because the sample set might be a bit off to what we are looking at.

So wanted to understand your thoughts of how are the incentive structures for both EBO as well as MBO now. And as we get into a high season on sales, what is our thought process? The reason to ask this is there are new players who have ventured into the space, including likes of Nilkamal to what we understand, they are giving crazy discounts to the dealers. So how do we take care of this problem and how are we positioning ourselves?

Nilesh Mazumdar: So as far as the incentive structure is concerned, we have not majorly disrupted it, but made it a little bit more disciplined and one can get into the detailing of it on a separate platform so that one understands. But we need to remember that these are the brands that you mentioned are not really our benchmark brands in terms of the way we would want to create demand for them. So there are a set of brands who are driving sales by throwing money at the channel, but that can only take you to a certain distance.

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We are looking at creating consumer demand and driving growth. So therefore there is a difference there. And the current level of sales that we are discussing between the brand that you just mentioned and Sleepwell, Kurlon are nowhere comparable actually, Ritesh. There is a significant difference between that. What we have been discussing in the past has been about the e-commerce platform that we had even discussed in the previous meet.

Happy to share that on e-commerce platform now people Sleepwell and Kurlon, we are seeing fairly healthy growth. Sir, if I can just squeeze in one. Furlenco, if you can quantify the numbers of first half of the fiscal and when do we plan to increase the stake over here? Thank you so much for the answers.

Rahul Gautam: Amit? Yes.

Amit Kumar Gupta: So I think, Furlenco is -- Ritesh, could you just repeat the question so that I understand I have got it correctly? Sir, financials for Furlenco, that is one. And second is when do we plan to increase the stake? Okay. So for financials, I would divide it into three parts, Ritesh. One is prior to our acquisition. The second part is from August till February or January when -- because in February the company turned PBT positive.

So before that it was PBT negative. And then from say February till now. So I am -- before we acquired, the company had a top line run rate of around 12 crores odd because of which it did a turnover of around INR150 crores per annum. It had a bottom line PBT of minus INR10 crores per month which in the subsequent quarter the turnover increased, but yes, the bottom line almost remained the same. INR8 crores, INR9 crores PBT negative average per month with top line gradually increasing.

Post February, the company turned into PBT positive when it was at a run rate of around say INR14.5 crores, INR15 crores per month top line. Happy to say that the company has last month crossed INR17 crores top line which is a run rate of INR200 crores plus and is PBT positive and gradually improving on the profitability thereof. As regards investments, we have an option of getting another 9% in the company with an investment of INR100 crores odd.

The matter is currently being debated at our Board level and directors level. So we have this option till 29th of August. So I think it would be very early for me to comment as to what would be done on that. Whatever the Board of Directors decide, accordingly we will take that. Sure. This is very useful. Thank you so much, sir. All the very best. Thank you. Thank you. Thanks, Ritesh.

Ritesh Shah: Thank you.

Moderator: Hi, sir. Thank you for this opportunity. So most of my next question is from the line of Gunit Singh from Counter Cyclical PMS. Please go ahead.

Gunit Singh: Hi sir, thank you for this opportunity. So most of my questions have been asked but I mean there have been lots of questions regarding revenues in the coming year and the kind of margins that we are looking at. So sir, can you -- we did about INR3,000 crores of consolidated revenues in FY '24 at about 10% operating margins.

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So I mean just to directly understand, I mean what kind of growth over this are we expecting in FY '25 and FY '26? And also I mean what is the steady state of EBITDA margins a

re we looking

at in FY '25 when the Kurlon business is stabilizing with our standalone entity? And going forward for FY '26, what is the outlook for the same? And what are the steady state EBITDA margins for Kurlon standalone?

Amit Kumar Gupta: So I would just take your last question first. I would not be able to give you a Kurlon EBITDA margin because as I mentioned earlier, both Kurlon and SFL businesses are now working together. The factories of both the companies are being utilized to produce material for each other depending on where it is most efficient to produce and depending on where it is most nearest to the customer to service. But yes, we have replaced that with India business margin which is a combination of SFL and KEL, India business margin which will give you a reasonable idea as to how the top lines are going and what is the level of efficiency that the business is generating reflected in the gross margins thereof.

Now, to take your first question on the growth rate, here, I would divide it into two parts. One is the Indian business, which is SFL plus KEL plus Staqa and the other is the overseas business. From last year turnover and just to correct it here, last year Kurlon was only for six months. So the consolidated number that we have in the financials needs to be normalized for that, which will mean that we had a turnover, normalized turnover around INR2,900 something odd crores. Sorry.

Around INR2,700 odd crores for the Indian business last year. On it, we are intending, and I would say we are making efforts and that is what we have been communicating in the past. So we are trying to have a 14% to 15% CAGR growth rate starting from financial year '25 till financial year '27. Overseas business on a top line is anticipated to have a growth of around 10% per annum.

On the bottom line, I would say that what all the efficiencies that has been communicated and all the efficiencies that have been executed till now, yes, some of those results are yet to come and the impact of operational leverage because of enhanced turnover, we anticipate that in the next three years we should be touching 14% to 15% EBITDA margin.

Not because the savings, we could not have gone beyond that. With the amount of savings, we could have gone 2% to 3% higher on that. But we need to reinvest on the brand so the investment in the brand would go up by around 2% to 3% of sales, resulting in a net bottom line inflow of around 14% to 15% on an India business, and plus around 10% odd on an overseas business.

Gunit Singh: All right. So that's very hard thing for the long-term trajectory. And sir, for FY '25, I mean, what kind of consolidated EBITDA margin would we be looking at?

Amit Kumar Gupta: So, short-term EBITDA guidance giving is a difficult job, but I can certainly tell you that it would be more than double-digits. So 10% plus maybe 11% or something of that sort of.

Gunit Singh: Clear. All right, sir. Thank you very much. That's all from my side.

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Moderator: Thank you. The next question is from the line of Manish, who is an Individual Investor. Please go ahead.

Manish: Hi, sir. Good evening, sir. I think you answered my question. I was about to ask about EBITDA margin. So, because sir as you stated that sir, so what you have -- since you have integrated two businesses, initially if I just look at the EBITDA margin for SFL, it was 13.3%. Now, since you've integrated two businesses, there will be -- you've integrated the supply chains, you've integrated the warehouses and all. So the EBITDA margin of Sheela Foam should increase rather than decrease.

So since you answered my question that you're looking at around 15% EBITDA margin that answered my question. And sir, I would like to ask one thing. In one of the interview, it was spoken that if I go to villages and all, what they do is there's a small

space and if I want to have

a mattress, what they do is they roll up the mattress and put inside the bed, right? So how are you planning to capture low-income groups, people? Because they also -- they currently use cotton mattresses, right? They don't use foam mattresses. So do you have a future plan of capturing low-income groups or moving towards capturing what is someone in the villages and all??

Nilesh Mazumdar: Yes, Manish, thanks for that question. We have covered this as a part of what we call as the Small Town India strategy. And that strategy is targeted towards this particular segment that you spoke about, which is the cotton mattress and how do we upgrade them, because there is a certain convenience that a cotton mattress has that it can get folded and put into a corner in the house area, et cetera. It's small. So as we have shared this in the past, we have rolled out a pure PU foam mattress, which is three-fold. So the consumer can actually fold the mattress and put it in one corner. And then they want to use it, they can take it out and unfold it. So we give them the comfort of a home mattress.

The product comes with a three-year warranty price point starting from approximately INR2,000

upwards for a single mattress. So the lifetime value of the product is much better than a cotton mattress. We have now -- we have launched this product in almost 70% to 75% of the country. And happy to share that we have seen quite a positive response with this strategy.

Manish: Yes, thanks for the answer, sir. Why I asked this question? Because I come from a small village in Jharkhand. I speak to people around why do you go for a cotton mattress, not for a foam mattress. The mentality has not changed. So we are bringing a new products to them, we'll give the foam mattress at the same price, how do you intend to change the mentality that, hey, this is better than the cotton? That's more important. Are we trying to figure it out? How we'll change that mentality of the people around? Do we have some initiative or some advertisements or some outreach to people around, hey, this is better?

Nilesh Mazumdar: All that I say is that the answer is yes to everything that you said. It will unfold in due course of time, Manish.

Manish: Yes, sir. And thanks, sir. Thanks for knowing that we are targeting 15% EBITDA margin. Thank you, sir.

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Amit Kumar Gupta: Thank you.

Moderator: Thank you very much. Last question for today is from the line of Tushar Vaidya, who is an Individual Investor. Please go ahead.

Tushar Vaidya: This question is for Rahul Ji. Rahul Ji, Sheela Foam from the inception has never been paying dividends. Do you intend to continue this policy or do you -- or is there a thought of relooking at a dividend policy going forward? That's question number one. And question number two, going back to revenues, do you believe that we are losing market share currently?

Rahul Gautam: So, Tushar, you will have to repeat the first question.

Tushar Vaidya: Sir, the first question was on your dividend policy. Sheela Foam has not been paying dividends, but it has been making profits. So do you ever intend to change the dividend policy? What are your views on paying dividends, was the first question. Okay. So, Tushar, I think there's been a couple of times that we have discussed this issue. It's also debated very hotly as far as our Board is concerned.

But the few primary reasons is, for example, we kept the money aside for an acquisition like this that has happened. And we always believe that when you give -- I know there are advantages of giving dividends, tax-wise it's definitely on the negative side. We also believe that the majority of the dividend would come just to the family. And we thought that as far as shareholders are concerned, the benefits would be far more by -- through the market processes a

nd which we expect that this will happen.

I may not be able to discuss exactly what happened in the Board the last time, but it's not that we are close to giving dividends. We fully recognize the role that dividends play, and let's hope soon it will come through. It's one. The second one, you asked a question about the revenue and you said that, are we losing any market share. So look, I -- there are no -- though no well-known numbers and the reason I say that there are some brand numbers which exist, but the unorganized sector is so large that if you put all that together and that's how you would define the market, the numbers may not be there.

But I don't think so that we are losing any market share. We may not be gaining on any at the moment, but we are not losing any market share. We may not be gaining on any at the moment but we are not losing any market share. On the other hand, we are expanding the market by the Small Town initiatives or the village initiatives that we are doing. And at the same time, we would be also working on the premiumization of the product and doing it.

So it's just a question of the noise and the voice that you hear. It's one starts believing that we would be losing market share of the mattress front. And please also accept this part that as far as the company and the company's turnover is concerned, it is reflecting not only the mattress and the branded mattress site, but it also includes the technical foams, it also includes the furniture foams which are going, and these two areas which are also reasonably large.

Just because the raw material prices have come down, the values of the top line of -- impact of these two has also come down. On the mattresses side, if you will specifically ask the question

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to Nilesh, he will tell you that Sleepwell has actually grown in numbers, has grown in both volume and value terms, and it will continue to grow.

Kurlon, I would get a little more comfortable or be in a position to share Kurlon, numbers with

you by the next quarter, but the number that I have for the last quarter also, it has gone by 5% up -- 6% up. So I don't think we are losing out on any -- but thanks for bringing this out and one will become a little more oriented towards this. Thank you. Thank you very much.

Amit Kumar Gupta: Thank you, Tushar. Thank you. Thanks a lot.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I now hand the conference over to the management for closing comments.

Rahul Gautam: Thank you. Thank you all for participating in this earnings conference call. I hope we've been able to answer your questions satisfactorily. And I'm also saying it with a little bit of apprehension from my own side because I did see the anxiety that all of you have and are expressing it on the quarter numbers.

But let me assure you once again that this is a temporary phase on account of the integration process or the phase of integration that we have chosen to, and all this should be behind us. Fundamentally, the business is good and strong and will continue to grow. If you have any further questions or would like to know more about the company, please reach out to -- directly to any one of us or through our IR Managers, Valorem Advisors. So thank you very much and have a good day. Bye for now.

Amit Kumar Gupta: Thank you.

Moderator: Thank you. On behalf of Elara Securities Private Limited, that concludes this conference call. Thank you for joining us and you may now disconnect your lines.

Call: Nov 2024

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CIN- L74899MH1971PLC427835

04th November , 2024

To

The BSE Limited The National Stock Exchange India Limited
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Scrip Code: 540203 NSE Symbol: SFL

Subject: Transcript of Investors' Conference Call for Quarter and half year ended September 30, 2024 Financial Results.

Dear Sir/Madam,

Please find below the transcript of Investors' conference call organized on October 30, 2024 post declaration of Financial Results for the quarter and half -year ended on September 30, 2024 for your information and records.

Thanking you,

Yours truly,
For Sheela Foam Limited

Md. Iqubal Ahmad
Company Secretary & Compliance Officer

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"Sheela Foam Limited
Q2 FY '25 Earnings Conference Call"
October 30, 2024

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Moderator: Ladies and gentlemen, good day and welcome to the Q2 FY25 Earnings Conference Call of Sheila Foam Limited . hosted by Ari hant Capital. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touch phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Anushka Chitnis from Ari hant Capital. Thank you and over to you, ma'am.

Anushka Chitnis: Thank you. Good evening and festive greetings to all. On behalf of Arihant Capital, I would like to welcome everyone to the Q2 and H1 FY25 Earnings Conference Call of Sheila Foam Limited . I would like to take this opportunity to welcome the management of Sheila Foam represented by Mr. Rahul Gautam, the Executive Chairman, Mr. Rakesh Chahar, the Whole Time Director, Mr. Nilesh Mazumdar, the CEO of the India Business, and Mr. Amit Kumar Gupta, the Group CFO. Now, without further ado, I will hand the conference call over to Mr. Rahul Gautam for the opening remarks. Over to you, sir.

Rahul Gautam: Thank you, Anushka. Thank you very much and greetings to everyone who has joined in. Good afternoon, everyone, and thank you for joining us for the Earnings Conference for the second quarter and half year ended on 30th September 2024.

Let me first take you through the major developments in the company, and then I would request Amit to take you through the financials. As you all know, we acquired Kurlon in October last year, and it's been barely one year since that happened. And since then, with a strong focus on integrating Kurlon with Sheila Foam, we have been progressing well.

Though both the companies sold similar products, there was a lot of difference in the ways both the companies operated. I'm delighted to share that we have finally been able to figure out and implement the model where both the companies are working together and progressing. While successfully integrating the acquisition has been a challenge for any company, would have been a challenge for any company across the globe.

However, I'm happy to share that we have demonstrated that both Sleepwell and Kurlon brands can be effectively and sustainably sold in the market. Mattress, as a share of our total revenue, has now crossed 50%, which emphasizes our focus on B2C business, and the intent to grow this much faster than the rest. This actually leads to one of the basic initiatives of the company, which is decommo diti zing the product, which means that we are selling more and more of branded goods, more and more of mattresses, and focusing more and more on the Indian business.

I'm happy to report that we have witnessed a healthy volume growth across all the segments and more so on the mattress side. On a like -to-like basis, we achieved a 19% volume growth year-on-year in the mattress segment, which is the highest in the last eight quarters. Sleepwell volumes, Sleepwell , which is the flagship brand of the company, along with Kurlon , the Sheila Foam Limited

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Sleepwell volumes grew by 40% year -on-year, whereas Kurlon volumes grew by 26% on a year-to-year basis.

Our technical foams and furniture foam segments have also seen good volume growth year -on-year by 18% and 10% respectively. The other synergy of the integration, which is on the savings side, I'm happy to share with you that the savings of the annual run rate of about INR100 crores per annum is already achieved and we have other initiatives in place which would further augment this annual run rate in Q3 and Q4. Our foaming production is gradually being shifted to the VPS side, which is again a technology that we depend on for improvi

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our costs and for ensuring that we give an environment -friendly foam more and more.

We've also shifted foamings from four of the Kurlon plants to Sheila foam plants, which has resulted in around close to 10% savings due to better yield at Sheila foam plants. We've also commenced foaming in the Kurlon plant at Gwalior, which results in further reductions in freight. Kurlon has adopted and is now in the same mode as that of Sleepwell, and that is the distribution to the distributor model.

Kurlon has closed down the regional distribution centres, and this has resulted in cost savings and the full impact of that will be felt in Q3 of FY25. Yes, you're aware that there was an investment that the company had made in the furniture business, and that was in Furlenco. I'm happy to share with you that Furlenco continues to grow with its subscriber base almost doubled in the last one year.

Our IT arm, Sta qo, also saw revenue increases by 33% on a year-on-year basis, with EBITDA margins further improving than what they were before. In October this year, we have exercised our option of increasing equity in Furlenco with an incremental investment of around INR100 crores, taking our stakes to 45% in the company. Earlier it was 35%, and we've got this incremental 10% increase without any changes in the cost of it.

This we have been able to acquire at almost the same valuation as the other investment in spite of the company, in spite of Furlenco becoming more profitable and almost 1.5 times the size when we acquired the initial stake in August last year. The company, Furlenco, is now generating cash at P&L level with incremental cash only needed to buy new assets and scale up the business further. Now I request Amit to take us through the financial highlights of the last quarter and the half year that we have just closed. Over to you, Amit.

Amit Gupta: Thank you, sir. Good afternoon, everyone. Now let me just take you through the financial performance of the company for the quarter ended and half year ended, 30th September 2025. For the second quarter, on a standalone basis, we reported a total revenue of INR602 crores, which is a growth of around 42% on a Y-o-Y basis. EBITDA for the quarter stood at INR70 crores, which grew by 54% on a Y-o-Y basis. EBITDA margins were reported at 12% for the quarter.

Net profit was INR43 crores, which was up by about 12% Y-o-Y. For the first half of the financial year, the standalone revenues were at INR1106 crores, which grew by around 26% Y-o-Y. EBITDA for the period stood at INR118 crores, which grew by 11% Y-o-Y. EBITDA

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margins were reported at 11%. Net profit was INR75 crores, which declined by around 7% year-on-year. The decline was primarily on account of incremental interest costs on the debt that we took for Kurlon acquisitions.

On a consolidated basis, for the second quarter, we reported revenues of INR813 crores, which increased by around 32% Y-o-Y. EBITDA for the quarter stood at INR69 crores, which was up by 5% Y-o-Y. EBITDA margins were reported at 9% for the quarter. Net profit stood at INR9 crores, which is a decrease of around 79% Y-o-Y. For the first half, we reported a consolidated revenue of INR1622 crores, which increased by around 29% Y-o-Y. EBITDA for the period stood at INR129 crores, which declined by 10% Y-o-Y.

EBITDA margins were reported at 8%. Net profit stood at INR56 crores, which is a decrease of around 36% Y-o-Y. So, just two pointers on this. We acquired Kurlon last year, because of which there was certain debt which the company took to pay off the purchase consideration, which has interest component which comes as an incremental cost. And secondly, the depreciation of Kurlon is also added.

So, though we see improvement in operational performance, but the interest and the depreciation reduces the profit after tax that goes

to the bottom line, for which we believe that

over a period of next two to three years, we would be able to garner revenues and profitability enough to absorb the thing. With that, we can now open the floor to the questions and answer session. Thank you.

Moderator: Thank you very much, sir. We will now begin with the question and answer session. The first question is from the line of Ritesh Shah from Investec. Please go ahead.

Ritesh Shah: Hi, sir. Thanks for the opportunity. A couple of questions. First is, can you provide some color on the ramp-up of both Tarang as well as Aram? Where do we see these numbers going? I think you had indicated INR250-300 crores in two to three years. If you could help us with some broader numbers on contribution for both volume as well as value for Q2 and first half, that would be really helpful.

Rahul Gautam: Ritesh, you want to finish your questions or you want them to be answered one by one?

Ritesh Shah: I will finish up all the questions, sir.

Rahul Gautam: Okay.

Ritesh Shah: The second question is on distribution network. We have been trying to understand the company better visiting multiple states. A simple question over here is, in how many states do we directly supply to the dealers from the factory? That is, we are actually getting rid of the distributor. Is this something for both Sheela Foam as well as Kurlon? Is it something new by design? If it is so, I think there will be incremental data on cost margins, which will definitely benefit us.

So how are we looking at that particular variable? Third number is Furlenco . Basically, broadly, if you could indicate how are we looking to acquire the residual states and the sort of Sheela Foam Limited
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synergies that the existing business is deriving out of Furlenco that was the third one. And the fourth one is more operating numbers. If you can spell out the revenue breakup for Kurlon and Sheela Foam for the quarter, that would be great.

In the prior quarter, we had given marketing expenses numbers on the slides, which was I think 5.7 %, 5.8%. What would those numbers be for this particular quarter? Thank you, sir.

Rahul Gautam: Thank you, Ritesh. So, Nilesh, would you be able to respond to the Tarang and Aram situation as to where we are based on our projections that in three years, we will go to about INR250-300 crores and how are we distributing that?

Nilesh Mazumdar: Sure. Hi, Ritesh. Greetings of the season to you and to everyone else. As far as Tarang and Aram is concerned, in terms of volume contribution to the total mattress, it is approximately about 7.5% to the total mattress volume. Of course, this is at a lower average selling price than what we sell in the main course. So, this will be approximately at about 3.5% to 4% of the total overall mattress value.

We are right now averaging in high single -digit numbers in terms of the revenue per month that we are doing. Hopefully, by next year, next financial year, we would be looking at touching a number of about INR100 crores and I'm talking of FY26. Currently, we have ramped up in the entire country, excepting Kerala, Northeast, Jammu and Kashmir and Punjab. So, barring these four states, we are present in the rest of the country. And one more thing that I would want to add is that from this quarter onwards, we are also looking at extension of Tarang and Aram into the urban markets in a calibrated manner, because we see an opportunity there also as the economic end of the market as there are a large number of cotton mattress and EP mattress users there.

But we will need to do it in a very calibrated manner so that it does not cannibalize our mainline Sleepwell and Kurlon on sale. So, does that answer all your questions on Tarang and Aram, Ritesh?

Ritesh Shah: Nilesh, I would request you to, if you can go along with this for the second one too, that is the

distribution network that you said. So, I just wanted to know that in these states, would there be direct and the commonality of the distributors and the distribution of both Sleepwell and Kurlon ?

Nilesh Mazumdar: So, the only state right now, Ritesh, where we are direct is in Karnataka. In most of the other states, we have kept the distributors with us and they handle both Sleepwell and Kurlon with the exception of two or three states in south and east, because there it was more an emotional angle about the Kurlon dealers wanting to continue dealing with the company. So, we didn't want to disturb the market operating practices as of now.

What we need to understand is that our distributors have a fairly strong hold and equity and reputation in the market. So, therefore, we look at them as an extended arm who help us in also scaling up Kurlon in the markets where Kurlon had a large opportunity, for example, in the Sheela Foam Limited

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northern parts of the country or in the eastern parts of the country. So, in these markets, our distributors have been there with us and they have a fairly strong hold in the market .

And we would want to continue dealing with them because we see them adding a lot of value to the business and being able to help us scale up the Kurlon business in these markets.

Ritesh Shah: Sir, can I just -- Sir, can I just seek a clarification over here? Sir, you indicated for the only state where we don't have a distributor for Sheela Foam is Karnataka and for Kurlon, you indicated except for two or three states in south and east , right? Is that reading right?

Nilesh Mazumdar : Yes, that's right. So, up north and up west, we are going through the same distributors of equipment.

Ritesh Shah: Okay. And is this something for historical reasons or is it by design that we intend to go by this model , because obviously we can save a few percentage of margins if we are able to take care of turnaround time, customization, etc etc , etcetera ?

Nilesh Mazumdar : So, what happens, Ritesh, first of all, when we have given Kurlon to our distributors, given that there has been increase in the turnover, there has been some marginal amount of rationalization that we have done with the distributor with their buy-in. However, you see, if I have to do away with a distributor, then I will need to set up a far larger regional distributor

centre set up all over again.

So, therefore, while there will be some savings here, but there will be an additional expense that you would need to bear on setting up the RDCs, which as Rahulji just now mentioned that we had closed. But more important than that, we see the distributor's ability to add a lot of value to the Kurlon business in these markets because they know the market well, they are very familiar, they have been dealing in these markets for the last 10, 15, 20 years. So, there is a tremendous amount of knowledge, information about the mattress category and the dealers that they bring on to the table and that adds a lot of value to us. So, therefore, we would want to continue to deal with through them in these markets and we see a benefit in the long run.

Ritesh Shah: That's very helpful, sir.

Rahul Gautam: If I would just add to that. As a balance, we would see that they are adding more value than the cost part of it. And plus, as Nilesh said, we can, of course, do that ourselves. Theoretically, yes, but it takes time to build the entire infrastructure to do that. Was it kind of existing in Kurlon? Probably, yes, but it wasn't efficient enough. So, I think for us at the moment, it's sales. Sales is the most important part and we push at it.

And I don't know whether that is going to cost a percent more or a percent less, but as time goes by, we will take a call on it. More important part is to focus on the sales part. Nilesh, while you are there, Rites

h also had a question on the marketing costs, which were INR5 crores. So, would you just fill in?

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Nilesh Mazumdar : Yes, so the marketing expenses for quarter 2, Ritesh, was approximately 5.2%. You wanted the marketing expenses, right? So, quarter 1 was 5.7%, quarter 2 was 5.2%.

Ritesh Shah: Perfect. And the last -- rest of the question was on Furlenco.

Rahul Gautam: Furlenco, so I'm just coming to that part. So, I think your question was that how is Furlenco progressing and then what are the synergies which are there? And the second part to it was that what is the plan as far as acquiring the balance part of it? Is that correct? I mean, am I understanding the question correct?

Ritesh Shah: That's right. Yes, sir.

Rahul Gautam: So, on the acquisition part of it, let me just say that we are, at 45, are the largest shareholder, fully control the Board, and fully control all the other shareholders are much smaller. And there are certain rights which have accrued to us as we kind of go along. So as far as controlling or managing the company is concerned, there is no issue on it.

As we progress, we will view this or review this, of course, sometime in March '25, and then before up to December. And also need to see that how and what's the direction of this? I mean, eventually, do we do an IPO in FY '27, or do we wait for some more time? So, I think based on that, we would be looking at the, as far as acquiring more part of the company is concerned. On the synergies bit by itself, it is working very well. And we've seen that over the last six, seven, eight months, that at P&L level that it's generating cash. The growth at the moment appears to be only restrained or constricted by the assets which are there. We are improving the utility or utilization of these assets, but we are already at about 88%, 90%. And therefore, there's only small improvement that we can see there.

But by and large, we would need or the company will need money as it goes along to get more and more assets. But our acquisition into the company is not going to be determined by the need of the company for the money. That is already kind of planned out, that the growth ending at the FY '28 of about INR500 crores as top line should be absolutely on track.

Moderator: We'll take the next question from the line of Aniket Kulkarni from BMSPL Capital.

Aniket Kulkarni: So, my question is regarding the other income. So, on a trading 12-month basis, it is around INR130 crores. This is quite high if we compare it to a trading 12 months net profit of about INR150 crores. So, my question is, how are we getting to this INR130 crores of other income? If you can explain how much cash is deployed in interest-bearing instruments and what rate is it fetching you? And how sustainable is this level of other income of INR130 crores for the next two, three years?

Rahul Gautam: Okay. Thanks, Aniket. Amit, would you respond to that, please?

Amit Gupta: Sure, sir. So, currently, if you see our balance sheet, there are around, till now around INR550 crores worth of money was invested in these instruments. Of course, we invested INR100 crores in Furlenco, so that is now INR450 crores. You see a higher approval of other income, Sheela Foam Limited
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primarily because interest rates have been going down, and so the debt instruments have been accruing more returns than they usually do it.

In addition to this, we have some other sources of other income also, which is certain carries on certain instruments, certain sale of scrap and other things, which also accrue to other income. Yes, if you say, going forward, the trajectory of other income, it will not be as robust as you see it now, but we are pretty comfortable that it would be in a very comfortable range. Aniket Kulkarni: Sir, can you give some ballp

ark figures of the other income, how it would be INR80 crores , 90 crores or something?

Amit Gupta: Yes, we expect a 12% -odd plus return on investment.

Moderator: The next question is from the line of Vatsal Shah from White Stone Capital. Please go ahead.

Vatsal Shah: I have three questions. Firstly, what is the margin difference between the B2B part of the business compared to the mattresses part? The second question is, what kind of return profile are we looking at two to three years down the line, as the equity base has gone up quite high after the call on acquisition? And the third will be any kind of consolidated growth and EBITDA margin guidance for the year?

Rahul Gautam: So, Amit, would you please take the first one, which is the margin between B2B and B2C business?

Amit Gupta: So, in B2B, we have different types of businesses. We have furniture home, which is partly branded and partly you can consider as a B2B business. We have comfort home, which is their home that we sell. We have certain specialized homes called technical homes, which we supply to end user industry like laundry, soundproofing, automotive and places like that. There are different margin profiles between these different types of businesses . But broadly, we can say that mattress commands anything ranging between 5% to 8% margin higher than the B2B sort of businesses.

Vatsal Shah: Got it. That was helpful. Okay.

Rahul Gautam: And the second one also, Amit, you will have to take. He's asked for the return profile in about three years' time. As the equity base has gone up.

Amit Gupta: Yes, sir. I'll do. So before answering this question, I would just delve a little bit on how this equity capital has gone up. So, you know that we were at around INR1,800 crores of equity capital before Kurlon acquisition. Yes, we did the QIP for Kurlon acquisition, which accrued it by further INR1,200 crores.

Now, when you acquire a consumer brand on the first day, it is difficult to get the return on equity right at the base. So, we have put for ourselves a three -year time horizon in which we intend to get back the earlier return on capital of 18 % plus that we had been having earlier. So, if we look at other return profiles in terms of growth and profitability that you mentioned, we

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have already guided the market earlier that from 2025 onwards, we would be looking at a consolidated India business growth of around 14 % to 15 %.

And in a three year period, we would be reaching in EBITDA margin of somewhere around 14% to 15 %, primarily on the back of increased volume or the growth that is coming in and also on the back of the savings initiatives, part of which has already been realized and which will be coming through in the remaining two quarters of the year. That should put us in a three - year time horizon by 27 at a place comfortable to give a return on equity of more than 18 %.

Vatsal Shah: Okay. And just a small clarification. The 14 % to 15 % growth and EBITDA you said, that was on a consolidated level or India business?

Amit Gupta: India business.

Vatsal Shah: India business. And consolidated any number?

Amit Gupta: Consolidated. So, I expect overseas businesses. Australia is a saturated market. If you know, we are the leaders in that market with 40 % market share. So, there we expect the growth to be a little bit muted, say between 5% to 7%. Whereas in Spain, we are very small player in the overall European market.

We have recently de -bottlenecked our capacity, which has enabled us to do a turnover of around EUR 80 million, which is an increase of EUR 30 million from our earlier capacity. So, there we expect the growth to be double digit growth in the next three to five years. So, broadly, you can assume somewhere between 7% to 10% growth for the international business.

Rahul Gautam: So, total consolidated is as

king for, Amit. So, when you look at the combination of...

Amit Gupta: Somewhere between 13 % to 14 %. Sorry, 12 % to 14 %.

Vatsal Shah: Got it. Got it. Thank you.

Moderator: The next question is from the line of Naman Maheshwari on Bre scon. Please go ahead.

Naman Maheshwari: Great. Thank you. Thanks for the opportunity. And congratulations on a steady set of numbers. So, my question is twofold. One is on the mattress pricing. You know, it has remained quite flatish quarter on quarter. And we have not seen any uptick on that. So, the first part is that how are we seeing the price trends now?

And what would be the drivers of this price point increasing? Right. The second question is on the lines of inventory. We have seen some inventory level going down. So, can we have some insights on what would be the stable level of inventory in the channel and how it would progress during the rest of the half of the year?

Rahul Gautam: So, Amit, can you first take the inventory question? Sure, sir.

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Amit Gupta: So, normally, our inventory varies depending on seasonality. So, for the festive season, it is higher, whereas for other periods, it is lower. We have a turnaround time of 24 to 72 hours for delivery of products.

Still, we need to maintain inventory somewhere between, say, 20 to 30 days on an average. However, we are putting in place payable solutions by which we intend to take out the working capital from the system.

Rahul Gautam: And I think the impact of closures of the RDC would have also reduced the inventory. I think that is what Naman is referring to.

Naman Maheshwari : Right let us say it has come down from 17 -day odd level to about 45 -day odd level. So, what is the reason for this decline?

Amit Gupta: 17-day odd days high would be an exception. Maybe because of a certain reason it was there, but normal inventory would be somewhere between like less than 30 days for us that we are targeting now.

Rahul Gautam: So, the first question, Nilesh, are you still there on the line?

Nilesh Mazumdar: Yes. I am there Rahul ..

Rahul Gautam: So, the question is that mattresses are growing. That is all happening. But on the value part of it, it is not growing. So, Naman wants to know that how, what kind of strength do we have for increasing prices so that as the volume grows, the value also continues to grow.

Nilesh Mazumdar: Yes. So, Naman, that is a good question. We need to first understand that the biggest opportunity for us to grow the category is to look at two broad segments. One is to get non - users into users which is what we are trying to do with the Tarang and the A aram initiative.

And then the unorganized sector consumers, moving them into the branded play of Kurlon and Sleepwell.

Now, both of these are large opportunities and are more at the economic end of the market. And therefore, the volume growth right now that we see is higher than the value growth. But having said that, we are also playing on all the price segments and as we move ahead, the mid - end and the high -end also are areas that we will look at, but at least over the next 8 months to 12 months as we see volume growth will possibly be higher than the value growth that we will see. Because the opportunity that we see at the economic end currently is fairly large and that's what is driving the current volume growth.

Naman Maheshwari : Okay. So, that is to say that we would most likely be in the range close to about 4,200, 4,500 ballpark what you think ?

Nilesh Mazumdar: No, not really. You're talking of a single mattress price. Actually, we look at pricing from a double mattress sizing. We will be in the region of about INR11,500 to INR12,000 in the mainline business. Tarang and A aram will be different. They are far more economical.

Naman Maheshwari : Okay. Thank you. I will join back in the queue.

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Moderator: Thank you. The next question is from the line of Yash Mehta from A art Ventures. Please go ahead. Mr. Mehta I have unmated your line kindly proceed. As the current participant is not answering, we will move on to the next question, which is from the line of Karan Gupta from Invest Savvy. Please go ahead.

Karan Gupta: So, my first question on the basis of what the percentage in terms of revenue breakup in furniture cushioning and comfort foam cushioning in overall revenue is like around one -third of the revenue?

Nilesh Mazumdar: So, comfort foam plus furniture cushioning is your question. So, that will be about 25% of the total.

Karan Gupta: Okay. And in the opening remarks, you said that you are doing some practices to reduce your

commoditized products. So, can you just elaborate this thing? What are the steps that you are taking? Are you taking steps to reduce this raw sales of this cushioning into the market or any other thing?

Nilesh Mazumdar: So, I don't think we would say that we are trying to reduce a particular category. It is that the branded business, we are trying to grow more rapidly. So, if you see in our results also, the volume growth that you see in the mattress is significantly higher than the other segments and that's how we would want to increase the share of the branded business in our overall portfolio.

Karan Gupta: Okay. But the other thing will be that you will, I mean, put some break on the volume side of this comfort foam and furniture cushioning?

Management: See, we will not put a break. It is just that whatever is, we will do profitable sales. So, if you see as a strategy even if you were to look at the mattress business, if you've been following us, we initially had a number of flanking brands. We had brands that we were selling on e-commerce, for example, which were at almost zero or less margin like SleepX, etc. So, we took a conscious call of discontinuing them because we wanted to be there in the profitable segment of the branded business.

As far as comfort foam, furniture cushioning is concerned, we would be doing the business in a profitable manner and not with negative margin. However, the whole idea will be that we grow the branded business of SleepX and Kurlon more rapidly. And that is how in the overall structuring of the business, we will be more a branded player in the composition of the portfolio.

Karan Gupta: Okay. And one last one is how you are dealing with the situation when you are selling the furniture cushioning in the comfort form and other players, local players who are just putting up the mattress cover and then selling with their local brand. So, now the competition with your economical product and those products?

Management: So, that is very much a part of the market. So, therefore, let me try and answer that. You are absolutely right. There is a market where a slab of foam is taken and the cover is put on that locally and it is passed off as a mattress.

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So, the strategy that we are taking on out there is that what is it that we can offer to a consumer who is buying into that, which will be meaningful for him. So, for example, we have introduced a mattress called Fitrest which you will see in our new product portfolio which is a mattress with a 25-year warranty and the product starts at the pricing of INR15,000. So, if I end up and the mattress has a profiling which a local manufacturer who is just doing a slab of foam will not be able to provide.

So, therefore, I have a value proposition for that consumer by which therefore the attraction for him to buy an unbranded mattress becomes far less and he is able to afford a Sleepwell or a Kurlon mattress and buy into a branded offering.

Karan Gupta: Okay. And now coming back to the first question again,

if you what happens if you reduce

your foam distribution to the local market and focus more on, I mean, more on the branded products and selling less foam products in the local market. So, will that help to increase your brand selling in the market or will the local players will source other manufacturers because you are the largest manufacturer of CU foam?

Management: First of all, you need to understand that the foam that is sold in the market goes into various applications. Only a little, some part of it goes into mattress, it goes into sofa making, it goes into various different applications. So, that segment is catered to by the foam that we sell. And we are not saying that we are going to reduce selling that. I hope that is clear.

We are saying that we will do it in a profitable manner. The mattress business that we are doing, the branded mattress is where the resourcing and investment will happen. But there is a market for foam in various applications which goes beyond mattress that we will continue catering and we are not saying that we are going to in any way exit that market.

Karan Gupta: Okay. Fair enough. Thank you.

Moderator: Thank you. The next question is from the line of Rishabh Gang from Sacheti Family Office. Please go ahead.

Rishabh Gang: Thank you for the opportunity. The furniture that is rented in Furlenco, is that are we making it in-house or like what is the - how do we make it?

Rahul Gautam: You are asking about the mattress business?

Rishabh Gang: No, Furlenco. So, the furniture that we rent out there, are we making it in-house?

Rahul Gautam: Quite a bit of it is made in-house. There is a small attached factory, a 100% subsidiary of it, which is called Create One where we do that and we also outsource. So, there are specialized furniture, for example, box beds, etc are done from Jodhpur. Something else is done from one or two factories around Bangalore and this sofa manufacturing is in-house and it's called

Create One. So, it's a mix of both.

Rishabh Gang: I actually wanted to ask like do we have any experience centre with the main branding of Sleep well where we are also showing other furniture of the home. I went to Wakefit store they
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sell mattresses as well as furniture and that really helps in cross-selling and I've seen that such sale has been made to my family. So, as Sleep well like the biggest brand in the mattress business, do we also think of adjacencies?

Rahul Gautam: Yes, Rishabh that thought of yours is absolutely bang on. We have already begun experimenting with that and there is a piloting going on in six or seven zones. Nilesch, how many stores are we doing that piloting where Furlenco furniture is also being displayed?

Nilesch Mazumdar: Right now, will be about eight stores and Furlenco also has an experience centre in Bangalore of their own. Two experience centres actually.

Rahul Gautam: So, those are experience centres, but I guess, Rishabh means that eventually furniture should be sold and everything being grossed out, which will help Sheela Foam. So, at the eight areas where it's being piloted, it's in the last stages, it's in the positive direction and this will be expanded to wherever possible as far as the EBOs and the other stores of course.

Rishabh Gang: So, like by when because if you actually put it in your EBOs, it will have to be a very big EBO because of that all the furniture and all can be there. So, like by when do we think that maybe we will have 40-50 stores like this around the country, across the country?

Rahul Gautam: Rishabh, one is on the size of the store that you say. It's also possible, you could have a few pieces being displayed, but at the same time you could also have a catalogue around and make the best of whatever that small store is. However, the question as far as getting to a level of about

50 stores doing it, would you have an answer, Nilesch, on that maybe April 2025 something like that?

Nilesch Mazumdar: After we get the learnings, then we will be able to come back with an answer. Right now, it would not be right to respond with a timeline. We will get the pilot learnings, come back and then decide on the scale-up.

Rishabh Gang: Absolutely fine. My next question is so I saw in your investor presentation that you have mentioned about savings of annual INR100 crores on track because of the acquisition. So, can you provide a break-up of this INR100 CR, from which function are you getting this INR100 CR?

Amit Gupta: Yes. So, Rishabh, this is broken into multiple parts, the primary of them being raw materials. So, when we combined Sheela Foam and Kurlon capacities the quantum of raw materials that we bought was much higher. So, there are certain benefits which flew because of that. There are certain incremental benefits which flew in other purchase of things like certain fabrics, certain type of ancillary materials, certain sort of colors, etc which also you bought because of that.

Secondly, we closed down two units of Kurlon because they were very near to our existing units. They were producing foam which we could produce at a much more efficient level. So, when those units were closed, all their manpower costs, overheads, etc had gone away. We are in the process of doing this with a third one near Bangalore. As soon as we do that, these will
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be incremental savings to that place. So, I would say that most of it lies in raw materials and some of it lies in manpower costs and overheads.

Rishabh Gang: Can I say that 60% to 70% is raw material and around 30% also is manpower and other costs?

Amit Gupta: That would be a good estimate.

Rishabh Gang: Also, on the raw material side, what kind of volume discounts are you able to get because of this because I read that you would be getting volume discounts. Volume discounts are INR60 CR. INR70 CR that's a big amount. So, just curious to understand. Can you give some more details on it?

Amit Gupta: No, it's competitive sensitive information. So, I would not be able to disclose it, but I can tell you it in some other way. So, if you see, Sheela Foam's gross margin was around 40% prior to Kurlon acquisition and now together we are at a gross margin of 44%. So, you can see those savings being accrued there. But sorry, I cannot give you how much discount on which particular raw material because these are competitive sensitive information.

Rishabh Gang: And what was the gross margin of Kurlon before the acquisition?

Amit Gupta: So, Kurlon would be somewhere around 41%, 42%.

Rishabh Gang: Next question is on the inventory side. So, when I actually made a purchase on Wakefit it was after the product got delivered. I think they use JIT. So, what kind of inventory system do we have? Do we also have just-in-time that we manufacture when a product is ordered or how does it work?

Amit Gupta: So, let me take that question, Amit. We need to understand that the Wakefit business model is completely different from us. They are largely a D2C brand. And therefore, we are buying either from their, mostly their sale is either through their website or on the commerce platforms. And our strength lies on the offline space. So, it is very different business model that we are operating with.

So, the inventory level that they would carry and what we would carry, we would not benchmark with them in terms of those operating parameters because we are building the business in a very different manner.

Rishabh Gang: But do you think that we need to reduce the inventory days?

Management: Yes, that will happen as we move ahead, in terms of both the consolidation, etc., happening. But we don't see that as a major concern today that we are fragile with a

very high inventory

level, etc. Because when you are servicing an offline business, it's a very, very different model that you are servicing with. So, and the inventory that we carry today is not an area of concern as we see it.

Because we integrate with our back-end suppliers, service suppliers, etc., where we can operate at minimum level and have the sourcing closer to the units and the factory, so that we don't need to maintain very high level. Because inventory is just not about the finished work,
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it's also about the input inventory that we have to carry. So, we are developing our supply chain system accordingly. With [COCs 51:00] that we are able to operate at optimum levels.

Rishabh Gang: Correct. Makes sense. Just a last question. So, I read that you have recently set up a manufacturing plant at Jabalpur to cater to the traditional market cotton matrices. So, just a question. Majority of the cotton matrices are unorganized, right? So, these players have advantages in the sense that these are unorganized players. So, they don't have to pay taxes, indirect taxes and all, whereas we as a player have to pay.

Also, logistically, they are placed very nearby to the customer's location. So, they have a logistical expense benefit also. So, are we able, because of these advantages which they have, what is our strategy for these cotton matrices? What is our pricing strategy there?

Management: See, we have covered this at length in previous interactions. So, maybe it might make sense if we engage separately, because we have responded to it. But very quickly, I will touch upon it.

It is not that we are just setting up the Jabalpur factory to cater to the cotton matrices user. It is a completely different technology of home manufacturing, which is economical, far more environmentally friendly, with which we manufacture foam.

We are able to compress that foam at a far higher degree and ship it to different matrices manufacturing units, which can therefore make the matrices closer to the market and be able to service it at a lower cost. We are doing it at a pricing which is economical and therefore has value for that cotton matrices user, because it has got a 3-year warranty, which the cotton matrices cannot give today. So, there is a complete discussion and strategy in this conversation we have had in the past. And maybe we can engage separately to explain this model.

Rishabh Gang: Got it. I will read that. Thank you so much for your insights. You were very helpful.

Moderator: Thank you. The next question is from the line of Sahil Soi from HSBC. Please go ahead.

Sahil Soi: Okay. Thank you very much for the opportunity. Just a couple of follow-ups on the Furlenco acquisition. So, your company increased its stake in Furlenco despite Furlenco's increased losses in FY '24. Could you help us understand your turnaround plan and the vision you have in mind for the company? And if you could also help us with some numbers, how are they looking for Furlenco in the first half of this year, on top line and bottom line and where it is heading?

Rahul Gautam: Amit, should we take that question, please?

Amit Gupta: Yes. So, you're looking at '23-'24. I think we have now given half yearly numbers. I would request you to look at that. See what had happened. We had put in our investment in August. The company took around 4 to 6 months to deploy those funds and create the assets which were needed to ramp up.

Before that, they were constrained for capital because of which they were not able to add assets and hence not able to grow. So, the bottom line was, of course, when the business

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becomes upscaled, it erodes and that is why you were looking at the losses. The breakeven point of this business or this company I can say is around INR190 cror

es.

Currently, if you see the results that we have published, we have already reached a turnaround rate of around INR210 crores. And that's why we say that it is PBT positive and because it has a depreciation of around INR2.5 crores to INR3 crores per month, this company is generating that much equivalent plus PBT as cash.

So, the situation now is completely different from what it was appearing in '23-'24. It is a profitable company now generating cash and only investment that we do is needed to further ramp up the business by providing it more assets. So, also it is in a segment which is very big, which has a lot of scope to grow. We are currently only in six centres across the country. There is a scope to grow across the country in this business and that was what led us to make incremental investments into the company and take our risk to 45%.

Sahil Soi: Okay, that's very helpful and very clear as well. Just another follow-up question I had on Furlenco was like, how are you looking at this company? Is the focus more right now on the sale of furniture and the appliances rather than the rentals? Could you help us to give some color on what's the mix between sales versus rentals as of now and how are you looking at the outlook let's say 2 to 3 years down the line? I think you've also given us the FI '28 target of INR500 crores, if I'm not wrong. So, what's the mix of rentals versus the sales you're looking at here versus currently?

Amit Gupta: So, Furlenco is primarily a furniture rental company and that is the primary business of the company currently and going forward also we intend to keep that as the primary business of the company. However, when you rent it out, there are certain customers who look to buy furniture maybe because they like some piece of it and if we don't sell that furniture to them, potentially it exposes you to competition. They go somewhere else and buy that furniture. So, we have offered an option to our consumers that in case they want to buy, they can buy also, but that does not shift our focus from rental business. Currently, if you see 95% of our business is rental business, 90 % to 95 % and only 5 % to 10% is sales. Sales may grow a little bit in the next 3 years and maybe stay around 10 % to 15 % to 20%, but it's still the major portion of the business will continue to be rental.

Sahil Soi: Okay. And I would assume even the FI '28 target that you have INR500 crores. So, even that would have the primary mix coming from the rental business.

Management: Yes.

Sahil Soi: Very helpful. Thank you so much and wish you a happy Diwali everyone. Thank you .

Moderator: Thank you. We'll take the next question from the line of Rakesh Mehta from Goodwill Wealth . Please go ahead.

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Rakesh Mehta: Thank you, sir, for giving the opportunity. I have a follow-up question on Furlenco again. I think in the beginning, you mentioned 33% Y-o-Y growth. Was it in revenue or was it some other metric which you were talking about? If you could please help with that.

Amit Gupta: Sorry, I didn't get your question. If you can repeat.

Rakesh Mehta: Yes, sir. In the start, when you were talking about Furlenco, you mentioned 33% Y-o-Y growth in one of the metrics. Was it related to...?

Amit Gupta: That was in Staqa . In Furlenco, we said 1.5x. So, if you see, last year was INR145 crores and current run rate is around INR210 crores.

Rahul Gautam: Amit, I'm just saying that 33% is for Staqa , but it's probably has been read like that. That was 33%. Rakesh was for Staqa .

Rakesh Mehta: Okay, sir. Got it. And for H1 25, we are looking at an annual revenue of INR210 crores based on the run rate. And we are looking at -- I mean, as of now, it's break-even and PPP positive, what I could understand for Furlenco.

Amit Gupta: So, second part is right. First part, I'm saying we have reached in

September the run rate of

INR210 crores. We started from INR150 crores. So, the total revenue will lie somewhere in between. In the second half, this will start from a run rate of INR210 crores and maybe reach a run rate of INR250 crores, INR 260 crores. And so, the total revenue will lie somewhere in between.

Rakesh Mehta: Okay, sir. Very clear. Thank you.

Moderator: Thank you. Ladies and gentlemen, we will take that as the last question for today. I would now like to hand the conference over to Ms. Anushka Chitnis for closing comments. Over to you,

ma'am.

Anushka Chitnis: Thank you. On behalf of Arihant Capital , I would like to thank the management for giving us the opportunity to host them and for their valuable insight.

Amit Gupta: Yes. Thank you all for participating in this Earnings Conference Call. I hope we have been able to answer your questions satisfactorily. If you have any further questions or would like to know more about the company, please reach out to our IR manager at Valorem Advisors .
Thank you.

Moderator: Thank you, members of the management. On behalf of Sheela Foam Limited, that concludes this conference. We thank you for joining us and you may now disconnect your lines. Thank you.

Call: Feb 2025

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February 05, 2025

To,

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Dalal Street, Mumbai -400001 Bandra (E), Mumbai -400051

Scrip code: 540203 NSE Symbol: SFL

Subject: Transcript of Investors' Conference Call for Quarter and Nine -Month ended December 31, 2024 Financial Results.

Dear Sir/Madam,

Please find below the transcript of Investors' conference call organized on February 03, 2025 post declaration of financial results for the quarter and nine -month ended on December 31, 2024 for your information and records.

Thanking You,

Yours truly,

For Sheela Foam Limited

(Md. Iqubal Ahmad)

Company Secretary & Compliance Officer

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"Sheela Foam Limited

Conference Call "

February 03, 2025

MANAGEMENT : MR. RAHUL GAUTAM – EXECUTIVE CHAIRMAN –
SHEELA FOAM LIMITED

MR. TUSHAAR GAUTAM – MANAGING DIRECTOR –
SHEELA FOAM LIMITED

MR. RAKESH CHAHAR – WHOLE TIME DIRECTOR –
SHEELA FOAM LIMITED

MR. NILESH MAZUMDAR – CHIEF EXECUTIVE
OFFICER , INDIA BUSINESS – SHEELA FOAM LIMITED

MR. AMIT KUMAR GUPTA – GROUP CHIEF FINANCIAL
OFFICER – SHEELA FOAM LIMITED

MR. MD IQUBAL AHMAD – COMPANY SECRETARY --
SHEELA FOAM LIMITED

MODERATOR : MR. MOHIT DODEJA – EMKAY GLOBAL FINANCIAL
SERVICES

Moderator: Ladies and gentlemen, good morning, and welcome to the Sheela Foam Limited Conference Call hosted by Emkay Global Financial Services. We have with us today, Rahul Gautam, Executive Chairman; Tushaar Gautam, Managing Director; Nilesh Mazumdar, CEO -India Business; Rakesh Chahar, Whole -Time Director; and Amit Kumar Gupta, Group CFO.

As a reminder, all participant lines will remain in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal the operator by pressing star then zero on your touchtone telephone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Mohit Dodeja from Emkay Global Financial Services.

Thank you, and over to you.

Mohit Dodeja: Good morning, everyone. I would like to welcome the management and thank them for this opportunity. I shall now hand over the call to the management for the opening remarks. Over to you, sir.

Rahul Gautam: Good morning to everyone once again. I just introduced myself, I don't know if I was. This is Rahul Gautam from Sheela Foam. And along with me is Mr. Rakesh Chahar, Mr. Nilesh Mazumdar, Mr. Amit Gupta, and the Company Secretary.

So as always, we begin our meetings with our business statement. So I would just request you to hold on with me for a few seconds. Our vision, we will continue to be recognized as a leading organization in quality comfort products, while practicing values of integrity, reliability, proactivity and transparency to do business with a smile for customer delight and their commitment to society. Thank you very much.

So after my few remarks, Amit is here to take us through all the details of the financials for the Q3 earnings call that we are all attending. Let me begin with the highlights. So what we have seen in the industry is a lot of headwinds in the last 2 quarters for sure. And what was considered Q3, which is considered as one of our best -performing quarters relative to others. We saw those headwinds kind of continuing.

But in spite of that, let me say this that the strength of the brands and the distributions have held us in good stead and our performance has been definitely up to the mark. I would also like to add that the Kurlon acquisition that was done and the integration, which has been going on is now in their final stages, and we are well on our way to closing the acquisition accounting, hopefully in -- with -- definitely within this financial year.

As far as the vision for the company business is concerned, we have decided to focus more on the Indian side. And then within the Indian side, we have decided to focus more on the B2C side, which is primarily the mattresses and all the other accessories that kind of all are.

I will share with you that if I look at the India business and in line with our vision, which has been there. For the last 9 months or the beginning of the 9 months towards where we are, the international business has actually as a percentage shrunk from 22% to 27%. And similarly, the

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mattress side, we have grown from 51% to 46% -- sorry, 46% to 51%. So we are completely in line with our vision of growing the Indian business and of growing the branded mattress business that we have been following.

On the mattress side, there are primarily 3 sectors that we deal with. The traditional sector, which is sometimes called as the off -line sector, then the online one, which is the e -commerce one; and of course, the new segment that we have started, which is a small town initiative or the rural mattress, which we are selling under the brands of Tarang and Aaram.

Both these brands have been growing over the -- from the time that they have been introduced.

And we look upon them as something which is creating a kind of a base for us in the smaller towns, is also creating an opening or a door opening for this mainline sleep well products to be acquired by consumers as and when they progress in life.

Most initiatives that we have done, the e -commerce seems to have responded very quickly. I guess that's the nature of that beast that everything happens very quickly and very rapidly. And therefore, you will see that the performance or the growth on the mattress side has been high. Currently, e -commerce according to our understanding holds about 12% of the entire mattress business. And in that, we have made big strides. And in the last quarter, that has been a big contributor to the growth.

EBOs have also grown for us from a 5,000 -odd number to about 6,700 that's been there. In fact, the total touch points have increased to 12,000. But the real impact of the growth on it will come

as time kind of goes by. If I look at the entire portfolio in the last quarter, the volume has grown by 24% on a quarter -on-quarter basis, and the value has grown by 16%. So I repeat that we are very much on track with our vision of saying that India first and then B2C first in that area. And this definitely helps in solidifying our position as a leader in this segment.

As also comment a little bit about the other segments, which have been there, which are primarily the B2B, and in that B2B segment, so the main industries that we supply to, the lingerie, shoes, auto, helmet, et cetera, they have all been growing. Our share remains intact if it has not increased, and we have experienced about a 12% growth on a quarter -on-quarter basis on that. In the other segments, the other area that we definitely look at and we believe that that's a growing one for us, which is the furniture cushioning part. We have also grown about 12%; and in that, the main initiative of Saathi program continues to grow.

That leaves us with the Comfort business, which we also conduct ourselves in. There has been a drop of about 5% in the comfort business side. Though when we look at the entire 9 months, we would see that there is a growth of about 5% instead of that. But this drop that we would see in the quarter 3, is also a reflection of the decommunitization that we are trying to push, which means that whoever was being sold as a mattress slab or just as a -- as a mattress core has now -- or slowly getting converted into the brands, into the branded side of the mattresses. And all this will pay out in the long run.

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Let me now talk about our associated companies and subsidiaries that we have. Joyce Foam in Australia has seen a comeback on the EBITDA side. It's now at a double -digit number. We -- as we all would recall; this is a high market share. The market is reasonably small and not growing as time goes, but -- and we also have a high share in that. Both our units are well in place, commissioned, and there is a new segment that we are opening up. Primarily, we have been supplying to the Mattress segment, but now we are opening up the Furniture segment also as we proceed.

Our other subsidiary in Spain, which caters to the entire European market has a different flavor altogether. It is a small percentage of market share in a very, very large market that we operate in

. And it's a negligible market share. So -- but there are advantages of that when -- even if the market contracts as the European market has been, we continue to grow.

And happy to share with you that Interplasp, our company in Spain has grown -- in this year, has grown 15% on a volume basis. What we may not see is the same number getting reflected on the top line. And that's primarily because the raw material prices have fallen to their lowest in the last few months.

Our income tax -- sorry, the Internet communication

company that we have Staquo, the IT

company, there has been a healthy growth of more than 50%, and there is also the margins continue to be large. It is still relatively small compared to the mainline business. But as a company and as a business it's growing at a good rate at a fast rate.

We have made some investments into Furlenco, as we are all aware of. Furlenco is also -- Furlenco is a brand name, it's also referred as the House of Kieraya. Again, very happy to share with you that the profitability continues to be there. There is cash being generated, and that cash is being plowed back into the business to get more assets to increase the top line. Today, the annual run rate would be INR250 crores, which is way above what was about 7 months back. Also happy to share that the subscriber base for the company, which grows almost week -by-week, we are over 100,000 number at the moment.

I must comment a little bit on the budget, which was presented about 2 days back. We are all aware of the income tax savings that has brought about, and we believe that this extra savings in the hands of the middle class will help the consumer durable sector quite a bit. And I think added to that, would be a small thing, which is that instead of 1 dwelling or 1 house, you can now have 2 houses and not be burdened by any suppose income tax -- hello. Am I audible? Can somebody just respond to that? We've had a disturbance.

Moderator: Yes, please go ahead, sir.

Rahul Gautam: Yes. Okay. So I was just mentioning that the 2 houses proposition or concession that has come from the government should also help as far as our sector, consumer durable sector, is concerned.

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One more thing, which is -- which definitely relates to our industry is a reduction of basic custom duty on the import of mattresses. It was earlier at a rate of 25% and now has been brought down to 20%.

But our understanding of it is, that it would be an insignificant impact as far as our business is concerned, mattresses do not get imported on account of the size or sizes that vary across the country and on account of the bulk that the mattresses are and therefore, the freights are very high.

So with those remarks, I would now hand over to Amit to take you through the financials.

Amit Kumar Gupta: Thank you, sir, and good morning, everyone. I'll just take you through the financials for the quarter ended and the 9 months ended December 2024. So for the quarter ended on a stand-alone basis, we reported a total revenue of INR791 crores, which grew by around 54% year-on-year. EBITDA stood at INR71 crores, a growth of around 34% Y-o-Y. EBITDA margins were reported at 9% for the quarter, and net profit was at 25%, which was 19% lower than the year before.

For the 9 months ended 31st December, the stand-alone revenue were around INR1,897 crores, which grew by around 36% Y-o-Y. EBITDA for the period stood at INR189 crores, a growth of 19% Y-o-Y. EBITDA margins were reported at 10%. Net profit stood at INR100 crores, which is lower by around 11% on a Y-o-Y basis.

On the consolidated basis, for the third quarter, we reported revenues of INR967 crores, which is an increase of 10% year-on-year. Stand-alone maybe a little bit aberration because a lot of Kurlon sales are being routed through Sheela Foam now. However, when you look at a consolidated basis, we see that in spite of the headwinds, our business has grown by 10% on a Y-o-Y basis.

EBITDA for the quarter stood at INR88 crores, which was up by 15% on a Y-o-Y basis.

EBITDA margins were reported at 9.1% for the -- and net profit stood at INR19 crores, which decreased by around 40% year-on-year. The primary reason for this decrease is enhanced depreciation on Kurlon as well as the additional interest costs which we had to incur because of Kurlon acquisition.

For the 9 months ended 31st December,

we reported consolidated revenues of INR2,590 crores, which has increased by around 21% year-on-year. EBITDA for the period was INR217 crores, which declined by 1% Y-o-Y. EBITDA margins were reported at 8.4% and net profit was reported at INR75 crores, lower by around 37% on a Y-o-Y basis.

With that, we can open the floor to the questions -and-answer session. Thank you.

Moderator: The first question comes from the line of Rahul Agarwal from IKIGAI Asset Management.

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Rahul Agarwal: Just couple of questions, then maybe I'll get back in the queue. Firstly, as you alluded, Rahulji, clearly focus is on B2C versus B2B. But just from an industry standpoint, it looks like market demand and supply trends are also pretty different for both products.

So could you please share your thoughts on what kind of -- where does this revenue growth settle down for B2C, B2B over more of a medium term, let's say, 2 - to 3-year view? And similarly on the margins. This is both for only the India business, and then maybe I'll come back on the international business.

Rahul Gautam: So thank you, Rahul. If I understand your question correctly, it is -- you are saying to comment a little more on the B2C strategy that we have. And the question is that how would the mattresses, or the growth in mattresses and the growth in the margin look in, let's say, 2 to 3 years' time. Is that correct?

Rahul Agarwal: Yes. And similar question on the B2B side, separately.

Rahul Gautam: Okay. So on the mattress side, we would see at least about 18% growth -- 18% to 19% growth in the coming 2 to 3 years' time. And the margins -- so would be about 15 -odd percent as far as the B2C segment is concerned, that is the mattress side. So about 18% growth on the top line and about 15% EBITDA levels that we look at in the coming years.

Amit Kumar Gupta: Similarly, Rahul, this is Amit here. I will complete the second part of it. So if you look on the B2B side, though it will depend a lot on what sort of profitability the market is giving and how are the end user industry is growing. But we anticipate broadly an 8% to 10% growth in B2B, with some broad EBITDA margins, which could take the consolidated EBITDA margin somewhere between 12% to 14% in the next 3 years. And that's an estimate and what we are working towards broadly.

Rahul Agarwal: Got it. Any comments on the India overall margins? Because I see some kind of declines there on gross margin and EBITDA levels.

Amit Kumar Gupta: So the improvement in gross margins has come because of the savings on material that we had

reported last time that continues unabated. Quarter 3, we had 2 major challenges, and I would say not challenges, one of them was an opportunity. The online segment had grown very fast, and that was very important for us to regain our share as a leader in the online segment. Profitability and gross margins on online segments are lesser, but for us, it was a little bit more denting because the volumes grew very fast and we had to accept a little higher level of sales returns, which we have taken care towards the month of December, and now we are at normalized level.

And secondly, the local supplier of TDI, which is GNFC, had a sudden plant shutdown in October, which resulted around 1.5 months for us in which we had to purchase TDI from open market on an emergency basis because it was a festive season for us. So that also consumes some portion of it. But both these are normalized now, and I can say that whatever margins we have been achieving in the past, more or less similar margins is our steady state gross margin level.

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Rahul Agarwal: Got it, Amitji. Got that. And just lastly on -- though on the top line, EBITDA consol levels the direction is broadly right in terms of how you're guiding for. When I look at ca

sh profits and

operating cash flow for 9 months, doesn't look like it's at par, at least to me. If you could just clarify that? And how do we expect the cash flow to behave going forward, please?

Amit Kumar Gupta: So cash flow, if you see, it has basically, I would distribute it into 3 components. And not only operating, I would refer to full cash flow cycle of the company. And first part is operating, where if you have a higher profitability, you have a higher cash. So that will move in tandem with EBITDA because the remaining component, which is interest on which is a hit on cash is almost constant.

When you come to capex, if you see -- and I don't know whether we share balance sheet or not at this level, but our capex this year has been very small in comparison to last year, and we have been very strict on capex. Going forward in the next year, we should have almost only maintenance capex and nothing else.

On the working capital front, because of the consolidation of Kurlon and Sleepwell, we have not been able till now to build further efficiencies, but we are in the process of doing so. So we also anticipate some cash coming out of working capital.

Rahul Agarwal: Got it.

Amit Kumar Gupta: Just to add to that, we have a monetizable asset from some of the plants of Kurlon, which we have closed down, and that should be somewhere between INR100 crores to INR150 crores.

And we expect that to flow down in the last quarter of this year and the next year, the total amount. So that would also augment the cash resources for the company.

Moderator: The next question comes from the line of Anushka Chitnis from Arihant Capital.

Anushka Chitnis: I wanted to know if you plan to take any price hikes in this coming year. And also, there was a sudden dip in other income, if you can explain that it would be great? And I also have a third question, but I'll ask that later. So yes, sir.

Rahul Gautam: Sure. On the price hike, Nilesh, can you respond to that, please?

Nilesh Mazumdar: Yes, Anushka, thanks for that question. On the price side, we have already announced a price increase in both the mattress brands of Kurlon and Sleepwell and they will come into effect in the month of February at different points of time. So yes, we have done that for matters as well as on the home side of it also in certain categories, we have already taken a price increase to offset some of the inflationary pressures which may have come in. And also, it's been a while that we have taken a price increase in mattress.

But as we are doing that, it's also important for us to understand that we need to stay competitive in the market as we move ahead so that the momentum that we have will continue.

Rahul Gautam: Thanks, Nilesh. Amit, will you take the other part?

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Amit Kumar Gupta: Yes, second one. So on other income, Anushka, as you know, most of our cash is being parked in debt. In the last quarter, the yields on debt has gone up, which has -- instead of a positive impact, which has resulted into a negative impact on the income from other sources. But yes, that's a part of the game that is the money of the shareholders which we have to keep in debt. And that's why you see a little drop temporarily on the other income side.

Anushka Chitnis: Okay. And I also have 1 more question, if I may. Your Australia business grew a fair bit this quarter on a Y-o-Y basis, which did sort of dampen the consolidated growth. So what kind of headwinds are being faced in this market in Q3?

Rahul Gautam: So Australia -- yes, I'll take that, Anushka. So Australia by and large has been a market which is -- which has been contracting a little bit. And this is just totally an economy -based aspect that, that is there. Both the inventory Australia which is talking about Australia and New Zealand together. So I see that as a temporary phase, but

it's something that, that should get over by the

end of this financial year. And there is no specific reason, except that generally, the sentiment being met. There is no reason on the industrial side or the economic side, but it's just a bit of sentiment that have not been proper on this quarter, which has kind of gone by.

Amit Kumar Gupta: But one thing, Anushka, you can see in Australia, especially, we have been able to derive some benefits on account of raw materials. We have been also able to reduce our -- some of the wastages and improve efficiency in Australia in this quarter. And hence, I would not refer to the quarter 3.

But if you see at 9 months ended period, our EBITDA margins have jumped to 6% from where it was earlier around 2%, 3%, 4% where it was. These efficiencies are expected to continue. So growth will come when the industry grows there, but more important for us was to -- was the coming back of the profitability, which we see coming back in this quarter.

Moderator: The next question comes from the line of Dhananjay Bagrodia from ASK Investment Managers Limited.

Dhananjay Bagrodia: So firstly, congratulations on a very strong set of results. We've actually on like -- on a year -to-year basis, we would be one of the strongest growing companies on a consumer discretionary segment. Any color on what we have done differently in rest of the market, not only why we're seeing such strong growth coming in the top line?

Nilesh Mazumdar: Rahulji, should I take that?

Rahul Gautam: All right, Nilesh.

Nilesh Mazumdar: Yes. So Dhananjay, thanks for that question. You see, since you would be tracking both the consumer durable and the FMCG companies. There are very few companies which have been able to announce our or have volume growth coming in the last quarter. We have to understand our category of mattress. In the category of mattress, there is a significant opportunity that India as a country still has on account of 2 things that within the modern mattress segment, the local Sheela Foam Limited

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and the regional brands are still more than half of the market. And there is still a large amount of non -mattress users, which are the dari and the chatai users who are there in this country. So therefore, the category penetration today is still a large opportunity in this country. And therefore, if we have our act together in our ability to address each of these segments, that's what has really given us the volume growth vis -a-vis any of the other industries that you would be tracking.

Dhananjay Bagrodia: But sir, this data, which you mentioned was known, let's say, a year or so go, 5 years ago, 10 years ago, what has changed this quarter where we are seeing strong growth? That is...

Nilesh Mazumdar: Two, 3 things, Dhananjay there. One is that the entire initiative of, first of all, the Tarang and the Aaram is something that we have introduced in this financial year. You would have been -- while we have been talking about it, but we made a strong play only in this financial year, number one.

Number two, our e-commerce strategy, we had till last year, we were trying to address that through a flanking brands like SleepX etcetera, and not leveraging the strength of Sleepwell as a brand. So we -- as you would -- if you're tracking us for a time -- sometime you would know that we did away with SleepX brand completely and we said that our biggest strength is Sleepwell, and therefore, that's where we need to play. And therefore, a lot of work was done on that on the e-commerce space and that should we are able to see some strong positive results on account of that strategy.

Dhananjay Bagrodia: Okay. Sir. And sir, margins going ahead -- so gross margins, you mentioned for this segment now as we enter both Tarang and Aaram and e-commerce that would be trending although volumes will go higher. So we don't

look at on a GPM basis, if we look at GP plus cost or how do we look at it when we are internally tracking it?

Amit Kumar Gupta: So I'll take that, Nileshji. So Dhananjay, if you look at EBITDA margins, it will be better than or equal to our off-line segment for these segments because they involve a very minimal overheads and also lesser sales expenses for advertising costs. But if you refer at gross margin level, yes, they could impact a little bit, but that we have already taken into consideration to be offset by our efficiencies.

Moderator: The next question comes from the line of Rishi Mody from Marcellus Investment Manager.

Rishi Mody: Yes. Nilesh, on the price hike piece, could you quantify how much price hikes have we taken

like on the B2C side and the B2B side?

Nilesh Mazumdar: So Rishi, so -- yes, we would not be able to give you specific details on that for obvious reasons. But as far as the Mattress segment is concerned, the price hikes would vary across brands and the model. And that from a consumer point of view, the mattress side because that's something that one can share will be anywhere between 3% to 5%. But on the B2B side, it's confidential, and we may not be able to share, please.

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Rishi Mody: Okay. No problem. Second, I wanted to understand on the other income piece. So the decline in other income on a Q-o-Q basis, when I look at it, you mentioned that it's because of the interest rates going up. So is this a mark-to-market nonrealized loss on those investments that we have out here or it's a realized loss just like does it impact our cash flow realization?

Amit Kumar Gupta: It's a mark-to-market thing. It happens every quarter when the results are prepared, so not an actual realization.

Rishi Mody: Not an actual realization. All right. Yes.

Moderator: The next question comes from the line of Varun Singh from AlfAccurate Advisors.

Varun Singh: Congratulations for such a super strong volume growth numbers. Sir, my first question is on the realization bit. Given that you pointed out that we have taken a price hike and maybe buy side, it will come into effect. So given this context, will it be fair to assume that the realization for the India business would be better than the current quarter, what you have achieved?

Rahul Gautam: So obviously, as we progress, it's always an attempt to make it better. Exact quantum, we may not be able to share. But definitely, I can say that all the steps that we are taking with, it should improve.

Varun Singh: All right, sir. Good to know that. And secondly, like on the volume growth front, as you also pointed out that the focus has shifted to the India business and 18% to 19% is the growth that that we are attempting. So sir, in that context, I just wanted to know that earlier, our public guidance for consolidated revenue growth was around 14% to 15%, and given 25% of our business is international, where maybe the focus would be relatively moderate.

And if we assume, for example, earlier you guided 7% to 10% kind of a growth -- sorry, 10% kind of growth in the international business. So if we assume that, that business grows by 7-odd percentage, so are we pretty much confident to drive more than 20% growth in the rest 70% of the business, which is India business, which also includes B2B other than B2C?

Amit Kumar Gupta: So Varun, let me bifurcate it a little bit. International business is only 22% of my business now, and that is anticipated to grow somewhere between 5% to 10%, depending on what the situations in those countries are. But the impact on the overall business will be minimal.

Now if you look at India business, 55% of my business is mattress business, which I told you the rate -- which Rahulji told you the rate at which it will grow. And the rest of the business is expected to like 8% to 10% is what we are anticipating,

but depending on end user industry. So

together, this should give you somewhere around 12% to 14% of growth. I think mathematics would end up adding all this.

Varun Singh: Understood, sir. And sir, last question on the EBITDA margin front, I think earlier, we guided for a 14% to 15% kind of a steady-state margin for the company. And I think in the current call, you guided for the range between 10% to 14%, so just wanted to understand, sir, like what are the margin levers for us given that the volume growth is pretty good for us? And even realization

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-- on the realization front also, we are expecting improvement, so if you can throw some light on that -- on the margin part, sir?

Amit Kumar Gupta: So broadly, Varun, if you see, we are a consumer brand with very strong brands in the category that we deal. Two of the best brands, which are there in the country are owned by us. Rationally, we should be somewhere between 14%, 15% sort of an EBITDA margin, and that is what we target for ourselves going forward.

Yes, we have faced a little bit of headwinds in the last year, primarily because of integration of Kurlon. But our direction, it still remains the same. And we are pretty hopeful that with the Mattress segment growing faster, which definitely has a higher profitability. We should be able to reach it, albeit it will take a little bit of time to do that. But you should see a continuous improvement trajectory towards that level.

Varun Singh: Sir, so the glide path from the current 9% on the level of EBITDA margin, do you think it will - I mean, in 2 to 3 quarters, we should be -- most likely be able to reach the steady state, I mean,

post the integration, etcetera?

Amit Kumar Gupta: Varun, I would not say 2 to 3 -- So Varun, I would not say 2 to 3 quarters because that is also a function of the growth that will come into top line. So if the top line grows by say 12% to 15%, my costs don't grow by that level, right, and which flows to the bottom line. So if you remember, last time also we had guided that by the year 2027, we should be able to reach that area. It may be plus/minus 6 months or a year, but yes, that is what we are looking at.

Moderator: The next question comes from the line of Gaurav Khanna from CapGrow Capital.

Gaurav Khanna: Sir, my question is that our stock has been underperformer and trades at very high levels currently. So what do you think...

Rahul Gautam: Sorry, Gaurav, we can't hear you. Can you be a little bit clearer?

Gaurav Khanna: Sir, I'm saying our stock has been an underperformer and trades at high valuations. So what do you think would be required to improve the performance going ahead, and especially the profitability. Can you throw some light on that?

Amit Kumar Gupta: So Gaurav, we have guided on profitability and that our factors that will lead to profitability. On a stock price movement, we don't comment.

Moderator: The next question comes from the line of Resha Mehta from GreenEdge Wealth.

Resha Mehta: Yes. The first question is on the growth. So I think you did mention that the mattress India business will be growing at 18%. Is that correct? Or is it the overall India stand-alone business that we are guiding for 18% growth?

Rahul Gautam: That is correct. The India mattress business growing at 18%.

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Resha Mehta: And what about the other businesses, the comfort and the technical -- the other segments, basically the rest of the 50% of India business, what kind of growth rates are we expecting there?

Amit Kumar Gupta: 8% to 10%. So Resha, as we have already said, one, it depends on end user industry. So if you refer to our technical foam business, it all leads back to the end user industry. But given normal growth scenario and the optimism that we have in India, we hope that

we should be able to grow

by 8% to 10% in the remaining categories.

Resha Mehta: Right. And Australia business, you've commented that it's a mature market and it's a saturated market. So where we may probably see muted growth, right? But same we export opportunity to the rest of the Europe is high, so what kind of growth rates are we expecting in Spain?

Amit Kumar Gupta: So in Spain, if you see exports were primarily target for U.S., but U.S. has put an anti-dumping duty...

Rahul Gautam: Talking about the export to the European area.

Amit Kumar Gupta: No, she is talking about exports from Spain...

Resha Mehta: No, so I'm talking about basically the Spain revenue growth potential, right? I mean that could be either in the domestic sale market or exports to Europe or U.S. So if you just comment on that.

Rahul Gautam: Exports to the Europe. So you see the entire European market is one market. And in that, Spain, like we said, is a small part of it. And we are, in this current year that has gone by or that's going actually at the moment, we are -- on a volume basis are growing at 15%.

And the -- value terms, the top line appears to be a little muted, and that's primarily because the raw material prices are at their lowest. When we come -- and they are beginning to climb. As they come through their normal -- their normal cycle, the value and volume growth will come -- become similar to each other.

Resha Mehta: Understood. And out of the INR180 crores, INR190 crores quarterly revenue run rate from outside India, how much of that -- what will be the split between that in Australia and Spain of the INR180 crores, INR190 crores?

Amit Kumar Gupta: So Resha, we had already given that in our investor presentation, you may have a look at it. We gave Spain and Australia financial separately.

Rahul Gautam: At similar levels.

Resha Mehta: Sure. Sure. Will have a look. And if you look at the gross margins of Australian and Spain, so there has been a wide gap, right? So Australia -- at least in the past it used to be around 50% and Spain at around 20%, 30%. So what's the different in the product mix there? And is there a B2B, B2C element difference as well?

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Amit Kumar Gupta: So Resha, broadly, they have same type of material. There is not much of a difference. Yes, Spain is a little bit more diversified, but gross margin is a result of the its structure prevalent in

a particular country, like what sort of volumes are being taken away because if lower volumes are taken away or it's a smaller market, you recover more through gross margins to cover up your fixed cost.

If you see historically, Australia has been at around 50% gross margin, plus minus 2%, 3%, 4%, and Spain has been at around 30% gross margin plus minus 2%, 3%. So those are typically structured in those countries.

Resha Mehta: But essentially, Australia is a B2C market, would that understanding be right or is it a B2B market for us? And do we sell mattress there or...

Rahul Gautam: So Australia is -- as Amit said, Australia is a little different market. There are consumers that we -- industries that we supply to. However, the relationship and all that cannot be called as a pure B2B kind of a market. Relationship, understanding, technology sharing, and the R&D sharing and the safety health environment sharing is on a much, much higher level. And that's the reason that it's not a pure B2B kind of a market. There is a bit of a decommunitization that, that takes place. That's why the gross margins are so much higher in Australia.

Resha Mehta: Right. And in Spain, what kind of products do we manufacture there and sell?

Rahul Gautam: Products are very similar, which is foam and foam blocks and then, foam rolls and foam sheets, which are supplied to the various industries. But as I said, because we are a part of an extremely

huge market with a lot of production, a lot of companies operating in that area, and therefore, tends to be a little more competitive and a little more -- I hate to use the word commoditized, but definitely more in that direction. And that's why there are -- now for lesser gross margins that we have in Spain.

If you just look at the products that we are selling, I mean, in Spain, you would be selling more of foam blocks which are not so much a value addition to that. While in Australia, we would be selling probably sheets, which have been cut or even sheets, which have been cut, and there is a bit of more value addition. And that's why you have a gross margin of -- which is much higher.

Resha Mehta: Understood. And lastly, the guidance that you all have given for 14% to 15% EBITDA margin by 2027, so is that at a stand-alone or a consolidated level?

Amit Kumar Gupta: India business level.

Resha Mehta: India business, right? So it includes the comfort and the technical segments as well, right?

Amit Kumar Gupta: Yes, you are right.

Resha Mehta: Understood. And for -- purely the mattress part of India business, what would our EBITDA margins be currently in what range?

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Amit Kumar Gupta: So we don't give out segment wise EBITDA margins or profitability, Resha.

Moderator: The next question comes from the line of Manan Madhani: from KamayaKya Wealth Management.

Manan Madhani: Sir, my first question was on the realization part for the mattresses. So if I look at the realization from last 4 quarters, Mostly, it's in the downward trend. So would it be fair to assume that the integration of Kurlon is lowering the realization or is it the online products are contributing to that? And when do you see it stabilize?

Amit Kumar Gupta: So I'll answer that. Nilishji, are you there?

Nilesh Mazumdar: Yes, I'm there, Amit.

Amit Kumar Gupta: So would you like to answer why our average sales price is coming down?

Nilesh Mazumdar: Yes. So Manan, number one, as we see the -- if you're talking of the average selling price, as we see the India business opportunity, the volume growth are going to be higher than the value growth rate because of 2 reasons. One, the opportunity at the economy end of the market is significant and the conversion of the nonuser to users that we have been talking of the Tarang and the Aaram, that is also at the economy end of the market. So those will give us larger volume growth as compared to value growth.

Number two, the e-commerce segment. The large part of that business is coming through price points, which are sub, say, INR10,000 and therefore, that's also that ratio moving up and that volume growth is going to be also higher than the overall value growth that we will see. But having said that, the value growth also is going to be strong. And as we move ahead, the profitability that you're talking of, we will be looking at it in a comprehensive balance, so that we are able to deliver on the profitability objective also for the mattress as an overall segment.

Manan Madhani: Okay. Let me ask it in a different way. So is there any pricing difference for a similar product between the Sleepwell brand and Kurlon brand?

Nilesh Mazumdar: There will not be a difference in the pricing because of the -- as we have always said that we are not going to position one brand as a premium over the other because the strengths of the brand are very different in different geographies of the market.

And when we have been discussing about the strategy, we've said that Kurlon as a brand is very strong, stronger than Sleepwell in the Southern markets and the Eastern markets. And when it comes to North and West, Sleepwell as a brand is stronger. Therefore, both the brands will straddle all price points, and we will not differ -- and we will position the m as 2 independent brands in the consumer

's mind. And we will not position one as a premium, one as -- at an economy end. That's not a part of the strategy.

Manan Madlani: Okay. Fair enough. And when you mentioned that on the mattress side, you are taking price hike, does it also imply for the Tarang brand as well?

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Nilesh Mazumdar: Right now, whatever Tarang margins that we are seeing, they are also healthy as we have been saying that while we are building the Tarang and the Aaram business, and we also will be as we move ahead invest on communication and demand generation.

As of now, we don't see a requirement, but if it is required, we will take a price increase. I don't think that's going to be a challenge. And that's not going to impact us from a demand perspective because the products have been very well established, and we are seeing a good traction in both Tarang as well as Aaram.

Manan Madlani: Okay. And in terms of pricing, did you have any analysis of price difference between Tarang and the unorgani zed player? If you could tell?

Nilesh Mazumdar: Yes. Yes, we have done that. So there is -- I mean, at the end of the base value for life equation, Manan, for example, if you buy your cotton mattress, it is going to cost you anywhere between INR800 to INR1,000, whereas Tarang and Aaram will be almost 2.5x that if you just look at the per unit cost. But we have to remember that we are offering a 3 -year warranty with these products. And therefore, that gives you a far greater value for the consumer, far great er comfort for the consumer and also other associated benefits of the ability to use the product, both for sleeping as well as s itting when they want to.

Manan Madlani: Okay. And one last question. On Furlenco you mentioned earlier that from February onwards, we should be on PBT level profitable. So I mean, how is the scenario going there? And what is our current run rate?

Amit Kumar Gupta: So February profitability level is from last year. So we are already PB T positive in Ferlunco and its February will be 1 year completed when we are PBT positive. Last year, we closed the top line at around INR147 crores and current run rate, as Rahulji just mentioned, is around INR250 crores per annum.

Moderator: The next que stion comes from the line of Viral Shah from ENAM Holdings.

Viral Shah: Sir, just one clarification on the mattress side that you said 18% to 19% growth. So this would be value growth or volume growth?

Rahul Gautam: So this would be similar.

Viral Shah: This would be similar. Okay. Just secondly, how big would our Tarang and Aaram brand be at the moment? And where do you foresee that to be in 3 years from now?

Nilesh Mazumdar : Yes. From a volume perspective, it is about 6.5%, 7% of the total mattress. But as we move ahead, there is a huge opportunity because the opportunity we see is not only in small town India, but we also see a large economy end than cotton mattress users also in urban markets, but we will need to play the game very, very c arefully so that we don't cannibalize. So as we move ahead, we -- hopefully, it should come to about anywhere between 10% to 12%.

Viral Shah: Okay. And sir, just last question is, what would be your net debt position currently?

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Amit Kumar Gupta: So net deb t would be before lease liabilities around INR1,100 crores, INR1,150 crores and including lease liabilities should be around INR1,400 crores at a consolidated level, including Australia and Spain.

Moderator: The next question comes from the line of Nikhil from SiMPL .

Nikhil: Yes. Just one clarification. On the net debt, how do you see that thing playing out over the next 2 years? Because you mentioned there is some INR100 crores to INR150 crores of cash, which would be generated from noncore assets, and ope rationally also, we are looking at reducing

the

working capital and also where do you think our net debt should be in next 2 years?

Amit Kumar Gupta: So whatever will be generated either from the liquidation of assets or operations or operational efficienc y, all will go to reduce the net debt. We don't have any intent or plans for making any

material Cap ex.

Nikhil: And once these noncore assets are sold, as a part of our synergies, we had talked about some factory rationalization between the 2, would there be still more opportunities for rationalization, or we would be done with whatever factory setup we want to have?

Amit Kumar Gupta: So more -- this includes the entire rationalization plan that we had. So for now, yes, it will be done, if some opportunity comes up in the future, that is something we can't envisage at this time.

Moderator: The next question comes from the line of Manish, an Individual Investor.

Manish: Congratulations for the great numbers, sir. So I have 3 questions. My first question is after acquiring Kurlon. We discussed about that we'll have some benefits of, for example, distribution benefits, storage benefits and all. So have you realized everything, or they are still pending?

Amit Kumar Gupta: So a large portion of that has been realized. But yes, as we mentioned in our earlier call also, the rest would be realized by the end of this year.

Manish: Okay. Okay, sir. I have 2 more questions. The second question is we are going for a price hike in Feb. So what is the percentage that will reflect on the EBITDA of the price hike? Will it be a significant amount, or will it be minimum, 1% or 2%?

Amit Kumar Gupta: So I think the EBITDA guidance that we have given on an overall basis, it will be part of that only.

Manish: But can you quantify that? Because now we are growing at 9%. Will the price hike happen material impact on it or there will be no material impact?

Amit Kumar Gupta: You should see some improvement in this. But the EBITDA margin improvement will not only be a factor of price rise, it will have multiple factors. One, it will depend on the remaining realization of the synergies, price rise, of course, is one factor. Another most important factor is gradual movement of B2B business to B2C business because B2C business has better margins. So there are 4, 5 factors, which together lead to the improvement in profitability.

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Manish: Okay, sir. And sir, Gautam, sir, sir I have one question. Last time I asked you that you had an idea of foldable mattress for lower section of society or the lower middle class. Sir, have we thought about targeting students, for example, if someone goes to university for a 4 years college or a 3 years college or medical for 6-year college when I went to Pune what we did is we bought the mattress for INR800 or INR1,000, but we replaced it every 2 years. So -- see, do we have that an idea to target students because you will get the students every year, a certain percent of students every year, if you target them and if they like it, then the volume can grow a lot.

Rahul Gautam: So Manish, thanks a lot. I think it's a good idea. Nilesh, are you still there?

Nilesh Mazumdar: Yes. Yes, Rahulji, I'm very much there. Manish, thank you for that question. So Manish, you're absolutely right. There is a large opportunity in the student segment, and you will be happy to know that, that is something that we are actively working on. In many of those institutions where you have hostels, large hostels, we are doing small camps, promotion camps inside the colleges, so that people are made aware of it, and we have already started this initiative and fingers crossed, it is giving us good results.

Manish: Yes, sir. Why I asked that question because I came from a small village, I went to Pune for my engineering...

Moderator: Manish, apologies to interrupt you. If you can please join

back in the queue.

Manish: Just one question. Why I asked that question is because when I was in -- when I went from a small village to Pune, I did not know what the big brands, I only knew that there is a cotton mattress. So there's been 100% students will not know about these needs. So if you have that in college and all, that will help a lot. That's it, sir.

Rahul Gautam: Thank you. Thanks, Manish.

Nilesh Mazumdar: Yes, you are absolutely right.

Moderator: The next question comes from the line of Rishab Bothra from Anand Rathi Shares and Stock Brokers Institutional Equities.

Rishab Bothra: Two things. Firstly, we had an asset turn of around 5% on net block up to 2020. Post that, I think there has been certain goodwill also. So excluding goodwill, that has dropped significantly. So as of now, I think our asset turn is -- at net block is around 1.1 or 1.2. So when can we scale up to around, let's say, 3, 3.5, if not 5?

Amit Kumar Gupta: So I think as such as what you should take on tangible assets only because when we acquired Kurlon, there were -- we acquired it for a price of around INR2,000-odd crores...

Rishab Bothra: Yes, excluded goodwill, sir. I excluded goodwill and looking at tangible only.

Amit Kumar Gupta: There are other intangible assets also in the form of brand and other things. So if you see, we have added only around INR300 crores, INR350-odd crores of fixed assets and even if you look currently, our assets turnover should be around 3 to 4x...

Rishab Bothra: Okay. Okay.

Amit Kumar Gupta: Yes. Yes, please do it. And in case you need any help, you may get in touch with our advisers, Valorem, and we can set up a call to explain you better.

Rishab Bothra: Sure. And secondly, on the margin front, we had around -- operating margin of somewhere around 31% or so if I'm not wrong?

Amit Kumar Gupta: Sorry?

Rishab Bothra: Operating margin. Operating margin of around 31% or so. My bad. Operating margin of around 14% in FY '20.

Amit Kumar Gupta: So you're asking to gross margins, right?

Rishab Bothra: Operating margins, sir. Operating margin of around 14%, 14% to 15% in 2021. Post that, it has reduced significantly to 10%, 11%.

Amit Kumar Gupta: So you will have to give some working Rishabh ; actually, I have -- I don't know what -- which figures are you referring to. These are not standard figures, which we give our results. Maybe you can share your working, and I can help you with the reconciliation ...

Rishab Bothra: Sure, we'll do that.

Moderator: The next question comes from the line of R Sen from MAS Capital.

R Sen : Sir, it's a twofold question. We see many companies marketing during the Maha Kumbh, are we not looking at this opportunity, and part B of the question, this is especially in the backdrop of your -- in one of the earlier con calls you had mentioned about the Jabalpur plant that will focus on the INR2,000 mark mattress. We see the new rise of tents as a concept, do we see a future of your venturing in this space, especially in the B2B space?

Nilesh Mazumdar: So I will take the first question, Rahulji.

Rahul Gautam: Okay. Go ahead.

Nilesh Mazumdar: As far as Kumbh is concerned, we have our presence very much in the congregation. We have put up stall both sleep -- for Sleepwell as a brand. We have put up a stall for Kurlon as a brand, with a small experience center also there going along with it. And we have also invested in doing branding around in that space. So we are very much present in the Kumbh Mela.

The second question, Rahulji, I couldn't understand if you could take that with something around Jabalpur that was being asked.

Rahul Gautam: Yes. Listen, could you just repeat that question? I mean, I understand on Jabalpur and the quantum that is manufactured there, but there was something about the mattresses from Jabalpur that

you said. It was not audible enough.

R Sen : Sure. Sir, my question was, given the Jabalpur plant is about -- it's like a low revenue when I say numbers, right, it's INR2,000, if I recall the numbers correctly. We see a lot of tents as a concept, the tourists, the spiritual a lot of concepts are coming up. Are we looking at this segment? And maybe a B2B initiative where we are focusing on the tents as the market and supplying to these tents?

Rahul Gautam: Sorry, there is -- in -- I mean, there's audibility on this...

Nilesh Mazumdar: Rahulji, I'll take that. Rahulji, I'll try and take that. I think what you are meaning is that along with the tent -- inside tent or a mattress if something can go along with it. I think you are referring to that and therefore a market to do that.

So you see today, currently, if you see inside the tent, the maximum consumption is not a cotton mattress only. That is what is used inside the tent in many of these areas that you have referred to. So the entire initiative of Tarang and Aaram is for that segment itself.

That in fact, the tent foldable mattress can definitely go inside, and while we have connected with during Kumbh congregation with some of the tent suppliers out there who have been there, but we have already carry a certain inventory and there is a government -related acquisition that happens. But at an overall level inside a tent, the cotton mattress getting used, and that's what we are planning to replace with this entire Tarang -Aaram initiative, and that will help us address that opportunity.

Rahul Gautam: So Nilesh, let me just add to that, that even as far as the tents in Kumbh are concerned, from our CSR activity, we have donated over 5,000 mattresses for the tents, which have come up there.

R Sen : Sure. I appreciate that, sir. Sir, my second question is on Furlenco. One of the statements made by the CEO of Furlenco earlier was Millennium subscribed because it gives them the freedom to unsubscribe, right? I think that was a statement which kind of stood out -- it was made a

couple of years back.

Now that in its new avatar where Furlenco, like we have now 55% not share in the company. In QSR we have this concept of sales growth, right, FSG, is there a trend where you're seeing that the same set of millennials are subscribing and eventually buying those products, or is this too early to comment? Or any initial trends that you discovered after the acquisition of Furlenco?

Rahul Gautam: So we see that in bits and parts of people who rent or subscribers and then eventually go on to buy, but it's something which is very, very small. However, the direction is on the positive side.

I have -- I mean I would do not hazard a guess as to say that would that become a substantial one. On the other side, pure sale versus pure subscription, we definitely see that the sales side is an increasing number.

Moderator: Ladies and gentlemen, in the interest of time, we take the last question from the line of Rahul Agarwal from IKIGAI Asset Management.

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Rahul Agarwal: One clarification I was thinking about was in terms of marketing of Tarang and Aaram. Are we selling this in the same markets in terms of Tier 1 metros? And how do we differentiate between the sales channels here in terms of general trade or modern trade versus Sleepwell and Kurlon brand mattress, please?

Nilesh Mazumdar: Okay. Rahul, I take that question. Yes, I'll take that question. You see today, in the economic segment exists, first of all, in every market. It is just not by pop strata data for example, if I take a city like Bombay, Dharavi will be a huge market, which will be at the economy end. So therefore, we will need to obviously cater has presence in all the pop strata and all geography. We have designed the product an

d the margin structure in such a manner so that we are able to prevent cannibalization because I'm assuming that your question is that how will we prevent cannibalization. The channel also here will be different because the -- our current exclusive showrooms or the -- the multi-brand outlets cater to a certain kind of consumers. Most of them would not have cotton mattresses being present, while it might be there, but it will be a very fraction of the number. So the channel will also be different as far as even we are going to operate in the same geographies.

Rahul Agarwal: And in any way, when we brand the mattress or we print the name on the Tarang or Aaram, is there any mention of Sleepwell or Kurlon like Tarang has Sleepwell...

Nilesh Mazumdar: Yes, there will be mention of Sleepwell -- yes, there -- because today, it has to have the umbrella presence of these 2 brands because that's how the consumer will give me the premium for the brand saliency and it is therefore important that we have that presence on the packaging, but we are conscious of the cannibalization challenge, and therefore, we are moving cautiously so that in every element, as we move ahead, the positioning of the brand is very different. And for the consumer, there is no confusion. And therefore, that we will hopefully be able to prevent as much as possible of the cannibalization.

Rahul Agarwal: Got that. And a couple of data points. Could we have the revenue value share for Tarang, Aaram and e-commerce, whether as percent to B2C sales or India sales or whatever we have right now?

Rahul Gautam: So I think we can share that just get in touch with our advisers, Valorem, and offline, we can share that data.

Rahul Agarwal: Okay. And lastly, just on the average selling price. Obviously, given the mix and given the focus and more volume growth on the economic range as well as online, this number obviously has come off to about 4,000 right now, if I add up Sleepwell, Kurlon, everything put together on the mattress and accessory side. Would you like to put out a number in terms of where should it settle down, let's say, 3 years out?

Amit Kumar Gupta: So maybe, Rahul, we don't give out details into the details that you are asking for. If you have any clarification, we can talk separately, but those level of details is difficult to give out.

Moderator: The next question comes from the line of Avinash Nahata from Parami Financial Services.

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Avinash Nahata: Okay. Can you talk about a little bit about the TDI? You briefly made a remark on the disruption which happened for 45 days as far as the GNFC plant is concerned. Just tell us about the pricing, how it has behaved in the quarter gone by and during the 9 months? And what kind of difficulty in price did you face buying on a spot basis from traders? And some color on that?

Rahul Gautam: Thanks. I think it's a very large question, and we are looking at the last 9 months. Let me just state the current situation, current position. Rakesh, are you there?

Rakesh Chahar Yes, I'm here.

Rahul Gautam: Can you answer that?

Rakesh Chahar Yes. So GNFC went took a shutdown and it shutdown extended by 90 days. So when the extension happened, there was scarcity of TDI in the market and this led to the price increase by the traders. So to maintain the serviceability of the market other than GNFC, we were buying TDI outside at a premium. So this continued till end of November. From December onwards, the situation stabilized. Does that answer your question?

Avinash Nahata: Sir, directionally I understood , but what kind of disruption in the prices it led to?

Rahul Gautam: Listen, I'll take that question, Rakesh. I'll just take that question. So number one, the disruptions always happen a little abruptly, because when you have local supplies, and there is something that happens at the p

lant, the impact comes very quickly. There are these spot guys. There are the traders who are there existing. Generally, we do carry at least 15 to 20 days of inventory. But sometimes, we have to buy from these. And at that time, really there is no clear formula as to what would the spot price be or sometimes it can be high and sometimes it can be low. But it's definitely a little higher than what we generally buy from.

Avinash Nahata: Okay. Is this the only capacity of GNFC or it was one of the plants of GNFC?

Rahul Gautam: No, So this was in one of the plants of GNFC. GNFC has 2 plants, and it has total capacity of almost about 50,000 tons, which is a large number as far as India is concerned, and it was in one of the plants that, that is there.

Avinash Nahata: Okay. Sir, I have one more question. Is it possible to share -- I don't know I could have missed the early part of the call. In terms of the quarter gone by and the 9 months, how much mattresses we have sold in terms of number of units -- in our B2C business?

Amit Kumar Gupta: That is already there in the presentation that we have shared.

Avinash Nahata: Yes. So there's a question related to that. So what is the maximum Kurlon would have sold in a year in terms of number of units before we acquired this?

Amit Kumar Gupta: So I think what we are doing now is we are selling Kurlon and Sleepwell in a manner that it becomes immaterial to us, which one of them sells. So there is no brand -specific sales push, intent is to maximize both the brands together. So I don't think we should be sharing separate

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numbers. We don't share now the numbers of both the brands. Why we are giving growth rates, it's just to give confidence to the investor community that yes, both the brands are growing and whatever we have acquired is making sense of it.

Avinash Nahata: Fair enough. Sir, at what price are we buying TDI on an average?

Amit Kumar Gupta: If you look into Investor Presentation, we have given a chart of price, so it should be around 200 plus.

Moderator: Ladies and gentlemen, that was the last question. I now hand the conference over to the management for their closing comments.

Rahul Gautam: Great. Thank you. Thank you to each one of you for joining in. I hope that all questions have been answered to your satisfaction. If there are any, which are left over, please do get in touch with our advisors, Valorem. And the questions will reach us, and we can connect up directly.

For us, too, there's -- like always, there's been a learning exercise, and we will continue to push our focus on India and the B2C brands that are there and completing the acquisition, integration and the margin realization as soon as we can. So we will see you in the next meeting after this current quarter. Thank you.

Moderator: On behalf of Emkay Global Financial Services, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: May 2025

SHEELAFOAM LTD.

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L74899MH1971PLC427835

May 19, 2025

To,

The BSE Limited The National Stock Exchange India Limited
Phiroze Jeejeebhoy Towers Exchange Plaza, Bandra Kurla Complex
Dalal Street, Mumbai-400001 Bandra (E), Mumbai-400051
Scrip code: 540203 NSE Symbol: SFL

Subject: Year ended March 31,
2025 Financial Results.

Dear Sir/Madam,

May 15, 2025

post declaration of financial results for the quarter and year ended on March 31, 2025 for
your information and records.

Thanking You,

Yours truly,

For Sheela Foam Limited

(Md. Iqubal Ahmad)

Company Secretary & Compliance Officer

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"Sheela Foam Limited Q4 FY '25 Earnings Conference
Call"

May 15, 2025

MANAGEMENT : MR. RAHUL GAUTAM – EXECUTIVE CHAIRMAN ,
SHEELA FOAM LIMITED
MR. TUSHAAR GAUTAM – MANAGING DIRECTOR,
SHEELA FOAM LIMITED
MR. AMIT KUMAR GUPTA – GROUP CHIEF FINANCIAL
OFFICER, SHEELA FOAM LIMITED
MR. RAKESH CHAHAR – WHOLE-TIME DIRECTOR,
SHEELA FOAM LIMITED
MODERATOR : MR. RITESH SHAH – INVESTEC CAPITAL SERVICES

INDIA PRIVATE LIMITED

Sheela Foam Limited
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Moderator: Ladies and gentlemen, good day and welcome to Sheela Foam Limited Q4 and FY '25 Earnings Conference Call hosted by Investec Capital Services India Private Limited.

As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Ritesh Shah - Head, Mid-Market Coverage and ESG from Investec. Thank you and over to you, sir.

Ritesh Shah: Thank you. Welcome all for Sheela Foam Conference Call. We have with our senior management of the Company including Mr. Rahul Gautam - Executive Chairman; Mr. Tushaar Gautam - Managing Director; Mr. Amit Kumar Gupta - Group CFO and Mr. Rakesh Chahar - Whole-Time Director.

Rahulji, I would request you to start with some initial remarks post which we can have a Q&A session. Over to you, sir. Thank you so much.

Rahul Gautam: Thank you, Ritesh. Thank you. Thanks a lot. Good evening, everyone and thank you for joining us for our Earnings Conference Call for the 4th Quarter and Financial Year ending 2025. Along with me today, we have Mr. Tushaar Gautam, Mr. Rakesh Chahar and Mr. Amit Gupta.

Let me first take you all through the major developments in the Company for the periods under review and then Amit will take you through the financials.

In the 4th Quarter, on a Y-on-Y basis, we saw strong growth in our standalone business. As part of the integration plan, most of Kurlon brand sales were routed through SFL through Sheela Foam aiding in revenue growth. Our focus driven marketing and consumer engagement strategy also played a pivotal role to ramp up the sales. Financial Year 2025 marked the first full year of the combined operations for the Indian business that is Sheela Foam and Kurlon Enterprise Limited.

I am happy to report that our strategic plans are playing out as planned. The various initiatives taken across the Company on cost rationalization have already and will continue to improve profitability in coming quarters. In FY '25, the gross margins of 42.5% reflect an annual cost saving run rate of INR 120 crores. Additional saving of another Rs. 130 crores have already been executed and the impact of which we will soon see and will get reflected in our performance in coming times. The headwinds in consumer durables are known to everyone, impacted the sales of FY '25 thereby limiting us to achieve the evasive double digit EBITDA margins that we were looking for.

On the mattress side, for FY '25, we achieved a high-volume growth on a year-on-year basis. However, the same is not yet reflecting in revenue growth due to expansion of volume driven, Sheela Foam Limited

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the e-commerce business and the small-town initiative that we have taken in those categories. To ensure greater market penetration, we focused on expanding our network of showrooms. I am happy to share that we added nearly 400 exclusive showrooms and appointed 1700 dealers in FY '25. Showroom expansion remains a key focus area for us in FY '26 as well, wherein we plan to add more than 1000 new touchpoints. We are enhancing our presence in MBOs which allow for a higher counter share. Wherever possible, we are adding new distributor-owned outlets under both Sleepwell and Kurlon. We also continue to witness widespread adoption of small-town initiatives which are now available in more than 4000 towns in India and is showing very encouraging growth levels. The Company is focusing on appointing these STI specific distributors who will work solely in this category, and I just repeat that these will be over and above the existing distribution system that we have.

In the B2B segment, techn

ical foam had steady volumes in FY '25. We maintained our share in the auto lamination industry. We are also developing new products for industries such as the aviation industry, ceramic filters, acoustics that is the gensets and the silencing of the gensets, as also, footwear insoles. We are also leveraging the furniture foam or cushioning under the KEL or under the Kurlon brand to gain strong foothold in the North and West of India. Our Comfort foam segment has had strong growth both in terms of revenues as well as volume during the year. Here, we have expanded our dealer network by adding nearly 1000 plus new dealers. So as I am mentioning that the volume definitely has gone up, but because of lower raw material prices the value or the top-line is yet to reflect the increase in the market share that we have.

Furlenco demonstrated a strong performance during this year. It achieved its full first year of positive profitability in FY '25. The exiting ARR in March 25 stood at an INR 300 crores. The ASP crossed above 1,00,000 in FY '25, which demonstrates a healthy penetration and adoption of Furlenco's offerings. Furthermore, we launched Furlenco in few new cities including Indore, Kolkata and Ahmedabad. To appeal to our Gen Z audience, we have also launched new product portfolios, those caters to their tastes and needs, which are very different from Gen X and Gen Y.

Coming to the performance of Staqa, which is our IT initiative, the growth journey continues in FY '25 with revenues growing by 61% year-on-year with EBITDA margins of around 28%. We on-boarded several new clients across PSU, MSMEs, along with the other private domains. To conclude, we are on track to unlock the full potential of the Indian business. In lieu of further streamlining and rationalizing our India operations, we have monetized 3 manufacturing facilities namely Dabaspur in Bangalore, Rajpura in Punjab and Roorkee in Uttarakhand. Through these concerted efforts, our manufacturing facilities, which were hovering around 18, are now rationalized to 12 and we strongly believe that these 12 are good enough to cater to the needs and requirements of both the brands and of the Comfort Foams and the B2B businesses, at least for the next 3 years.

On the international front, in the Australian business, we were able to receive the price increase. It took a little bit of time, but finally able to receive the price increases from majority of our

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customers, thereby improving profitability. We are also onboarding alternate raw material suppliers which will further enhance business profitability. In Spain, the capacity expansion contributed to volume growth of more than 15% during the year. However, the revenue for reasons which I mentioned before where the raw material prices are very low, the revenue was limited by lower raw material prices. Utilizing the enhanced capacity leads to increased overheads which in turn impacted our margins and profitability for the year. As we wait and as we see that the raw material prices are beginning to move up, these issues will get sorted out. As I look back in the last few quarters, clearly, the impacts of acquisition have stabilized and definitely the worst is behind us.

With those words, I hand you over to Amit to take you through the financials.

Amit Kumar Gupta: Thank you, sir, and good evening everyone. I am Amit Kumar Gupta.

Let me take you through the Financial Performance for the 4th Quarter and Financial Year ending 2025:

For the 4th Quarter under review, on a standalone basis, we reported revenues of Rs. 691 crore. EBITDA for the quarter stood at Rs. 46 crores with EBITDA margins at 6.6% for the quarter, net profit was reported at Rs. 12 crores. For the Financial Year ended 2025, the standalone revenue was around Rs. 2,600 crores, EBITDA for the period was at Rs. 235 crores and the EBITDA margin reported at 9.1%. Net profit was

reported at Rs. 112 crores.

On a consolidated basis for the 4th Quarter, we reported revenues of Rs. 850 crores. EBITDA for the quarter stood at Rs. 69 crores and EBITDA margins were reported at Rs. 8.1%. Net profit stood at INR 22 crores. For the Financial Year ended 2025, we reported consolidated revenues at around Rs. 3,500 crores. EBITDA for the period stood at around Rs. 300 crores with EBITDA margin at around 8.3%. Net profit stood around Rs. 100 crores.

One thing that I would like to mention here, though on an operational front, we performed better in 2025 improving our gross margin, the flow of profitability to the bottom-line was limited primarily because of enhanced interest cost on the debt that we had undertaken for Kurlon purchase and also on incremental depreciation since Kurlon, it was the first full year of Kurlon with us, the depreciation for the entire year was combined. However, we believe that in the next 2-3 years, with the growth targets that we have as top-line growth and we are able to repay the debt, we should be able to reach profitability metrics which were better than what we enjoyed in the past.

With that, we can now open the floor to question-and-answer session.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Arun Malhotra from CapGrow Capital. Please go ahead.

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Arun Malhotra: Good afternoon. Just wanted to understand, I think we have seen couple of quarters after the merger has happened. We are still not seeing the profitability. Is there any structural problem with the business itself? That is one? And second, hopefully the synergy should have come by now and we should have seen higher margins, but that is nowhere to be seen?

Rahul Gautam: Thank you Arunji for the question and this is something which we discussed and talk about all the time. Our analysis is that there is no issue or any structural problem.. It is just that the two companies which were operating in completely different manners have to be integrated. On the back-end side of it, there was not much of an issue because of production and manufacturing is very similar. However, it is on the front-end part of it, there was one which was going directly to the dealers and to the customers while for Sheela, it was through distributors etc. Now, to merge those things together to find out which is the best route to the market, etc., it has taken a little bit of time. But there is no structural problem. And I appreciate your point of view of saying that for past, somewhere the lower performance of the Company seems to be coinciding with the acquisition part, but to us, we believe that it is a bit of a coincidence. Many things have kind of happened together, but otherwise as we kind of come out of it, as we conclude the acquisition and the integration, we believe that the worst is behind as it will move forward.

Amit Kumar Gupta: And also on the synergy front, as you mentioned, so we currently are looking at it very closely and that is why we can say that around Rs. 120 crore worth of run rate by end March '25 is already there, which to some extent is also reflected in the gross margins of the Company. And also if we go down below the gross margins with combined overheads of Sheela Foam and Kurlon, during the year, we were in the process of pruning the same and creating it into one organization and optimal overhead structure. We have been able to a large extent successful as you would have seen that we have reduced our number of plants from 18-12. All those administrative overheads and manpower cost in those plants have gone away, but they have taken place over the entire last year, so full year reflection would come for the first time this year. In 4th Quarter, we were pretty confident that it would be reflected, but unfortunately there were certain tailwinds because o

f the environment in the consumer space because of which our top-line was restricted to the amount at which it is. Had we been able to achieve even 10% higher than this, we would have achieved our double-digit margins, which we are looking forward to in the coming quarter.

Arun Malhotra: Sure. I appreciate the confidence which you are showing, and you have also shown in the past, but since it is not reflected in the numbers, I am again repeating the same thing. The market is now losing credibility, which can be seen from the past performance of the stock which is now below the IPO price last 4-5 years, the stock performance is negative, so are we also concerned about the minority shareholders and trying to do something in that direction?

Rahul Gautam: So we are definitely concerned about all the shareholders and what you have stated is based on numbers and on the fact that this is how it has kind of panned out. But the confidence that you talked about it, I don't want to call it confidence, but I just want to say that it is a very positive outlook that we had. And undoubtedly it has taken far more as far as effort and energy and time
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were concerned in integrating the two. I say it, but at the same time, I also see that two organizations of this level and this set of complexities, we have done reasonably well for integrating them. And now that we are almost at the fag end of it, it should show positive part.

Arun Malhotra: Sure. And last thing if, let us say, I take you forward for 3 years, what could be the shape of the business in terms of profitability, margins, growth, what are the industry trends which you think being a market leader now with the consolidated entity, you could actually capture those margins, profitability and the market shares and the growth? I am talking 3 years forward, hence.

Rakesh Chahar: Yes. So I would say that look, as far as the general uncertainty about everything is concerned, that is ever increasing. But having said that, if you just look at the areas or the market size or the potential of the market size that exists, I think it doesn't matter if the conditions get very adverse or very bad, still there would be enough for us to grow. So whatever are our targets that we have taken for and I would let Amit answer that. Have we have taken forward? If we should be least impacted by environment changes, of course, availability of raw materials, any logistics issue happening globally, etc., those could for a little while impact, but otherwise, as far as the markets in India are concerned, we all know that should be there. Amit, what we have projected?.

Amit Kumar Gupta: Arunji, I think I can give you simple numbers, but that won't help. So let me give you a little bit of how we intend to approach this particular thing, and this is the place where we are looking to reach. So if you see during the last one year, our business from structurally i.e. the operating business has become more efficient. Yes, it has become more profitable. Since both organizations have now been combined, the next job for us was to create overhead structure which was optimum for a organization of our size. In that also, we have been pretty successful. If I compare on a like-to-like basis, our cost in spite of inflation have not gone up. Now, the important thing that we need to work on now is how do we increase our top-line and I think we have taken positive steps in this direction in the last 1 year. Our share on the online segment has gone up. We are currently around Rs. 175-Rs. 200 crores on the online segment. Historically, we could touch only Rs. 100-Rs. 110. And also in the small-town initiative, we will be touching

very soon Rs. 100 crore mark on that particular segment. So this helps us in two ways. One, it increases, gives us additional revenue and secondly, it gives us an additional market where we are selling our product

. So if you see, we are moving in a direction where growth should come and we should further strengthen our leadership position. Now, given this background, we believe and we being a Company which is at 30% plus contribution margin Company our products are of such nature. I believe that as soon as we are able to achieve some growth on the top-line, this would definitely be reflected in the bottom-line and that is what our focus area in now is for this year as well as for the next 2 years. To give you numbers and I have given it in the past also, I would retain my number that we intend to grow in India by around 15% per annum for the next 2-3 years. And our EBITDA margins should be somewhere around 13%-14% odd in 3 years, if you are, maybe it touches 15%, that is my internal target, but you can take it, it will definitely be higher than 12% odd. The only thing is that we should be growing now from here, from a top-line perspective, which we are pretty confident of.

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Arun Malhotra: Thank you, sir.

Moderator: Thank you. The next question is from the line of Aishwarya from iThought PMS. Please go ahead.

Aishwarya: Sir, my question is regarding the top-line, because the mattresses business in itself is like a moderate growing business, because if I buy mattress for say, one mattress is for about 35,000 or something, it will go and it will last for me up to 7-10 years around there. So what generally happens is we can see that the top-line is moderately growing and I was expecting a conservative number, but then the guidance was given that we will be performing about 14%-16% and we did perform somewhere near to that which is 12% from last year. And what I am trying to understand is that since you have onboarded new products and your new products in the Tarang and Aaram in the rural area, that cost would be like much lower than the cost of mattresses which is available in Tier-1 cities. So unless we do good in volume terms over there, it is still like moderate growth, then how will we be achieving the guidance which we are giving today and the other question is regarding debt because this year since the interest costs are higher, in how many years will we be having no debt? That is another question, sir.

Rahul Gautam: Aishwarya, thanks. So I will let Mr. Rakesh Chahar answer this. As to the impact of Aaram and Tarang and you said that the costs in the Tier-1 cities is lower than the cost of Aaram and Tarang is high. That is right. There were other mattresses available which are lower than that price and therefore how do you intend to compete this, is my understanding right?

Aishwarya: Yes, sir.

Rakesh Chahar: So we have a large EBO network which is almost about 3000 showrooms. So there the journey will be of premiumization. So there is already a program that we have initiated to upset which is both on the product side and also the software issues with the retail partners that how do we engage consumer, elevate their interest in sleep and the role of a mattress and good sleep, and therefore able to sell a high mattress. So that is the journey as far as the showrooms are concerned, EBO showrooms. As far as Tarang and Aaram are concerned, it has market in the rural area and also the smaller shops in the urban area. So we have put a structure in place because we are very weak in the urban area. We were only driving this product so far on the rural side. So recently, we have introduced it in the urban site, restricting it to a level where the small furniture shops can carry it, because normally the mattresses are sold along with the furniture. So they will have both different treatments from our side. So our premiumization in the EBOs, where 75% business is coming, that will not get impacted and here we will get additional sales where we are not present today. So that is how we are looking at.

Rahul Gautam: And Amit, can you respond to he

r question on the interest part of it, as we go forward, there is

a large interest component which is there and till when will that kind of continue and when will we be able to clear that?

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Amit Kumar Gupta: So Aishwarya, we currently have a debt of around Rs. 700-Rs. 750 crores on our Indian balance sheet against which we have a cash of around Rs. 450 crores. We expect to generate with the level of profitability around Rs. 100-Rs. 150 crores per annum for the next growing at the rate at which it should grow for the next 2-3 years. In addition, we are also monetizing certain real estate which is land free because of the closure of the plant which Rahulji mentioned in the part of his speech which should fetch us around Rs. 200 crores and this is we are trying to monetize

in the next 1 year i.e in the current financial year. So I believe that with all this, we should be able to deleverage our Indian balance sheet fully in the next 2-3 years after which the interest component which you currently see at around Rs. 100 odd crores should be reduced only to working capital interest of Rs. 10-Rs. 15 crores per annum. So that should be the trajectory of interest cost.

Aishwarya: Understood, sir. I have one last question regarding the other B2C brands which are actually raising money to break the market share because they are not profitable yet, but they are breaking market share, and they are giving some various schemes which actually customers are lured by.

So what I want to understand is that are we still open for any other acquisitions as a Company, not just for the mattresses or for any other product which will complement the business?

Rahul Gautam: No, Aishwarya, at the moment we are not looking at any other acquisition. We would want to settle this down. I think dealing with two large brands and get them to move to their destinies, it is going to be a task, and I think all efforts and all resources the Company should be focused on that.

Amit Kumar Gupta: And secondly, if you see, we are now leaders, Pan India, so Sleepwell rules in the North and the West and Kurlon rules in the South and the East. At any point of time, it would always make sense for us to do an organic growth rather than spending too much money on inorganic growth. Now, as you mentioned that there are people who are competing with us and they may take a little bit of our size, I can tell you that they are only present in top Tier-urban places where they can make a chipping impact. The way we are countering and the way Rakeshji mentioned that we are opening showrooms, we opened around 700 last year, we will open around 1000 in the current year. So we are growing much faster than them and apart from that we are again creating market development strategies on the online and the STI segment. So being a leader, yes, we cannot behave like them because their stakes are much lower. We need to develop pan across the country, so we need to follow different strategies. But I can tell you that with these strategies, our objective is to get a very strong foothold in the country, which we can do on the strength of the two core brands and keep growing. The other brands may also grow, but yes, the market is very large for accommodating them as well.

Aishwarya: Thank you so much for answering the questions, sir. Thank you.

Moderator: Thank you. The next question is from the line of Rahul Agarwal from IKIGAI Asset. Please go ahead.

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Rahul Agarwal: Hi, very good evening, sir. Sir, a few questions and few clarifications. Firstly, you gave a guidance of 15% CAGR with 13%-14% margins. I believe that is more for the mattress only, right? It doesn't include the B2B part, is that correct?

Rahul Gautam: Rahul, you will have to speak up a little louder. The voice is just not coming through.

Rahul Agarwal: Firstly, some questions and so

me clarifications. I wanted to clarify that the 15% CAGR growth on revenues and 13%-14% margins, this is only for the mattress business, it doesn't include the B2B part, is that correct?

Amit Kumar Gupta: No, that is incorrect. Mattress should grow even higher. See, this is the combined growth for the entire India business, including the B2C, D2C and B2B businesses. So B2B businesses are expected to have a little bit lower growth because we have segments like technical foam will depend on end user industry, but mattress should be higher because we combine one organic growth of the industry coupled with growth in the new markets that we have opened which is STI and maybe online segment.

Rahul Gautam: So in short, it is for the entire India business. That is right.

Rahul Agarwal: Got it. Perfect. And then now just further breaking it down into B2C and B2B, B2C essentially because the mix change and higher growth into smaller towns as well as Aaram and Tarang, obviously we are looking at a bit lower ASPs. So my belief is that increment growth on mattress, which will be higher than 15%, so let us say, for the sake of discussion at 16%-17% Y-o-Y on a CAGR basis should largely be driven by volume? Is that understanding correct?

Amit Kumar Gupta: So volume growth will be higher than value growth. You are right, because there are different segments and different price categories. That way you are right.

Rahul Agarwal: I get it. And on the B2B side, though on a full year basis, I believe the numbers are okay, but when I look at the trends, looks like the ASP's are up, but the volumes are down meaningfully in 4th Quarter. So is it more seasonal or is it any other reason why the foam the B2B volumes are down this quarter on a Y-o-Y basis?

Amit Kumar Gupta: So two reasons I can tell you, one, we took certain price increases in this quarter in mattresses specifically. And second, 3rd Quarter online was the highest which to some extent impacts ASP.

So in the 4th Quarter, that impact was a little bit lesser and that is why we could see better ASPs in 4th Quarter than the 3rd Quarter.

Rahul Agarwal: No, actually my question was on ASP's for B2B products, not for the mattress. My question is,

I will just repeat myself. On B2B, on the 4th Quarter performance, what I see is the pricing has actually gone up, the selling price on a tonnage basis has gone up while the volumes are down like almost 15%-30%, maybe for some segments. Any particular reason for that? That was the question?

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Amit Kumar Gupta: So I will tell you. So if you see there were certain price increases in B2B segments also. We should have taken these price increases in the earlier quarter. That would have impacted, but there is a combination of impact on opposite side, one, raw material prices were coming down. So because of that there was pressure on pricing and on the other hand, we took price increases to compensate for what we should have done in the previous quarter. The volumes are different and especially you will see that in Comfort Foam, but other than Comfort Foam, I think volumes and value should match up, right.

Rahul Agarwal: So is this price hike recently absorbed in the market on the B2B side? And incrementally we should see like a steady 8%-10% CAGR on volumes irrespective of what happens to the price because that anyway is out of anybody's control, is that understanding correct?

Amit Kumar Gupta: Yes, that understanding is correct.

Rahul Agarwal: Perfect. And just few clarifications, on the notes to accounts, there was adjustment on goodwill purely coming from accounted as other income for working capital adjustments, there was something written on the government grants of Rs. 46 crores and then we have this asset sales of Rs. 45 crores which is supposed to happen at about Rs. 200 crores over the next 12 months is what you will try for. So asset sale is pre

tty clear. But could you clarify on the goodwill adjustments, where is it booked as other income and as for government grants, what is that about and how will that get accounted for, please?

Amit Kumar Gupta: So I will take the government grant first. This government grant is on Jabalpur plant. We got a total incentive of around Rs. 45.7 crores. You can look at the notes to the financial statements which we released. This is to be received over a period of 7 years based on which an operating income of Rs. 7.25 crores has been booked in the current quarter. So this is an income for the Financial Year '24-25. Since we got the letter in the current quarter, we could not have booked it earlier. We booked it in this quarter.

Rahul Agarwal: So this is booked as revenue, is it? Is this booked as revenue or is it booked as other income?

Amit Kumar Gupta: Yes, it is booked. I will have to check, sorry.

Rahul Agarwal: No problem. We can move forward.

Amit Kumar Gupta: Yes, the second part you are referring to adjustment on account of acquisition. So we estimated a definite amount of money, which we should have received on account of indebtedness and working capital from the erstwhile seller. These are estimated initially when you account for based on purchase price allocation at the time when we did the acquisition; however, things had become pretty clear by the 3rd Quarter. And in the 3rd Quarter, we adjusted goodwill to reflect the real position which we were leading to in discussions and negotiations with the erstwhile suppliers. So the liability that we had created was adjusted with goodwill to the amount that we needed to pay them. We needed to pay lesser amount, so that liability was reduced.

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Rahul Agarwal: So is this a cash inflow in any manner, this Rs. 36 crores?

Amit Kumar Gupta: Rs. 35 crores is not a goodwill adjustment, so you are mixing 2 things. Goodwill adjustment is of Rs. 30 crores which we did in quarter 3. This Rs. 35 crores is the amount that we received on account of damaged and spoiled inventory which was there in the warehouses which we discovered when we cleared the warehouses. So when we cleared the warehouses, we found that there was wraps of mattresses which were lying in the bottom for years and they were not of that value. We put a claim on the erstwhile sellers and we could realize Rs. 35 crores under that. However, as per accounting, if you receive any money from sellers, you cannot account for it in raw material. You have to account it as other operating income. We could have adjusted it to consideration, but that was allowed only till 12 months. So we accounted it as other operating income which is appearing here.

Rahul Agarwal: Perfect. So this really helps. Sorry for getting into so many details and I will get back in the queue, sir. Thank you so much and all the best.

Amit Kumar Gupta: No issues, Rahul. You can also call me in case you need more clarifications, please.

Moderator: Thank you. The next question is from the line of Ritesh Shah from Investec. Please go ahead.

Ritesh Shah: Hi, sir. Thanks for the opportunity. A couple of questions. First to start with distribution, I think sir, you indicated a number, we added 400 exclusive showrooms, I think after that the number was given 700. My question was, is it possible if you can quantify the actual number for EBOs,

MBOs that we have right now? And basically, you indicated a target. I am not sure whether it was 400 or 700?

Amit Kumar Gupta: Ritesh, you are right, it was 400. Maybe I spelt it wrong as 700, so 400 is correct.

Ritesh Shah: Perfect.

Rahul Gautam: Where it has gone.

Ritesh Shah: Yes, numbers are basically where we are on absolute number from account standpoint.

Rakesh Chahar: So the absolute numbers would be like we have showroom which are a display format for retail. There we have a total of about 2500 in Sleepwell and aro

und 500 in Kurlon. So it is about 3000

showroom format. If you talk about the overall networks, that is about 11,000, both Sleepwell and Kurlon put together. So 3000 and 3000 outlets, they constitute about 70% of the business.

Ritesh Shah: Sure. Sir, would it be possible for you to break the revenues based on the different channels? So I think for D2C, Amitji did indicate that we are looking at like Rs. 175-Rs. 200 crores, but would you be comfortable to break it up between, say, EBO, MBO, D2C, small-town initiatives.

Basically, it gives us a yardstick to understand how the Company is doing?

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Rakesh Chahar: So we can indicate broad percentages what we are looking at, but getting down to the channel would be too much going down in detail.

Amit Kumar Gupta: So Ritesh, we can't exclusively discuss the numbers. You know that these are trade elements, but I understand your concern and maybe Rakeshji can give a broad percentage.

Rakesh Chahar: Ritesh, we can discuss this one-on-one. So on a macro level, there is B2C which you call it as general trade, which is about channel. So there is an initiative to get drive growth there. Then we have the e-com bit where we have space for much faster growth. So there we have taken a much higher number. STI is a category creation, so it has reached a run rate of Rs. 5 crores where we have a bigger target to grow there. So it is structured like that. As far as the B2B and Comfort Foam business is concerned, there is a growth plan around that which is both new categories, application development. So that also is in the vicinity of about 12%-15%. But the dependency is on the user industry. But our initiatives are aligned to get about 12%-15% there. So as a sum total of all these verticals, it comes to about 15%. That is what Amit indicated.

Ritesh Shah: Sure. That is helpful. Sir, my third question was on synergy. We have indicated that Rs. 120 crores is already in the numbers and Rs. 130 crores is already executed and we expect it to be reflected. So the question is, can we detail out the split of Rs. 130 crores, if already executed, what is the timeline that we are looking at? Is it on the front-end side or on the back-end side? So what is it that has been achieved? What is it that is pending timelines?

Amit Kumar Gupta: So Ritesh, I will not discuss Rs. 120 crores because that is already done and that is there. The major part of it is in operating margin, some part of it is in freight and the closure of certain units and saving of overheads on administrative costs on account of that. Now let us talk of the remaining Rs. 130 crores that is there. So the major portion of the remaining Rs. 130 crores would come out like there was one of the biggest units which are under closure currently. We started it towards the later end of March, we had to give certain notices etc., this month. So that should fully happen maybe by the end of June. So we will have some part of that impact in June and the second quarter it will be full impact for that. There are certain technical improvements or innovations that we are introducing in this which I spoke last time in the call also that is around Rs. 40-Rs. 45 odd crores of savings would come out of it. It was being used in Kurlon earlier that is being used in Europe and America also. We have ordered 2 new machines for it, which would take around 4-6 months to come, so part of it is executed. Part of it would be executed once those machines come to India and are installed. So those benefits you would be able to see the second part of it in the 3rd Quarter. But the first part of it, it should be visible to you from the 1st quarter itself. Then there are certain initiatives in freight. Freight is again also in two parts. We have already implemented a major part of savings on freight. However, there are components in freight, since we have higher volumes, how we can incr

ease the efficiency of

utilizing the space in the trucks that we are doing currently, we are using bigger size of trucks.

There is some Rs. 5-Rs. 7 crores of saving coming out of that. Additionally, we have a lot of inter unit freight. So what we were doing now, it has increased overnight with coming in of Jabalpur because it now turns ship home from Jabalpur to most of our units have been cheaper.

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We are compressing that foam and sending it to our other unit. We had a compressor which is currently compressing and so part of that saving is realized. But we have also ordered a new

compressor which would entail more savings on this particular front. In addition to this, there are similar 2-3 other savings. I cannot give you all the details of that, but yes, why I said that these have already been executed is that they have already been put into that mode. We have done what we could have done in the 4th Quarter or in the 1st quarter that we are doing and gradually over the period of the year, most of it should come in the 1st two quarters, but some part of it will be visible in the last 2 quarters.

Ritesh Shah: This is quite useful. I will just add two more and I will join back the queue. Sir, earlier we had indicated broad numbers around Aaram and Tarang. It is there surprisingly even in EBOs in the marketplace. So is this something which is by design, and I think in the last call you had indicated 7% of the volumes was Tarang. Please correct me, if I am wrong. Just wanted to know the run rate and where should we see this number, say year out or 2 years out?

Rakesh Chahar: So the number would still be around 6%-7% the year gone by. We see this number within the portfolio growing up because there the numbers are going to grow rapidly. So we see it growing to say 12%-15% in this year.

Ritesh Shah: Sure. And last question for Rahulji. Sir, how do you see the competitive intensity in the marketplace? If you could provide some color on different categories and what is our strategy on pricing and discounting in the marketplace? Thank you so much.

Rahul Gautam: Thanks, Ritesh. I think you are putting the most difficult question to me. So let us look at the online and offline as two separate things. There is a lot of activity on the online stuff and so are we participating in that because that whole segment is growing at a fast or faster pace than what the offline one is growing. On the offline side, I don't see that there is too much of activity. I see that we are doing our bit and if I can hazard a guess, we would have actually increased our market share in the last year or so. There is, of course, a bit of an unorganized sector which is there and that unorganized sector, the numbers are a little difficult, but just keeping, making a good intelligent guess, our Sleepwell and Kurlon activities have been by far the most and have also shown better results. Online, I am saying if the whole segment is growing and everyone is participating growing. There are some few newer brands which have come in. Now, the only problem is on their profitability and sustainability and all that stuff. So we can probably talk about it maybe another 3-4 months down the line as to where they stand here.

Ritesh Shah: Sure, Rahulji. Thank you so much. I will join back the queue. Thank you.

Moderator: Thank you. The next question is from the line of Nikhil from SIMPL. Please go ahead.

Nikhil: Thanks a lot. You have given quite a detailed explanation on the cost side. But continuing on that, from our presentation for India business, if I look at our fixed expenses as a percentage of revenue, we are around 34%-35% and pre-acquisition, it was in the range of 25%-28%. And you mentioned that we eventually want to leave that 13%-15% EBITDA margin. My question is, is Sheela Foam Limited

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this ambition to reach that 13%-15% completely dep

endent on our ability to grow at 12%-15%

or is there more on the cost side which can help us or bring down our total expenses down because you have mentioned Rs. 130 crores is already realized, but still we are in that single digit EBITDA margin. And maybe Rs. 120 crores another maybe realized. But I am not clear how that ambition of 13%-15% will be achieved.

Rahul Gautam: So Nikhil, there is no doubt that the sales have not kept up or the top-line has not kept up to the level that we wanted. A lot of this will be contributed by as soon as we start achieving the top-line that we want. On the other expenses part of it, I think there is a constant battle that goes on. There is a process which is in place for reducing the expenses and each one of the departments does their little bit and we see that happening on a month-to-month basis. On the other part where it can get contributed is the synergy side and synergies, Amit has already explained that where the balance 130 is to kind of come in. Once all these three things kick in, which is existing departments or functions, reduction in expenses, which is, as I said, a constant process that goes on, we may have been a little distracted by the acquisition or the focus may have been more on integration part of it, but that is now back, and that process will be on. The second is the Rs. 130 crores that Amit has already explained as to where and all the execution has taken place and that has to come in and add to that the sales going up, we would or we should be meeting the top-line targets or EBITDA targets that we are looking at.

Amit Kumar Gupta: Only one additional thing I would like to mention, the percentage that you are referring to, please appreciate that this is the first full year when Kurlon is being consolidated. Kurlon was a Rs. 850 crore Company and so its overhead percentage was higher than us. So in spite of inflation for one year, in spite of additional overhead, we have been able to maintain it at the same percent, which means same absolute value since the top-line is constant. So you would appreciate that a lot of efforts or a lot of savings would have gone into the Company to offset those higher levels. So it is not that savings are not there, savings are there in overheads also because a lot of plant closures have taken place, rate rationalizations have taken place, and they are reflected in the

number that you just cited.

Nikhil: So would it be right to say that bringing this trade rationalization the route to market changes, probably we have grown lesser than the industry in last one year?

Rahul Gautam: I think it would be about the same.

Amit Kumar Gupta: So in terms of volume, we have grown and that is what the entire industry has faced. We have grown better than industry because there were two additional segments in which we grew.

Online, we grew by 80%, STI that was a new, whatever we gained was incremental. So our growth definitely is much higher than what the industry would have grown.

Nikhil: But sir, then if I remove the e-com business growth and the other segments, the GT channel or the MBO channel would have seen a degrowth in that case. So based on the numbers of sales of Kurlon which we used to, Sleepwell which we used to report and if I do a rough back of envelope

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calculation, it seems like a lot of growth has only come from those two segments, while the MBO channel, which was our strength or the EBO channel, has not performed at all. So would it be true for industry also or I understand because bringing this integration we brought some changes and that is why we have seen some loss of share or is it the industry has also not grown in those segments?

Rakesh Chahar: So if you look at, we call it general trade like EBOs and MBOs. So there on numbers we have grown by about 13%. What has happened there is that the ASP has gone down. And therefore in valu

e it is very flattish. On the other side which is the e-com and the STI, so there we have grown substantially. And that has when added together, it also adversely impacts the ASP. So I think what really was kind of coming in the value growth is the ASP at our EBOs and MBOs, so that is something which because of the market conditions, because of the unorganized getting the same, so that is plus some product that we had reduced to compete with them in the market. It is a combination of many things, but there was some code correction that was required which has already been initiated just about a month and a half back and we have already started seeing the results on the ASP going up at our EBOs. But that is the purpose of EBO, we invest into EBO to basically premiumize and to increase the ASP which has not happened in the last year. So that is how the situation is.

Nikhil: Sure. Last question, and this is slightly longer term on your vision, see we have a very strong right to win in the India business with significant market share, good brands and there is a possibility or a runaway for growth, say for 5-10 years, even if we remove the near term ups and downs. In this whole scheme of things, when we look at Australia and Spain, they are stagnant there. When we bought them, they were at Rs. 300-Rs. 400 crores. Today also, they are at Rs. 400 crores. Similarly, Spain which was Rs. 350 is still at Rs. 350. And probably whatever price we have paid for the acquisition, we had recovered probably now. In the next 5 years, what is their role in the whole scheme of this business? Like when we have a larger opportunity and we have done our acquisition and our energies towards making these acquisitions successful, what is the role these two entities will play now?

Rahul Gautam: It is a very good question, Nikhil. Let me just say that when these were acquired, which was Australia was done in 2005 and Spain was done in 2019, each one of them added value as far as our business was concerned. There was a lot of cross learning, there were technologies, there were mattress technologies etc., which were there to come. Today, if we review that position today, I think the question that you are raising and I would agree with that, that we must raise that question as to what kind of value are these kind of. Of course, each one of them has a different role. Australia plays a different value and/or role, and Spain plays a different role. But that question must be asked. I would say that for Australia, we are probably in the right time to raise that. Spain, being part of that largest European market that is there and there is a lot of turmoil going on in Europe. I would hold on for another year or so to really look at even to raise this question that we have. But in short, you are saying in 5 years, what do you see them? Their role will diminish with time, or their contribution will diminish with time, and it will get restricted to whatever they are doing, catering for the local markets, etc. And you are quite right

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that the real potential lies here in this country and with the position that we have with the two strong brands and with all the base work that is being done, we should see the next 4-5 years of good run.

Moderator: I am sorry to interrupt, Mr. Nikhil, can you please come back in the queue for further questions?

Nikhil: Yes, thank you.

Moderator: Thank you. The next question is from the line of Varun Singh from AAA PMS. Please go ahead.

Varun Singh: Thank you very much. Am I audible?

Rahul Gautam: Yes, please. Yes, Varun.

Varun Singh: So thank you for the opportunity to ask a question. First, Rahul sir, I just wanted to inquire your mind that in the mattress segment where we are putting so much of hard work, it is heartening to say that there is a 20% volume growth, then maybe so many other consumer sector is facing slowdown. So we have be

en able to deliver such a good growth rate, maybe lower than what we would have expected, but still it is quite positive. However, given that there is only 6% value growth in this segment and so much of opportunity, excitement and energy etc., that is out there and even if I remember correctly, during last conference call, recent conference call, we were guiding for 17%-18% kind of revenue growth in the mattress segment. And so assuming that let us say, even if we are able to achieve 15% revenue growth and I break that number down 15% to 2 parts, one maybe Tarang which assuming it goes by 20%, so our core metrics segment, the other 90% of the revenue pie that must grow minimum 14% odd in value terms to achieve for the Indian mattress business, 15% revenue growth. So sir, please help us understand that how much comfortable you think this minimum 14%-15% growth excluding Tarang is a possibility. For FY '26, it may be a possibility, but for the first quarter itself, like, given that April has already gone by and 50% of May month is also done. So for us, sir do you think that delivering 15% revenue growth in mattress is quite a fair ask rate?

Rahul Gautam: So I think it is a fair ask rate and maybe really breaking it down into retails and into days and weeks and now we may not be able to do that, but it is a fair ask rate.

Varun Singh: Alright. And sir, the second question is the other 50% of the business which is B2B and also let us talk about India B2B business given that deflation explains, the maximum part of value growth decline, what would explain this business will be growing by minimum 10% in FY '26 starting from Q1 itself. And how do you look at B2B, which is again a larger part of our business in the deflationary situation given raw material is likely to stay deflationary? That is my second question.

Rahul Gautam: So on the B2B side, our growth rates are quite dependent on the industries that we cater to, whether it is the auto industry or the shoe industry, helmet industry, toys industry etc., but some newer applications we forge and we newer industries get created, for example, we are doing Sheela Foam Limited

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something for the aviation industry or the toys industry, which is suddenly picking up as far as India is concerned. So a lot of foam would go into it. But by and large in the near future, you would see that the growth of the product or the growth will be completely dependent on the growth of the industry, the user industry. And like you said that this is deflationary, the raw materials and in these B2B businesses, the selling prices are always based on the raw materials plus margin. So that is why that the top-line may appear a little subdued or may appear subdued. But the industries that we cater to, they are quite robust, you know that whether it is the auto industry or the shoe industry or they go through little ups and downs, but otherwise they are here to stay and they are here for their products to be consumed here.

Varun Singh: Understood. Sir and just one last question, if I may on our EBITDA margin guidance, I remember correctly during last call we like 10% was the expectation from the 4th Quarter. But unfortunately because of the subdued demand situation and deflationary environment, etc., we could actually achieve just 8% odd compared to 10%, so for FY '26 and again starting from Q1 FY '26 itself, how much confidence do you think 10% EBITDA margin in the degree of conservatism you would think, sir?

Rahul Gautam: So that may be tough to give exactly what is the confidence level or what, but we stay absolutely positive in that direction. That is all I can say. Confidence or any kind of guesswork, not guesswork, but any kind of numbers, it may be a little awkward at this time, but otherwise we remain positive for that.

Varun Singh: That is all from my side. Wish you all the best. Thank you very much.

Moderator: Thank

you. The next question is from the line of Jaineel Jhaveri from JNJ Holdings. Please go ahead.

Jaineel Jhaveri: Hi. Thank you for taking my question. Sir, my first question was regarding the CEO. He was a Professional CEO that had been brought into the Company, and he stayed for almost 2 years I think, 1-1/2 or 2 years. So I just wanted to know and now I think the management has moved back to a family person. So I just wanted to know that has there been a shift in the thought process or are we going to look for a Professional CEO again? Anything regarding that?

Rahul Gautam: So we are not in the right time or right position to answer that question, but all I can say is that when the CEO was hired, we had many things which began to happen one after the other and the CEO was also hired with a certain commitment to him. The acquisition happened, the

integration happened and all the changes in the market that began to happen. So that was the reason that we kind of disengaged with each other. As far as reverting back to an older gentleman or to somebody who has been there in the Company, it is no change of any business policies or it is no change of doing business, but it is just to stabilize it. And through this entire call, we have been talking about what kind of instability and acquisition like this brings about, so at this point of time, we are just saying that we want to stabilize it, get it to moving in the direction and at a rate at which we want. As far as the CEO part is concerned, that was always with future in

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mind and I hope that you will appreciate that if and when we start even thinking about it, it does take a couple of months to find, settle somebody, and then there is settling in time, and we don't want any kind of a disruption at the moment to happen. We want things to stabilize and then we will move on. In any case, as I said, CEO was more with the future in mind.

Jaineel Jhaveri: Right. No, I just wanted to understand your thought process and it was helpful.

Rahul Gautam: No, sure, I fully appreciate that these are issues which would keep going on in the mind, so it is good that you have faced it.

Jaineel Jhaveri: Right and one other thing. And this may be just some thought that I had was in terms of even the kind of questions that other participants have asked and that I have been following the Company for some time now, is there any thought process on like restructuring the Company or like maybe demerged the mattress business? Why I asked this is because a lot of the value in the share price is going or gone because of things that maybe not even core to the Company, maybe something like the Staqa part of the business or even Europe and Australia. So is there any thought possible? And then you have this one beautiful part of the business which all have grown even including the Kurlon acquisition. So is there any thought process on maybe demerging that out?

Rahul Gautam: It is a brilliant question and let me just say that there are many people who would think and probably in other countries it does happen that the mattress business and the other foam business are fundamentally different businesses, but the way that things have grown in India, it is from the foam business that the mattress business evolved and grew. It is also coincidental that the shops or the areas where it was peddled or it was sold to the customers or the consumers were also same and similar. Therefore, would someday the two businesses be different? Probably yes, but that someday is quite far away. But I understand and appreciate that there is a fundamental difference in the nature that the way the two products sell and except that they are in the same place and the raw material parts of that are. The other things that you said about Europe, I have already answered the question on Europe and Australia. They had a role to fulfill. There is so

me

which has happened and some we will have to see how it will kind of revolve. But as time goes by, the Company is very clear on two things. Number one, the priority is India business, number two, the priority within the India business is the mattress business. Therefore, if you will look a few years down the line or even a few quarters down the line, you would find that percentage of mattresses or branded mattresses in the India business will keep on increasing. The percentage of India business in the entire business of Sheela will keep on increasing. So that direction will happen. Now someday, will those two businesses split or not, someday it will, but I don't know when, it may be quite some time down the line. At the moment, there are synergies in doing them together from the point of sale, from transportation perspective, from ingredients, from the infill, all this kind of thing, there is lot of synergy there, but fundamentally a little different.

Jaineel Jhaveri: Thank you. That was super helpful. Thank you so much and good luck.

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Moderator: Thank you. The next question is from the line of Rachna from SIMPL. Please go ahead.

Rachna: Am I audible?

Moderator: No, ma'am, your voice is coming very low.

Rachna: Hello.

Moderator: Yes, please go ahead.

Rachna: Sir, during some recent channel checks, we saw that Sleepwell products were not present in Kurlon's EBOs and MBOs and vice versa. Now these stages are concerned, especially since now we are talking about opening a new showroom. Given that existing showrooms are still underperforming to generate revenue, it is a bit difficult to believe that the showroom expansion can drive meaningful growth in future. In this context, I just wanted to understand what concrete steps we are taking to improve visibility and performance within the existing retail footprint before investing in showroom openings.

Rahul Gautam: Tushaar, are you there?

Tushaar Gautam: Yes, I am here.

Rahul Gautam: So could you take that question please?

Tushaar Gautam: Yes, absolutely. So, we can think of it in 2 or 3 areas, one is Sleepwell started with a large set of EBOs, and there the primary role is from a growth perspective is to get same store growth, right. So there are set of initiatives that we need to take there. The expansion that Rakeshji talked about is primarily going to be led by Kurlon's EBOs where Kurlon had a very weak EBO network, whether in South, West, East, North, especially in the North. So that is the second pillar of growth. Same store growth stays an important parameter for all of us to drive, various initiatives there and we have had decent success in the last year, year and a half on same store growth. As far as the Sleepwell EBO network is concerned, expansion will always get you additional growth, like I said from Kurlon which is geographical expansion, but also both from Sleepwell and Kurlon in new areas and new markets, new housing developments as cities are expanding and there are micro markets getting developed. So that kind of expansion will always get you growth. A same store will, in our experience, when you convert an MBO or a new store or you build a new store, you get about 2-3 years of very good growth and then it becomes a bit incremental in the sense that footfall start to get saturated and all of those things start to happen. The big lever there, which we are exploring and I am not committing anything on that at the moment is with the Furlenco acquisition, is there a role for Furlenco to play in our existing EBOs to drive footfalls. So those are the 3 or 4 broad areas where how we see the EBO network growing across both brands and of course leveraging furniture as a category with the Furlenco brand to see if we can scale that up. Does that answer your question?

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Rachna: Yes, one more question I need you to add.

Can you talk about the economics of Tarang and Aaram brand separately since we always mentioned that these brands are a volume driven business? And also what capacity utilization would it start to breakeven and eventually how does it add up to an ambition of reaching 14%-15% of EBITDA level?

Tushaar Gautam: So they are not, Tarang and Aaram at a percentage margin level are exactly the same as the current business. There is no difference at all. Of course, the absolute margins are lower because the price points are lower, but as the percentage, they are not lower at all. Capacity, like we have always explained, in our business capacity has an extremely limited role to play. Capacity utilization has got very small implications on overall margins. Having said that the primary capacity that was put in for Tarang, Aaram and some other products was in Jabalpur which was a very new technology, the VPF technology that is something that has scaled up to about 50%-60% of current capacity already. And very quickly we will get to 70%-80%.

Rachna: Hello. I have one more question if I can add in. Now, we had, this is on the e-commerce business, we have the advantage of diversified warehouses, manufacturing facilities, well known brands and a large product basket, but still on e-commerce, we found that new age players could make a dent. So what could have been done differently and what is our approach now since both Kurlon and Sleepwell have good brand equity at consumer level, so logically do we see our e-com business growing stronger over the years?

Tushaar Gautam: Yes, ma'am. E-com will grow stronger for sure. I think in hindsight what could have been done differently is to not allow other people to grow so much before you started to take the right actions. We did that about a year, year and a half ago. Last 12 months, Amitji, correct me if I am wrong, we have had close to 100% growth.

Amit Kumar Gupta: Yes, you are right.

Tushaar Gautam: Targets and ambition currently is to continue, maybe not 100%, but 60%, 70%, 80% of growth level targets for those brands put together on the e-com platform as well as brand.com. The only other thing I would say there is, for the last 3-4 months Sheela Foam Mattress Brands, at least on one of the platforms, have been #1 and we expect to continue that journey and also expand that on the other platform. On platforms, we will very quickly get to either #1 or #2. Brand.com, there is still some work to be done and that is the work we are putting in now for the next 12-18 months.

Moderator: Thank you, sir. Ladies and gentlemen, due to time constraints, this was the last question for today's conference call. I now hand the conference over to Mr. Ritesh Shah for closing comments.

Ritesh Shah: Hi, sir. I thought I would take the last question. So can I take one last question if it is okay, sir. Otherwise we will close the call.

Rahul Gautam: Go ahead, Ritesh.

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Ritesh Shah: Yes, well, just two questions. One is for Tushaar. How should we look at the future of Furlenco incremental equity will we look to buy into it basically and the funding part of it, that is one? And the second question, 3 parts for Amitji, CAPEX number for the next fiscal and it would like to qualify A&P as a percentage of sales and discounts and rebates as a percentage of sales that we had for this year and if there is any broad guideline on those numbers for next year, that would be great? Thank you so much.

Tushaar Gautam: Ritesh. I would only say as far as Furlenco is concerned, I can comment a little more on the opportunity. As far as the investment and financials and all of that, Amitji is the right person to speak about that. So I leave that to him. But like I said in the previous question, I think we have done a few pilots, good results, which is can we leverage the current Sheela Foam EBO network to expand their footprint into

Furlenco offline and therefore get far more footfalls, both for the mattress business as well as for Furlenco as a brand. I think those green shoots are there for sure. We need to put all of that together in the next 2 or 3 months and see how we can scale that up from our business perspective. Investment into Furlenco, further investment and the dynamics, I will leave Amitji to comment.

Amit Kumar Gupta: Sure. Thank you so much, Tushaar. Ritesh, on the CAPEX front, this year, we are targeting including everything we should not exceed Rs. 75 crores of CAPEX in India and overseas should be very notional because their CAPEX cycle is over. What was the second question that you asked about percentages, I could not gather that fully?

Ritesh Shah: A&P as a percentage of sales and discounts and rebates as a percentage of sales?

Amit Kumar Gupta: So I would say overall this should be, say, maybe a percentage over of what we have spent last year, but that will mostly come out from the incremental sales that we would be doing.

Ritesh Shah: Sure. Thank you so much, Amitji. Rahulji, I would request you for closing remarks. Thank you so much.

Rahul Gautam: Thank you, Ritesh. Thank you very much for conducting a great conference. It gives a good feeling for all of us here and thank you all who are participating in this earnings concall. I hope that me, Tushaar, Rakesh, Amit, we have been able to answer your questions satisfactorily. If you have any further questions or would like to know more about the Company, please reach out to our Investment Relationship Managers that is Valorem Advisors or to anyone of us. And like always, I would say that it has been a great learning exercise for us. So thank you very much and goodnight and Jai Hind.

Rahul Gautam: Thank you.

Amit Kumar Gupta: Thank you.

Moderator: Thank you. On behalf of Investec Capital Services India Private Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines. Thank you.

Call: Aug 2025

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August 08 , 202 5

To,

The BSE Limited The National Stock Exchange India Limited

Phiroze Jeejeebhoy Towers Exchange Plaza, Bandra Kurla Complex

Dalal Street, Mumbai -400001 Bandra (E), Mumbai -400051

Scrip code: 540203 NSE Symbol: SFL

Subject: Transcript of Investors' Conference Call for Quarter ended June 30 , 202 5
Financial Results.

Dear Sir/Madam,

Please find below the transcript of Investors' conference call organized on August 06 , 2025 post declaration of financial results for the quarter ended on June 30 , 202 5 for your information and records.

Thanking You,

Yours truly,

For Sheela Foam Limited

(Md. Iquebal Ahmad)

Company Secretary & Compliance Officer

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"Sheela Foam Limited Q1 FY 2026 Earnings
Conference Call"
August 06, 2025

MANAGEMENT : MR. RAHUL GAUTAM – EXECUTIVE CHAIRMAN ,
SHEELA FOAM LIMITED
MR. TUSHAAR GAUTAM – MANAGING DIRECTOR ,
SHEELA FOAM LIMITED

MR. RAKESH CHAHAR – DEPUTY MANAGING
DIRECTOR , SHEELA FOAM LIMITED
MR. AMIT KUMAR GUPTA – GROUP CHIEF FINANCIAL
OFFICER , SHEELA FOAM LIMITED
MODERATOR : MS. DEEPA KUMARI – ARIHANT CAPITAL MARKETS
LIMITED

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Moderator: Ladies and gentlemen, good day and welcome to the Sheela Foam Limited Q1 FY '26 Earnings Conference Call, hosted by Arihant Capital Markets Limited.

As a reminder, all participants' lines will be in the listen -only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touch - tone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Deepa Kumari. Thank you and over to you, ma'am.

Deepa Kumari: Thank you. Hello, and good afternoon to everyone. On behalf of Arihant Capital Markets Limited, I thank you all for joining the Q1 FY '26 Earnings Conference Call of Sheela Foam Limited.

Today, from the management, we have Executive Chairman – Mr. Rahul Gautam, Managing Director – Mr. Tushar Gautam, Deputy Managing Director – Mr. Rakesh Chahar, Group CFO – Mr. Amit Kumar Gupta.

So, without any further delay, I would like to hand over the call to Rahul sir for their opening remarks. Thank you and over to you, sir.

Rahul Gautam: Thank you, Deepa. And thank you, Arihant, for hosting this call. Good afternoon, ladies and gentlemen. As is our practice, we begin with our vision statement, so I am going to start with the recitation of that.

Our Vision:

We will continue to be recognized as a leading organization in quality comfort products while practicing values of integrity, reliability, proactivity, and transparency, to do business with a smile, for customer delight, and a commitment to society. Thank you very much.

At the outset, let me thank you all for attending this conference call to discuss our Operational and Financial Results for Q1 FY '26. I do hope you have gone through our Results and the earnings presentations, which have been uploaded by the Exchanges.

Q1 FY '26 saw a robust growth across all the relevant parameters.

Let me begin by the operations:

Our mattress volumes in Q1 FY '26 grew by 10% year -on-year. While Sleepwell registered a growth of 22%, Kurlon registered a growth of 6%. This should have been more. It is an accounting issue based on the integration process that we have been going through. This growth was possible due to steps initiated for integration of Kurlon. Both Kurlon and Sleepwell supported each other in their respective strongholds. There was renewed focus on all the segments and support given by our channel partners.

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Let me give you some updates on our business and the initiatives taken, which will pave the way for deeper penetration across Indian markets, resulting in a sustained growth:

1. The B2C business – Kurlon has a strong brand recall among the consumers. And the strategy is to harness this by deeper penetration into northern and western markets, apart from increasing presence in its existing strong areas, which are both south and east. To further capitalize on the brand strength of Kurlon and Sleepwell, we intend to open about 1,000 new showrooms in the current fiscal year. And let me share with you that in Q1 FY '26, we have already signed up for 392 new showrooms, out of which

234 are already operationalized. Majority of these showrooms were Kurlon in north and west part of India. With this, today, we have a strong network of almost 6,000 exclusive brand outlets and more than 20,000 touchpoints.

2. Distributors and dealers are our preferred partners in distribution. Distributors and dealers help in developing strong bonding and enable us to create feedback on customer preferences and expectations. This helps our research/production and marketing teams to customize and develop and position products as per customer preference

es. We will continue to focus on customer delight as a part of this continuous engagement. In Q1 FY '26, we organized a distributors' meet in Delhi and facilitated 33 dealer meets at 11 different locations across India. The interactions enabled channel partners to gain clarity on various benefits and the incentives they would derive out of the various schemes. This helps in further strengthening our channel relationships.

Coming to new products:

To address the rising consumer demand in the sub -Rs. 10,000 category, whose market is estimated at around Rs. 12,500 crores, we have launched new mattress models for both Sleepwell and Kurlon. Our new products have been well received by the consumers and are in the process of being established.

Tarang and Aaram mattresses:

For our small -town initiatives, both Sleepwell Tarang and Kurlon Aaram are being aggressively marketed and now have presence across 7,000 plus dealers in 4,500 towns. This segment is showing positive results as demonstrated by a volume growth of around 60% year -on-year, thereby achieving an annual run rate of Rs. 80 crores per annum. We are confident of achieving revenues of Rs. 100 crores plus from this value -driven initiative in the current fiscal year.

E-commerce business:

E-commerce continues to be another strong growth -oriented value driver segment. It registered a value growth of 66% year -on-year on marketplaces and on our own websites. This segment generated a revenue of Rs. 200 crores in FY '25 and we expect 50% value growth through this channel in FY '26.

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We also have some operations in Dubai and I want to take that up. With a lot of Indian diaspora in Dubai, both Sleepwell and Kurlon brand enjoy strong salience in the region, which has encouraged us to establish a strong presence in the Middle East in a cost-effective manner. What we started as a small franchise outlet is now growing faster. We sell our brand mattresses through online and franchise networks, enabling us to have a strong foothold. Today, we have six exclusive brand outlets and seven multi -brand outlets.

B2B business:

This includes the three categories under which we sell foam, furniture cushioning, technical applications, and comfort foam. In Q1 FY '26, we have seen high single -digit growth in terms of volume in these segments. Value growth conversions were little subdued, primarily because of reduction in raw material prices. Deeper penetration continues in comfort foam with onboard of new dealers and distributors in unrepresented areas. Due to continuous focus on developing newer products, the company's dominant position continues in technical foam applications and industries like automotives, footwear, aviation, etc.

Supply chain efficiencies:

Because of various cost optimization initiatives like network redesign, truck upsizing, better fill rates, and geographical realignment of units and distribution points, we are able to improve our logistic costs despite inflationary pressures on account of increase in tolls, insurance premiums, fuel, CNG costs, etc. Post-Kurlon, on acquisition, we could reduce logistics costs by more than a% of sales due to these and other initiatives.

Let me now go to the Kurlon integration process:

We had undertaken a huge exercise post -Kurlon acquisition to integrate the company with our

existing operations. While it has taken around 18 months, the results have been very satisfying:

1. Optimized the channel network, which is now a combination of both exclusive brand outlets and multi-brand outlets, retaining the strengths of each channel type wherever they were existing. This further enhanced the network of each brand across territories of the

other, relying on existing relationships. Example, expansion of Kurlon in the North and West, relying on our existing EBO relationships that Sleepwell enjoyed.

2. Optimizing the operating facilities of both the companies, resulting in reduction of total number of facilities from 21 to 12.

3. Efficiencies in purchase of input materials. The combined volumes helped us to become a more dominant purchaser, leading to lower purchase prices. Also, with enhanced volumes, it became imperative to experiment and innovate with new ideas of cost reduction, which have led to huge cost benefits.

4. Improvement in logistics costs, as mentioned above.

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5. Improvement in overhead costs, as the entire business of the company is managed by one harmonized team instead of two separate ones. The benefits of the same are now reflected in our results, both at gross margin levels and at the EBITDA margin levels.

Now I turn to Furlenco, that is a company that we have invested in and is doing well. Furlenco has shown tremendous growth. More than 40,000 new customers got onboarded, resulting in a 60% increase in subscriber base. Furlenco now operates in 29 cities across India. Another key milestone is that Furlenco registered Rs. 4 crores as PAT achieved in Q1 of this year, which is more than the full-year profitability achieved in FY '25. This is mainly due to the operating leverage the company is enjoying with greater volumes. The company is on its growth trajectory. To further capitalize on consumer demand, Furlenco will raise around Rs. 100 crores to Rs. 125 crores of equity, which would fuel the expansion and would lead the road to levels of Rs. 500 crores to Rs. 550 crores of revenue by FY '27.

To conclude:

I would also like to highlight the noble work of ESG that we have been doing. Out of the 17 Sustainable Development Goals which the United Nations has declared, we have adopted four goals as part of our next five-year strategy. These goals are; number one, good health and well-being; number two, gender equality; number three, affordable and clean energy; and four, responsible production and consumption.

For us, protecting the environment, uplifting the social status of the community around us, and streamlining our corporate practices will continue to be focus areas in the future. I am sure a strong operational and financial performance combined with our commitment to adopt and implement a robust ESG framework will go a long time in creating immense value to all the shareholders. All the above have now set the stage for a next level of growth of Sheela Foam, which has already started showing results in the Q1 FY '26 that we have just presented.

Now, Mr. Amit Gupta – our Group CFO, will take us through the results which have been posted. Thank you. Over to Amit.

Amit Kumar Gupta: Thank you, sir. Thank you, sir, for updating on our business and the way forward. First of all, the financials.

Coming to Q1 FY '26 Results, the key highlights are as follows:

India business constituting of Sleepwell, Kurlon and Staqa reported revenues of Rs. 644 crores against Rs. 612 crores in the corresponding quarter last year, which is a growth of 5% Y-o-Y. Core EBITDA stood at Rs. 75 crores against Rs. 51 crores in Q1 FY '25, thereby registering a growth of 47%.

Core EBITDA margins also stood at 11.7% against 8.4% for the corresponding quarter last year. The growth is on the back of 10% volume growth and both of our premium brands continue to

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deepen their footprint among consumers. Here, core EBITDA does not include the forex loss of

10 crores on the hedge we had taken, which adversely affected our performance this year.

On a consolidated basis, for the 1st Quarter, we reported revenues

of Rs. 821 crores against Rs.

810 crores for the corresponding quarter last year, a growth of 1% Y-o-Y. Core EBITDA for the quarter stood at Rs. 85 crores against Rs. 60 crores for the corresponding quarter, a growth of 43%. EBITDA margins were reported at 10.4% against 7.4%. Net profit stood at Rs. 7 crores. This difference is primarily on account of claims of Rs. 31 crores which were received in Q1 FY '25 last year.

The various cost initiatives taken by us for integrating Kurlon into our business and increasing efficiencies of both Sleepwell and Kurlon combined a yielding positive results, which are reflected in our gross margins, which now stand at 43.5%, which is almost a 400 to 400 basis point above the pre-acquisition level.

Kurlon integration, which started 18 months ago, has finally culminated in higher core EBITDA and EBITDA margins. To substantiate, in FY '23, Kurlon standalone EBITDA margin was at 6.7%, whereas Sheela Foam's standalone was at 9.2%. The combined business costs now are improved to 11.1% for these two entities. This was possible because of the various initiatives we had taken, as already enumerated by Rahu I ji. This has resulted into a savings of Rs.190 crores and improvement of core EBITDA margins. We are hopeful that the balanced savings of Rs.60 crores would also be realized by the end of FY '26. The further improvement in profitability will primarily come from the growth of top lines and we are pretty hopeful on this with the festive season coming in.

Raw material prices dropped from Rs.196 per kg for TDI between Q4 and Q1, and polyol prices from Rs.117 to Rs.110 per kg for the similar period. This has resulted into lower top line growth of our foam segment as these prices are directly passed on to them. If we compare them on an equal input raw material price, we would see that even the top line for these categories have increased by approximately 8% to 9%.

To conclude, we would continue to focus on cost optimization for further improving our profit margins. With this, I will request the moderator to open the floor for question -and-answers.

Moderator: Thank you very much. We will now begin the question -and-answer session. We take the first question from the line of Rachna from SIMPL. Please proceed.

Rachna: I wanted to know about our mattress realization, because they have declined on a Y-o-Y and Q-on-Q basis despite us taking price hikes of around 3% to 5% around the early 4th Quarter '25 across both brands. So what led to this decline in mattress realizations?

Rahul Gautam: Thank you. Thank you, Rachna. Amit, would you take that question?

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Amit Kumar Gupta: Sure. So, if you see, we are growing faster on the online segment and the small -town initiative segment, the price levels of which are lower than the price levels of the mainline segment on our stores what we sell. I can tell you that we have not reduced prices of any of our categories, it is only the average selling price which is coming out is lower is because of these two reasons.

Rachna: Okay. And I wanted to know more about the Tarang and Aaram brand, how they have contributed to the mattress revenue overall in Q1 FY '26? And from a long -term perspective, where do you see the share of these Tarang and Aaram brands settling at?

Amit Kumar Gupta: So, in 1st Quarter, we have achieved a run rate of Rs.80 crores per annum. So, around Rs.17 crores to Rs.18 crores is what we sold for in the 1st Quarter for Tarang and Aaram . Going forward, this year we have a target that we should close this year at Rs.100 crores, the run rate of course by the end of the year will be higher. If you ask me what is the potential of this with the quantum of network and the rural areas in India, which

is around 65% of the market being

contributed by traditional mattresses, I can say that the potential is infinite. We will continue to penetrate into these areas and grow on a year -on-year basis.

Rachna: Okay. And following up to that, if the market is large for Tarang and Aaram brands, do you think this might dent profitability in the long -term?

Amit Kumar Gupta: On Tarang and Aaram?

Rachna: No, overall.

Amit Kumar Gupta: Yes, I am coming to that. So, I can tell you that this will not impact profitability. Tarang and Aaram currently enjoys the same or better level of EBITDA margins than our other products on an average combined. Yes, it will be lower than the mainline segment, but if you consider it as overall for Sheela Foam, it is well into the profitability range. So, we do not foresee any reduction in profitability. In addition, Tarang and Aaram are made at our Jabalpur facility which has a variable pressure foaming machine, which makes foam at 10% to 15% lower cost. So, this is sufficiently compensating for any depletion in profit because we sell in a low -price market.

Rachna: I have one more question --

Moderator: Sorry to interrupt, Mr. Rachna. Your voice is breaking, ma'am, actually.

Rachna: Thank you so much. Sorry for the inconvenience. My second question was, our long -term ambition was to capitalize on the Indian market due to the industry tailwinds and thus capitalize on this opportunity. Now, given that, I wanted to know more on the export side, as we are expanding in Dubai, are there any plans to scale down operations in Australia and Spain and shift focus towards B2C business in exports as well?

Rahul Gautam: Rakesh, please.

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Rakesh Chahar: So, as far as Dubai and the GCC countries, we have made a beginning. The initial response is very encouraging. And we are piloting a few formats of retail. Once we get our learning from there, then there is a plan to scale up in the entire GCC. So, maybe a couple of months down the line, we should have a better visibility of the potential that we will be able to realize in these countries.

Rachna: And with respect to Australia and Spain, if you could highlight, are there any plans to scale down operations?

Rahul Gautam: So, listen, our focus for the last couple of years has been on the B2C business and the India business. And the potential also lies here. So, there is no plans to scale down the businesses there, but just as a natural outcome of our focus, the percentage contribution of Spain and Australia to our overall kitty is a reducing number. Australia is a mature market, we all know that. The growths are limited, however profitable, but limited. Spain continues to grow, but the growth rates will always be similar or at best a little lower than that of India. And India being a large base and a large size, it will continue to grow much faster. So, there is no intention, but at the same time, it will automatically emerge like that.

Rachna: One last question. In our annual report, we have talked about the rural focus model. If you could please explain how is the distribution rooted within this model or what are the levels of distribution? And how this model differs from dealer -led distribution in a common market?

Rahul Gautam: Rachna, we again had a period of voice which is not coming through clearly, so you will have to repeat that question.

Rachna: Yes. In our annual report, we had talked about the rural focus model. If you could explain how the distribution is rooted within this model or what are the levels or hierarchy in this distribution? And how this model differs from dealer -led distribution in urban markets? And can this model generate some incremental margins? Also, is this a part of a small

-town initiative within which

Tarang and Aaram mattress products are more focused or some of our legacy S KUs are also distributed through this model?

Tushaar Gautam: So, for the rural distribution, we are trying to develop a new distribution with the distributor. And the aim there is for deeper penetration and also to cater to the smaller outlets, which is furniture, furnishing and loom outlets. So, this same model we will also be using for the urban where there are small, small outlets which sell furniture. Along with furniture, they sell mattress. So, this distribution is independent of the mainline distribution which is used for Sleepwell and Kurlon network.

Rachna: Okay. So, this is more like a direct distribution if I understand it correctly?

Tushaar Gautam: So, it is through the distributor, but independent distributor which is away from the mainline distributor. So, this is another line of distribution that we are creating to avoid any kind of cannibalization.

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Rachna: Okay. Understood. Thank you and sorry for the inconvenience.

Rahul Gautam: No, thank you. Thank you very much.

Moderator: Thank you. The next question is from the line of Ritesh Shah from Investec. Please proceed.

Ritesh Shah: Hi, sir. Thanks for the opportunity, sir. I have five questions. I will try my luck. Sir, first is, sir, competition is raising money, multiple players. How are we looking to prioritize or balance growth versus profitability? Specifically, you did indicate about the e-com revenues and the target growth for next year as well, if you could please help us understand this better. That is the first question.

Rahul Gautam: If I get your question right, you are saying that how do you balance growth and profitability?

Ritesh Shah: Yes, sir.

Rahul Gautam: I mean, that is what we all do, which is profitable growth. That is what we try to do. Competition is raising money, you said, and I presume that you are talking because the competition is doing a lot of activities, etc., and we must compliment them, whatever they are doing is to grow the market. My belief is that at the moment there is enough market which is available and we can, in spite of whatever activities that are happening, I think that is doing well for this segment for us to continue with spreading our distribution with our retail showrooms and the growth will happen with profitability. At the moment, we do not need to do anything bizarre out of it. I mean, just standard business practices will get you that.

Ritesh Shah: Okay. Sir, let me put it the other way. E-com, sir, you indicated we did around Rs. 200 crores last year and you indicated a 50% growth. Sir, can this number be higher? Or is it like given the margin profile probably is lower that is where we are comfortable, say, at 50%?

Rahul Gautam: No, I do not think that we are satisfied. But whether we are comfortable or not, I presume we are. A growth rate of anything upwards of 50% also requires many other things to be fulfilled. There is the logistic side, there is the sizes part of it, there is satisfaction of the systems that both the marketplaces are wanting to do and everything to sort of stick before we can sort of say that a sale has been consummated or closed. Therefore, I think if we try and go beyond 50% or 60%, it will not be a sustainable growth. It will go through the hiccups. It will go through the little ups and downs, because one thing or the other would start becoming a constraint. You need 25,000 things for a sale to happen.

So, I think that this kind, we are able to sustain this and we keep growing. It is also in quick time, in about two to three years' time that you would have a large number that would be there. And you are growing hi

gher than the market size than the market is growing. I mean, the markets would be growing at 25% or so. And if you are growing at 50%, I would say, are we satisfied?

No. But comfortable, yes.

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Ritesh Shah: Sir, that is helpful. Sir, my second question is probably for Rakesh ji. Sir, we have indicated, we look to open around 1,000 new showrooms. I could not comprehend the answer which you gave to the prior question. So, why is this number so high of 1,000? And if one had to look at in context of the existing network that we have, which is very, very wide, if one had to look at the effectiveness of the current network versus what we intend to do with 1,000 new showrooms, how do you put these two pieces together?

Rakesh Chahar: So, Ritesh, this number has come out from a study of the micro -markets and the gaps they are in. The number is looking higher because from this year onwards we have taken Kurlon expansion as a main driver to grow sales of Kurlon in both North and West where it is relatively

weak. So, in the previous year, it was only Sleepwell and there was an organic expansion that used to happen. Once or twice it used to be higher, but this is being driven more from a Kurlon side.

And even for Sleepwell, I mean, as the markets also keep evolving, we have done this whole exercise once again. And there is also a lot of opportunity because of the two brands coming together where the Sleepwell outlet is ready to open a Kurlon outlet. That is one phenomenon that we are seeing. Second is the Kurlon MBO is willing to now become an exclusive outlet, because this is the first year of this drive and therefore this number is looking high to you. I mean, on a normal basis, my assumption is that it will be more, say, about 400 outlets or so. But this year there is going to be a jump in it.

Ritesh Shah: So, is this a net number that we should look at? Because you said MBO to EBOs, so is this a net number that we are looking at or the net number will be lower?

Rakesh Chahar: Net number will be lower because many MBOs will get converted to the showrooms, and which has a high throughput in an MBO.

Ritesh Shah: Fair. Sir, last I will just squeeze one question. You did indicate that we are launching Rs. 10,000 price mattress for both Sleepwell as well as Kurlon. Now, is this a cross channel that we intend to do, e-com as well as the traditional network? And basically, how would we assure that, basically when it comes to the shelf placement, we have found Aaram and Tarang even in Tier 1 cities, so how should we comprehend that the product or the SKU placement is like it does not kill the different market segments?

Rakesh Chahar: So, how we are treating this is that, as far as EBO is concerned, for products less than Rs. 10,000, in the urban market we just focus on the placement and then we do not promote it at the EBO, because there the play is to upsell to increase the ASP. But there are customers who do enter the outlet, and instead of going out because they do not have a product of their pocket size, so the EBO can offer it. The main purpose is to drive sales through the MBOs for these sub-Rs. 10,000 products. That is the intent and that is the reason we have introduced this.

As far as Tarang Aaram is concerned, I mean, the major focus there is again on smaller MBOs, which are basically furniture outlets. I mean, you would have also noticed in micro -markets, Sheela Foam Limited
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there are very small, small furniture outlets. So, that is our focus. EBO will also get Tarang and Aaram but that is again for, let us say, you need an extra bed for the house or you need for your domestic health. The purpose of that is that. So, that is why

we are promoting more threefold in an EBO network so that there is minimum cannibalization.

Ritesh Shah: Thank you, sir. I will join back in the queue. Thank you.

Rakesh Chahar: Thank you, Ritesh.

Moderator: Thank you. The next question is from the line of Shrey Gandhi from Abchlor Investment Private Limited. Please proceed.

Shrey Gandhi: Hello. So, my question was regarding the Kurlon integration, it is positioned like a major synergy benefits, right? So, we have almost received Rs. 120 crores on the realization, and Rs. 130 crores are expected. So, can you just give a breakdown like of the synergy timelines? And as well as, out of that Rs. 130 crores what will be the breakdown through the EBITDA level like in H1 and H2 for FY '26?

Rahul Gautam: So, I think there is some noise coming as background noise. Could you just turn that down?

Shrey Gandhi: Yes, now it is clear. Yes. So, the 130 crores which we are going to receive with the Kurlon integration, can you give the breakdown of the EBITDA level, how much will be contributed to EBITDA level in H2 FY '26?

Rahul Gautam: Yes. Amit, please.

Amit Kumar Gupta: Yes. So, see, we have to see the savings and whatever is going down the line to EBITDA in two parts. First part is, are we getting this money from our existing system? So, it is not Rs. 130

crores currently. By the end of the 1st Quarter, we have achieved Rs. 190 crores run rate of the savings, right from the date Kurlon was acquired till this date, till the end of the last quarter. Some part of it is captured in gross margin and some part of it is captured in fixed cost like reduction of administrative cost, reduction of manpower cost, overhead, they are below the line. But all of them flow to the EBITDA level.

Now, just look it from the perspective when we said that we will do Rs. 250 crores cost saving with new initiatives and benefits of Kurlon integration, they should have got a benefit of around 8% to 9% to our bottom line. So, we were already at say 8%, 8.5% or say 7.5%, 8%, so this should have taken us to 16%, 17%. But that was not the intent.

The business also needed a lot of initiatives to take it to the next level, it was almost stagnant if you see two years back the line. So, we also needed to spend some money into the business, especially in terms of expansion of channel network, especially in terms of incentivizing people to get the required sales, launching of new products like in the online segment and the STI, and also strengthening of management teams across the board in the organization.

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So, even at the beginning we said that out of this saving of 8%, 8.5%, approximately 4%, that is 50% of it would flow to the bottom line and 50% would be used by the business to get to the next level. The remaining benefit to the bottom line which we said that we should be able to reach 15% in three years' time would be coming from operating leverage.

Once we grow, like this year if you see, barring the impact of raw material prices, we grew by 8% to 10%, right, in this quarter which is the same quarter last year. Our intent is to take this growth to at least 15% and run that growth in the next three years. Our fixed cost increased by around 4%, 5%, 6%, this year of course we are not allowing it to increase because of the cost of the initiative. But those 15% growth could lead some portion to the bottom line, which together these two initiatives should take us to a profit margin, EBITDA margin of say around 14%, 15% which we had committed in three years.

Shrey Gandhi: Okay. Sir, my next question would be on, in the mattress segment the volume growth has grown 10%. However, our revenue growth has been modest, around 9%. So, there was a pres

sure on

the realization of average selling price, right? So, what steps like we have taken to drive the realization and improve the revenue realization per unit?

Amit Kumar Gupta: No, so top line growth in mattress, value growth in mattress is also 9%. So, 1% difference may be because there is a higher growth rate in small town initiative and online segment, which I mentioned to a question earlier as well. But that is not material. See, it may also be because of certain product mix. In some quarter you sold higher value mattresses more, in some quarter you sold lower value mattresses more. So, 9% or 10% does not make a lot of difference.

But yes, if you look at our foam segment, which is furniture positioning, technical foam and the comfort foam segment, there the volume growth has been at around 6% to 8% whereas the value growth has been only around 2% to 3%, right? That is primarily because raw material prices have come down by around 10% to 12% in the last quarter. And in foam business, whenever there is an increase or decrease in raw material, we have to pass it on. So, the nature of that difference is different.

So, in a falling raw material price regime, the foam business top line would reduce for the same level of business. But it will be true in the reverse as well. So, when the raw material prices rise that volume growth will be lesser whereas the value growth will be higher.

Shrey Gandhi: If I can just give you one last question, sir. Like, you have around 18 plants of post-Kurlon integration, so what is the current capacity utilization at the consolidated level if you can just tell? What is the current capacity level? And how do you quantify the cost saving and operating leverage benefits to flow from this consolidation? Capacity utilization at a consolidated level.

Tushaar Gautam: Capacity utilization is not a very good metric for our business. Generally, we need to be present in each geography and have manufacturing facilities in each geography which are underutilized but their primary purpose is to service the market at the lowest possible cost and the highest serviceability. So, at the moment, post-Kurlon acquisition what we did is divided the country

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into five zones, and each zone has capabilities of making foam and mattresses for both the businesses put together. Capacity utilization in terms of, let us say, okay brownfield we might need a bit of maintenance CAPEX every year, but any fresh CAPEX we do not see anything before 2029, 2030.

Shrey Gandhi: Okay, fine sir. Thank you. Thank you so much.

Rahul Gautam: Thank you.

Moderator: Thank you. The next question is from the line of Nikhil Upadhyay from SIMPL. Please proceed.

Nikhil Upadhyay: Hi, good evening. First, I think a good recovery in the margin profile we have seen this quarter. Just for the understanding, and you have mentioned in the call also that our idea is to grow at 15% and probably keep our expenses flat. What I want to understand is that, is it that the system has the capacity to sustain 15% growth without much expenses? Or is the bandwidth at the employee level or at the expenses level created for a top line of at least Rs. 900 or 1000 crores? Is that how one should understand our P&L investments over the last four, five quarters?

Amit Kumar Gupta: So, I think I would repeat what I said in my earlier question. I said that because of the cost saving initiatives, my fixed cost will be flat for this year. It does not mean that it does not have impact of inflation. There is of course 5%, 6% impact of inflation on fixed cost every year. But this year it would amply get offset by the savings initiative. Yes, but from next year onwards, the second year and the third year, yes the

re would be an inflation of 5% to 6% anticipated currently.

However, if my top line is growing by 15%, even after absorbing the fixed cost inflation of 5% a lot of money flows to the bottom line. So, ultimately if that flows to the bottom line, it will lead to an increase in uptake in the EBITDA margin.

Nikhil Upadhyay: Okay. Secondly sir, you mentioned that at least we are not looking for CAPEX till like probably '29, '30 is the number you mentioned. But if we look at even last four quarters we are doing EBITDA of Rs. 250 crores. But there is Rs. 100 crores depreciation, Rs. 100 crores interest cost, as a result the profit which comes is only Rs. 100 crores. And probably two quarters back our idea was that we want to bring down the debt by selling like non-core assets at least by Rs. 200 crores. So where are we on that path of reducing the debt, which eventually reduces the interest cost also? So, some ground if you can cover on where are we?

Amit Kumar Gupta: Sure. So, the assets which were to be monetized were clearly identified before our earlier call wherein I had committed Rs. 200 crores. As on date, we have already sold three facilities out of them, albeit they were smaller so we have monetized around Rs. 40-odd crores from those assets. There are two bigger facilities which are yet to be monetized and we are in the process of doing it. Real estate is a very easy sell off, and of course we have no compulsion to sell it off at a very non-bargain sort of a price. So we may take a little bit of time, but yes, those assets are clearly chalked out for monetization. That was one part of your answer. Do I answer you?

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Nikhil Upadhyay: Yes. Just a continuation, so by end of '26 where should our debt be eventually? Like I understand we do not want to do distress selling, but even based on our own cash generation where should our debt levels be approaching?

Amit Kumar Gupta: So, if you see my current year business, you would find that we should be generating a PAT of somewhere between Rs. 150 crores to Rs. 200 crores from the business. That is something which will go down to reduce the debt. And if this monetization takes place, it will be another Rs. 150 crores, Rs. 40 crores has already been monetized. So we should be able to reduce our debt by around Rs. 300 crores to Rs. 350 crores just with this monetization. Now, where would the debt be? Currently if you see, I have a net debt of around Rs. 700 crores to Rs. 800 crores at a group level. If this goes down by Rs. 300 crores, Rs. 350 crores, we would be sitting somewhere around Rs. 300 crores to Rs. 400 crores on a net debt level.

Nikhil Upadhyay: Okay. And last question, you mentioned that we have made some investments in Dubai and the market is good and probably we may expand, is it we are selling under our own brand? And how is the structure of the market as of now, like what is the growth rate and how many brands are existing, some idea if you can share? And why does that market excite you?

Rakesh Chahar: So two reasons; one is, there are lot of Indian expats, that is one. Second is, those markets are

predominantly spring mattress markets and we feel that there is a case for a value added home mattress which we are very good at in India. So, we have initiated some retail formats and the initial response from the formats, both on the product and pricing, is very good. Because it is a matured market so the price points are quite high, in fact, our gross margins are much higher than what we realize in India. And this gives us the confidence of scaling the right model that we will discover in another two, three months and then start scaling the process up. And basically these are own brands, we are using Sleepwell and Kurlon

, and both these brands are registered in all seven GCC countries.

Nikhil Upadhyay: And it would be through a distributor model or we would be putting –

Moderator: Sorry to interrupt, Mr. Nikhil.

Rakesh Chahar: It will be direct through the retail.

Nikhil Upadhyay: Sure. I will come back in the queue.

Moderator: Thank you so much. We take the next question from the line of Monil Gada from Equentis. Please proceed.

Monil Gada: Hi, team. Thank you for the elaborate presentation. So, my question was, you briefly covered over Furlenco wherein you touched that we are doing a recent raise of Rs. 100 crores, Rs. 150 crores. Given Sheela Foam's existing investments over '22 to '24, will we be doing any incremental capital infusion in Furlenco? And how do we see going forward turning the Sheela Foam Limited

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company, do we want to acquire the whole Furlenco like we did in Kurlon's case, or would we be not interfering in their operations?

Rahul Gautam: So, thank you. I just want to say that, yes, the current requirement is between Rs. 100 crores and Rs. 125 crores. It is around. We may participate a little bit to ensure that we do not get diluted. But otherwise, at the moment we would let some kind of equity flow in from outside, too. We have reasonable, I would not say control, but let us say support in the management of the company, we have majority at the board level. And at the moment, there is no desire right away to acquire the company. We will let it grow, let it go on as it is at a good high growth level. And at the end of maybe FY '27 take a call as to what we want to do, whether it will go through an IPO process or it will go through an acquisition process or whatever. But I think it is a little bit early. Right now we are just focusing on the growth part of it

Monil Gada: Okay, thank you. And the last question would be, you said by FY '27 the revenue would be projected around Rs. 550 crores, any projections on FY '26 numbers for the entity? And how confident are we in Furlenco's ability to achieve those numbers, any risk we foresee in the path of growth?

Rahul Gautam: So, FY '26 our projection is Rs. 370 crores. We are well on track of that, whatever few months that have gone by. And we do not feel any big challenge towards achieving this goal, this should be on track.

Monil Gada: Okay. And last question would be, do we also supply any foam from our entity to Furlenco? And is this at ambient price or we do offer some preferential rates? And we are also helping them get a distribution channel access through our firm, so how is that affecting our cost?

Rahul Gautam: So, first on the form part of it. Yes, we do supply some foam. Their needs for form are not as great as we would think it tends to be, it is a small number but we supply the foam and the pricing is all at an arm's length, there is no issue on that. As far as access to our show rooms is concerned for selling their furniture, we just need to appreciate two things. Number one, at the moment they are a furniture rental company, they do sell some quantity absolutely. And in the furniture rental part of it there is a constant demand for cash for making assets which are needed/required for the high growth to be fulfilled. However, we are piloting a few stores where the Furlenco furniture can be sold and that is, at the moment, an independent entity, except being part of the same association we make a few things happen, and looking at how does it perform, how does it look, etc. Because some of our show rooms, our actually quite a bit of the show rooms do sell furniture. So it is at a pilot stage, but it is something which is a synergy waiting to happen.

Monil Gada: Okay, thank you. I will get back into the queue.

Rahul Gautam: Thank

you, Monil.

Moderator: Thank you. The next question is from the line of Rakesh Mehta from Goodwill Investments. Please proceed.

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Rakesh Mehta: Good afternoon, and thank you for giving me the opportunity. So, I have a question on Furlenco. So, in last call you mentioned the ARR reached Rs. 300 crores, so first, what would be the split of sale of products versus rental subscription revenue here?

Rahul Gautam: I think the rental would be 95% and 5% would be selling of the products.

Rakesh Mehta: Okay, got it. And on this rental subscription revenue, what would be the monthly AOV?

Rahul Gautam: What is AOV?

Rakesh Mehta: The average order value for rental subscription, on this 95% of the revenue the average order value per month would be around Rs. 2,500 to Rs. 3,000 I suppose?

Rahul Gautam: That is a tough one to answer, Rakesh. But offline we can find that out and share that.

Rakesh Mehta: Sure, sir. Fair enough. And also, just wanted to cross check, you mentioned the subscriber grew 40,000 in Q1, so by FY '25 it was, if I understand correctly, by FY '25 it was 1 lakh, so now the total subscriber base for rental is around 1,40,000, right? Would be understanding be correct?

Amit Kumar Gupta: No, I think some confusion, maybe we missed out something. 40,000 was during the last year. So they increased the subscription of 40,000 during the last year, which was a 60% growth over the corresponding last year. So against '23 - '24 they grew by 60%, which is 40,000 subscribers in '24 - '25. And now on '25 - '26 they anticipate to do a similar growth, so I missed writing Q1 there, but this 40,000 growth figure is for Financial Year '25.

Rakesh Mehta: Okay, sure, understood. Sure, thank you.

Moderator: Thank you so much, sir. The next question is from the line of Varun Singh from Alpha Accurate. Please proceed.

Varun Singh: Thanks for the opportunity. So firstly, congratulations on good set of EBITDA margin number. Sir, my first question is on the India mattress business where maybe the maximum amount of hard work that we are doing to grow. Sir, 9% volume growth in this quarter, I mean, do you think that this is impact of may be some consumer demand slowdown, etc.? And secondly, going forward, like in second, third, fourth quarter, how comfortable you are with may be 14% to 15% kind of revenue growth? 10% and then 14% -15% for next three quarters, I mean, what is your feel?

Tushaar Gautam : Just two comments on that. I think the volume growth numbers that are there at the moment, the only point I would make is, July was better than June, June was better than April, and July is better than June. So the level of growth is accelerating on the back of market share gain on to accounts from other brands as well as unbranded to branded. So we are not depending on demand growth and GDP growth and consumption growth and all of that, the complete strategy around that is on market share growth irrespective of what the market does. That is one. And like I said,

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as we are accelerating the growth percentage numbers both on value and volume month on month, I think exit run rate at the end of Q2, at the best end of Q3, we will be at that 15% number.

Varun Singh: Understood, sir. And secondly on the realization front, sir, I had two questions. One is, what is the primary reason for revising the rate downward by 5% which brings optically the revenue growth in this segment around 9%, because I think compared to the earlier numbers the growth would have been plus 4% odd. I read your PPT but I could not understand the account ing entry. And in that context, the Rs. 3,900 realization that we have recorded in t

his quarter, do

you think that this is a run rate which should be a fair assumption for other three quarters or we can expect a better realization for the next nine months? That is my last question.

Tushaar Gautam : Yes, so I guess your two questions. One is, why did we revise the base from last year? The only

thing that we have done is, from gross revenue to net revenue there was an IndAS discount, which earlier we used to allocate equally to all businesses. Instead of allocating equally to all businesses, we have just recalibrated that based on the sales incentives and discounts and all of that to accurately allocate to matters separately, to foam separately, to B2B separately to cushioning separately.

As you would see, there would be no change in volume numbers, there would only be revenue based that would have changed from that account. So it is just to make apple -to-apple comparison, because if this quarter we allocated our mattress differently than we did last year, we would see different revenue numbers or revenue growth numbers compared to what is accurate. So that is one.

On the ASV, so you can take base line of Q1 as the base line. And like I said, multiple actions, both on the side of volume growth as well as on the side of premiumization, whether it is whatever activities we need to do in showrooms and for the consumers for getting ASVs up in showrooms, but at the same time not losing track of penetration on Tarang, Aaram, e-com where ASVs would be a bit low.

So, it is fair to assume that you might get a few quarters where volume growth is actually higher than revenue growth, or vice -versa or very close to each other, depends. For example, Q3 is extremely high for e -com so you might get volume growth which is much higher than revenue growth in Q3. But it will come back to normal in Q4, so probably those things will keep playing.

Varun Singh: Got it. Okay, sir. Thank you very much and wish you all the best.

Moderator: Thank you. The next question is from the line of Gopi Kishan from Kumar & Associates. Please proceed.

Gopi Kishan: Good afternoon, gentlemen. As you mentioned about Furlenco earlier, the run rate for the year being Rs. 300 crores, could I get the monthly run rate latest available?

Rahul Gautam: Gopi, you will have to repeat.

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Tushaar Gautam I think Rahul ji already answered that. So current rate, I cannot connect on July numbers, but of course June numbers projected to 12 months is Rs. 350 crores run rate, and growing at whatever high-double -digits every month -on-month.

Gopi Kishan: Right. And the latest active subscriber base as of last month?

Tushaar Gautam : Active subscriber base, we will get back to you off line. I am not very sure on the numbers at the moment. Base keeps changing because you have new subscribers, then you have returns and all of that. So to get active subscriber base, we will just have to get back to you on this.

Gopi Kishan: Okay. Not an issue. Thank you.

Moderator: Thank you. The next question is from the line of Suyash Bhawe from Wealth Guardian. Please proceed.

Suyash Bhawe: So regarding our warranties that you give for our mattresses, I have a few questions. First is, what is the duration of those warranties? Second, what are covered under the warranties, as in, do we give returns, repairs, replacement, etc.? And third is, on an average, what is our warranty cost per annum for the last few years?

Tushaar Gautam : I will just quickly respond to that. It is an extremely detailed policy, I will have someone send it out to you. It is different by model, it is different by brand, it is different for many various reasons. On average, for mattress, both companies put together would not have warranty claims more

than 0.7%, 0.8%, 0.9% a year of sales.

Suyash Bhawe: Alright. So, do we have returns and replacements? Because from what I understand, handling of mattresses since it is a bulky material, there would be some logistics costs involved to it, right?

Tushaar Gautam : There is, but like I said, it is an extremely detailed process, it is been running for multiple years, I will have someone get back to you off -line on the complete policy. In terms of replacement,

yes, for the first year it is a full replacement, post that it is a pro-rated. Like I said, it is a complex policy. It will be good if you could have a read on the policy offline. And then if you have any other questions, somebody can certainly respond back on that.

Suyash Bhawe: All right, I will follow up on this offline. So I have just one more question regarding seasonality for our business and for our mattresses as a whole. Which is our peak season, and which is our most muted season?

Tushaar Gautam : So, Q2 would be the most muted. Q3, Q4 are high. Q3, of course, would be very high, primarily on account of north, east, a little bit on the west. South is fairly consistent across the year. So, it depends on the festive season. This year would be a bit earlier. So yes, we might see some benefit in Q2 as well.

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Suyash Bhawe: All right, sir, understood. Thank you. I will connect offline for the warranty -related questions. Thank you.

Moderator: Thank you. The next question is from the line of Jayesh Gandhi from Harshad H. Gandhi Securities Private Limited. Please proceed.

Jayesh Gandhi: Sir my first question is regarding Furlenco where you said that you are thinking of raising Rs. 100 crores. What kind of a valuation are we aspiring here, sir? I mean, enterprise value for the company?

Tushaar Gautam : I think we are still in the process of discovering that. As we go out, like Rahul ji said, Sheela Foam will probably put a little bit of equity in to retain its investment. But Furlenco's management is in the process of going out and looking for fresh equity. And in that process, it is still in the middle of a discovery process.

Jayesh Gandhi: Okay. And I have two bookkeeping questions. First is, the MTM loss, in which line item in the P&L do we show?

Amit Kumar Gupta: Other expenses.

Jayesh Gandhi: And sir, this quarter our other income is closer to Rs. 9 crores versus that Rs. 30 crores year-on-year and Rs. 60 crores Q -o-Q. What is this other income, by the way?

Amit Kumar Gupta: So, other income comprises of two parts. One is the income from the investment, that is the Rs. 450 crores in cash that we have, we park it in government securities, so that comes from there. And the second part contains a lot of items which may be the waste that we sell. There might be certain income not related to operations which comes like sale of assets, and pretty similar type of details.

Jayesh Gandhi: So this quarter the other income is less mainly because of the income from assets, I mean, income from investments?

Amit Kumar Gupta: Yes. We park this in a gilt fund, which if you see any gilt fund of any mutual fund, you will find that the value of the paper at the beginning of the quarter and the end of the quarter was almost the same, rather less towards the end of the quarter. This happens because at times the market perceives, expects more benefits from the monetary authorities, which gets reflected into the price of the bond. But when that does not materialize, it falls. So, by May end or early June the gilt fund sell, which of course will get normalized over the course of the year because it carries a definite coupon. But for the quarter, we did not get that income or had to incur that shortfall

du
ring this quarter.

Jayesh Gandhi: Just one more question. What would be the normalized other income? I mean, in a normal case. Should it be closer to Rs. 30 crores, Rs. 40 crores?

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Amit Kumar Gupta: No, it would not be. For a quarter, it should be somewhere between Rs. 17 crores to Rs. 20 crores. But that also depends on, because the nature of the other income, some of the part, like the gain on sale of assets, that is not which you can predict, there will be certain absolute assets which you sell off. But our general trend has been that it ranges between Rs. 5 crores to Rs. 10

crores, apart from interest. And around Rs. 7 crores, Rs. 8 crores to Rs. 10 crores would be from investment.

Jayesh Gandhi: That is it from my side, sir. Good luck for the future.

Rakesh Chahar: Thank you.

Amit Kumar Gupta: Thank you.

Moderator: Thank you. The next question is from the line of Aishwarya from ithought. Please proceed.

Aishwarya: Hello, sir. Hello to the management. I have one question regarding the new developments that we have made. Now, we are also into the technical foam, we are now supplying it to the industry as well. I am solely interested to know how we will be getting in the sales, the top line growth. Now we are also having Furlenco under the umbrella, and we are increasingly expanding the number of industries where we can supply our product to. Are we actively looking for any more acquisitions?

And when I read the previous concalls, I also came across the statement where we said that Kurlon also did some bit of sofa manufacturing and all that. Do we have that in the Kurlon stores available? And how will a Kurlon experience store look like in the future? Like we have Sleepwell experience stores, and now you told that we will have the Kurlon experience stores as well, how will the two be different? And how will the future experience store look like?

Rakesh Chahar : So, Kurlon already has stores. There are about 350, more than 350 stores, which are similar to the Sleepwell, the one you were referring. So we intend growing that number, which I said earlier. And that is going to drive sales for Kurlon.

As far as sofa is concerned, yes, Kurlon had a small factory to make sofas. So, we have continued with the business, but not making ourselves, but outsourcing it. Because now, right now, we have Furlenco as a part of the group, so we intend to even kind of integrating or taking advantage of this synergy from Furlenco for sofa manufacturing, so that work is under process.

And as far as aviation part that you said, yes, we have kind of developed that foam. We are the only company in the country who makes aviation foam. We have started supplying to the secondary market. And we have also attempted to get ourselves certified as a Tier 2 supplier to the Boeing. So that I think is also a work in progress.

Aishwarya: Understood, sir. Just one more question. Since the Kurlon integration has been EPS dilutive for us, when will the company be better for the shareholders? I know once you integrate or acquire Sheela Foam Limited
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a company, it is obvious that EPS will dilute for certain years. Because of the interest and appreciation, we have seen that the margins are pretty stressed. When do we think that we can come back to the normal levels, the March '22 levels, or something around that?

Amit Kumar Gupta: So, we have already guided on what sort of growth we are looking from here, and what sort of profitability we are looking from here. I think that should be sufficient to figure out as to how our EPS will move going forward.

Aishwarya: Yes, sir. Yes, I will look into it. Thank you so much.

Amit Kumar Gupta: Thank you.

Rakesh Chahar:

Thank you, Aishwarya. Thank you.

Moderator: Thank you. The next question is from the line of Ritesh Shah from Investec. Please proceed.

Ritesh Shah: Hi, sir. Just one question. Sir, how much was the volumes from Aaram and Tarang this quarter? And on volumetric terms, corresponding period last year, please?

Rakesh Chahar: So, I think Amit has already said, it is about 60% is the value growth.

Amit Kumar Gupta: Volume would be similar.

Rakesh Chahar: Volume should be similar, yes.

Ritesh Shah: Sir, earlier we have indicated a number of around 6%, 6.5%, has that number actually moved up? I think we gave a number of Rs. 18 crores, Amit gave that number, I think. But just on a volumetric terms, will it be like 6%, 6.5% of the volumes?

Amit Kumar Gupta: So, Ritesh, just I am not getting your question. But to clarify, I can speak out what we have said. Last year we were at Rs. 65 crores. This year, current run rate is Rs. 80 crores per annum. We intend to cross Rs. 100 crores for the current year. For the 1st Quarter, it was Rs. 17 crores, Rs. 18 crores, which I mentioned. That is the statistics. So, if you see growth rate on a year-on-year basis, it is approximately 60%, what we are targeting this time. Growth rate on a month -on-month basis would be, if you work out from it, 3%, 4% sort of a growth rate month -on-month would be there.

Ritesh Shah: Right. Sir, I am looking at the volume contribution, of the total mattresses, how much will be Aaram and Tarang? This number earlier what we have given is around, I think, 7% in Q3 and Q4. So, for Q1, what that number is?

Amit Kumar Gupta: So, Ritesh, I do not have those numbers separately. Maybe we can get in touch and I can give you those numbers.

Ritesh Shah: Sure, sir. No worries. Thank you so much.

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Moderator: Thank you. As there are no further questions from the participants, I would now like to hand the conference over to the management for closing comments.

Rahul Gautam: Thank you, Deepali . Thank you for conducting this conference. Let me just begin by saying that Q1 FY '26 has been a robust performance. We look forward to it going or getting better and better as we move along. I just want to thank each one of you for all the questions. It has been learning as usual for us. And if for the paucity of time or any other reason or otherwise we have been unable to answer the questions, please feel free to reach out to Tushaar ji, to Rakesh ji, Amit, or myself. And in the meantime, till the next call, I would just say thank you very much and Jai Hind, and all the best.

Moderator: Thank you. On behalf of Arihant Capital Markets Limited, that concludes this conference. Thank you for joining us. And you may now disconnect your lines.

Call: Nov 2025

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November 10 , 202 5

To,

The BSE Limited The National Stock Exchange India Limited

Phiroze Jeejeebhoy Towers Exchange Plaza, Bandra Kurla Complex

Dalal Street, Mumbai -400001 Bandra (E), Mumbai -400051

Scrip code: 540203 NSE Symbol: SFL

Subject: Transcript of Investors' Conference Call for Quarter and Half -Year ended
September 30, 202 5 Financial Results.

Dear Sir/Madam,

Please find below the transcript of Investors' conference call organized on November 06,
2025 post declaration of financial results for the quarter and half -year ended on
September 30, 202 5 for your information and records.

Thanking You,

Yours truly,

For Sheela Foam Limited

(Md. Iquebal Ahmad)

Company Secretary & Compliance Officer

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"Sheela Foam Limited Q2 FY '2 6 Earnings Conference
Call"

November 06 , 2025

MANAGEMENT : MR. RAHUL GAUTAM – EXECUTIVE CHAIRMAN AND
MANAGING DIRECTOR , SHEELA FOAM LIMITED

MR. RAKESH CHAHAR – DEPUTY MANAGING DIRECTOR ,
SHEELA FOAM LIMITED

MR. AMIT KUMAR GUPTA – GROUP CHIEF FINANCIAL
OFFICER , SHEELA FOAM LIMITED

MODERATOR : MR. ROHAN KALLE – INCRED CAPITAL

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Moderator: Ladies and gentlemen, good day , and welcome to Sheela Foam Limited Q2 FY '26 Earnings Conference Call , hosted by InCred Equities Capital.

As a reminder, all participant lines will be in the listen -only mode . And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing “* ,” then “0” on your touch -tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Rohan Kalle . Thank you and over to you, sir.

Rohan Kalle: Thanks, Trisha . On behalf of InCred Equities, I thank you all for joining the Q2 FY '26 earnings Call of Sheela Foam Limited.

From the Management Team , we have with us Mr. Rahul Gautam – Executive Chairman and Managing Director , Mr. Rakesh Chahar – Deputy Managing Director , Mr. Amit Kumar Gupta – Group CFO.

Before I hand over the call to Management , I would just like to draw your attention to the safe harbor statement in the Investor Presentation . Over to you, Rahul sir, for opening remarks, following which we will open the floor for Q&A.

Rahul Gautam: Thank you, Rohan. Good afternoon, ladies, and gentlemen. At the outset, let me thank you for attending this Conference Call to discuss our operational and financial results for Q2 and H1 FY '26. I do hope you have gone through our results and the earnings presentation which have been uploaded on the website.

Firstly, let me update you on the merger of Kurlon with Sheela Foam :

We have received the final merger order from NCLT. The appointed date from which this merger is effective would be 20th October , 2023. Accordingly, the financial statements of the comparative period have been restated. For clarity, Kurlon Enterprises' numbers are now reported under standalone, which were earlier being reported under consolidated numbers.

Consequent to the above merger, many opportunities have opened up which would supplement our growth going forward. It is important to utilize all our experience and capabilities to further harness these opportunities through some reorganizing and restructuring. For this, I have decided to devote more time to the operational aspects of the company, hence would now be functioning as a full -time CMD. Mr. Tushar Gautam is also being elevated to Vice Chairman and Joint MD, while Mr. Rakesh Chahar continues as the Deputy Managing Director. All three would be ably guiding the company's strategy along with its existing responsibilities.

On the performance of the company :

Our business posted robust growth in the quarter and half year ending September 2025. We recorded core EBITDA margins above 10% on a consolidated basis for both the quarters.

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Specifically mentioning about the Q2 FY '26 performance, on volume basis, our mattresses business grew by 13% while our foam business registered a growth of 9%. Within the mattress business, while Sleepwell grew by 14%, Kurlon also grew close to it by 13%. We can see that Kurlon is now growing faster than ever before and helping in the overall growth of our mattress business.

For the first half of the year, H1 FY '26 performance :

On a year -on-year basis, mattress volumes grew by 11% while our foam business registered a volume growth of 8%. And again, within the mattress business, Sleepwell grew by 18% while Kurlon volumes grew by 10%. In the foam business, technical foams grew also in volumes by 11% and the comfort foams grew by 8%. Volumes of the e -commerce business also registered a volume growth on a year -on-year basis at 73% , while the lower end of the mattresses which were introduced earlier, Tara ng and A aram, registered a volume growth of 58%.

We also did well on the network and the network e

xpanded during the H1 FY '26 by 420 net new

showrooms with another similar number expected to come in the second half of this year. This would total up to 800 by the year end. This would further increase the growth rate of our mattress business. We would concentrate on opening more showrooms of Kurlon brand, especially in the west and northern part of India, to harness the excellent brand loyalty or the brand equity that it commands , while the presence has been lacking. The above clearly shows that our mattress

business, the B2C business, is growing much faster than the foam business, which we expect to continue going forward.

The present percentage of the B2C business is 55% and it is above by almost 5% from a previous half year of the last financial year. During the current year in India, we are expected to produce about 80,000 metric tons of foam against 70,000 which was produced in the last year, an increase of almost 15%. We continue to scale up our Dubai operations where we sell both our brands as they enjoy strong resonance in that region. As of now, we have seven outlets, one in each emirate, and this would progressively increase.

Both the subsidiaries of Australia and Spain, the businesses are also returning to their historical profitability and are very close to double digit EBITDA levels. This is in spite of raw materials still being at low levels and this just naturally leads to a lower top line number. We expect this to be persisting for a while, and it is expected that in another two to three months that the raw material prices will start increasing. We expect to see a little more positive movement in the overseas operations as we go along into the next quarter.

From an overall perspective, we are anticipating the growth rate of India business to be much higher compared to the overseas businesses. The current ratio stands at 75% of our total turnover being from India.

We had invested in Furlenco some time back and I am happy to share with you that Furlenco continues to be on a growth trajectory. More than 34,000 net customers were added in the first half of this year, H1 FY '26. Furlenco now also operates in additional cities totaling to 29 in number.

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across the country. During the first half, H1 FY '26, it has achieved a PAT level of Rs. 9 crores with an exit revenue or a run rate of above Rs. 350 crores per annum.

Furlenco is also raising some equity, a number of Rs. 125 crores, in which we would be contributing about Rs. 30 crores to limit our dilution. This capital, along with internal accruals, will be used solely to buy new assets for renting and would be sufficient to achieve the forecasted or budgeted number of Rs. 500 crores turnover in the coming year, in the next year.

I am also happy to share with you that we continue our focus on ESG within the four selected Sustainable Development Goals, the SDGs. We have a clear path or a glide path to achieve our targets under these goals by 2030. Let me share some broad glimpses with you.

In 2025, our captive solar energy generation and consumption stood at 25%, which we aim to increase to 37% by the year 2030. Similarly, on waste reduction, which was around 15% in 2025, we not only aim to reduce this to 13%, from 15% by 2030, but also capture the 100% of the waste generated as a value and not as just wasted. Within our social responsibility, Sheela Foam continues to focus on the two pillars of the initiatives, namely emotional wellness, and skill development.

I will now request our Group CFO – Mr. Amit Kumar Gupta, to take you through our financial highlights. Thank you, sir.

Amit Kumar Gupta: Thank you, sir, for your inputs on our business and strategy.

I will just take through the financial performance for Q2 and H1 of Financial Year 2026, which amply demonstrates our conviction that our growth in double-digit

profitability is now sustainable.

On a consolidated basis, we grew by around 5% on a year-on-year basis, from Rs. 1,622 crores to Rs. 1,696 crores. Within this, our mattress registered a value growth of around 11% and foam business has shown a growth of 3% in spite of the lower raw material cost and volume increases between 8% to 10%.

As explained in our last call, TDI prices have been on a continuous decline. It has reduced from Rs. 196 in Q4 last year to around Rs. 172 now. Similarly, polyol has also reduced from around Rs. 117 to around Rs. 107 now.

Our core EBITDA on a Y-o-Y basis grew by around 31%, from Rs. 135 crores to Rs. 177 crores, resulting in a margin expansion by 210 basis points. This is due to incremental sales and various strategy and cost initiatives undertaken by us during the last two years post Kurlon acquisition. Some part of these initiatives are still underway and hopefully will further supplement the bottom line.

We reported a PAT of Rs. 17 crores in first half Financial Year '26. This includes one-time impact of MTM on foreign currency and our financial investments of Rs. 18 crores. So, on a normalized basis, without these one-off, our PAT for the period stands at around Rs. 35 crores.

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With this, I will request the moderator to open the floor for questions and answers.

Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Rachna Kukreja from SIMPL PMS. Please go ahead.

Rachna Kukreja : Thank you for the opportunity. I have two questions. Our mattress business has grown well in both value and volume, but our realizations have stayed flat. Going forward, how do we plan to improve our realizations, even if the online channel may continue to grow faster than the offline channel?

Rahul Gautam : Okay. The second one?

Rachna Kukreja : Second one would be on our debt reduction efforts, which can eventually help us to bring down our interest costs as well. So, currently, where do we stand in terms of our debt reduction? And when can we expect a debt -free balance sheet?

Rahul Gautam : Okay . Amit, can you just take the second question first and then we will take the first one ?

Amit Kumar Gupta: I will first give you an idea of what our current debt is. So, we have a net debt of around Rs. 450 odd crores in India and around Rs. 350 odd crores overseas. So, somewhere around Rs. 800 crores is the total net debt that we have. If we look at India, the way that we see for getting to debt -free is another one and a half to say two to three years. This will come out of two sources. Firstly, it will be from the monetization of the assets that we discussed about even the last time. So, Rs. 200 crore monetization was to happen, out of which we have already done Rs. 50 crores and another Rs. 150 crores is yet to happen, should be done in the current year. And the second part of it will come from the cash flow generated by the company. The way the company is moving, we should have around Rs. 100 crores to Rs. 150 crores of cash going forward per annum, which should be sufficient to take care of the debt. So, that answers your second question. First question ?

Rahul Gautam : First question , so I will ask Mr. Rakesh Chahar to answer that. And the question, as I understand it is that , there is volume and value growth in the mattress side, however, there is not enough profit.

Amit Kumar Gupta: So, what she is, saying is that the ASP is coming down. So, in spite of higher growth in online and the STI segment - essential segment, how do we plan to increase or retain the decline in the ASP?

Rakesh Chahar: Okay. So, you are right in your observation. So, far we have been able to maintain the ASP, which you have termed it as flat. And the reason for that is our initiatives to premiumize at our own showrooms, both

in Sleepwell and Kurlon . So, there is a program which is going with the outlets, enabling them to sell a higher -end mattress. That is one.

Second, expansion. We are very aggressive on the expansion plan this year. Like Rahul sir said, we have already opened net 420 new showrooms. The showroom ASP is much higher than the rest of the network. So, this additional number will help us not only to maintain, but also marginally increase the ASP going forward.

Rahul Gautam : Okay. And I may also add that on the e -commerce side we are increasing the sales through the brand.com , where it would be helpful in increasing or improving the margins as well as ASPs.

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Amit Kumar Gupta: I hope that answers the question.

Rachna Kukreja: Yes, thank you.

Moderator: Thank you. The next question is from the line of Ritesh Shah from Investec. Please go ahead.

Ritesh Shah: Hi, sir. Thanks for the opportunity. A couple of questions. First is a generic one. A good part of our competition is looking to raise money to the equity markets. So, the balance sheet will be pretty much pump -primed, incrementally for the next 12 months, 24 months. To tackle this competitive intensity, how are we looking to up the ante? You indicated on the distribution, but is there something on ASP or something on CAC that we are looking to increase to ensure that there's no market share loss? Or actually we can make good on market share despite the competition having more comfort on cash flows ?

Rahul Gautam : Ritesh, you want to complete the questions or you want me to respond to that?

Rakesh Chahar: Okay . Sir, I have like four or five questions. I will just finish one by one. So, one is competitive intensity. Second is the synergy, sir. Last call we had indicated total synergy quantum of Rs. 250 crores, I think, of which we had indicated Rs. 190 crores was realized in Q1 FY '26. So, just wanted to understand how should we read sustainability of this Rs. 190 crores and the balance Rs. 60 crores?

Because when we strip out the numbers, say, from standalone, we take out one -offs or from consol we deduce overseas assets as well as Staquo, the EBITDA margin expansion that we see is not very meaningful. So, just trying to understand how should we read into the synergy quantum? That's the second question.

The third question is , when we look at it on a pricing on a per unit basis, for mattress, the decline is 1% on a year -on-year basis. This is significantly less as compared to comfort foam and technical foam , which is 6% and 5%. So, how should we understand this? Is the mix improving? That's the reason the decline in mattress pricing is lower as compared to the other categories ? That's the third question.

Sir, I have two more , probably after these three I will join back the queue and have a few more questions.

Rahul Gautam : So, first is the generic question that you said competition is increasing and what are we doing to combat that or to at least ensure that our share is retained. So, whatever is our standard processes, they are in place, but the special focus this year is on the store expansion. And as mentioned, we have already opened about 420, which is ahead of the budgeted number for the H1 side. And in the entire year, this will be 800 across the country which is a sizable number. And that would help in not only ensuring that we maintain our market share, but actually improving on that , because there's also a push within the company where the needle is shifting more towards the mattress side and the proportion of that or the ratio of that is increasing. Besides that, there is a healthy advertisement, promotion, reach, distribution , all that is happening.

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I may add to this to say that there is a sizable unorganized sector existing in this segment and most of

the new people who are coming in or most of the people with the new money that they are coming in; it is that market, the unorganized one, which will get impacted and that is where it will shift to these people. But having said that, whatever we need to do, we will continue to do that. I would just talk about the pricing part. And the synergy, I will leave to Amit to respond.

Pricing part, you are saying that mattresses is a 1% change and on the technical foam and on the others there is a higher change. But that is primarily because the technical foams and the comfort foams are based on the raw material prices , and the raw material prices have been ruling at their lowest levels than ever before. And that's the impact that those things are completely dependent on raw material prices. I will give it to Amit to answer on the synergy part.

Amit Kumar Gupta: Hi, Ritesh . Yes, you are right , we committed a synergy benefit of around Rs. 250 crores, out of which we had achieved Rs. 190 crores by the end of the 1st Quarter itself, which we discussed last time. The incremental synergies of around Rs. 60 odd crores is proposed to come through the new technology that you mentioned, the early technology and the malleable fiber technology we discussed. The machines are on their way, should be installed by the end of the 3rd Quarter and the results would be visible in the 4th Quarter . So, Rs. 10 crores plus/minus here and there should be there, but most of these synergies will be visible to you in the 4th Quarter of the current financial year.

Now on these all synergies, the sustainability of these synergies. So, what we see if we look at our margins or profitability, we have been almost at the same level for the last two, three quarters which indicates that whatever benefits had accrued to the P&L, they have been sustained. In this period, we had also adjusted ourselves to various competitive pressures from different sides, introduced new products which were both in low range as well as high range because of which we could have suffered a 1 % or 2% in terms of our gross margins. But because of the continuous flowing in synergies, we could retain that.

So, I will just repeat what I said last year that out of this Rs. 190 crores, around 2% to 2.5% to 3% have flown to the bottom line and the rest of it has been consumed for improving the robustness of the business. So, if you see for last three, four years, our top line was almost flat , we had not grown. But in this year, we have started seeing the offshoots and we are growing between 5% to 7%. Intent is to grow by 15% and we would definitely , in a very short period of time , reach to that level.

But yes, to reverse the trajectory and to start growing in the business, there were certain investments which had to be done . And we have utilized a bigger portion of our synergies in doing that, propelling the business through that. So, part of the synergy is visible in the profitability because last year we did less than 8%, this time we are at (+10%). And a part of it has been consumed in increasing the competitiveness of the business and thereby improving the top line and the volumes of the business.

Ritesh Shah : Amit sir, I have a follow -up. So, if you look at the EBITDA margins for the India business, the increase that we can see on a quarter -on-quarter basis is probably 1 bp. But if you look at it even

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on a year -on-year basis, the number is only 66 bps. So, the question what I am asking is that Rs. 190 crores that we had indicated in Q1, is that already there ? And if it is there, then why is that not showing up in margins? The reason to ask this again is given raw material prices have gone down, gross margins have actually fared better on a year -on-year basis , despite that we do not see that EBITDA margin expansion on a year -on-year basis. So, the que

stion I am trying to ask is , the sustainability of that synergy gains, it has to be there somewhere between gross and EBITDA. Why is it not visible?

Amit Kumar Gupta: So, Ritesh, you are referring to 1st Quarter or the first half?

Ritesh Shah : Sir, I am looking on year -on-year for Q2 to Q2.

Amit Kumar Gupta: Q2 to Q2. So, last year Q2 we were at around 8% odd EBITDA margins, right?

Ritesh Shah : Yes, sir.

Amit Kumar Gupta: And today, if I take out the onetime foreign exchange loss that is there of Rs. 4 crores, I am at 10% plus. So, I didn't get that 65 basis points, which you were mentioning.

Ritesh Shah : Sir, probably I will give you a call post this. So, as per our numbers, it's moving from 8.8% to 9.5% , so that was one. Sir, I had a follow -up question for Rahul ji. Sir, you indicated on the store expansion , sir how much is the CAPEX with respect to this? So, that is one. Second is A&P, any particular number that you would like to cite? How much was it for last year's full year and how much do we target for this particular year? And third is on the distribution side. I think when we go through the presentation, Q1 presentation indicated 6,000 EBOs. In Q2 presentation, that number has been indicated at 5,300 , so it's lower by 700 despite us adding 420 stores. So, just wanted to understand, sir, how should we look at the number of stores?

Rahul Gautam: Okay. So, I think, Rakesh, could you answer on the CAPEX side per store and on the number ?

Rakesh Chahar: So, the CAPEX on store typically is put by both the retail partner and us. Our portion would be close to about Rs. 6 lakhs per store on average . And as far as the numbers are concerned, I mean what was quoted , so we have also done some reclassification. So, it could be a function of that.

Otherwise, the network has expanded by 420. So, I will just look at this number of Q1 as to why this change has happened , so I will just get back to you on this.

Ritesh Shah : Sure, sir. Sir, on A&P? Amit ji, A&P or advertisement and promotion plus sales and marketing, the total number last year as a percentage of sales and if you have anything for this year?

Amit Kumar Gupta: Ritesh, could you repeat your question on A&P , I did not get that ?

Ritesh Shah : Sir, A&P. So, Rahul ji indicated to combat competitive intensity, we will also look to increase our A&P spends. So, just trying to get a grip on that number, where are we looking at that number for this particular fiscal?

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Amit Kumar Gupta: So, Ritesh, last year we did around Rs. 125 crores to Rs. 130 crores at a group level on advertising and promotion , and this excludes any incentives that are given to the channel. Those are categorized as sales expenses , and they generally are as a percentage of sales. This year we are looking at around Rs. 25 odd crores higher expenses and I am referring to full year , they are again distributed depending on what season is.

One critical aspect that we have done this year is , in A&P because now we are not only in the Hindi belt, we are across the country , so you need advertising very much tailored to the needs or requirements of particular regions. And since one is across the country available , so this time we are focusing more on local and regional advertising using digital media and things like that so that you can reach to the bases and the masses where actually your buyer lies. So, though you may see a little bit of lesser television advertising, but if you go to the different regions across the country, you would find that we would be present in the local media and in the digital channels for advertising , and most of this money is going towards that.

Ritesh Shah : Sure. Thank you so much for the answers. Sir, I will join back the queue, I have a few more questions. Thank you.

Moderator: Thank you. The next quest

ion is from the line of Raghav Maheswari from KamayaKya Wealth Management. Please go ahead.

Raghav Maheswari: Thank you for the opportunity. So, I just wanted to get a clarification on the store expansion. We are talking about this number in exclusive stores where we just sell our own brand , it's not like a dealership of multiple brands, right?

Rahul Gautam: Yes, that is correct , this is on the exclusive side.

Raghav Maheswari: Okay. And sir, one other thing is , we have seen good volume growth in Q1 and in Q2 as well. But I just wanted to understand that the contribution from that volume growth to the revenue adding to the top line is a bit on the lesser side. So, if you can give a guidance on this, where are we seeing this stabilizing? And also at the PAT level, where are we seeing the margin stabilizing?

Amit Kumar Gupta: So, if you see volume and value growth are almost similar in case of mattresses because the price of mattress does not depend upon the input cost raw material. So, we change our mattress prices twice a year and since the component of foam in the entire mattress or as a percentage of sales is a much lower amount, we can do with that. So, you see almost equal growth in value and volumes. Whereas in case of foam, it's a competitive market. At some places, it is pure, pure commodity. At some places like furniture cushioning and technical foam, these are specialized foams which we produce and sell.

So, at some places, we are able to gather larger margins and basically detach it from the price of raw materials. But at most of the places whenever there is a movement in the raw material prices, we have to pass it on or take it depending on which direction the raw material is moving. This is a general phenomenon in the industry and this to a large extent does not affect our profitability

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though it affects our top line. So, we are more or less fine with that. As far as stabilizing is concerned so if you see our total top line has grown by around 5% to 6%.

However, the top line growth that we had been discussing and to which we still stick and are intending to reach to that level is between 12% to 15% top line growth. And commensurately, you can see similar levels of profitability margins also. Once growth rates are achieved, you should be able to see those profitability levels in the bottom line.

Raghav Maheswari: Profitability level as a percentage?

Amit Kumar Gupta: So, we had already guided it would be somewhere between starting from 12%, 12.5% in the next year and then if you grow by 15%, you should be reaching around 14% to 15% in the next to next year.

Raghav Maheswari: Understood, sir. And sir, last thing, during our last interaction at the earnings call, we were discussing about Furlenco using mattresses produced by Sheela Foam. So, I was supposed to get an update on that. So, if you can provide an update on that?

Rahul Gautam: So, Furlenco is already using our mattresses for their rental business.

Amit Kumar Gupta: So, all the foam or foam-related products which Furlenco is using is supplied by Sheela Foam. So, whether they make furniture like sofas, chairs, et cetera, the foam used in that is from Sheela Foam, 90%, 95%. And all the mattresses that they are using to be rented are supplied by Sheela Foam.

So, maybe you can let me know what specifically in addition to this you are looking and I can answer that.

Raghav Maheswari: Okay, sir. Thank you. That's all from my side, sir.

Moderator: Thank you. The next question is from the line of Krushi Parekh from BugleRock PMS. Please go ahead.

Krushi Parekh: So, my first question is that we have been increasing our EBO network. And I just want to understand that as per your assessment internally, what is the peak level of EBOs that we would like to reach not immediately, but over a long period of time? And how do you cons

ider it internally

that where are EBOs needs to be present in terms of the cities and towns? So, basically how internally are you guys looking to plan it out and expand the EBO network over a five to 10 year time horizon?

Rahul Gautam: Five to 10 years. Let's take a five year horizon and see where the number would be. So, we would like to be at 10,000, which will be a combination of different formats of EBO. So, EBO is a large format, there is a midsized format and then there is a category exclusivity. So, we want to take this number to 10,000 in next three to four years.

Krushi Parekh: Okay. And within the major cities where, say, the likes of the organized retailers is increasing. So, how is it that we are positioning our EBOs versus those where the likes of IKEA or some of the

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newer prefunded players are coming in? So, are there any strategic changes that we are looking to have to face this competition within the metro cities at least?

Rahul Gautam: So, see it like this, there are mattress stores which are operating for a long time. They have their own brand equity. These are the ones which get converted to a FOFO model of ours either in Sleepwell or in Kurlon brand. So, that is one part. There is already an ongoing business which is happening so that gets upgraded to a showroom format or to an EBO format. So, that's one thing.

On the other side, we also have 25 COCO stores which are operating.

So, recently, we have also rejuvenated or restarted them and presenting them in a -- it takes both Kurlon and Sleepwell brand and also some Home Comfort products. So, the results so far have been very encouraging. So, we intend increasing that format too. I mean we have a plan for expansion on that so which will be a notch above the current furniture franchisee owned showrooms. If we go, the larger portion will still be FOCO. But there is also a journey on the COCO side, which we will be presenting as a home improvement kind of environment in the store.

Krushi Parekh: Okay. So, this COCO model that you are discussing, are there any stores that are already up and running or it's still in the pipeline?

Rahul Gautam: No, they are already running. There are about 24 stores, they are running and we can also share some of them with you. You can even also visit them. So, they are already running.

Krushik Parekh: Okay. So, these are the Sleepwell branded stores where the entire furnishing experience is what you guys are looking to have?

Rahul Gautam: No, this is a new format. We call them as Home Comfort stores. So, they house both Sleepwell, Kurlon and other products together. So, basically the positioning is to attract customers looking for home improvement items; soft furnishing, mattresses, and things like that.

Krushik Parekh: Understand. So, when you say other products, this would include products from Furlenco or something else altogether that you have?

Rahul Gautam: Also a corner of Furlenco, but it also have all the top of bed items, which is the mattress stoppers, protectors, the bed sheets, comforter, duvets. So, what you typically need for doing up your house so furnishing part of it.

Krushik Parekh: Okay. But under our two brands itself, no other brands, or new brands that you guys are introducing.

Rahul Gautam: It is an evolving format.

Krushik Parekh: Okay. Understand. And when it comes to Tarang and Aaram, it's a different channel altogether.

And I believe considering the ticket size, I am not sure about exactly how the margin profile over there is. But when you look at the project and when you have taken up the initiative so from here onwards, if the margins were to expand in this particular initiative, so which component of the Sheela Foam Limited

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overall cost structure will be leveraged over here? Is it on the production side or somewhere else for

from where the margin improvement on this particular initiative will come in?

Amit Kumar Gupta: So, if you see currently, mattresses enjoy the highest level of gross margin or profitability for us, right? And as Rahul ji said, mattress as a percentage of our total business will continue increasing.

So, that is one part of it. The second part of it is the growth that is anticipated. So, generally your cost structure goes up by, say, around 5%, 6% due to inflation and if you are able to grow at 10% plus, the remaining should flow to the bottom line. The third portion is the new products and the new things that we are getting into, whether it be new stores coming up, whether it be we are penetrating more with the small town initiative or whether it be we are penetrating more with the FOCO stores in the urban areas.

All these initiatives are the ones where gross margins or the profitability is higher. So, I would say that there are multiple initiatives which should propel the improvement in the margins going forward. And if you try to see the margin profile, the gross margins would be increasing, say, somewhere from 44% currently to around 46% odd, primarily from cost savings that are yet to come. But the profitability at the EBITDA level would primarily increase from increase in the scale of the business, which means that once the growth above 10% comes in, you will see that flowing to the bottom line.

Krushik Parekh: Okay. Thank you. I will get back in the queue.

Moderator: The next question is from the line of Deepali Kumari from Arihant Capital Markets Limited.

Deepali Kumari: Thank you for the opportunity. I just have few questions. Like what is the revenue contribution of Kurlon in H1 FY '26? And like what is the guidance for upcoming year? And on the e-commerce side, what is the revenue contribution and what is the margin there in e-commerce?

Amit Kumar Gupta: So, Deepali, thanks for your questions. But apologies, we do not disclose Kurlon and Sleepwell profitability separately. We also do not declare profitability at a vertical level. The only thing that I can say is that Sleepwell and Kurlon are growing at the same level. So, whatever their initial revenues were, they are growing in the same proportion as the overall company growth or the mattress growth that we have given.

We have given you volume growth in Kurlon separately and value growth should be similar. So, that should give you some idea. In the e-commerce segment, yes, that we can disclose, we had done. We last year did around Rs. 173 crores in the e-commerce segment and this year we should do somewhere between Rs. 200 crores to Rs. 275 crores on the e-commerce. Profitability portfolio, again we do not disclose separately because we look at mattress as one single category.

Deepali Kumari: Sir, you mentioned UAE retail expansion with seven showrooms. So, what is the revenue run rate from the UAE if you can give some guidance?

Amit Kumar Gupta: So, we established this business around two years back and we are continuously growing there. I can tell you that UAE business would be somewhere around AED 0.5 million currently per month.

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But it is at a very fast growth track since we are able to find out people who are ready to take dealerships of our brand and expand it across the UAE. Going forward, we will be looking for the

entire GCC and we are talking or discussing with certain players in those markets who would be willing to partner with us to take it through all the places in the entire GCC.

Deepali Kumari: Got it. And sir, you have mentioned in the last call that you will start furniture business in Australia.

Like is that going on? Foam and furniture business you will target next on Australia?

Amit Kumar Gupta: So, not furniture business. What I mentioned was cushioning for furniture. So, currently if you see, we make foam only for

or mattresses in Australia. But since we do cushioning for furniture and certain technical foam grades; maybe automobiles, lingerie, sound proofing in generators, etcetera. We do all these in India. So, we were working on this, how we can introduce these products in Australia also and increase the base of our business in that country because in foam for mattresses, we are the largest player there and have a 40% market share. So, there is comparatively little scope to grow in that segment. Hence, we were looking out for newer segments over which we have capabilities available in India.

Deepali Kumari: Okay, sir. Thank you so much.

Moderator: Thank you. The next question is from the line of Ritesh Shah from Investec. Please go ahead.

Ritesh Shah: Sir, a couple of clarifications. First, sir, you indicated e-com last year was Rs. 173 crores. I think in Q1 FY '26, we had indicated that number at Rs. 200 crores for FY '25. So, just wanted to understand what the number was for FY '25 and first half FY '26.

Amit Kumar Gupta: So, that was the difference between dealer price and our revenue. So, there are differences. So, at dealer price level, that revenue was Rs. 200 crores and the revenue that flows to our book was Rs. 173 crores.

Ritesh Shah: Okay. And sir, this year's target you indicated will be Rs. 200 crores to Rs. 250 crores.

Amit Kumar Gupta: That is in our book. So, if you refer to a dealer price, it should be around Rs. 280 crores to Rs. 290 crores.

Ritesh Shah: Perfect. This is helpful. And sir, how should we gauge the profitability of e-com business given earlier we had decided to get out of it and then we have reentered under the Sleepwell brand. So, how should we look at the underlying economics versus the traditional channel that we have?

Rahul Gautam: So, ever since we have introduced it under brand Sleepwell so one, we have been able to get a better realization on the e-com and also the synergetic effect of the brand equity is also getting more and more conversion for us. So, we are actually looking at getting the rightful share in next three years. So, we are on that track and also focusing more on brand.com, which is already at a good run rate. I mean we have put that focus from this year itself and it is already at a good run rate and we have a plan for next three years that where the brand.com business would be. So, ideally, we would like the ratio between the platform and the brand.com, more and more business shifting to brand.com going forward.

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Ritesh Shah: Sir, would you like to quantify when we say rightful share in three years, what the number would be on absolute or on a percentage basis?

Rahul Gautam: So, the market to best of our knowledge is growing by between 15% to 20% as far as the e-com market is concerned. We are growing at a higher rate and fortunately, this is all organized market. So, the organized market, it is right now at about Rs. 2,000 crores. So, we should be at around 30% market share in coming few years.

Ritesh Shah: This is helpful, sir. Sir, would it be possible for you to indicate what is the CAC over here and what is the gross margin basically including the overhead and corporate overheads over here? Just trying to get a sense on how profitable it is because earlier we pulled the plug because it was not as profitable as desired. So, any change in thought process or have we reduced our thresholds because we are deciding to grow over here?

Amit Kumar Gupta: So, Ritesh, one thing I can tell you when we were doing it with SleepX model, we were losing money in it and that's why we closed down SleepX model and introduced the Sleepwell and the Kurlon models there. The Sleepwell and the Kurlon models are now working well and in the last 2 years, we have grown to more than double the size that we were with SleepX. On the profitability front, I can tell

you that gross margins though lower than the offline segment, but there are decent gross margins in this business that we are able to get.

At the bottom line, yes, when you go to the platforms, they are lesser profitability because there are certain costs associated with these platforms whereas in brand.com or our own website, which Rakesh ji just mentioned, we are able to get profitability which is in line with the offline. Can't disclose too much of profit for full year, but I can tell you that selling of e-commerce would not lead to a material depletion of our profit margins.

Ritesh Shah: Okay. But sir, can you broadly indicate what will be percentage point difference between D2C e-com versus the rest?

Amit Kumar Gupta: No, we do not indicate profitability comparison.

Ritesh Shah: Sure. No worries. Sir, my second question was on Tarang and Aaram. I think in Q1, you had indicated a number of around Rs. 18 crores with a target by end Q4, Rs. 100 crores. Sir, can you help us with those numbers for the quarter and if the targets remain the same for the full year?

Amit Kumar Gupta: So, I just didn't get the first part of your question. What are you saying historical figures?

Ritesh Shah: Sir, revenue contribution for Tarang and Aaram in Q2 would be how much? I think that number was around Rs. 18 crores in Q1. So, I just wanted to gauge how the trajectory has been?

Rahul Gautam: So, I am not sure, but the run rate has definitely gone up. So, Q2, let's say about Rs. 25 crores.

Amit Kumar Gupta: So, Ritesh, it should be Rs. 9 crores per month, around say, Rs. 25 crores to Rs. 27 crores.

Ritesh Shah: Okay. And any target for the full year?

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Amit Kumar Gupta: Yes. We already mentioned that target Rs. 120 crores for the whole year because it is on a continuous ramping phase. So, it was lower in the first one, Rs. 6 crores per month in the 1st Quarter, Rs. 72 crores run rate. Now it is, say, around Rs. 108 crores run rate in the current quarter. And third and 4th Quarter, it would be higher. So, should reach around Rs. 120 crores, Rs. 125 crores for the full year.

Ritesh Shah: Perfect. Sir, I missed out on the Furlenco financials. If you could just highlight it for first half what it was at EBITDA, PBT, PAT level? And how should we look at our economic interest in this particular asset going forward? Like any plans to bump it up? You had earlier indicated that we might look for a IPO at some point in time. How should one look at it from a profitability; secondly, cash flow; and third, from a corporate event standpoint?

Amit Kumar Gupta: So, I will try to answer, Ritesh. Too many questions, maybe I do not remember so let me know whatever I made. So, yes, Furlenco I think has been better than what we had anticipated. It turned PBT positive in February last year, but it continued at the same level potentially because we grew by 40%, 50% in last 1 year and there were customer acquisition costs, which are expensed outside of operating expenses. If you refer to today, this company is making around Rs. 2 crores per month of PBT. PBT and PAT are same for this company. And say, around Rs. 4 crores, Rs. 4.5 crores of depreciation; around Rs. 6 crores, Rs. 6.5 crores worth of cash that it makes every month.

On an annualized basis, maybe Rs. 70 crores, Rs. 75 crores. If you see revenue, we are at a run rate of Rs. 350 crores plus. This year we should be ending on total revenue at Furlenco somewhere between Rs. 300 crores to Rs. 350 crores and next year we intend to go to Rs. 500 crores plus level. What we have been made to understand through the merchant bankers and the people that we have talked on the street that once we cross the Rs. 500 crores turnover level with even a better level of PBT impact, maybe say, around 13%, 14% of PBT; we should be able to take the company to the market. But let's see, Rs. 5

00 crores to Rs. 700 crores should be the level at which we can go to the market.

Ritesh Shah: Right. And sir, prior to getting to Rs. 500 crores, Rs. 500 crores plus, would we look to increase our stake to help fund that?

Amit Kumar Gupta: So, very fluid, Ritesh. The company is raising Rs. 125 crores currently, in which we are contributing only Rs. 30 crores because we wanted to prevent some level of dilution. But we didn't want to spend the whole money because I think there was a lot of skepticism into we putting all the money into the company. So, we also wanted to establish the valuation by third-party contributors. The company has been able to do it successfully. They have closed that round of issuance.

And for reaching Rs. 500 crores plus, they do not need any further money. What will happen in '27? Would we go to Rs. 700 crores before public issue or would we do a public issue? Then I think whatever money would be needed by the company, most part of it would be internally generated by them. But if some Rs. 50 crores, Rs. 100 crores is needed, it won't be difficult to either raise it from third party or we putting that money.

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Ritesh Shah: Sure. This is very helpful. And sir, just last question. Australia EBITDA margins have improved sharply from 2.1% to 9.5%. Was there any one-off last year, which we are not aware of, if you can help us on that, please?

Amit Kumar Gupta: No, there was nothing material one-off, Ritesh. I think 2% was an aberration in one of the quarters last year. If you see for the full quarter, it was between 4% to 5% if I remember correctly. So, let's say, 4% to 5% to 8%, 8.5% it has reached. And the primary reasons are: one, we have further enlarged the scope of its raw material purchases. We buy from China. They used to buy from

Europe mainly. So, we have opened up our sources to them, which has led to their raw material procurement at a cheaper price and also there were certain internal restructuring. Since we have opened up the second plant in Adelaide, there were some costs which could be cut in Sydney. So, we are continuously working on it and hopefully, you should be able to see even better results going forward.

Ritesh Shah: Okay. And sir, just last question on debt. You indicated that we will be net debt in three years. Should we look at FY '28 over here?

Amit Kumar Gupta: So, the net debt is a perception, Ritesh. Rs. 100 crores Rs. 150 crores, Rs. 200 crores for a company of Rs. 4,000 crores is not a significant net debt, right? But since the question was when you would turn net cash, then potentially '28 would be the year in which we will turn net cash.

Ritesh Shah: Correct. And sir, this would be after what incremental CAPEX over FY '26, '27, '28 and incremental working capital investment that we are baking in as we say that we will get into net cash in FY '28?

Amit Kumar Gupta: So, working capital, we have done a lot of exercise in the last one year and we have been able to reduce it by Rs. 30 crores, Rs. 40 crores. It of course grew a lot in the last year potentially because of Kurlon acquisition, but we have now streamlined it from those levels. Potentially you will be able to see it in the full year results and the balance sheet on 31st March not on 30th September because it's festive season and so generally the balance sheet is bloated. But I would say that working capital increase, you can take as proportional to the increase in the top line. It should be lesser than that, but for the sake of reasonability, let's take it that it could grow in the same proportion as the top line.

As far as CAPEX is concerned, we have currently sufficient capacities available to us to grow to at least 2x, 2.5x of our current size. And that's why if you see in our balance sheet, depreciation is high, which should be absorbed by a turnover which is maybe 2x of the current

turnover to reach

a reasonable level. So, we do not need to make any investment to expand our production capacities.

Of course some consolidation and some efficiency CAPEX and maintenance CAPEX will be there.

And the most important would be the expansion in showroom, which Rakesh ji just mentioned because these showrooms pay back at 18 months.

So, there is no reason why we would not be spending. I think 800 showrooms is an aberration, which we are doing in the current year because Kurlon also came as an opportunity and they had very lesser number of showrooms. So, that gave us an opportunity to open these showrooms, but

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next year it should be a little lesser of what we have done this time. So, broadly, broadly, if you ask me, somewhere between Rs. 50 crores to Rs. 75 crores in India and maybe Rs. 20 crores, Rs. 25 crores overseas. And this is a very broad estimate. We have not done that business plan to that level, but Rs. 75 crores to Rs. 100 crores at a group level in '27 and '28.

Ritesh Shah: Very useful sir. Thank you so much. Wish you all the very best. Thank you.

Moderator: Thank you. The next question is from the line of Prakash Sinha from Apex Market Intelligence. Please go ahead.

Prakash Sinha: Thank you very much, team. Congratulations to the management for a good turnaround of Furlenco. So, while I was going through the annual report of Furlenco and on Pages 49 and 50, I found that useful life of fixed assets was not mentioned. So, could you please help me with how much useful life that we have taken for the financial cover as well as I was just comparing of Furlenco year-on-year and it has increased 58%, however, the results show it has decreased by 16.35%. Now, considering the other expense was variable so it was expected to be increased, so what contributed to this decrease?

Amit Kumar Gupta: I did not get your second question, but I will take it from you subsequent to answering your first question on useful life. So, see, Furlenco takes assets for rentals. Once it rents out the asset, the asset comes back after the rental period if the rental lease is not released and when it comes back, it is thoroughly refurbished. So, I think refurbishment is a bigger activity for them than manufacturing. So, what they do is the cloth is not dry, is not showing deterioration, they replace the cloth. If the foam is to be replaced, they replace the foam. If there is a breakage in the wooden part of the furniture, they replace that also.

And all these replacements or refurbishment costs are expensed out in the P&L. They are not capitalized. So, if you see for any practical purposes, the assets which they have should last infinitely because every time they reconstruct the asset, right? And that's why maybe in their annual report, they haven't shown. I haven't seen that annual report, but this is the fact. So, 10 years before, 12 years before when they started the company, the assets which they bought, most of those assets are still with them and they are continuously refurbishing it.

But for accounting purposes, you need to have a useful life because you need to depreciate the assets. So, I think around 8 years is what they have taken as the depreciating life of the asset. But

for all practical purposes, this business is a very typical business in its sort that the asset does not get destroyed. It remains with you and the cost that you incur on the maintenance of that asset is expensed out in the P&L. So, as the assets of the company increases, it means that there would be a continuous inflow of revenue.

Potentially of course the demand should be there, but there would be a continuous inflow of revenue even if you do not invest in new assets. Your top line will get saturated, but then revenue would keep on coming. So, that's the typical nature of the assets in this company. I hope I have

answered

answered your question on useful life.

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Prakash Sinha: Yes. It's really helpful. And sir, my second question was for Furlenco, the revenue growth year-on-year between FY '24 and '25 was 58.18%. However, the other expenses has decreased by 16.35%. So, could you please help what is the nature of the expenses?

Amit Kumar Gupta: I am not getting your voice on the second question. Probably I am missing it. So, if you can be a little bit clearer, that will help me.

Prakash Sinha: Yes. So, I am saying total revenue of Furlenco has increased 58% year-on-year. However, the other expenses has decreased by 16.35%. So, if you could guide us through what is the nature of these other expense because usually it consists of variable, which is expected to increase with the revenue.

Amit Kumar Gupta: So, Prakash, I would say that these are Furlenco specific functional questions. We are a shareholder in Furlenco. We do not run Furlenco, right? So, you can ask me questions related to shareholding and what I would be doing for Furlenco, but I won't be able to answer the very specific balance sheet sort of question for Furlenco. This you will have to ask the CFO of Furlenco.

Prakash Sinha: Okay, yes, it is helpful. Thank you.

Moderator: Thank you. The next question is from the line of Rishi Mody, who is an individual investor. Please go ahead.

Rishi Mody: So, just wanted to understand on the interest cost piece, right? So, firstly, you have seen interest rates reduction plus you have seen debt pay down happening. But our interest cost has remained constant for Q2 FY '26 over Q2 FY '25. Even if I compare the balance sheet from March versus September or last year September, we are down about Rs. 200 crores, Rs. 250 crores on the debt piece. So, just wanted to understand like what's the reasoning behind this?

Amit Kumar Gupta: So, interest cost in the last one or two quarters would have not gone materially down because more or less the net debt remains the same or the interest cost is on gross debt not net debt. So, that remains the same. But yes, in the first week of October, we have used all our financial investments of around Rs. 450 crores. We have encashed that and we have used that to pay off the debt. So, if you see previously and if you see in March, my balance sheet would have shown you a gross debt of around Rs. 700 crores to Rs. 800 crores. Post October not in the September balance sheet, you will see that it is coming down to around Rs. 400 crores sort of a number.

So, going forward, the expense that you should see on the interest cost would be of the Indian Rs. 400 crores, Rs. 450 crores and the overseas, around Rs. 300 crores, Rs. 325-odd crores, which should be somewhere around Rs. 50 crores to Rs. 60 crores per annum, but that would be post October, right? However, you would also not see other income to the extent it was visible earlier because the income from the investments was appearing in other income, which increased the number of the other income. So, broadly Rs. 40-odd crores per annum of other income and broadly around Rs. 60-odd crores of interest is what should be the phenomena going forward.

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Rishi Mody: Right. So, sir, let me understand this correctly. September 2025, your gross debt is about Rs. 1,000 crores, Rs. 1,020 crores, Rs. 1,016 crores, something on those lines. March '25 your gross debt was close to Rs. 1,200 crores, correct? So, that's a Rs. 200 crore reduction. And subsequently, your cash and cash equivalents, marketable securities have also come down by Rs. 200 crores, which explains your other income coming down. But your interest cost for Q2 is still the same. So, I am just trying to understand is there a debt reset or the rate reset, which has not happened yet on our debt? Or just trying to understand line

the two because net-net if I take expenses less other income as the net impact of debt reduction or that, we are worse off than we were last year. So, just trying to understand the two things.

Amit Kumar Gupta: No. So, you are referring to the balance sheet number at the end of the quarter. I can tell you that

during the last one year or so, there has not been a material movement in debt. It may be temporary. For example last year, there were certain payables of Kurlon to be paid, which we had retained as money with us for the performance of their obligation. So, it might appear to be a little bit inflated towards the end of the year. But if you refer to interest cost, I think on a company level because you see my P&L. Last year, my P&L would not be cash negative, but would not have generated any material cash, right? So, the debt levels though at the end of the quarter may appear to be different by Rs. 100 crores, Rs. 150 crores, but actually the debt levels have remained almost the same.

Rishi Mody: Okay. So, sir, what explains our other income going down from Rs. 20-odd crores per quarter to Rs. 11-odd crores for the last...

Amit Kumar Gupta: That was basically earlier it was invested in some sort of an arbitrage fund. But then we took that money out and invested in government securities. And if you refer to last six months in long-term government security curve, you will see that there is a reduction in the value of the paper that has happened though across the board, you would see interest rate reduction. But in government securities of course there was some sort of effective increase in interest rate leading to the reduction in the value of the paper. This I have explained in my last quarter's presentation if you refer to it. And so we had to take a negative MTM last quarter.

Rishi Mody: And so this and last quarter if we take out the negative MTM, going forward how much of your other income and finance cost, you told me Rs. 50 crores to Rs. 60 crores. So, that comes down to Rs. 15 crores per quarter. Other income should go back to Rs. 20-odd crores or it should come down?

Amit Kumar Gupta: No, no. It would be Rs. 7 crores, Rs. 8 crores because I have used all my investments to pay off my debt. My interest cost was Rs. 120 crores. If it comes down to Rs. 60 crores -- Sorry, go ahead.

Rishi Mody: Yes. So, basically, your PBT should rise by about Rs. 10-odd crores going forward, correct?

Amit Kumar Gupta: This is minor calculation. I think you can do an Excel and find out what happens. I am just giving you an indicative idea of how my debt structure has changed.

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Rishi Mody: Okay. Got it. Second, I just wanted to understand on the gross margin front, we have seen as in the raw material prices have come down, but gross margin has not expanded significantly in the domestic business. And international, we have seen gross margin expand, but Spain, we have not seen that EBITDA margin come off. So, if you could just explain gross margin not expanding in India and Spain EBITDA margins not expanding despite gross margin expansion?

Amit Kumar Gupta: So, because of reduction in raw material prices, our gross margins do not expand because that is passed on to the foam players. Yes, there would be a little benefit in terms of mattresses, but that would not be material in terms of impacting the gross margin to a very large extent. So, that explains the benefit that would come in gross margin would be from the cost saving initiatives, which if you see we have around 2%, 2.5% over the last one, one and a half years which has come. And the rest, as I explained, have been used for improving the business fundamentals which has led to the growth that we currently see.

Of course more expansion would happen. That would be subsequent to the around Rs. 60 crores left of savings that are yet to come. Th

at would lead partly to the expansion in the gross margins going forward. If you refer to the overseas business, overseas business gross margin has expanded and to a large extent, that has been transferred to the bottom line. So, if you see EBITDA margins last year, and if I remember correctly, was around 5%, 6% for both the entities. Currently, if you see for the first two quarters, it is (+8%). So, 250 basis points to 300 basis points improvement in EBITDA margins and commensurate improvement in gross margin.

Rishi Mody: Yes. On the international front, I am talking about Spain, particularly Australia, I see that it's flown down to the EBITDA margin. Spain, we have had 160 bps gross margin expansion, but a contraction of EBITDA margins by 100 bps. So, just wanted to understand the logic out there.

Amit Kumar Gupta: So, see, what I would suggest is because there are various different accounting principles in those countries basis which at times they make certain provision and then they release provisions. So, instead of looking at one quarter, I would suggest that you see their last year full year performance. And then if you see the difference in margins, you will find the transfer reasonable. Of course in Spain, the scale of business has gone up. Last year the volumes had grown by 15 % though it was not reflected in the top line. So, because of the increase in scale of business in Spain, the overhead to some extent has also gone up, which has not happened in Australia because the business volume remains the same.

Rishi Mody: Okay, got it. Alright, that's helpful. Thank you.

Moderator: Thank you. Ladies and gentlemen, in the interest of time, that was the last question. I would now like to hand over the conference over to the management for the closing comments.

Rahul Gautam: Thank you, everyone. Thank you, Rohan. Thank you, Trisha, for conducting this conference. Let

me just begin by saying that Q2 FY '26 has been a robust performance and completely in line with company's strategic direction of increasing the Indian part of the business, then increasing the mattress part of it in the Indian part, and that direction we can see that happening. We look forward to it growing or getting better and better as we go along.

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I just want to thank each one of you for all the questions. It has been a learning exercise as usual for us. And for the paucity of time or any other reason otherwise, if some of the questions were not answered enough or were not raised, please feel free to reach out to Amit, Rakesh, or myself. And in the meantime till the next call, I would just say thank you very much and Jai Hind and all the best. Thank you.

Rakesh Chahar: Thank you.

Amit Kumar Gupta: Thank you.

Moderator: On behalf of Sheela Foam Limited, that conclude this conference. Thank you for joining us. And you may now disconnect your lines. Thank you.

Call: Feb 2026

SHEELA FOAM LTD.

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CIN-L74899MH1971PLC427835

06th February, 2026

To,

The BSE Limited

Phiroze Jeejeebhoy Towers

Dalal Street, Mumbai -400001

Scrip code: 540203 The National Stock Exchange India Limited

Exchange Plaza, Bandra Kurla Complex

Bandra (E), Mumbai -400051

NSE Symbol: SFL

Subject: Transcript of Investor Earnings Call

Dear Sir/Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclose Transcript of the Investors/Analysts Earning Conference Call held on 04th February 2026 regarding the Company's operational and financial performance for the quarter and nine months ended 31st December, 2025.

The same is available on the website of the Company www.sheelafoam.com

You are requested to kindly take the same on records.

Thanking You,

Yours truly,

For Sheela Foam Limited

(Md. Iquebal Ahmad)

Company Secretary & Compliance Officer

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Sheela Foams Limited

Q3FY26 Earnings Conference call 04.02.2026

Sheela Foam Limited

Q3 FY26 Earnings Conference Call

Event Date / Time: 04/02/2026, 16:00 Hrs.

Event Duration: 59 mins 30 secs

CORPORATE PARTICIPANTS :

Mr. Gulshan Singh

Sunidhi Securities & Finance Ltd

Mr. Rahul Gautam

Chairman & Managing Director

Mr. Tushaar Gautam

Vice -Chairman & Joint Managing Director

Mr. Rakesh Chahar
Deputy Managing Director

Mr. Amit Kumar Gupta
Group Chief Financial Officer

Q&A PARTICIPANTS LIST:

- 1 Raghav Maheshwari : Kamayakya Wealth Management
- 2 Ravi Purohit : Securities Investment Management Private Limited
- 3 Bhavin Rupani : Investo
- 4 Rahul Agarwal : Ikigai Asset
- 5 Rishi Mody : RDM Advisory
- 6 Pranav Doshi : Ardeko Asset Management
- 7 Viral Shah : Enam Holdings

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Sheela Foams Limited
Q3FY26 Earnings Conference call 04.02.2026 Moderator

Good evening, ladies, and gentlemen, I am Madhuri, moderator for the conference call. Welcome to the Sheela Foam Limited Q3 FY 26 Investors Call. As a reminder, all participants will be in listen only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need any assistance during the conference call, please signal an operator by pressing, "*" and then "0", on your touch phone telephone. Please note this conference is being recorded.

I would now like to hand over the floor to Mr. Gulshan. Thank you, and over to you, sir.

Gulshan Singh

Yes, thank you, ma'am. Good evening, and very warm welcome to everyone. On behalf of Sunidhi Securities, I welcome you all to Sheela Foam Limited Q3 FY 26 Earnings Conference Call. Today, we have with us a management represented by Mr. Rahul Gautam, Chairman and Managing Director, Mr. Rakesh Chahar, Deputy Managing Director, and Mr. Amit Kumar Gupta, Group CFO. We thank Sheela Foam for giving us the opportunity to host the call. I would now like to hand over the floor to the management for their opening remark, post which we will open the floor for a Q &A.

Thanks, and over to you Rahul sir.

Rahul Gautam

Thank you, Gulshan, and thank you Madhuri. Good afternoon, ladies, and gentlemen. At the outset, let me thank you all for attending this conference call to discuss our operational and financial results for Q3 and for the 9 months ending December 25. I do hope you have gone through the results and the earnings presentation, which has been uploaded on our website. I am pleased to inform you that the merger of Kurlon is now complete in all respects with all requisite filings duly made with the Registrar of Companies.

Kurlon has emerged as a significant turnaround for the group. Prior to Kurlon acquisition, SFL on a consolidated basis was at an EBITDA margin between 10 -11%. At the time of acquisition, Kurlon's EBITDA was in the mid-single digit. We have continuously improved Kurlon's operations and have achieved a consolidated core EBITDA of the combined Indian operations of 10% for the last 9 months, which is completely in line with SFL margins of pre-acquisition of Kurlon. This we achieved with a 7% plus top line growth, and we will continue to focus on accelerating this growth going forward.

The synergies and integration benefits realized through this acquisition have created a meaningful value for the company. And we are confident that Kurlon will continue to contribute positively to our long-term growth and shareholder value. Our India business core margins have remained firmly in the double-digit

Q3FY26 Earnings Conference call 04.02.2026 range in Q3 and have been sustained consistently over 10% in the past 9 months as well. This reinforces our confidence to sustain margins while driving growth.

Our business segments have also shown remarkable growth this year, the volume growth for mattresses has been 11% YoY for the 9 month period. Value realization has also been almost at similar levels of 9% during this period with marginal impact of higher growth in the U2O segment, which is the unorganized to organized segment, which was erstwhile called as STI. Price increases across Sleep well and Kurlon products were implemented towards the end of Q3, and we expect their full impact to get reflected in Q4.

On the retail front, we added approximately 600 net new showrooms over the last 9 months, and remain on track to increase to approximately 700 showrooms by the end of the financial year. Kurlon showroom expansions, particularly in Northern India, continue to gain strong traction, underscoring the brand's consumer strength. In addition, we plan to operationalize select company owned, company operated stores over

the next 6 months to further gain some retail wisdom.

Additionally, we are developing pillows as a focused growth category within the home comfort segment with collaborations which are underway. Our E-Commerce business grew by 53% YoY over the last 9 months reaching net revenues of around 180 crores for the 9 month period, driven by a focused strategy, targeted consumer marketing, and portfolio expansion at value accretive price points.

Our unorganized to organized business, the U2O, which I had mentioned earlier, formerly known as STI, now operates through over 8,000 dealers in more than 5,000 towns in 24 states. The segment grew by nearly 100% over the last 9 months, reaching a turnover of 75 crores by December '25, and reaching a run rate of 120 crores supported by continued product innovation across mass, value and economy segments.

In Foam, volumes grew by approximately 20% YoY in Q3 FY 26 and by 12% over the 9 month period. Value growth stood at 12% in Q3 and 6% for 9 months impacted by lower raw material prices compared to a similar period of last year. With input costs firming up and reset price increases in place, we expect value growth to be in line with volume growth in Q4. We are continuously expanding our customer pipeline by identifying, investing, and developing new market opportunities to create a healthy sales pipeline. Overall, we remain confident in growth outlook of our India operations supported by strong brands, expanding distribution, and a disciplined execution as we continue to focus on sustainability and profitability in the growth.

Turning to our international business, our business in Dubai and the wider GCC region continues to progress in a steady and encouraging manner. We are already present through exclusive retail stores across each of the Emirates, providing us with a strong on ground foundation. In addition, we have entered into collaborations with leading local large format retail chains, which will further deepen our presence

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Sheela Foams Limited

Q3FY26 Earnings Conference call 04.02.2026 across the GCC over the next three to six months. To support this growing footprint, we have taken deliberate steps to enhance the responsiveness of our supply chain.

I am pleased to share that we have commenced local manufacturing, which we have outsourced for the proprietary Sheela Foam and Kurlon Sleep Solutions through a partnership with a UAE-based manufacturer. These initiatives are already helping us to reduce fulfillment timelines and improve service levels. Alongside our physical expansion, we have strengthened our digital and e-commerce presence across platforms such as Amazon and noon.com, and our own website which is also in full operation in Middle East. We remain focused on developing the GCC region into a meaningful and sustainable market guided by prudent execution and long-term value creation.

Turning over to Australia and Spain, I am pleased to share that both Australia and Spain businesses have delivered a marked improvement and a clear turnaround in their performance during third quarter. EBITDA margins for both geographies were around 12% in Q3, and stood approximately 10% for the first 9 months of the fiscal year. This improvement has been driven by disciplined execution across multiple levers. We have effectively leveraged our long-standing supplier relationships in India, diversified sourcing from alternate and cost-efficient markets, and maintaining consistent oversight to keep fixed costs and operating overheads well controlled.

In Australia, a focused effort on waste reduction has translated into tangible operational and financial gains. In Spain, improved pricing discipline and better sales realizations have supported the overall performance. Together these outcomes reflect the commitment of our teams to build a resilient and

sustainable international business.

A

As I had shared with you in the previous quarter that Furlenco had embarked on a plan to raise 125 crores of equity to support its next phase of growth. I am pleased to inform you that this initiative received a very encouraging response from the investor community. Sheela Foam also infused INR 30 crores alongside other esteemed investors. This confidence from new investors putting fresh monies reinforced our belief in Furlenco's long-term vision and strategy. This capital infusion would be sufficient to propel Furlenco to 500- 550 crores top line. Currently, we are already moving at about a run rate of 400 crores per annum.

I am also happy to share that Furlenco continues to progress steadily on its growth journey. As on date, it is at an annualized revenue run rate of 400 crores, which I just mentioned. For the first 9 months of this fiscal, Furlenco delivered a PAT of INR 18 crores and generated cash profits of 68 crores, which were reinvested for the growth of the business. Furlenco has built a strong scalable online business model; however, in the Indian consumer landscape, an omni channel approach integrating both online and offline touch points have proven to be the most effective routes to scale.

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Q3FY26 Earnings Conference call 04.02.2026 Consumers typically begin their purchase journey online, but prefer to visit physical stores to finalize decisions. As a result, leading digital first brands are now investing significant capital to establish offline presence. Furlenco enjoys a distinct strategic advantage through access to Sheela Foam's extensive retail network. Together Sheela Foam and Furlenco have developed a structured program to establish Furlenco's presence across large number of Sleepwell and Kurlon stores.

This partnership enables Furlenco to achieve a rapid capital efficient and diversified offline expansion. Significantly accelerating its omni channel growth. We remain deeply committed to building a sustainable and scalable business and keep leveraging across functional spend.

Staqa, our technology and digital solutions subsidiary, continues to grow and expand to play a critical role in strengthening enterprises, IT, analytics, and digital capabilities across sectors. It remained focused on platform consolidation, process automation, and data led decision support for business. I am pleased to share that till date it has been empowering more than 3 lakh subscribers on their enterprise solution Presence360. We see Staqa as a key enabler of productivity gains and long-term value creation for the Sheela Group.

Turning to our ESG initiatives, sustainability remains a core pillar of our long-term strategy and we continue to make steady progress against our selected sustainable development goals. We have operationalized a 500 kW solar power plant at our Jabalpur facility, and are in the process of installing an additional 1,000 kW of renewable energy capacity across other locations. We have also commissioned a 30kW sewage treatment plant at Nandigram reinforcing our commitment to responsible resource management. Equally important to us is our responsibility towards inclusive and sustainable social development.

Our CSR efforts are anchored around two focus areas; emotional wellness and skill development. I am pleased to share that our skill development initiative have enabled and empowered nearly 64% of participating young men, and women across various programs helping them secure meaningful employment or start their own entrepreneurial ventures. In the area of emotional wellness, our digital led initiatives have reached over 562 million individuals complemented by approximately 250 on-ground workshops engaging more than 14,000 participants. These efforts reflect our belief that a long-term value creation must go hand in hand with positive societal impact.

I will now request

our Group CFO, Amit, to take you through our financial highlights.

Over to you, Amit.

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Thank you, sir. Thank you for your inputs on our business and strategy. Just to update on the financials, our volumes and profitability in Q3 and 9 months FY'26, are well on our anticipated growth trajectory with sustainable margins. On a consolidated basis, our revenue grew by 7% on a YoY basis from 2,590 crores to 2,771 crores. And on a stand-alone basis, our revenue saw a growth of 6% from 2,013 crores to 2,143 crores.

As already appraised by Rahul ji, our mattress volumes continued to grow by 11% for Q3 and 9 months. Our foam volume saw substantial growth of 20% in Q3 and 12% for the 9 months. Our consolidated core EBITDA continues to be in double digit at 10.9% for Q3, expanding by 220 basis points YoY, growing from 84 crores to 117 crores. For the 9 months ending December '25, core EBITDA stood at 10.6%. On a YoY basis, it grew 34% from 219 crores to 293 crores, resulting in margin expansion of around 213 basis points.

I am pleased to share that our consolidated PAT for Q3 '26 was reported at 53 crores, a substantial jump of 3x on a YoY basis. Consequently, our 9 month PAT stands at INR 69 crores. This was due to higher profitability along with reduction of our interest cost in Q3 FY '26 as we repaid our debt liabilities. Historically, our business has been a strong and consistent generator of cash. Following Kurlon acquisition, our fixed asset base more than doubled resulting in higher depreciation charge and consequently a lower reported PAT.

However, this does not reflect the underlying cash generating strength of the business. To provide a clear picture, our consolidated cash PAT, which is defined as PAT plus depreciation plus noncash taxes or deferred taxes stood at 209 crores for the last 9 months translating into a cash EPS of approximately INR 19 per share. Additionally, interest costs are declining meaningfully as acquisition related debt is being repaid, which will further support improvement of reported PAT going forward. With the uptick in the raw material prices towards the end of the last quarter, along with price increases that we have taken in both metrics and foam segments, we expect additions to both revenue and profitability going forward. As part of asset monetization, we have recently sold the land parcel in Jhadagia, Gujarat.

Till date, we have been able to garner a total of around 100 to 125 crores from asset monetization, which has all gone to reduce our debt level. With this, I request the moderator to open the floor for question and answer.

Moderator

Thank you, sir. Ladies and gentlemen, we will now begin the question-and-answer session. If you have a question, please press "*" and "1" on your telephone keypad and wait for your turn to ask the question. If you would like to withdraw your request, you may do so by pressing "*" and "1" again. Participants are 7

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Q3FY26 Earnings Conference call 04.02.2026 requested to kindly restrict with two questions in the initial round. First question comes from Raghav Maheshwari from Kamayakya Wealth Management, please go ahead.

Raghav Maheshwari

Hi, thanks for the opportunity. First of all, congratulations on a great set of numbers. Sir, my first question is on the margin side. Are these margins sustainable going forward? And what drove this uptick in the margin when we look at YoY?

Rahul Gautam

Amit?

Amit Kumar Gupta

We have been continuously improving margins for the last three quarters. As we had been discussing in our earlier calls also, the driver of these are two; one, improvement in our cost structure from the synergies that we had gained because of Kurlon acquisition, and, secondly, a growth in the top line. We have reached

a 10% sort of a margin, but our journey still continues, and we hope that not only retention, but we should be moving towards improving these margins in the quarters going ahead.

Raghav Maheshwari

Thank you, and sir, the next question is regarding the mattress segment. Sir, I wanted to understand which

mattress segment are you seeing the most of the growth coming in , like is it Tarang or A aram or some other price segments?

Rakesh Chahar

So, it is coming both from the offline, which is -- Kurlon is growing a bit faster . Because the nature of the business is MBO based, and, we have taken a drive on making the showrooms for K urlon . So that has worked out well , and the second would be on the e -com site , where we have experienced good growth on the brand.com. So there, our growth has been upwards of 50%. And the last, but not the least, would be the U2O , unorganized to organized, so there also, we have experienced good growth. The accumulation of all this has resulted in the number growth.

Raghav Maheshwari

But I wanted to understand which price segment mattress is seeing the most traction as of now in the current demand landscape?

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Rakesh Chahar

Our ASPs have gone up on the off line. There is a different approach for the A CoS where we are driving the ASP. Our ASPs have gone up both for Sleepwell and Kurlon in offline. So, the numbers are going up on the higher side. The ASPs have gone up , and as far as the e -com is concerned, there is a premiumization. Our ASPs in the e -com has also gone up , and has also gone up in U2O. So, we are basically targeting a little higher premium in all these key segments.

Rahul Gautam

If I just add to what Rakesh sir has said, the offline segment, the median value is around 14 000-15000, and on the online segment, it's more like 9 000-10000. For the growth to happen, it will always be around the median numbers here. But the constant effort is to keep pushing that up, and that is what we will see in the coming times. You know, that 15 000 going to 16000, 17000, and on the other side the 9000-10000 segment going to about 10 000-11000.

Raghav Maheshwari

Okay, sir , that helps. And then lastly, [inaudible 00:23:27]

Rahul Gautam

Raghav, you will have to speak, it's not coming through clearly , just have to speak a little louder, please.

Raghav Maheshwari

Sir, this is about the rate increase that you were talking about in the initial note. Sir, what sort of impact are we going to see in Q4 numbers because of this rate increase? I mean, can you put it in percentage? Like, how much percentage?

Rahul Gautam

I mean, the price increases are not any phenomenal price increases. I generally take the inflation , which is a low number , and some raw material changes that come . But it is of the order of between 4 -5% here .

Raghav Maheshwari

Okay, so, there is no major impact on the [[interest]], right ?

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Q3FY26 Earnings Conference call 04.02.2026 Rahul Gautam

Not really , no. And, please appreciate that as far as mattresses are concerned, anything of the order of this 5% or something like that is not a determining factor for somebody who is buying a mattress here. He looks at a range , he looks at a price point and a round that INR 100-200 here and there, that is not impactful. But we are mindful of this that price should be not exorbitant. They should be within the, price

segment that you are looking at , and at the same time we do account for the inflation that needs to be catered to.

Raghav Maheshwari

Okay, sir , those are my questions, sir , all the best.

Moderator

Thank you, si r, the next question comes from Ravi Purohit from Securities Investment Management Private Limited , please go ahead.

Ravi Purohit

Hi, thanks for taking my question. Sir,

n ow that the Kurlon acquisition is done , and [inaudible 00:25:25] is also done, and we are seeing benefits, can you just kind of share some thoughts on the combination of this Furl enco investment with Kurlon and Sleep well, all of this put together, how do you kind of envisage our growth numbers over the next few years?

And I think we had maintained or we had spoken about expansion in the margins over the medium term. Do we kind of still stick to those ranges of 13 -15% EBI TDA margin? If you could just share some more insights. And also for Furl enco, I think , we have made further investments in the last one year. So, w hat valuation have we invested in for Furlenco? And what is our long -term kind of plan on Furlenco ?

Rahul Gautam

Amit

Amit Kumar Gupta

Yes, you are right. Post Kurlon acquisition, we had talked to the investors, and we set ourselves a target of 15% growth with a 15% EBITDA margin , on which we have been speaking very strongly. That journey is currently underway. We are halfway towards it. Our target still remains the same, and now we see it with a little more clarity than what we did in the last quarter or the quarters before. So, the visibility is now 10

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Q3FY2 6 Earnings Conference call 04.02.2026 better. Secondly, on the valuation of Furlenco , the recent issuance was done at a valuation of 10 50 crores for the company , in which we participated to the extent of 30 crores , and the remaining 95 crores were brought in by new investo rs which the company had got into the cap table.

Ravi Purohit

Okay. Amit ji, one clarification , in our P &L, we have this 180 crore annual amortization and depreciation , right? I think you have mentioned in the previous call s that we do not need any further C apEx to invest. So, c an you just kind of help us understand how much is the typical maintenance CapEx that we will need to kind of spend every year? So, this 180 crore depreciation and amortization amount minus that mainte nance CapEx, effectively the cash [[that]] comes back to the business, right, in terms of helps in deleveraging ? If you could just quantify and help us understand how much is maintenance CAPEX that we expect to spend every year over the next few years on the total?

Amit Kumar Gupta

Yes, you are right we have capacity post Kurlon coming into our fold. We have now capacity sufficient to take us to 2X to 2.5X of our current capacity except for certain debottlenecking CapEx , which we might do or need to do here and there. Some improvement CapEx , which we would always do, which has a payback period of 1.5-2 years.

So, there are always opportunities in the business, and thereafter, the maintenance CapEx . With all these togeth er, we anticipate around 100 odd crores CapEx in India , and around 25 odd crores overseas. So, a total of 125 odd crores including the efficiency and the debottlenecking CapEx . Maintenance CapEx should be around 30 -40% of this.

Ravi Purohit

Okay, sir, I think you had mentioned in the last call that we had reduced our debt by about 400 odd crores

in the 1st week of October. Subsequent to the sale of this land in Gujarat, if you could just quantify how much has our debt dropped off between, let's say, 30th September and till date, totally?

Amit Kumar Gupta

Yes, we paid our debt by around 400 crores . Because there were 400 crores of cash investment lying in our balance sheet. We, had raised more capital at the time of Kurlon acquisition because it was an acquisition equivalent of our size, and we needed to keep cash on the balance sheet. But as Kurlon stabilized, that cash was no more usable, and hence, we used it to pay off the debt. That is in the first week of October, which I mentioned in my last call.

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Q3FY26 Earnings Conference call 04.02.2026 As regards to your second question, so Jhagadia , w

e recently sold, and we also sold two or three properties in Bangalore and around that area. Together, we have, got a cash of around 100 -125 crores, which has fully gone to pay our debt. Now if you ask me what is the debt levels today, I can tell you that the net debt levels in India are less than 300 crores , and overseas is around 325-350 crores . So, the total net debt at a consolidated level should be somewhere between 600 -650 crores excluding lease capitalization.

Ravi Purohit

Okay. , congratulations on a good set of numbers, and all the best for the future.

Amit Kumar Gupta

Thank you.

Rahul Gautam

Thank you, Purohit.

Moderator

Thank you, sir , the next question comes from Bhavin Rupani from Investec , please go ahead.

Bhavin Rupani

Yeah, hi sir. Thank you so much for the opportunity. Given we do not have any major CapEx plans in your term, any plans or thoughts to declare dividend?

Rahul Gautam

Good question. And we just finished a Board meeting yesterday. So, I would say that definitely the whole process is being reviewed , and obviously, we will take a final call as the year gets over. But I don't know how much I can say, but let us say, our thoughts are very similar to yours.

Bhavin Rupani

All right. And given stock prices also corrected over past one year, would management ever look to buyback options? Any thoughts over here also would be really helpful.

Amit Kumar Gupta

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Q3FY26 Earnings Conference call 04.02.2026 We have not given any thought to it as of now. Currently, we were involved in improving the businesses and going forward, though that will be our focus area, but we will let you know whenever any of this type of intent is discussed in the company.

Rahul Gautam

Amit, there was something in this budget also about buyback options?

Amit Kumar Gupta

Yes, buyback is now treated as capital gains.

Rahul Gautam

It is capital gains.

Bhavin Rupani

Alright . Sir, my next question is on A aram and Tarang. Can you please share proportion of volume contribution which comes from this category for this quarter as well as last year Q3?

Rahul Gautam

I think [inaudible 00:32:12] will take that. But, primarily, let's just stick to the last quarter.

Amit Kumar Gupta

No, sorry. We have given an indication of how much this category has grown and what is the total value of this category. Beyond that, we have not been sharing information as to volume numbers, not because we cannot share , but primarily because it becomes a more detailed information , then led to every circular sort of a discussion which we do not want to get into. So, my request would be that we will continue to communicate the growth in these two areas and the amount that these two categories bring to us as revenue. But as regards to volume, my suggestion would be that we'll look at a consolidated total mattress volume.

Bhavin Rupani

Alright , fair point, sir. And one more question on synergies . Of the total 2 .5 billion of synergies that we have been talking about post Kurlon acquisition, you had indicated almost 2 billion is already in the

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Sheela Foams Limited

Q3FY26 Earnings Conference call 04.02.2026 numbers and balance of 0.5 billion to be reflected by Q4. So, what is the status over your and what is incremental synergies still pending, which can be reflected in future quarters going ahead?

Amit Kumar Gupta

So, you are right, and we are perfectly on track. 200 crores is what we had realized till the last quarter. In this quarter, we had not forecasted because the remaining synergy of around 30 -40 crores was primarily on account of the introduction of the new material , and the setting up of the machinery, which was already ordered from overseas. That machine is on way and almost on the phase of reaching our facility, and we hope t

o install it by the mid of this quarter. So, you may see some results of that in the current quarter, but full results would be available in the first quarter of the next financial year. However, all this will be done, implemented, executed and converted by the end of the current financial year.

Bhavin Rupani

Fair point. Sir, last question , you indicated our long -term vision is for 15% revenue growth, 15% EBITDA margins. But would you like to give any guidance for FY27 -28 on revenue and EBITDA margins?

Amit Kumar Gupta

So as far as growth rate is concerned, we are continuously working to enhance our growth rate to 15 %. Now very difficult to commit the quarter on which it will be achieved, but we will try to achieve earlier than later. As far as the margins are concerned, as specified earlier, we would be reaching around 14-15% in FY28 , but somewhere in between the current margins and 15% in the next year.

Bhavin Rupani

Alright, thank you so much, sir.

Rahul Gautam

Thank you.

Moderator

Thank you, sir, the next question comes from Rahul Agarwal from I Kigai Asset, please go ahead.

Rahul Agarwal

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Sheela Foams Limited

Q3FY26 Earnings Conference call 04.02.2026 Yeah, hi, thank you so much, and very good evening to all of you. Few questions got answered. So just to clarify, firstly on the growth outlook, I still see some gap on volume and value growth for the mattress business as well as for the foam business. Any comments on how does it converge going forward? You obviously talked about price hikes, but should we assume that largely volume will be equal to value growth going forward, let's say, next 2 years on foam and mattress separately?

Amit Kumar Gupta

As I mentioned, and if even if you see the average raw material price in '24-'25 was higher than what we have seen in '25-'26, around 15-20%. In mattress, we do not pass a lot that almost gets absorbed, and that is why you see a parity between value and volume in the mattress segment. But in the foam segment, it has to be passed off to the ultimate consumers, whichever category it may be. So, there is a disparity between the volume and the value growth in the foam segment. The current increase in prices to some extent will offset that disparity, but we are still a little bit lower than the average price of '24-'25.

So, you may not see them exactly mapping up, but if the price goes up further in the next 2-3 months, yes, it may. But in current prices, there would still be some gap, though the gaps will be narrowed.

Rahul Agarwal

Just on the mattress side, I still see, like, a 7% value growth and 11% volume. So, what explains that gap if we are not basically [inaudible 00:37:12] selling price, but our raw material price is lower?

Amit Kumar Gupta

No, it is not on mattress. It is, 7% value growth. Mattress is around 9% value growth and 11% volume growth, if I am correct.

Rahul Gautam

Yeah, that is right.

Rahul Agarwal

Okay, so –

Amit Kumar Gupta

So that is primarily -- So, there is a 2% gap. See 1 or 2% gap monitoring is very difficult because even in the mattress segment, if you see, there are mattresses which are sold across the segments. So, starting

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Sheela Foams Limited

Q3FY26 Earnings Conference call 04.02.2026 right from INR 4,000 to INR 40,000, INR 60,000, INR 70,000. So, it may happen at times that you sell a higher priced mattress or a lower priced mattress, which may create a percent or 2% disparity.

And to some extent, because the growth of our U2O segment and the online segment was higher than the offline segment, that also impacts the value and volume growth. But empirically, if you see, on a YoY basis, or even on a QoQ basis, you will find that there is not much of a difference between the two. Because on one side, there is a U2O and E-Commerce segment. On the other side, we are premising our offline segment. Even the E-Comm segment what Rahul ji just mentioned. The quantum of deterioration because of selling low price segment is offset by the premiumization of the higher segment. So, 1% or 2% may be there, but you will not see a material difference between value and volume growth.

Rahul Agarwal

Got that. And just in terms of overall revenue growth, with 9 months, I believe, on a consolidated basis, we have grown about 7% , is that correct on value basis?

Amit Kumar Gupta

Yes.

Rahul Agarwal

I am just thinking when you guide for a 15% growth, over a medium term, let us say, 3 years , are we talking about, the same number like to like, 7 to moving up to 15, or are we talking about anything else here?

Amit Kumar Gupta

Yeah , we are talking about 7 to moving up to 15. Based on past year growth, suppose this year we landed at, the next year we anticipate it to be 1.15x.

Rahul Agarwal

Okay , that clears. The second question on the cost side, I mean, a lot of line items in the P & L are flattening out on a YoY , QoQ basis. As you said, your margins also are expected to go up further from here on . And there is some bit of savings which are left to be benefited from starting from the new machines , but overall, how do you look at your cost items going into next 2-3 years? Will that reflect largely inflation growth going forward or is the company investing more into marketing, advertisements, Sleepwell , and that should also play out over the next 2 years?

Amit Kumar Gupta

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Sheela Foams Limited

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Rahul, this is a function of what is the growth that you achieve. So based on a 15% growth, I can say , that in fixed cost, because in other cost, there are both fixed and variable. In fixed cost, it should be pure inflation, plus minus 2%. On a variable cost, it would not be fully proportional to the growth in revenue, but, yes, it will be higher than inflation. So, you would see a mix sort of a bet. For example, if top line grows by 15%, you should see a 10% growth in the cost.

Rahul Agarwal

Got it , there is still some bit of [[up]] level is what we are thinking in terms when the growth goes to 15%, maybe we will get that operating leverage benefit going into next 2 years, right?

Amit Kumar Gupta

Yeah, so that will come one, but this is a very flexible sort of cost structure because we have marketing expenses here, which are totally flexible. If the growth is not achieved, we can always scale it back. So, if the growth is, say, for example, which we do not even want to say now, the growth instead of 15%, let us say 10%, I think we should be able to retain our cost at around 6 -7% growth. If you see our cost structure this year, you would not see any inflation except for that impact [inaudible 00:41:34] instrument , our cost structure is more or less flat as compared to last year. So, that flexibility our structure offers , that in case things don't turn out to be good, you can always scale them back.

Moderator

Thank you, sir , the next question comes from Rishi Mod y from RDM Advisory , please go ahead.

Rishi Mody

Hi, am I audible?

Rahul Gautam

Yes, please.

Rishi Mody

Yeah, Amit ji, first question for you. We have gotten a 16 cr other income in this quarter. I remember last quarter, you had guided that post the debt paydown, we will have some 7-8 cr per quarter other income. So, is there anything which is nonrecurring as a part of the 16 cr?

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Q3FY26 Earnings Conference call 04.02.2026 Amit Kumar Gupta

This 16 cr has different components. It has wastage sale. There are, some investments in the 1st week of October. There were so some incomes from those investments. Then, 4-5 heads are there. I would not see them as very volatile. This time, it has been good 15.66 crores. It

should not be INR 8 -9 crores, as I

told last quarter, there are certain improvements that we have done to this. So, it should be in the 10 -12 crores range.

Rishi Mody

Okay, got it, so, we can pin down and say 40 -50 cr for the coming year, at least on the other income piece?

Amit Kumar Gupta

Minimum, you can do that.

Rishi Mody

Got it. Second, on the raw material pricing and the subsequent price hike that we have taken, like, we have taken a 4 -5% price hike as Rahul ji mentioned right now. And you are not seeing an impact on the volumes yet, but has the market as a collective taken these price hikes, say, the new-age players, Sleep Company, Wakefit, DuroFlex, all of these guys? Or it is us who have led this price hike and others have not followed?

Rakesh Chahar

So, on the mattress offline side, most of the brands including the regional players have taken price hike. On the home side, which is much quicker because there have been multiple price increases to offset the raw material increase. Online, the price increase has not happened so far. So, on the online, we are operating at a similar level, and we are just waiting for some more visibility on the raw material before any action is taken. So right now, online is the only one where the price increase has not been passed on.

Rishi Mody

All right, and on the off line piece, the competitive intensity given now one of the players is listed and the other one is coming to listing, and they would want to show profitability, has that kind of reduced in your opinion? Or like they are rationalizing pricing or the competitive intensity still remains high on the discounting front?

Rakesh Chahar

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I think that there is no change as such that they have reduced the competitive activity. That is there. But I think with some more time, it will play out. I am assuming that we have also gone through that process that some discipline in terms of both top and bottom line does come in. So, we are hoping that it will be more level playing field going forward.

Rishi Mody

Got it. And we have not vacated any price points, last time, I remember we vacated some price points, which was exploited by competition. So, our range remains at almost every price point, is it not still the case?

Rakesh Chahar

Yes, we have not vacated anything.

Rishi Mody

Got it. Tushar, I am assuming you are leading the COCO stores charge. So just if you could explain what are you all doing differently versus, say, a premium franchise owned franchise operated store? Is this like a large experiential store and then the order flows through the franchisee, or the order comes directly to us? How are the unit economics looking for these COCO stores?

Rahul Gautam

This is Rahul answering, Tushar here is not available at the moment. So, these COCO stores were actually inherited with the Kurlon transaction. And they were almost about 40-50 of them, and then eventually closed down a few, and we are currently running 24 of them. The exact format of them is that they are a little bigger. They do sell mattresses, which are both Sleepwell and Kurlon, and they also sell accessories, which should we call them as experience stores? Probably not. Should we call them as large EBOs? Probably not because they also sell a sizable quantity of accessories. I think this format is just evolving.

We are going to address the issue. But at the moment, there is no crystal clarity on exactly how we want to do it, but they are profitable. They make a positive EBITDA, and they are lending a lot of information and lot of experience, which as a company or as an organization, we are absorbing. So, I think you should see more clarity on this in another quarter or another couple of months' time.

Rishi Mody

Got it.
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Moderator

Thank you, sir, participants are kindly requested to restrict with two questions in the initial round. And the next question comes from Pranav Doshi from ARD EKO Asset Management, please go ahead.

Pranav Doshi

Hi, thank you for the opportunity, and congratulations on a good set of numbers. So first of all, on the international business, I just wanted to ask that, let us say, in both Australia and Spain, our other expenses in absolute terms, they remained almost exactly the same while our revenue has increased. So, let's say, going ahead, how do you look at the cost structure in these businesses and I like what kind of a leverage do you expect going ahead? Is it a one off or can this sustain going forward?

Amit Kumar Gupta

So, Pranav, there is lesser inflation in those countries. So, costs don't increase to that level. Our intent would be to restrict them as much as possible. Because you don't see every year a 10-15% growth there. Normal growth expectation would be around 5-6 odd percent from those countries. To maintain profitability, our intent would be to restrict it. But that being said, there are certain inflationary impacts, so you may see minor increases in overhead costs there.

Pranav Doshi

Okay. So, then can we sustain like the 12%, 12.5% EBITDA margin that we have done in this quarter or is it at the higher end would you say, sir?

Amit Kumar Gupta

No, I would say that in overseas operations, like even if you see the nine month average, it is around 10% odd. So we anticipate it to be at approximately 12% going forward.

Pranav Doshi

Okay, great. And just on our EBO strategy, so what would be the total number of EBO's that we are operating as of Q3 FY26 as of the end of that?

Rahul Gautam

Sheela Foams Limited

Q3FY2 6 Earnings Conference call 04.02.2026 So, the total number, if I put both the brands together, Sleepwell and Kurlon, so that total number would

be close to 3,800. Out of which, the majority is in Sleepwell, about 2,900. And this I am talking about the showroom format where we have our display – according to display, and Kurlon is about 900. So total about 3,800 is the showroom format, is there.

Pranav Doshi

Okay.

Rahul Gautam

Then you have category exclusive dealers in Sleepwell, which is a large number, which is 2,500. But these are small format retail, which are dealing in multiple categories, like handloom shops and also keeping a mattress of Sleepwell. So there, these are classified as EBO's who are -- who don't have a display as such. They just stack the mattresses vertically of our brand.

Pranav Doshi

Right. So sir, my question was that, let us see even for Q2 in the presentation, we had mentioned that we are operating 5,300 EBO's, and I think that is the number that you've touched upon even today. And even incrementally, let's say you were hoping to add 800 EBO's for the year, and now I think we are -- you cut it down to 700. So like, can you explain what is the strategy, and why have we cut down our target, and how are we looking at it?

Rahul Gautam

See, as far as the Sleepwell is concerned, right now the strategy is to expand the showroom format, so both for Sleepwell and for Kurlon. So we had taken up a target like you rightly said, about 800, and we are hopeful of closing at 700. And these will be all different format, a Shopee format and a world gallery format. For Kurlon, it will be home and corner. So this expansion is a key driver for growth, because we, even now our penetration in terms of number of outlets is still not there where we want to be. So at least for next three years, I see this drive to continue on expansion.

Pranav Doshi

Okay.

Moderator

The next question comes from Rishi Mody from RBM Advisory. Please go ahead.

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Rishi Mody

Yeah hi, thank you for giving me the chance again. Rahul ji, if I remembered correctly, you once mentioned that the Australia subsidiary of yours, given its kind of matured in growth and possibly on profitability, you were looking to exit or sell that business. Is that still in the plan or are we seeing something else there?

Rahul Gautam

Number one, things on ground keep changing all the time, and since its not a -- not many companies that operate there. There are primarily three big people. One is us, the other is the main competitor, and the third is a little smaller one, and then we have some three, four other very, very, very small people.

The ground reality is changing for sure. So the main competitor is -- it appears that he is wanting to exit. He had put up his business for sale about a year back. Did not find any takers, and it's a bit of a complex business that he runs. As I said, it is looking like that it is shrinking. So we are watching the situation. If it is getting us a lot more business, both in terms of volume as well as in value, we may want to.

But at the same time, we have -- I mean, are we close to the thought? Absolutely not. But this is a new angle to it or a new tangent to it, which is there. So, it gets profitable. It gets okay. It continues to grow. After all, we are heavily invested in there, in two big plants which are there. So we'll wait and watch on

that.

Rishi Mody

Okay, got it.

Rahul Gautam

But it is possible that somebody may kind of come along and wants to invest in that business, which may be a larger business than what we run. So, we'll wait and watch that.

Moderator

Thank you, sir. The next question comes from Viral Shah from Inam Holdings. Please go ahead.

Viral Shah

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Sheela Foams Limited

Q3FY26 Earnings Conference call 04.02.2026 Yes, thank you for the opportunity, sir. Sir, just a clarification to one of the previous questions. You mentioned 15% revenue growth and 15% EBITDA margin. So, you mentioned that this is on a consolidated basis, right, and not just the Sheela Foam and the Kurlon branded business? So just to clarify that.

Amit Kumar Gupta

This is India business. [Indiscernible 00:55:02] Yeah, because this is 80% of the business, so it may be instead of 15%, it is 14%, 14.5 % on a consolidated basis, because overseas business could also be at 10%, 12% sort of a level. But when we say 15% -15%, it is India business, because overseas business can't grow at 15%.

Viral Shah

Okay, but when you say India business, you include the rest of the part of the business also, which is the technical forms, intermediate grades and all, furniture, [Indiscernible 00:55:30] everything?

Amit Kumar Gupta

Exactly. So total Sheela Foam plus Kurlon.

Viral Shah

Okay, perfect. Thank you for this clarification. The second is on the TDI and polyol prices. Can you just guide what were the per kg price in Q3, and how are they behaving currently?

Rahul Gautam

Rakesh?

Rakesh Chahar

So Q3 TDI was -- towards the end it was about 210 and currently also it is at the same level. But unfortunately one of the major suppliers to Indian market, GNFC, they had a shutdown. So because of which the prices of the market have shot up, because there is a supply gap which is there. So currently it is people who are getting imports or getting some from GNSC. That is still at about 210. Otherwise, the market price is today upwards of INR 240. But this is a temporary phenomenon. We are all hopeful that the plants will resume production by 20th of February, and then I think they should be again stability.

Viral Shah

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Q3FY26 Earnings Conference call 04.02.2026 Sure, and what will the polyol prices be?

Rakesh Chahar

Polyol is currently, again towards the end of Q3. It was around 118, 120

at the port, and today it is about 123, 124. So that is the level that it is operating today.

Viral Shah

Perfect, great. Thank you so much for this.

Moderator

Thank you, sir. The last question comes from Bhavin Rupani from Investec. Please go ahead.

Bhavin Rupani

Hi. Thanks for the chance again, sir. Sir, on Comfort Foam and Technical Foam, this segment has reported 27% and 20% volume growth in Q3. So how should one understand this? Can you throw some light over your other reason behind the sharp jump over here?

Rakesh Chahar

I think the market is, of course, large and growing. It's a highly competitive part of the industry. We have -- let's say -- I would say we have renewed or reviewed focus on distribution and a few grades of foam etc., which have made this growth possible. But these possibilities will always kind of exist or may present as an opportunity to you, and that's this part of it. But once this organization or reorganization has taken place, the growth should continue.

Bhavin Rupani

All right, that's it sir. Thank you so much.

Amit Kumar Gupta

Thanks, Bhavin.

Moderator

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Thank you, sir. There are no further questions. Now I hand over the floor to Mr. Rahul for closing comments.

Rahul Gautam

Thank you. Thank you, ladies and gentlemen, for taking out this time to engage in this session. I hope we have been able to answer all the queries to your satisfaction. In case you have any further queries, you may get in touch with our investor relations team or the Group CFO. And as always, I must confess that it was a huge learning exercise for us too. Thank you very much, and have a good day!

Rakesh Chahar

Thank you.

Moderator

Ladies and gentlemen, this concludes your conference for today. Thank you for your participation, and for using Door Sabha's conference call service. You may disconnect your lines now. Thank you, and have a pleasant evening!

Note: 1. This document has been edited to improve readability
2. Blanks in this transcript represent inaudible or incomprehensible words.

Call: May 2026

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May 19, 2026

To,

The BSE Limited The National Stock Exchange India Limited

Phiroze Jeejeebhoy Towers Exchange Plaza, Bandra Kurla Complex

Dalal Street, Mumbai -400001 Bandra (E), Mumbai -400051

Scrip code: 540203 NSE Symbol: SFL

Subject: Transcript of Investors' Conference Call for Quarter and Year ended March 31, 2026 Financial Results.

Dear Sir/Madam,

Please find below the transcript of Investors' conference call organized on May 15, 2026 post declaration of financial results for the quarter and year ended on March 31, 2026 for your information and records.

Thanking You,

Yours truly,

For Sheela Foam Limited

(Md. Iquebal Ahmad)

Company Secretary & Compliance Officer

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"Sheela Foam Limited

Q4 FY '26 Earnings Conference Call"

May 15, 2026

MANAGEMENT : MR. RAHUL GAUTAM – CHAIRMAN AND MANAGING
DIRECTOR – SHEELA FOAM LIMITED
MR. RAKESH CHAHAR – DEPUTY MANAGING
DIRECTOR – SHEELA FOAM LIMITED
MR. AMIT KUMAR GUPTA – GROUP CHIEF FINANCIAL
OFFICER – SHEELA FOAM LIMITED

MODERATOR : MR. RITESH SHAH – INVESTEC

Sheela Foam Limited

May 15, 2026

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Moderator: Ladies and gentlemen, good day, and welcome to Sheela Foam Q4 FY '26 Earnings Conference Call hosted by Investec Capital Services India Private Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone.

I now hand the conference over to Mr. Ritesh Shah, Co -Head of Research Analyst, Midcaps, Materials and ESG from Investec Capital Services India Private Limited. Thank you, and over to you, sir.

Ritesh Shah : Thank you, Shailendra. Thank you all for joining on to Sheela Foam Q4 FY '26 and FY '26 Earnings Conference Call. We have with us Rahulji, Chairman and Managing Director. We have with us Rakeshji, Deputy MD; and Amitji, Group CFO. I would request Rahulji to start the call with initial remarks, post which we'll have a Q&A session. Over to you, sir. Thank you so much.

Rahul Gautam : Good afternoon, ladies and gentlemen. At the outset, let me thank you all for attending this conference call to discuss our operational and financial results for quarter 4 and the financial year ended March 2026. I do hope you've gone through the results and the earnings which have been uploaded on the website. FY '26 has been a year of implementation of the benefits of the Kurlon acquisition and its integration with Sheela Foam.

Both Sleepwell and Kurlon brands delivered strong growth, and our foam segments also recorded commendable momentum. The broad -based performance has translated into a healthy growth across both revenue and profitability. I am pleased to share that the company achieved several milestones in FY '26, including highest ever annual foam production, highest ever top line and the highest ever EBITDA.

This reflects the strength of our integrated platform, focused on execution and a continued commitment to a profitable growth. We are also cautious and remain watchful of the evolving situation in the Middle East and its potential implications for raw material availability and the supply chains. The company till now was able to navigate this environment without any material disruption, and I hope that we continue to do that.

Our long -standing supplier relationships, both in domestic and international markets ensured continued availability of key raw materials such as polyol and TDI. This ensured that the customer servicing without disruption and also increased the top line in quarter 4. This reflects the resilience of our sourcing network and the strength of our supply chain relationship. For Q4 of last year, our Indian operations, which are now our stand -alone business, demonstrated a revenue growth of 24%. For full year FY '26, the growth was 11%.

The volume growth for full year was around 15%. This should also further show positive movement as selling prices are bound to be higher in FY '27 as compared to FY '26. And we are all aware that the higher raw material prices will be contributing to that.

The core EBITDA margins for Q4 climbed to 11.5%. For full year of last fiscal, the core EBITDA margin stood at 10.7%. This indicates that we are already in an 11% to 12% bracket and should move further onwards with growth. The Kurlon acquisition has moved beyond Sheela Foam Limited

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integration and is now visibly contributing to the group's operating performance. Our business segments have also shown healthy growth during the year. Mattress volumes grew by 13% year -on-year in quarter 4 FY '26 and by 12% for the full year. Value growth in the Mattress segment was 13% in Q4 and 10% for FY '26.

Growth during the year was well distributed across both Sleepwell and Kurlon, supported by deeper distribution, sustained b

rand investments, sharper channel execution and the benefits of

a more integrated platform -- operating platform. On the retail side, we added approximately 600 net new showrooms during FY '26. This further strengthens our market reach. Kurlon showroom expansion, particularly in Northern India, continued to gain encouraging traction. Alongside this, we also continue to develop adjacent home comfort categories, including pillows as part of our broader effort to deepen consumer engagement across the comfort portfolio. Our e -commerce business also continued to scale strongly during FY '26. Sales on our own websites, which we call as brand.com, grew by 136% year -on-year and sales on platforms grew by 39% year -on-year. This performance has been driven by a focused digital strategy, targeted consumer marketing, a sharper online portfolio and better alignment between product pricing and fulfillment capabilities. The My Mattress proposition and our online -led consumer initiatives have helped strengthen our direct engagement with consumers.

Our unorganized to organized business, which we earlier used to refer as STI or Small Town India, a small town India initiative business now operates through 8,400 dealers and reaches over 5,000 towns across 24 states. In FY '26, this U2O business delivered volume growth of 65% and value growth of 111% on a year -on-year basis.

This growth has been supported by continued product innovation and by strengthening deeper distribution reach in the market. In Foam business, for Q4 FY '26, volumes grew by 34%, while value grew -- growth was 36%, aided by better price realizations. For the full year of last fiscal, volume growth was at 18%, while value growth stood at 14%. This growth was supported by a broader customer pipeline, disciplined market development and a continued focus on higher -

value applications.

Overall, our India business delivered a strong FY '26 performance, driven by the strength of our brands, expanded distribution reach, sharper channel execution and sustained operating discipline. The year also demonstrates that growth and profitability can move together when the business is integrated well and execution remains consistent. I'm also pleased to share that the Board has recommended a dividend of 20% for FY '26, subject to approval of shareholders. This is a significant milestone for the company as the profitability of the business has enhanced after successful integration of Kurlon and with significant reduction of debt levels, the group has strengthened its cash generation profile, enabling it to share profits with shareholders. This marks the first dividend recommended by the company since listing or for that matter, forever. This is the first time the dividend is being recommended. Both Australia and Spain have delivered stellar operating performance during the year. In Australia, Joyce revenue stood at INR422 crores in FY '26 and EBITDA margins improved to 10% for the full year, which is a

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significant improvement of almost 400 bps over FY '25. The improvement in profitability profile was due to implementation of strategic yield improvement programs, renegotiating prices with key customers and supply chain restructuring institutionalized in last year.

In Spain, revenue stood at INR391 crores in FY '26 and EBITDA margin of 10.4% for the full year as compared to 8.4% in FY '25. So as we clearly see in both Australia and Spain, the EBITDA margins have increased. On Furlenco, I'm happy to share that business is expanding and is well poised on its growth journey for FY '27. Furlenco reported a revenue of INR370 crores, a growth of over 60% year-on-year. The company clocked a PAT of close to INR60 crores compared to INR3 crores in FY '25, thereby marking significant improvement in its performance.

Furlenco has been able to achieve this growth while maintaini

ing a stringent cost discipline and

fiscal prudence. As I had spoken in our last call about integrating Furlenco and Sheela Foam's omnichannel network and establish Furlenco's presence across Sleepwell and Kurlon stores, I'm happy to share that we have been -- we have seen encouraging response from customers visiting our 40-plus integrated stores, wherein they are able to get offerings from both Furlenco and Sheela Foam. We are constantly increasing such integrated stores and hope to cross 100 stores during current year.

Next, our IT business, Staqa, has also continued to evolve as a differentiated digital capability within the group with its solutions now supporting enterprise workflows, analytics and technology-led decision-making across sectors. During FY '26, Staqa delivered a revenue of INR70 crores. We see Staqa not merely as a technology subsidiary, but as a strategic digital asset that strengthens the group's broader capabilities in automation, data intelligence, enterprise efficiency and artificial intelligence.

Coming to ESG, our focus remains on embedding sustainability into the way we operate rather than treating it as a separate initiative. During FY '26, we made steady progress across our identified priorities, with continued emphasis on energy efficiency, responsible resource management, waste reduction, workplace inclusion and, of course, fire safety. We have already operationalized a 500-kilowatt solar power plant at our Jabalpur facility and are progressing with over 1,000 kilowatts of additional solar capacity across other manufacturing locations.

We're also able to augment gender diversity in our workforce to around 8% during the year. These actions reflect our commitment to building a more responsible, inclusive and efficient operating platform. Our responsibility extends beyond business performance to the communities we serve and the lives we are able to touch. Our CSR agenda continues to be anchored around 2 key areas where we believe we can create a meaningful and lasting impact, emotional wellness and skill development.

Through our emotional wellness initiatives, we are able to touch hundreds and thousands of lives across the country, thereby helping build wider awareness and a sustained national conversation around preventive emotional well-being. In skill development, our programs across Armed Forces preparation, fashion designing, paramedical training and software development are focused on equipping young men and women with livelihood-linked capabilities.

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These initiatives reflect our belief that true value creation is measured by the positive and enduring impact that can be created on the society around us. With this, I will now request our

Group CFO, Mr. Amit Kumar Gupta to take you through our financial highlights. Over to you, Amit.

Amit Gupta : Thank you, sir. Thank you for your inputs on our business and strategy going forward. Just to update on the financials with some numbers here. Our volumes and profitability for Q4 and financial year '26 continued strong trajectory supported by healthy growth and sustainable margins. On a consolidated basis, revenue grew by 24% year-on-year in Q4 to INR1,050 crores. For financial year '26, the consolidated revenue grew by 11% Y-o-Y to INR3,821 crores. On a stand-alone basis, revenue again grew by 24% Y-o-Y in Q4 to INR819 crores, whereas in the financial year, it grew by 11% Y-o-Y to INR2,962 crores. Our consolidated core EBITDA stood at INR121 crores for the fourth quarter, growing by 90% on a year-on-year basis. Core EBITDA margins improved by around 400 basis points to 11.5% from 7.5% last year. Financial year '26, consolidated core EBITDA stood at INR414 crores. For the first time, we, as a company, have crossed INR400 crores by -- growing by around 46% Y-o-Y with a margin expansion of 261 basis points to 10.8%

for the year. This improvement was driven by incremental sales, better gross margins and disciplined control over operating or fixed costs. I'm pleased to share that the consolidated PAT for Q4 stood at INR92 crores, representing a 7x increase on a year-on-year basis. For financial year '26, the consolidated PAT stood at INR161 crores, growing by around 78% Y-o-Y. If you look at the yearly figure of INR161 crores, out of this INR144 crores came in the last 2 quarters only. In the first 2 quarters, we had certain impacts of market-to-market on the investments that we have put in government securities. So during the last 2 quarters, we have done INR144 crores, which means a run rate of more than INR70 crores per quarter. And with the expected growth, we expect to continue the momentum going forward. During financial year '26, the company also reduced net debt by INR156 crores, reflecting the underlying cash generation of the business and continued focus on balance sheet discipline.

At the time of Kurlon's acquisition, the consideration was paid in -- paid was higher than the tangible value of the asset. This is generally the case when you acquire a strong brand, which provides returns over a longer period of time. However, to look at the returns from a shorter period of time, when we exclude the intangible portion of the investment and calculate return on capital employed, we see that it currently stands at around 18%, which even before Kurlon acquisition was around 17%. This demonstrates that our return metrics have also improved in comparison to what it was before Kurlon acquisition, and we are only in the midst of our journey. With this, I request the moderator to open the floor for questions and answers. Thank you. Moderator: Thank you very much. The first question is from Rahul Agarwal from IKIGAI Asset. Please go ahead.

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Rahul Agarwal : Congratulations for a decent performance. Rahulji, just firstly to start with going forward, fiscal '26 was a year of hard work to get this growth and profitability back. I think keeping the momentum going from here on, what are the top 2, 3 things you're spending time on -- your team is spending time on in terms of both staying ahead of competition and at the same time, improving the return on capital for the business. If you could share your top-down thoughts for the entire business overall, how you're looking at next 2, 3 years, that will be really helpful. That's the first question.

Rahul Gautam : So Amit, do you want to answer that?

Amit Gupta : Yes. So Rahulji, as we have outlined in our earlier conversations also during these calls, we had taken a target that we would be first trying to reach a growth rate of around 15% plus. Now since raw materials have increased last year, this should be better than 15%. And so first and foremost thing is how we can strengthen our different product lines and our different business lines to deliver the growth that we have committed to the market and consequently improve the profit line. Also going forward, we will be looking into very complementary business lines, which are related to us.

And some of them we have already initiated. For example, the Pillow segment, that's a market of around INR100 crores, but we till now were giving out only pillows as free along with the mattresses. Now we will be treating it as a separate category and building it upon. Thirdly, the 2 segments, which are the e-commerce segment and the U2O segment, continue to be -- will continue to be our strong focus areas because these are the areas which we need to penetrate deeply not only to maintain our leadership status, but also to grow further in this country, which has around 85% of its market currently occupied by unorganized and traditional mattress segment.

So I think not on a 1 - or 2-year, but on a 3 - to 5-year horizon rate, our objecti

ve would be to get

into related product categories so that we are a full product player and increase our penetration across the country. Maybe Rakeshji has something to say, is that fine.

Rakesh Chahar : No, that's fine.

Amit Gupta : Fine, fine. That would be sufficient, Rahul. In case you have anything addition to ask, please let us know.

Rahul Agarwal : Sure. It gives some clarity. Second was, I just wanted to touch upon the input cost inflation a bit of it. If you could just talk about where are TDI and polyol pricing right now? And how do you plan to pass it through, both for Mattresses and Foam segments?

We just talk about what kind of price increases we're looking forward to across segments? And is that sufficient enough to let the margin actually sustain or maybe expand going forward?

That's my last question.

Rahul Gautam : So that's like an extremely difficult question and probably multiple questions put altogether.

Rahul, the pricing of TDI and polyol is like a crystal ball gazing at the moment. And it's not moving only in one direction, but it's also moving in both directions and moving in large

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quantities. So what used to be some INR2, INR3, INR4, INR5, INR10 a kilo in a year that you would see something moving up or down or up and down. Now you suddenly have INR40 and INR50 at a time happening multiple times in a month.

Therefore, to handle that, we are learning how to do it. But thankfully, some of our segments help us like the B2C segment. There are some others which are stable, but also move slowly, don't move along with the raw material market, which is a B2B segment. And then there is also the industrial segment, which moves even quicker than the raw material.

So it's a mixed bag. It's something that we can't say that we have full handle on, but should be able to sail through and believe that as soon as the war kind of finishes off, this oscillations or volatility will reduce. Now you are asking what the future of these prices of the raw materials would be. They are definitely at a high level at the moment. I can only give you a last 5 years average where polyols should be and where TDI should be.

So polyols should be around INR120 plus and TDI should be around INR240 or something like that. But at the moment, they are both above that. Very difficult to predict. I cannot add anything more. Yes. Rakesh, do you want to add?

Rakesh Chahar : Yes. I can just say that we have been also able to pass on the cost increase due to raw material across all the channels, B2C side, the industrial foam side and partly also on the B2B side. So we see an opportunity also for a margin expansion, which we have experienced in March and also going forward, that opportunity exists.

So and as far as the raw material, like Rahulji has rightly put it, so the raw materials definitely are looking southwards now, but it's a very volatile situation. I mean it's a function of both availability and the pricing. So while it is going down because of the demand, but the moment somebody picks up a good quantity, it starts looking northwards. So it's a play of supply chain currently.

Rahul Agarwal : Got it, Rakeshji. Could you quantify the price hikes?

Rakesh Chahar : So currently, TDI is -- the main supplier is GNFC. Their price is about INR275 and polyol is around INR180.

Rahul Agarwal : Rakeshji, I was actually asking about the price hike taken for our mattresses and foam. What is the pass-through you've taken so far? That's what I wanted.

Amit Gupta : So Ritesh, very difficult to give in percentage terms. They are different for different categories, as Rakeshji just mentioned, that in mattresses, we have been able to take decent ones, B2B a little lesser. The industrial segment, yes, we can pass on immediately. But yes, polyol and TDI on an average increased between 25% to 35%. And depending on how much foam is

consumed

in different categories, we have been able to increase prices to offset those price increases and to some extent, maintain our margins also.

Moderator: The next question is from Arjun Khanna from Kotak Mutual Fund.

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Arjun Khanna : Congratulations, good -- better set of numbers this time around. So the first query is just on the marketing expenses because we've been bringing that out historically. I didn't quite catch it in this presentation. So how much would we have spent in the fourth quarter? And how much would we as a percent of sales would be for FY '26?

Amit Gupta : So Rahul -- sorry, Arjun, for the entire year, it should be around 4.5%, almost similar to what

we did last year. For the last -- quarter -on-quarter is a fraction that moves on. I think it would be a little lesser because Q3 is the highest percentage we spend upon, so maybe around 4 -odd percent.

Arjun Khanna : Fair. Helpful. Sir, the second question is on the depreciation side. I just wanted to understand, post these changes, what outlook do we anticipate for FY '26? What should be the number we should work with?

Amit Gupta : '27 or '26?

Arjun Khanna : '27, sorry, '27.

Amit Gupta : So, Rahul , I think at a consolidated level, we would be looking for a depreciation based on current assets, and I'm not commenting what incremental depreciation we might have for capital investment that we do in next year, should be around INR140 crores to INR145 crores at a consolidated level.

Arjun Khanna : Sure. So this quarterly run rate of INR35 crores essentially, one can annualize this number?

Amit Gupta : Yes, yes, you can.

Arjun Khanna : Sure. And the final bit, on capex for next year, what's our outlook?

Amit Gupta : Including maintenance and some debottlenecking capacities because we have grown by around 15% in volume this year, and we anticipate even a higher growth in the next year. So we will need certain debottlenecking capex at certain of our facilities to meet these volumes. We should be somewhere between INR125 crores to INR150 crores.

Arjun Khanna : This is including maintenance capex ?

Amit Gupta : Everything. This is including marketing capex , which is for opening of new stores. This is maintenance capex for all our plants, both in India, Australia and Spain. And this is also any new capex we need for debottlenecking, everything included.

Moderator: The next question is from Deepali Kumari from Arian Capital Markets.

Deepali Kumari : Sir, my first question is the unorganized to organized segment showed a massive growth. So how scalable is this...

Amit Gupta : Sorry, Deepali, you were not very clear. Can you please -- we could understand that U2O has shown a high growth. But after that, what you said, please, can you repeat?

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Deepali Kumari : Sir, my question is the unorganized to organized segment showed a massive growth. How scalable is this market strategy across many states where you do not have the major...

Moderator: Sorry, madam -- Deepali madam, you are not audible. Please join back the queue. The next question is from Amit Mehendale from RoboCapital.

Amit Mehendale : My first question is on the margins. Is it fair to say that in the backdrop of escalation in raw material prices, our margins -- EBITDA margins will be under pressure in Q1 or Q2?

Amit Gupta : Sorry, I could not get your question. Can you please repeat?

Amit Mehendale : Yes. In the backdrop of raw material prices, our EBITDA margin should be under pressure in Q1 or Q2, right? Because Q4 must be -- we must be having stock at old prices. The inventory may be there, the raw material inventory. But Q1 and Q2, we may have to use the inventory, which is bought at higher prices. And I'm assuming that there will be some pressure on the EBITDA margins in Q1 or Q2.

Amit Gupta : No. So if you see

our gross margins, see, what happens is whenever there is a raw material price increase, it is not that we instantly can increase the price of our products to the consumers also. It's a process which takes around 10 to 15 days and same is the quantum of inventory that we have. So the higher price inventory almost maps up with the increase in the prices. And that's why you see there is no -- not a very material increase in gross margin in the quarter as compared to the fourth quarter last year, it would be almost 50, 100 basis point improvement.

So technically, there was no impact of lower raw material prices when these prices went up. Similarly, in the first and the second quarter, we don't impact any -- expect any impact of higher raw material prices. I don't say there might -- would not be 50, 100 basis points. There can be because the prices are very volatile currently, but not more than that. What leads to EBITDA margin and which has been done in the fourth quarter is an increase in volume.

We are a 30% plus contribution margin business. And whenever there is an increase in volume, that directly flows to the bottom line, strengthening the EBITDA margin. And that's why -- that's the reason why we will be focusing on growth, which we have done last year, and we will be doing in the current year.

Amit Mehendale : Sir, I was just trying to figure out, I mean, if the polyol prices have gone up from, say, INR120 to INR180, I'm sure we won't be able to pass on such a large increase. I mean even like a 20%, 25% increase is difficult to pass on. So how are we confident -- I'm just...

Rakesh Chahar : So I'll take that. I think what Rahulji mentioned is INR120 was the ideal price for polyol and INR120 was the price in January. So the price started rising from February and then there was a

sharp spike towards end of February when the war started. So the polyol price had gone up to INR220. So what Amitji is saying is when it was rising, so we were able to take price increasing. And now the highest price that it has gone up to is INR220. And currently, it is at INR180. It is oscillating between INR200 and INR180. So the part price increase has already been taken. So therefore, it will not impact the margins going forward.

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Amit Mehendale : Okay. Great. And my last question -- yes.

Amit Gupta : No, go ahead, Amit.

Amit Mehendale : Understood. My last question is on Furlenco. What is our plan for, say, next 3, 4 years? And how do we see that business growing? And any long-term plans there, 3 -, 4-year plans?

Rahul Gautam : So Furlenco already is at about INR370 crores. Next year's plan is about INR500 crores, and it's tracking well. So I think 2 things that we look forward to. One is that when would be the right time for doing an IPO. And we will take our decision somewhere in the next 3 to 4 months' time.

Amit Mehendale : Right, sir. And my last question is on the debt levels. If you could -- what could be our debt levels for next 2 years, '27 and '28?

Amit Gupta : So to answer that question, I'll divide the debt between 2 parts. One, the debt which is outstanding on the Indian books and the second, the debt which is outstanding in Spain and Australia. Spain and Australia is around INR350-odd crores. So that is INR350 crores, which is self-liquidating, is being paid off from the cash flows of Australia and Spain itself. The other INR300-odd crores is in India, which I think if you see or utilize the entire cash flows what we are anticipating, should be paid in the next 1, 1.5 years.

Moderator: We have next question from Mr. Pritesh Chheda from Lucky.

Pritesh Chheda : Sir, I couldn't get the answer on Furlenco. So first, Furlenco is now a materially INR60 crores profit to the company, and we have about -- around about 50 -plus percent holding. So what is the course of business plan there? And what kind of ROE or -- R

OCE that business operates at?

Amit Gupta : So first of all, we don't hold 60%. I'll just correct that number. We hold around -- on a fully diluted basis, we hold around 43% in Furlenco. We are the largest shareholder, and we hold majority on the Board and the shareholder meeting, these 2. Yes, we have done INR60 crores PAT in the current year.

ROE for the company will be different, but I can say that we have done a total investment of around INR430 crores for our investment. So even if you take INR1,000 crores basis that, which is divided into debt and equity, I think it's a metric that can vary. What is important here is return on capital employed.

The assets that Furlenco has deployed and the type of EBIT that it is getting, the return on capital employed is around 30% to 35% for Furlenco. Our returns, of course, will come mainly through the valuation of the company since we are a shareholder, and that will depend upon what price the company gets listed.

Pritesh Chheda : So this company is going for IPO?

Amit Gupta : Not currently, but there are plans to go for IPO once it reaches a threshold size, which as Rahulji just mentioned, maybe 1 year from now or maybe a little bit later than that.

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Pritesh Chheda : Okay. And on the debt and the interest cost part, so you said that the debt of India will be repaid in 1.5 years?

Amit Gupta : Yes. So the cash flow generated will have capacity to repay the India debt in 1.5 years since it is around INR300-odd crores. Whether we will pay or we will utilize that cash for further growth in the business, that's something different because these are immaterial debt. If you see debt to EBITDA, it is less than 1.

Pritesh Chheda : And can you give out the interest cost for the next 2 years, that would be helpful. The way you gave out depreciation cost. Maybe you could give out the interest cost.

Amit Gupta : So at a consolidated level, as I said, if you add up, you will have a debt of around INR600 crores to INR700 crores. The interest cost for the debt would be INR35 crores and another INR15-odd crores for bank charges and other things. So at a consolidated level, finance cost should show a figure of around INR50-odd crores until and unless we do major changes in the capital structure.

Moderator: The next question is from Ritesh Shah from Investec Capital Services.

Ritesh Shah : Sir, first question is on U2O. If you look at the full year, volume growth is around 65% and the value growth is 111%. So a sizable difference between value and volume over here. Sir, if you could provide some color on why this gap, what is it that we have changed over the last 1 year?

That's the first question.

Rakesh Chahar : So the volume growth is 61%...

Amit Gupta : 65% and value growth is 111%.

Rakesh Chahar : Great. So Ritesh, what has happened is that we have introduced a higher model. Earlier when we had launched this product, we had launched with only one model. So now we have introduced another model at a higher price point. That is one. And second is there also has been a price increase in both the models. So it is a result of that.

Ritesh Shah : Sure. And sir, what would be the volume contribution by percentage for U2O on the total volumes that the company does?

Amit Gupta : Ritesh, I'll have to get back with these numbers. We generally don't disclose the distribution of mattress between different categories, but I'll have to get back with those figures. I'll talk to you separately on that.

Ritesh Shah : Sure. And sir, just over here, would it be margins accretive or higher than what we reported stand-alone basis over here, specifically for U2O?

Amit Gupta : It would be more -- margins would be more or less not lower than the offline mattress and much higher than the e-com. So it would lie somewhere in between.

Ritesh Shah : Fair enough. And sir, would you like to commen

t something on e-com? Basically, again, it has

done quite well, 52% value growth. If you could highlight what is our thought process over here

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because historically, we did very well, then we scaled it back. Again, we are back on the pedal over here. So how should we look at this part of the business?

Rakesh Chahar : So Ritesh, we are on 2 sides, we have put additional focus on the brand.com side. And that is one as a platform. And second is we have also put focus on Kurlon. So both these put together has led to a substantial growth on the brand.com side. Also on the platform, Kurlon was lagging behind. So we had to make some changes and in terms of our play in the -- on the platforms. So that has also yielded good results. So it's a combination of these 2 things, which has led to this growth.

Ritesh Shah : Sure. And just last question. What is the motivation of changing the depreciation policy right now?

Amit Gupta : So Ritesh, I think depreciation policy was very skewed. Whenever we use -- our foaming machines last -- if you see an example of our foaming machine in Greater Noida, it has been installed for the last 22 years now, and it's functioning well, producing around 25,000 tons of foam or rather more than that per annum. Generally, these machines last for very long around 40 to 50 years.

So if we follow the written-down method, then potentially it depreciates the machine to the extent of 70%, 75% in the first 3, 4 years, which does not reflect the actual amortization of the asset on the revenue that it generates. And it skews other things. So -- and secondly, the second biggest part of our assets is generally plant building and related assets, lands don't get depreciated.

Even buildings have a life of 40 to 50 years. So just to align the cost of depreciation, which is allocated to business on a year-on-year basis, in line with whatever -- with the useful life of that particular asset and what value it delivers over 40, 50 years, we have realigned the policy to reflect realistic figures.

Ritesh Shah : Sir, I'll call you for this separately. And sir, just last question. I think we had INR40 crores of some synergy savings, which were still pending. I think we had given number of INR160 crores plus INR40 crores, INR40 was pending. It was contingent on certain new machines. If you could just provide some color on the time lines of the incremental synergy pending benefit and by when the machines will come?

Amit Gupta : So you are right, Ritesh. We had said that we will realize a total synergy of INR250 crores, out of which around INR190 crores, INR200 crores we had done till 2 quarters back. INR40 crores was to come from some new machines which were imported with a new material of malleable fiber to be used as a comfort layer. That is currently under installation. It is delayed by 1.5 quarters. But I think by the mid or end of this quarter, that will be installed, and we might see that scaling up in the subsequent quarters.

Moderator: The next question is from Rishi Mody from RDM Advisory LLP.

Rishi Mody : Am I audible?

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Moderator: Yes, sir. You are.

Rishi Mody : My first question, so we've seen impressive volume growth in technical foam and comfort foam in this quarter. Just wanted to check for any one-off B2B orders in technical foam or any inventory stocking up by the channel in lieu of price hikes due to crude volatility?

Rakesh Chahar : So as far as the -- if I look at the annual picture of both B2B and the comfort foam, so we started putting more focus on these 2 segments. And there were some structural changes in the distribution and also the way we were approaching the market. So one is a function of that. So overall, we have grown in both these segments upwards of 15%. Quarter 4, there has been a spike, which is primarily 2

reasons.

One is whatever steps we had taken to build this business further. That is one. And second, when the war broke, we were in a much better position to continue serviceability in the market. So there were smaller players who were finding it difficult to maintain their supply chains. So those orders also got shifted to us. But if you see on an annual basis, I mean, these businesses are now at a level of 15% growth on an annual basis. And our plan for the next year is also on the similar lines.

Rishi Mody : Okay. So -- and this customer gain that we have done, right, say, people who weren't able to supply to these guys, now we've gotten them as our clients or incremental volumes from existing clients who were buying from somewhere else. Is that also continuing like maybe because we're giving better service or better pricing? Or they have reverted back to their existing suppliers?

Rakesh Chahar : Sure. As I said, we had taken these 2 as also focused businesses where some changes had to be made, which took some time. So that was irrespective of the war and the scarcity of raw material. So those actions were already started getting implemented and showing results. Now as far as this was concerned, the March and the month of April is concerned, this is where some customers who have moved out also started buying. So then obviously, we will retain them, and that's what the plan is, going forward.

Rishi Mody : Okay. Got it. My second question was on the international piece, right? So, I'll split it. Australia, our gross margins have expanded quarter-on-quarter, while also other expenses have increased quarter-on-quarter, INR50 crores in Q4 versus INR42 crores expense in Q3.

So just is this some reclassification? Or could you help me understand that? And then also on the Spain piece, the gross margins, are they firmed up around the 32% gross margin mark? And the fixed expense as a percentage has come to about 20% of our revenue. How much of that is fixed versus variable? So in case things -- the gross -- like I'm just trying to assess the sensitivity here?

Amit Gupta : Sure. So let's start with Australia. Australia has shown a steep increase in gross margin in the current year -- current quarter, I would say, not the year. Two reasons. One, yes, efficiency measures have been there on for last 1 year or so.

The margins we achieved -- EBITDA margins we achieved there last year was 6%. So we were on an improvement throughout the year. The methods that were applied was, one, creating

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efficiency with the wastage that they created; and secondly, taking price hikes with the customers, which had not been taken for a very, very long period.

Now this a little bit of disruption in the raw material prices created a little bit of plus and minus in Australia, but I think to some extent, maybe around 54%, 55-odd percent, Australian margins have improved. There may be aberration of 3%, 4%. So you should be able to see 4%, 5% higher than the normal margins it used to have in the past.

Now as far as the fixed costs are concerned, I would request you look at it as a percentage of total revenue because the exchange rates have gone differently. So when you convert Australian dollar into rupee, which was INR55 a year before to INR65 now, it's a different scenario, right? So fixed costs reflect only that portion.

When you move to Spain, Spain has been a real surprise because Europe was going through challenges. So the pricing realization that could be done in Spain was much better. I would not say 32%, 33% would be a stable sort of margin, but I would -- I can comment that around -- between 30% to 32% would be a stable margin. It will not revert to 28%, 29%, which we had seen in the past. And yes, that way, the profitability will remain there.

Rishi Mody : And is there still scope for cost optimization there? Or that 2

0% other expenses is going to largely remain around that 20% mark?

Amit Gupta : So some minor improvements may happen, but broadly, it would remain the same. Yes, turnover improves because there is a very strict cost control there. If you see the fixed cost structure between Australia and Spain, Spain is very small. But scope is always there, but I would not see

any material sort of a scope there.

And our intent with both Australia and Spain is also not to go to a profitability of 16%, 18% because we know those type of profitabilities don't survive in those countries. So intent is to retain it between 10% to 12%, which to some extent is feasible in these countries and possible.

Rishi Mody : Okay. Got it. And we were planning...

Moderator: Rishi, sir, please join back.

Rishi Mody : Yes, just a quick question. Let me -- it's a continuation on the international piece only. You all were planning to sell or you all were exploring whether to sell off the international business. Is that still in the plans? Or we are now going to continue with this business as is.

Rahul Gautam : So I think one of the investor conferences, I had mentioned this that we are open to that. And I think our position remains the same that we are open to that, but that doesn't mean that we are switched off from it. We will pursue that and wait for the right person to come at or the right party to come at the right time. But at the moment, it's -- we still do whatever is necessary to maintain that business.

Moderator: We have next question from Pallavi Deshpande from Sameeksha Capital.

Pallavi Deshpande : Can you hear me?

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Moderator: Yes, we can.

Pallavi Deshpande : So just wanted to understand just going back to the previous inventory question and the channel stocking on that comfort foam, technical foam. I just wanted to -- because the raw material prices have improved so much, are you saying there was no channel stocking in this quarter?

Amit Gupta : No. Pallavi, as Rakesh sir already mentioned that the higher volume because of 2 reasons. One, the work that has been done throughout the year with the new customers; and second, because some of the players, smaller players have gone out of business and that business also came to us. So there -- we don't anticipate any major channel stocking and foam is a very bulky material. You can't go beyond the volume to stock foam.

It's very difficult. So we don't anticipate any choking or blocking of the channels and resulting in any challenges in the subsequent months. It was a genuine demand in the market, which the existing suppliers of those customers could not fulfill, which we went ahead and fulfill. But that was some part of the growth. The rest part of the growth was our own efforts and what we had been doing in the past.

Moderator: The next question is from Pritesh Chheda from Lucky.

Pritesh Chheda : Sir, just one question and a slightly broader observation. So what specifically since the last 2 years have we brought in to -- for the volume growth in the India business improving? And if you could articulate that and the sustenance of the same. So we have got a double -digit number this year as well. So some key points there, sir.

Amit Gupta : Yes. See, there were multiple things. One, very sharp focus on all these. So once we took over Kurlon, it was a new animal for us, a very different sort of a company, though we used to sell the same products, but the companies were very, very different, the way it's sold, the way it's produced, the way it managed the business. We struggled with it for a year or 2, and I think you all are witness to that how we struggled.

But that also led us to more detailing and more focused on our existing business. And we identified certain priorities for ourselves, which we had reflected in our commitments to the market also. Of course, we could partly

meet them. Going ahead, we hope to meet the full commitment, which was growth on one side and profitability on the other side.

So a very profitable growth sort of a model. The entire focus and energy of the organization was shifted to these 2. The discussions that now we have, the opportunities that now we explore, the push that we give to the market, each and every category what we study and try to see what best can be done. I think the level of working and the level of dedication in those have gone up. And the focus of the organization to long -term planning has solidified, which also gives us the confidence to tell you that this growth is going to continue in future.

Nothing else. I don't think raw material has changed. I don't think market has changed, customer has changed or anyone has changed. But yes, our way of looking at the business and putting targets in front of ourselves has changed.

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Pritesh Chheda : Any channel -related changes? And since both the brands are operating in different geographies, but trying to also have aspirations in their core geographies, any changes there?

Rakesh Chahar : So the brand -wise focus continues because they both have evolved in their own way. So that is one which we have put more focus on. And second is also on the white spaces for channel expansion. So last year also saw a massive expansion covering many areas where we were not represented. There is also a system to look at our channel partners where we are also getting more and more accountability on that side.

So since they are -- because we have now integrated both the brands under the channel partner, so that piece is also being looked at very closely, being monitored and accountability fixed there. So I think sum total of all these things is we are getting better as far as the channel is concerned.

Pritesh Chheda : And market share?

Rakesh Chahar : Market share, there is no recent study that -- there is an association who used to do it. But our belief is that there is a -- I mean, we can sense that at least for both the brands and with the U2O kind of initiative and e -com, the organized sector play is improving. So which from last couple of years was on the other direction where the unorganized was kind of growing at a faster rate than organized. We are seeing this change now moving more towards organized side.

Moderator: The next question is from Vignesh Iyer from Sequent Investment.

Vignesh Iyer : I wanted to understand on the TDI part. If I heard you right, earlier in the call, you said that GNFC is a player who is the biggest supplier of TDI, but they have their own factories closed during the war. And also what we heard that one of the biggest -- probably the biggest player in China and world and they had also stopped supplying TDI from China. So how have we managed to procure the required amount of TDI quantity?

Rakesh Chahar : So, you're right. I mean the GNFC was shut down first on a technical reason and then later also because of the -- in the month of March because of the natural gas energy. So -- but the shutdowns were temporary in nature. And during that part, the traders who import to cater to the balance 40% of the market, they had increased the rates. So the material was available, but it was available at a much higher price.

So that is one part. And second, we had -- about a few months back, we had also taken an in - principle decision to also hedge our risk. So we had introduced a new supplier partner and who was very supportive during this time, and we were able to meet the requirements. So we did not have any stock out situation, though we had to pay a little more for TDI at a few times during the month.

Vignesh Iyer : Okay. I mean, was this new supplier Chinese?

Rakesh Chahar : So, it's a mix of both the Korea. There was some material from Japan, which was coming in and

also from China. So China, it is -- see, China also has more than one manufacturer. There are a couple of manufacturers who are there. Some of them, they bring in the material on their own

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and they supply it locally as per the pricing of the market. And some you can import directly. So it's a mix of both.

Moderator: Ladies and gentlemen, we will take this as our last question. I would now like to hand the conference over to Mr. Ritesh Shah. Please go ahead, sir.

Ritesh Shah : Yes. Thanks, Shailendra. Thank you all for joining on to the call. Rahulji, if you would like to please have some closing remarks. Thank you so much for your time here.

Rahul Gautam : Ritesh, thank you very much for conducting the call. As usual, it has been a lot of incisive questions. And let me just say that we continue to learn as you question us, and we keep answering that. So with that, I would just wish you all, all the best. Have a great weekend, and we will soon meet again in another quarter. Thank you very much.

Amit Gupta : Thank you.

Rakesh Chahar : Thank you.

Moderator: Thank you. On behalf of Investec Capital Services India Private Limited, that concludes this conference, and thank you for joining us, and you may now disconnect your lines. Thank you.